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PART I // MODULES 01 TO 02 · CASES #01 TO #10

CRIMINOLOGICAL FOUNDATIONS, SOCIO-ECONOMIC OFFENCES & LEARNING THEORIES

MODULE 01 // Topic 1 · Concept & Liability

Cases #01 - #08

Introduction to White Collar Crime: Evolution, Strict Liability, Distinctions & Sectoral Frauds

Santhanam Committee (1964) · LCI 29th (1966) & 47th (1972) Reports · Mens Rea & Reverse Burden · Tax, Corporate & Health-Care Fraud

A. Concept of White Collar Crime — Definition, Scope, Evolution & Consequences

▸ CORE DEFINITION — EDWIN H. SUTHERLAND (1939 PRESIDENTIAL ADDRESS, PHILADELPHIA; PAPER 1940)

"A crime committed by a person of respectability and high social status in the course of his occupation."

Refined version (1949 Corporate Study): "A person of the upper socio-economic class who violates the criminal law in the course of his occupational or professional activities." — *DU Case Material (LB-3037)*

Emphasis: (i) WHO the offender is (status/respectability) + (ii) NEXUS between offence and occupation. Sutherland was more concerned with *who the perpetrator was* than *what was done*. Example: a public servant taking illegal gratification to favour a business entity in granting a tender.

1.1 All Definitions You Must Quote (DU-Approved)

Source	Definition / Formulation	Exam Use
Sutherland (1939/1949)	Crime by person of respectability & high social status in course of occupation. Later: upper socio-economic class violating criminal law in occupational/professional activities.	Opening line of every answer
Sutherland — Business forms	Misrepresentation in financial statements, stock-exchange manipulation, commercial bribery, bribery of public officials, misrepresentation in advertising, embezzlement & misapplication of funds, short weights/measures, misgrading, tax frauds, misapplication in receiverships/ bankruptcies — "the legitimate rackets" (Al Capone's phrase).	Scope paragraph
Arnold (quoted in 29th LCI)	Persons of socio-economic class violating criminal law in course of occupational/professional activities; more dangerous to society than lower-class crime because of damage to public morals.	Alternative definition
Santhanam Committee (1964, Para 7.3)	Listed 8 social offences (see Evolution) + examples of WCC: tax evasion/avoidance, share-pushing & malpractices in share market & company administration, monopolistic controls, usury, under/ over-invoicing, hoarding, profiteering, sub-standard performance of construction/supply contracts, evasion of economic laws, bribery & corruption, election offences, malpractices.	Indian-context definition
29th Law Commission (1966)	Proposal to include certain social & economic offences in IPC; quoted Sutherland + Arnold; emphasised occupation-nexus; WCC excludes murder/adultery/intoxication even if by upper class (no occupational nexus).	Evolution answer
47th Law Commission (1972, Para 1.8)	"White-collar crime may be described as a crime committed in course of one's occupation by a member of the upper class of society." + 4 test examples (drug manufacturer supplying sub-standard drugs = WCC; big corporation evading tax fraudulently = WCC; smuggling TV sets for personal use = NOT WCC; pensioner filing false return = NOT WCC — but all 4 = socio-economic offences).	Best for distinction Qs
155th Law Commission (1997, Para 1.2)	"All illegal acts committed by unlawful means — purpose being to obtain money or property or business or personal gain or profit" by organised gangs having influence. Features: no social sanction, modern technology, politician-enforcement-offender nexus, no organised public opinion, part & parcel of society (vs isolated traditional crimes).	Features paragraph
Supreme Court — Tofan Singh v. State of Tamil Nadu (2021) 4 SCC 1, Para 210	Socio-economic/white-collar crimes (narcotics trafficking, adulteration, black-marketing, hoarding, smuggling, tax evasion) affect health & material welfare of community as a whole; committed not by disadvantaged low class but by affluent, immensely powerful people exploiting the less advantaged; must be dealt with firmly, cannot be equated with individual-vs-individual crimes.	Judicial definition — must cite

1.2 Before Sutherland — Conventional Theories He Demolished

Conventional wisdom (pre-1939): Crime is concentrated in the lower class; caused by poverty or by personal/social pathologies statistically associated with poverty — feeblemindedness, psychopathic deviations, slum neighbourhoods, "deteriorated" families. Data sources: police, criminal/juvenile courts, prisons — <2% of prison commitments belonged to upper class (LB-3037, p.1).

Theorist	Proposition	Sutherland's Attack
Cesare Lombroso (1876) — Born criminal; atavistic physical stigmata (thief = expressive face, small wandering eyes, manual dexterity); Insane criminals (mental depravity); Occasional/epileptic criminals (uncontrollable bursts)	Criminality is inherited/biological; identifiable by looks	Physical traits cannot explain why respectable businessmen commit crimes; ignores social learning; biased sample (only caught lower-class offenders measured)

Theorist	Proposition	Sutherland's Attack
Edward A. Ross (1907) — "Criminaloid"	Respectable, upright façade concealing criminal personality; opportunistic; no physical stigma, no mental aberration; protective mimicry of honest man; victim = weak consumer, ally = strong official; moral insensibility (not evil impulse); reckless as to means; gets credit for good, escapes resentment for wrongs	Sutherland built on Ross: Ross supplied the *label* (criminaloid → white-collar criminal); Sutherland supplied the *theory & data* (business criminality + differential association)
Conventional criminology (poverty → crime)	"Criminal of today was the problem child of yesterday"; causes in childhood/slums	**Invalid for 3 reasons:** (1) samples grossly biased (omit WCC); (2) false for WCC (not poor, not slum-reared, not feebleminded/psychopathic, seldom problem children); (3) sociopathic/psychopathic factors not related to a *general process* found in both classes — hence explain neither (LB p.10–11)

1.3 Salient Features of White Collar Crime (Combine + 47th + 155th LCI)

1. Status-based & occupation-linked: offender of respectability/high socio-economic status; crime facilitated by office, calling, profession or vocation.

2. Non-violent, financially motivated: avarice/rapaciousness (extreme greed), not lust/hate; fraud not force; deception, concealment, breach of trust.

3. Violation of delegated/implied trust: two archetypes — (a) *Misrepresentation of asset values* (fraud/swindling) & (b) *Duplicity in manipulation of power* (double-cross — e.g., director buying land on inside info & selling to own company at fantastic profit; football coach refereeing own team's match).

4. Non-emotional background: no emotional reaction between offender & victim (unlike murder/rape/defamation). E.g., hoarding of essential commodities.

5. Diffuse victim — society/consuming public: adulteration, tax fraud, siphoning to tax havens (direct victim may be absent); harm to national economy & public morals.

6. Clandestine + weak social response: committed in secrecy by sophisticated means; no individual/social vengeance aroused; no social stigma; no organised public opinion against it.

7. Power asymmetry: flourishes where powerful business/professional men meet weak victims (consumers, investors, stockholders — unorganised, lacking technical knowledge). "Like stealing candy from a baby" (LB p.10). Exception: embezzlement (employee steals from stronger employer — hence punished earlier/strictly).

8. Nexus & organisation: organised gangs with modern technology; nexus between politicians, enforcement agencies & offenders (155th LCI); part & parcel of society, not isolated.

1.4 WCC vs Traditional (Blue-Collar) Crimes — Master Table (DU Favourite)

Basis	Traditional Crimes (IPC archetype)	White Collar Crimes
Motive	Greed, evil impulse, lust, hate, heat of passion	Avarice/rapaciousness — excessive desire for wealth in large amounts; cool mind & calculation (Mohanlal Porwal)
Background	Often emotional reaction (murder, defamation)	Non-emotional; no offender–victim emotional link (e.g., hoarding)
Nature of injury	Apparent, physical, immediate	Not visible; diffused; economic/moral
Victim	Direct, identifiable individual on whom injury inflicted	Section of society / consuming public / State; sometimes NO direct victim (e.g., siphoning to tax havens)
Modus operandi	Force/violence (robbery, assault)	Deception, fraud, concealment, breach of trust (e.g., misleading ads)
Social response	Individual + social vengeance aroused; stigma, disgrace	Clandestine → same response absent; no stigma; viewed with "permissive eye"
Mens rea	*Actus non facit reum nisi mens sit rea* strictly required	Often curtailed/excluded; strict/absolute liability; modified mens rea
Burden of proof	On prosecution — beyond reasonable doubt; presumption of innocence	Reversed — on accused; presumption of guilt (PMLA §24, NDPS §§35, 54)
Implementation	Police → prosecutor → judge → fine/ imprisonment/death	Inspectors/boards/commissions → warnings, cease-&-desist, loss of licence; only extreme cases → fine/prison; often civil damages only
History	Old concept (IPC)	New concept (traced to 18th c.; acute after WWI)

1.5 Scope — WCC in Business & Professions (Sutherland's Illustrations, LB pp.3–4)

Business: misrepresentation in corporate financial statements (pre-SEC estimate: 80% misleading); stock manipulation; commercial bribery (FTC 1920: prevalent); bribery of public officials for contracts/legislation; adulteration/short weights (chain stores: 3.4% on investment); ether cans 70% rejected (1923–25); 75% banks violating law (1908); 20% Chicago bank employees stole property (lie-detector + confessions).

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Medical profession (Sutherland's "least criminalistic" example — yet): >2/3rd surgeons in fee-splitting (illegal in many US states); illegal sale of narcotics/alcohol; abortion; services to underworld; fraudulent reports/testimony in accident cases; unnecessary treatments/surgeries; fake specialists; restriction of competition; fake bills.

Politics as gauge: Farley ("standards as high among officeholders as in commercial life"), Cermak ("less graft in politics than business"), Flynn ("politician a mere amateur beside businessman"), Lippmann ("financiers entering politics regard themselves as philanthropists") — all to show business criminality ≥ political criminality.

1.6 Sutherland's 4 Criteria for Counting WCC as "Real Crime" — Very Important

Problem: conviction in criminal court is inadequate (large proportion of offenders never convicted). Must supplement — but *same liberality for both classes* (not spirit-of-law for WCC, letter-of-law for others). Four extensions (each justified because conventional criminologists already make it for lower-class crime):

Result (LB p.8): General description of WCC = general description of lower-class crime. Difference is **incidental, not essential — implementation segregates WCC administratively** (civil/administrative handling) → not regarded as "real criminals" by selves, public, or criminologists. "Benefit of clergy" (medieval) → "Benefit of business or profession" (modern).

1.7 Consequences / Costs of WCC

Financial (staggering, several times street crime): chain-grocery officer embezzled $600,000 = 6× annual losses from 500 burglaries/robberies of same chain; Public Enemies 1–6 (1938): $130,000 vs Krueger: $250,000,000 (~2000×); NYT 1931: 4 embezzlements >$1M each ($9M combined) — "small-fry"; one investment trust 1929–35: $580M loss (75% affiliated securities despite diversification ads); Chicago sealer: householders lost $54M in 2 years.

Social-moral (MORE important): violates trust → creates distrust → lowers social morale → large-scale social disorganization. Erodes trust in financial regulators → hampers growth. Financier, not gangster, is the greater public enemy. Irreparable damage to public morals (Santhanam).

A (contd.) Evolution of White Collar / Socio-Economic Offences in India

Thesis: Committed since ancient period but subsumed under traditional offences; separate discourse from 18th century; varieties acute after WWI; in India — three phases (British arrival → Freedom/Partition → Industrialisation/Urbanisation) + statutes + courts + committees.

1720 — South Sea Bubble → Bubble Act, 1720
29th LCI Para 13: earliest legislative effort against large-scale fraud by unscrupulous persons. South Sea Company (1711, monopoly of African-slave supply to South America, 1713) — stock peaked then collapsed (1720), ruining thousands. Industrialisation added varieties.
1919–1939 — After WWI: Sutherland era
1939 Presidential Address; 1940 "White Collar Criminality" (*American Sociological Review*); 1949 corporate study. Labour laws in India; scarcity/hoarding debates begin.
1939–1945 — WWII: scarcity economy
Scarcity of essentials (esp. grain), hoarding, black-marketing; ethical standards discarded for power/money; laissez-faire → monopolistic competition → multiplicity of socio-economic offences.
1947–1960s — Independence: welfare state + new statutes
Freedom movement's socialist ideals vs rising corruption. State controls production/distribution → over-burdened administration + dishonest entrants = fertile ground. Statutes: Prevention of Corruption Act 1947, Essential Commodities Act 1955, ITPA 1956, later NDPS 1985, PCA 1988, PMLA 2002, FSS Act 2006, Black Money Act 2015. Courts begin excluding mens rea (Indo-China 1964, M.H. George 1964/65).
1962–1964 — Santhanam Committee (Prevention of Corruption)
Appointed 1962; Report 1964 (pp.53–54, Para 7.3): IPC dominated by offences against person/property/State — unsatisfactory for "social offences" now dominant among powerful sections. Listed **8 categories** (see box) + WCC examples; recommended new IPC chapter / reference to Law Commission → 29th & 47th Reports. Observed: mass society + elite monopoly + eroding ethics → WCC; more dangerous (higher stakes + irreparable moral damage); enforcement complex, laws not deterrent enough.
1966 — 29th LCI: "Proposal to include certain Social & Economic Offences in IPC"
History (Para 13: South Sea Bubble; acute after WWI), Sutherland + Arnold definitions, two crime-types (white-collar = upper/middle; blue-collar = underprivileged), occupation-nexus test.
1971 — Wanchoo Committee (Direct Taxes Enquiry, Chair: ex-CJI K.N. Wanchoo)
Report Dec 1971, Ch.2: "tax evasion and black money inextricably interlinked"; evasion defeats economic policy; disqualify convicted/penalised evaders from national awards & elected posts; → Ch.XIX-A (Settlement of Cases) inserted 1975 (see *CIT v. B.N. Bhattacharjee*).
1972 — 47th LCI: "Trial and Punishment of Social and Economic Offences"
Reference: how drastically/swiftly penal action under existing laws to deter; view that trend treated them lightly, punishment inadequate. Features Para 1.4, definitions Para 1.8, intersecting circles Para 1.9, sentencing Ch.3, special courts/simplified procedure/graded punishment/independent prosecution (CBI/ED prototypes), strict-liability + reversed burden (Paras 3.17, 3.20).
1997 — 155th LCI (NDPS context, Para 1.2)
Two kinds: traditional (murder/theft/assault) vs white-collar/socio-economic (smuggling, hoarding, adulteration, drug trafficking); 5 salient features (no sanction, tech gangs, nexus, no public opinion, systemic).
2003–2019 — Sentencing-policy debate
Malimath (2003) → Madhav Menon (2008) → Law Minister statement Oct 2019 (uniform sentencing policy). No structured guidelines yet — judicial discretion case-by-case; demand for deterrent, graded, speedy punishment for socio-economic offences.

SANTHANAM COMMITTEE — 8 CATEGORIES OF SOCIO-ECONOMIC OFFENCES (PARA 7.3) — LEARN VERBATIM

1. Offences to prevent/obstruct economic development & endanger economic health
2. Evasion & avoidance of taxes lawfully imposed
3. Misuse of position by public servants (contracts, public property, licences/permits)
4. Delivery of goods not per agreed specifications in public-authority contracts
5. Profiteering, black-marketing, hoarding
6. Adulteration of foodstuffs & drugs
7. Theft & misappropriation of public property & funds

8. Trafficking in licences, permits, etc.

47TH LCI — SALIENT FEATURES OF SOCIO-ECONOMIC OFFENCES (PARA 1.4, P.2)

1. **Motive:** avarice/rapaciousness (not lust/hate)
2. **Background:** non-emotional; no victim–offender emotional reaction
3. **Victim:** usually State or section of public (consumers, shareholders); even with individual victim, societal harm dominates
4. **Mode:** fraud, not force
5. **Act:** usually deliberate & wilful
6. **Interest protected (two-fold):** (a) preservation of property/wealth/health of members, national resources & economic system from exploitation/waste; (b) augmentation of national wealth via tax/duty/forex/commerce/industry laws

B. Mens Rea, Nature of Liability, Burden of Proof & Sentencing Policy

FOUNDATIONAL MAXIM

Actus non facit reum, nisi mens sit rea — "The act does not make one guilty unless the mind is guilty." = **Fault liability**. Corollary: **"Every accused shall be presumed innocent till proved guilty"** (cardinal principle; Malimath Committee Vol.1, Para 1.7).

Classic statements: *Sherras v. De Rutzen* (1895) — Wright, J.: "In every statute mens rea is to be implied unless the contrary is shown." *Brend v. Wood* (1946) — Goddard, J. ("Revival of Mens Rea"): courts must not convict unless guilty mind proved, "unless the statute, either clearly or by necessary implication, rules out mens rea." Authoritative common law doctrine: if statute silent, look at objects and terms; presumption of mens rea displaceable by words or subject-matter.

2.1 Why Socio-Economic Offences Depart: Strict / Absolute Liability

47th LCI (Paras 3.17, 3.20): (1) Socio-economic offences must be treated differently — mens rea should NOT be required (greater harm); (2) burden of disproving mens rea on accused. **Rationale (M.H. George):** planned & executed in secrecy by sophisticated means; detection difficult → made "strictly liable" or mens rea "modified" — initial burden on offender to disprove legal presumption.

2.2 Statute-Wise Exclusion (Learn as Table — Each Row = 2 Marks)

Statute / Provision	Case	Holding on Mens Rea / Liability
Sea Customs Act, 1878, §52-A (prohibition; gold smuggling)	*Indo-China Steam Navigation Co. Ltd. v. Jasjit Singh*, AIR 1964 SC 1140 (3 Feb 1964)	Silent provision → no mens rea needed; strict construction. Purpose: end illegal smuggling rudely disturbing national economy; carriers mere agents of well-knit international organisation. Conviction upheld.
FERA, 1947, §§8(1) + 23(1-A) (bringing gold without RBI permission)	*State of Maharashtra v. M.H. George*, AIR 1965 SC 722 (24 Aug 1964) — **LEAD CASE**	Strict liability; language + economic subject-matter exclude mens rea; Gazette notification = deemed knowledge; ignorance no defence. Majority reinstated conviction (sentence reduced to time served). See full FIRAC below.
ITPA, 1956, §18 (closure of brothel & eviction)	*Chitan J. Vaswani v. State of West Bengal* (1975) — full text in LB material via §18 discussion	§18(1) preventive/summary (no prosecution needed; 200m + notice + hearing → eviction + 1yr/3yr letting bar); §18(2) on conviction under §3/§7 (all places, no notice, non-appealable). Mens rea NOT necessary for §18 application.
Essential Commodities Act, 1955, §7(1) ("whether knowingly, intentionally or otherwise")	*Nathulal v. State of M.P.*, AIR 1966 SC 43 → nullified by 1967 Amendment → *State of M.P. v. Narayan Singh*, AIR 1989 SC 1789	Pre-1967: mens rea implied (acquittal). Post-1967 comprehensive wording covers even unintentional contravention → strict liability applied in *Narayan Singh*.
PMLA, 2002, §§3, 8, 23, 24, 45	*Vijay Madanlal Choudhary v. UoI* (27 July 2022); *Ramaraju v. UoI* (AP HC — §8 valid; exclusion of mens rea for attachment/confiscation valid)	Attachment/confiscation = civil/economic sanction → neither mens rea nor knowledge needed. §24: rebuttable presumption (proceeds of crime involved in ML) — burden on accused; ECIR ≠ FIR (internal; copy need not be supplied); ED ≠ police; twin bail conditions (§45) upheld.
NDPS Act, §§35, 54	*Tofan Singh v. State of T.N.* (2020) SCC OnLine SC 882	Rebuttable presumption of culpable mental state (§35) & of illicit articles (§54); burden on accused; socio-eco crimes need firm handling.
PCA, 1988, §20	Presumption line (see PCA unit)	Where gratification proved, court *shall* presume motive/reward; rebuttable on preponderance; demand + acceptance to be proved by prosecution first.

2.3 Nature of Liability + Burden of Proof (Reversal)

Traditional: fault liability; prosecution proves actus reus + mens rea beyond reasonable doubt (Evidence Act §105: accused proves exceptions only).

Socio-economic: strict/absolute liability; **presumption of guilt** is the rule (PMLA §24, NDPS §§35/54, Customs §123); accused disproves on preponderance/balance. Initial legal presumption + difficult detection justify reversal.

2.4 Sentencing Policy

47th LCI, Ch.3: Criminal law = part of social control; two aspects — **stigma + range of sanctions**. Socio-economic offences need **deterrent, graded, swift** punishment (present trend too lenient). Recommendations: **special courts** (expert judges, fair + expeditious), **simplified procedures**, **increased/graded penalties**, **independent prosecutorial agency** (CBI/ED). IPC Ch. XIX-A etc. illustrate graded civil-vs-criminal penalties (FSS Act: civil penalties for minor, imprisonment for grave).

Judicial voice: *Mohanlal Porwal* — courts must not view economic offenders with "permissive eye"; disregard for community interest forfeits public faith. *M.H. George* — sentence tempered (time served) where notification new, but conviction recorded to uphold deterrence.

Current position (DU chart): Malimath (Mar 2003) → Madhav Menon (2008) → Law Minister Oct 2019 (uniform sentencing policy call). **No structured guidelines yet** — each judge exercises discretion; reform demand continues.

Exam line (10-mark closer): "Mens rea is the soul of traditional crime but an obstacle in socio-economic statutes; Parliament + courts have therefore — expressly or by necessary implication — curtailed it, imposed strict liability, reversed the burden, and demanded deterrent-graded-specialised sentencing. *M.H. George, Indo-China, Chitan Vaswani, Narayan Singh, Vijay Madanlal* form one consistent arc."

C. Six-Way Distinctions — WCC / Socio-Economic / Traditional / Organised / Corporate / Occupational

3.1 Socio-Economic Offences vs Traditional Offences (Q.3(a)/2017 — 8-Point Table)

#	Basis	Traditional Offences (IPC)	Socio-Economic Offences
1	History	Old concept	New concept (18th c. origin per 29th LCI)
2	Mens rea	*Actus non facit reum…* essential; accused favoured	Generally excluded/modified; prosecutor favoured; strict liability
3	Presumption	Innocence (Malimath)	Guilt (NDPS §§35/54, PMLA §24)
4	Burden	Prosecution (B.R.D.); accused only for exceptions (§105 Evidence Act)	Accused (rebuttable; PMLA §24, NDPS §68J)
5	Victim	Individual/group	Whole nation / mass level; economy & national interest
6	Passion	Cool mind OR heat of passion (e.g., murder on provocation)	Cool mind + calculation for personal profit regardless of community (*Mohanlal Porwal*)
7	Mode	Force	Fraud, not force (47th LCI Para 1.4)
8	Motive	Lust/hate	Avarice/rapaciousness (47th LCI)

3.2 Socio-Economic Offences vs White Collar Crimes (Genus–Species)

Basis	Socio-Economic Offences (Genus — Wider)	White Collar Crimes (Species — Narrower)
Definition	Offences affecting health/material welfare of community + national economy; committable by ANY person irrespective of status	Sutherland: by person of respectability/high status in course of occupation; 47th LCI Para 1.8: in course of occupation by upper-class member
Relation	Every WCC is socio-economic; converse false	Subset — needs status + occupational nexus
Criminals	Rich OR poor	Only rich/upper class
Test (47th LCI 4 examples)	All 4 = socio-economic	Only (1) drug maker-substandard drugs & (2) corporate tax fraud = WCC; (3) personal-use smuggling & (4) pensioner's false return = NOT WCC
155th LCI gloss	Smuggling/hoarding/adulteration/drug-trafficking generally	Same acts when by organised influential gangs for money/property/business gain + 5 features

3.3 Master Six-Way Table (Examiners Love This)

Crime-Type	Who / How	Core Illustration (DU)	Law / Test
Traditional	Individual vs individual; force; emotional	Murder, theft, assault, rape, dacoity	IPC/BNS; fault liability; prosecution burden
Socio-Economic	Any person; fraud; affects public health/economy	Adulteration, hoarding, smuggling, tax evasion	Special statutes; strict liability; reverse burden; 47th LCI features
White-Collar	Upper-class + occupational nexus; breach of trust	Corporate tax fraud; sub-standard drugs by manufacturer	Sutherland + 47th LCI Para 1.8 test
Organised	Group/syndicate; continuing unlawful activity; violence/threat/coercion for pecuniary/undue advantage	Hawala election money; drug/human trafficking; extortion rackets	MCOCA §2(1)(e); BNS §111 (see below); UPCOCA; *Abhishek*
Corporate	Corporation/its agents alter information, deceive public/investors/lenders for gain	Enron, Satyam, Harshad Mehta, Saradha, Sahara, Mallya, Nirav Modi	Companies Act §§447, 211–212 (SFIO), 408 (NCLT); SEBI; PMLA
Occupational	Any employee (peon → minister) in course of employment; post held on behalf of others (trustee)	Embezzlement; insider trading; forged checks; kickbacks; DDA officer demanding flat for allotment	Employment + trust; WCC needs upper class, occupational needs post (see §3.4)

3.4 Organised Crime — Full Provision (BNS §111 + MCOCA)

UNODC: "Any serious offence by group of 3+ persons aiming to commit serious crime for financial/material benefit as common purpose (whether committed or not)." **MHA OM:** "Any continuing unlawful activity by individual, singly/jointly, as member/on behalf of organised crime syndicate, by violence/threat/intimidation/coercion or other unlawful means, to gain pecuniary benefits or undue economic/other advantage or promote insurgency."

BNS, 2023 — SECTION 111 (NEW — QUOTE IN EXAM)

§111(1): Continuing unlawful activity — kidnapping, robbery, vehicle theft, extortion, land grabbing, contract killing, **economic offence, cyber-crimes**, trafficking (persons/drugs/weapons/illicit goods/services), human trafficking for prostitution/ransom — by person/group acting in concert, singly/jointly, as member/on behalf of syndicate, by violence/threat/intimidation/coercion or other unlawful means for direct/indirect material (incl. financial) benefit = **organised crime**.

Explanations: (i) *syndicate* = 2+ persons acting singly/jointly indulging in continuing unlawful activity; (ii) *continuing unlawful activity* = cognizable offence punishable ≥3 years + >1 charge-sheets filed in preceding 10 years + cognizance taken + includes economic offence;

(iii) *economic offence* = criminal breach of trust, forgery, counterfeiting currency/bank-notes/stamps, hawala, mass-marketing fraud, schemes defrauding several persons, defrauding banks/FIs for monetary benefits.

Key elements: (1) continuing unlawful activity (2) syndicate involvement (3) violence/threat/coercion (or other unlawful means). **Examples (DU):** extortion rackets; drug networks; human trafficking (forced labour/sex/organ trade); cyber syndicates (hacking, identity theft, financial fraud); arms smuggling; debt-family girl → Delhi → brothel → Gulf chain; hawala for elections.

MCOCA §2(1)(e): same three elements; interpreted in *Abhishek v. State of Maharashtra* (2022 LiveLaw SC 516): "other advantage" not restrictive — includes stronghold/supremacy in society/syndicate; actual violence NOT sine qua non — threat/intimidation/coercion suffices. Other states: UPCOCA 2017; Madras HC in *Velu v. State of T.N.* pushed T.N. law (Bill ready, Aug 2021).

3.5 Occupational Crime vs WCC

Basis	White-Collar Crime	Occupational Crime ("workplace crime")
Who	Only upper class	ANY post — peon, clerk, manager, director, minister
Nexus	Status + occupation	Post held on behalf of others (trustee of public/company property); minister/DDA officer = trustee
Examples	Corporate tax fraud; fee-splitting surgeons	Embezzlement (manager siphoning to personal A/c); insider trading; forged checks; kickbacks from suppliers; Ram (DDA) demanding flat from Rahim for plot allotment
Professional variant	—	Physicians/lawyers offending in practice; higher the prestige, costlier to public

D1. Tax Evasion — The Classic White Collar Crime in Practice

MEANING

Tax evasion = non-payment of tax when due by **criminal fraud / violations of law** — deliberate under-statement of income, inflating expenses, false statements, hiding documents, incomplete records, concealment, overstating credits, showing personal expenses as business expenses. Based on **fraud + concealment + non-disclosure**. Punishable under **Chapter XXII, Income-tax Act 1961** (esp. §§276C, 277, 278) + general criminal law (defrauding public revenue, false accounting, forgery, perjury — deception & falsehood as keys).

Tax avoidance = minimising/eliminating bill **legally** — finding loopholes, disclosure-based, legitimate ("whiter than white-collar"). E.g., minor-child deductions, loans vs income, maximising deductions, insurance/electoral-bond/trust donations, negotiated settlement.

Reasons for Evasion + Wanchoo Committee

Reasons: inflation + unemployment (5-member family, 1 earner, educated-unemployed children); high rates + taxing near-poor (EWS ≤₹7,99,999 yet tax from ₹2.5L); rich/politicians evade & defect to ruling party; **biased implementation** by agencies.

WANCHOO COMMITTEE — DIRECT TAXES ENQUIRY (CHAIR: EX-CJI K.N. WANCHOO) — REPORT DEC 1971

Mandate: examine & suggest legal/administrative measures against evasion/avoidance of direct taxes + unearth black money. **Ch.2 holdings:** Para 2.4 — "tax evasion and black money closely & inextricably interlinked; evasion creates black money"; Para 2.12 — evasion defeats government's economic policies & implementation; Para 2.238 — disqualify convicted/penalised evaders from national awards + elected public posts; no sympathy/patronage by govt/public sector.

Legislative fruit: Ch.XIX-A (Settlement of Cases), Income-tax Act — inserted by Taxation Laws (Amendment) Act 1975 — compromise machinery: big evader discloses, disgorges Commission-fixed sum, buys quietus, State recovers arrears fast (Krishna Iyer, J. in *CIT v. B.N. Bhattacharjee*, AIR 1979 SC 1725).

Government Efforts + Why PMLA Excludes Tax Evasion (IJDDT 2026 Paper)

Appreciable efforts: Black Money (Undisclosed Foreign Income & Assets) Act 2015 (w.e.f. 1-7-2015); SIT on Black Money (2 retired SC judges); Panama Leaks — ₹20,078 cr undisclosed credits detected. **Failures (critical DU view):** demonetisation 2016 failed — ₹1000 stopped as hoardable, yet ₹2000 launched "without logic"; biased enforcement.

Raid example (July 2022): Micro Labs Ltd. (Dolo-650 — 350 cr pills since Mar 2020; alleged ₹1000 cr freebies to doctors; ₹400 cr/yr pandemic profit) — IT searches at Bengaluru + distributors; 20 pharma bribers known via RTI, none punished (Down To Earth).

PMLA vs Tax Evasion — 4-Point Exclusion Logic (Bhavya et al., 2026): (1) PMLA targets laundering of proceeds from *serious scheduled/predicate offences* (drugs, terror, corruption) into formal system; tax evasion handled by IT Act 1961 — separate fiscal track. (2) *Proceeds of crime* ≠ mere undisclosed income unless linked to forgery/fraud/conspiracy etc. (3) Over-criminalisation danger: PMLA's reverse burden + twin bail + ECIR secrecy would crush civil liberties if every tax dispute became ML. (4) Constitutionally necessary & practically prudent: regulatory non-compliance ≠ criminal wrongdoing; FATF-aligned yet sovereignty-respecting boundary.

D2. Corporate Fraud — Meaning, Triangle, Types, Laws & Leading Scams

MEANING (WADHWANI & MENON, BHARATI LAW REVIEW 2017, QUOTED P.48)

Fraud *related to corporation*: corporate deliberately changes information to embellish market presence; OR employee with connivance perpetrates fraud via embezzlement/corruption/false expense claims for gain. Based on **deceit + concealment + breach of trust**; deliberate deception of public/investors/stakeholders/FIs. **Part of WCC; hits economy & development.**

Types of Corporate Fraud (4-Fold)

Type	What Happens	DU Example
1. Financial-reporting fraud	Cooked books, inflated profits, hidden liabilities	Satyam (Raju, 7 Jan 2009 — ₹8000 cr investor loss); Enron 2001 → Sarbanes-Oxley Act 2002

Type	What Happens	DU Example
2. Misappropriation (tangible/intangible/ proprietary opportunity)	Diversion of assets, data theft	Harshad Mehta (Apr 1992 — ₹4000 cr bank-to-broker diversion; Sucheta Dalal exposé)
3. Corruption (bribery, gratuities, ML, embezzlement)	Bribes for loans/contracts; siphoning	Mallya (₹9000 cr, 17 banks, influence + bribes; Look-Out Notice dilution; ED attachment); Nirav Modi; Saradha Ponzi; Sahara
4. Corporate espionage	Spying, trade-secret theft	Competitive-intelligence rackets

Who commits? Functional heads mainly, then CEO/CFO — i.e., top management below Board — though compliance certificates signed by directors (Gupta & Gupta).

Laws — The Enforcement Web (Memorise Sections)

Law / Body	Provision / Role
Companies Act, 2013, §447	Punishment for fraud (cognizable + non-bailable via §212(6); see SFIO v Rahul Modi)
§211 — SFIO establishment	Serious Fraud Investigation Office set up vide Notif. SO 2005(E), 21–7–2015
§212 — SFIO investigation	Central Govt. orders probe (§212(1)(c) + LLP Act §43); Inspectors; arrest by Director/Addl./Asst. Director (§212(8)) — no time-limit if conditions satisfied; report to Central Govt. (§212(12)–(14)); time-frame directory, extendable (SFIO v Rahul Modi)
§408 — NCLT	National Company Law Tribunal — adjudication backbone
SEBI	Investigator → supervisor of securities market; rules/notifications to protect investors
Allied: PMLA (attachment), IPC/BNS (cheating/breach), PCA (bribery)	Civil + criminal liability concurrently

DU Suggestions: Banks/FIs must promptly report repayment defaults (even if rescheduled) to MCA + SFIO + EOW + IT for book-scrutiny (fake entries); honest implementation — fugitives (Mallya/Modi) expose weakness.

D3. Health-Care Fraud — Meaning, Kinds, Laws & Cases

MEANING (US DEPARTMENT OF JUSTICE FORMULATION)

When individual/company/organisation/government **knowingly misrepresents type/scope/nature of medical treatment/service** → unauthorised payments or health deterioration. Patients, hospitals, doctors, insurers, governments — all can offend. Fake/substandard pharma market is global; spurious drugs = public-health scandal:473–483, 2019 — "Spurious Drugs Kingpin: Shifting Pills in Chennai"). Lab-made viruses released for business (e.g., COVID-allegation hypothetical) = health-care fraud.

Illustrations (Learn 7 + Indian Overlay)

1. Billing for services not rendered / goods not provided (*Gabbar Is Back* hospital scene)
2. Falsifying certificates of medical necessity; billing for unnecessary services
3. Unbundling — billing separately for single-fee services
4. Falsifying treatment plans/records to justify payments
5. Misrepresenting diagnoses/procedures to maximise payments
6. Misrepresenting charges/entitlements in cost reports
7. Soliciting **kickbacks** for goods/services (Dolo-650: ₹1000 cr freebies; Ayushman Bharat: doctor–patient collusion, double/false billing; insurance: hiding disease/age, impersonation, tangled exclusion clauses)

Laws

Jurisdiction	Law
USA (model code)	False Claims Act + Anti-Kickback Statute + Patient Referral (Stark) Act — Ranbaxy paid under False Claims + cGMP + false-statements heads
India — civil	Contract Act §17 (fraud → voidable; victim sues)
India — criminal	IPC/BNS cheating (§415 IPC — deception + dishonest inducement); no single special health-fraud criminal code; departmental action vs doctors; FSS/Drugs & Cosmetics for adulteration

Prescribed & Landmark Case Law Dossiers — Detailed IRAC Analysis

CASES #01 - #08

CASE #01 — MENS REA / STRICT LIABILITY · LEAD CASE

State of Maharashtra v. Mayer Hans George

AIR 1965 SC 722; 1965 SCR (1) 123 (decided 24 Aug 1964; 3-Judge Bench, Majority 2:1)

DETAILED FACTS

(1) The journey: Mayer Hans George, a German national, boarded a flight at Zurich on **27 Nov 1962** bound for Manila, carrying on his person a specially-tailored jacket with **28 concealed compartments**, of which **19 contained gold slabs of ~1 kg each (≈34 kg total)**. **(2) The halt:** The aircraft had a scheduled stopover at **Santa Cruz Airport, Bombay, on 28 Nov 1962**. Acting on prior intelligence, Customs officers boarded and searched the aircraft **even though George never disembarked**; the jacket was discovered and seized. **(3) The notification:** Shortly before (Nov 1962), the RBI had issued a notification under **§8(1), FERA 1947** prohibiting the bringing of gold into India except with general/special permission; the aircraft manifest carried **no declaration** of the gold. **(4) The charge:** Prosecution under **§8(1) r/w §23(1–A), FERA + §167(8)(i), Sea Customs Act**. George's defence throughout: he was a **mere transit**

passenger with no intention to import, stay, or do business in India; the halt was beyond his control; he had **no knowledge** of the recent Indian notification — hence no *mens rea*.

PROCEDURAL HISTORY

Trial — Presidency Magistrate, Bombay (24 Apr 1963): convicted; **1 year's rigorous imprisonment**; strict reading of FERA + Gazette notice. **Appeal — Bombay High Court (10 Dec 1963): acquitted** — held *mens rea* an essential ingredient; absent guilty intent, no offence. **Supreme Court (24 Aug 1964):** State's appeal; **majority 2:1 allowed the appeal** (majority judgment by Subba Rao, J.; Hidayatullah, J. dissenting).

ISSUES FRAMED

(i) Is *mens rea* an essential ingredient of an offence under **§23(1-A), FERA**? **(ii)** Does a transit halt without disembarkation amount to **"bringing into India"** under §8(1)? **(iii)** Is **ignorance of a recently-published RBI notification** a valid defence? **(iv)** On whom lies the **burden of proving permission** (§24(1))?

STATE'S ARGUMENTS

(1) §23(1-A) is **deliberately silent on intent** — Parliament intended strict liability for forex offences. **(2)** FERA is **economic/welfare legislation** to protect national economic stability; importing *mens rea* would let every smuggler plead ignorance and defeat the Act. **(3) Physical entry** of gold onto Indian soil — even in transit — is "bringing into India"; the statute draws no transit exception. **(4)** Once published in the **Official Gazette, the notification is deemed known to all** (*ignorantia juris non excusat*); actual knowledge need not be proved. **(5) §24(1) expressly places the burden** on the accused to prove permission — a statutory reversal inconsistent with a *mens-rea* requirement. **(6)** Concealment in a custom jacket + non-declaration evidences a **deliberate, sophisticated operation**, not innocent transit.

DEFENCE ARGUMENTS

(1) Criminal law **presumes** *mens rea* (*Sherras v. De Rutzen*); silence does not automatically exclude it — especially for an offence carrying imprisonment. **(2)** Accused was a **through passenger** who never sought entry; "bringing into India" implies **importation/ unloading**, not an involuntary overflight halt. **(3)** The notification was **barely days old and foreign-published**; a transit foreigner cannot be fixed with constructive knowledge consistently with fairness/Art.21 values. **(4)** No **criminal intent, no criminal act** — at most a technical, unintentional presence. **(5)** Strict liability for **imprisonable offences** should be read narrowly; ambiguity must benefit the accused.

DECISION (MAJORITY)

Appeal allowed; acquittal set aside; conviction restored (sentence reduced to period already undergone). Holdings: **(i) Two-part test** for implying *mens rea* — (a) **statutory language** and (b) **legislative purpose/subject-matter**. Here both point to exclusion: §23(1-A) mentions no intent, and FERA's object (forex control, anti-smuggling) demands strict compliance. **(ii)** "Bringing into India" = **physical conveyance onto Indian territory**; no transit exception. **(iii)** Gazette publication = **deemed/constructive notice**; want of actual knowledge is no defence. **(iv)** §24(1) confirms the **reverse burden**. **(v) Sentencing mercy:** given the notification's recency and time already served, substantive sentence cut — but **conviction recorded for deterrence**. **Dissent (Hidayatullah, J.):** *mens rea* should be required, at least via knowledge of the prohibition; conviction of an unknowing transit foreigner is unjust.

Principle Evolved (DU's most-quoted ratio): *"Socio-economic offences under special/welfare enactments are, by reason of their peculiar nature — planned and executed in secrecy by sophisticated means, difficult to detect — made strictly liable, or mens rea is modified: the initial burden lies on the offender to disprove a legal presumption of liability."* This is the **foundation of the PMLA (§24) / NDPS (§§35, 54) / Customs (§123) reverse-burden regime** and the judicial endorsement of 47th LCI Paras 3.17/3.20.

CASE #02 STRICT CONSTRUCTION OF ECONOMIC PROHIBITIONS

Indo-China Steam Navigation Co. Ltd. v. Jasjit Singh, Addl. Collector of Customs

AIR 1964 SC 1140 (decided 3 Feb 1964; Gajendragadkar, CJI)

DETAILED FACTS

The appellant shipping company owned ocean-going vessels plying Asian routes. Customs authorities found that **gold had been smuggled aboard the company's vessel in breach of a prohibition notification issued under §52-A, Sea Customs Act** — a provision empowering prohibition of specified imports/exports in public interest. Confiscation and penalty proceedings were initiated against the vessel/goods. The company pleaded **want of knowledge/connivance**: the owners neither knew of nor authorised the smuggling; the physical carriers were crew-level or third-party operators; a penal/confiscatory provision must be read as importing *mens rea*, and the owners' innocence should protect the vessel. The Customs authorities held the **fact of contravention sufficient**, the prohibition being absolute on its terms.

ISSUES

(i) Where §52-A and the notification are **silent on** *mens rea*, must guilty knowledge be implied? **(ii)** Does the **economic-protection purpose** of the prohibition justify strict construction against the offender?

COMPANY'S ARGUMENTS

(1) Confiscation/penalty is penal in effect — **presumption of** *mens rea* applies (*Sherras*). **(2)** Owners cannot police every act aboard a large vessel; vicarious punishment without fault is unjust. **(3)** Ambiguous prohibitions must be **construed in favour of the subject**.

STATE'S ARGUMENTS

(1) §52-A's language is **absolute and silent** — no knowledge ingredient. **(2)** Legislative intent is to **"put an end to illegal smuggling which rudely disturbs the national economy"** (gold smuggling then a grave international racket). **(3)** Physical carriers are **mere agents of a well-knit organisation**; requiring proof of owners' knowledge would make the prohibition unenforceable.

DECISION

Mens rea **rejected; Customs action upheld.** Gajendragadkar, CJI held: the intention behind §52-A is, *inter alia*, to end smuggling operations conducted on an **international basis by organised operators**; the provision must be **strictly construed** — where the statute is silent, **no** *mens rea* **need be proved** if the object and grave economic effect so demand. The fact of breach attracts liability.

Principle Evolved: Silence + economic-gravity ⇒ strict liability. The precursor-ratio to *M.H. George*: courts look at **objects and terms** and the **subject-matter** — smuggling/forex-type prohibitions exclude guilty knowledge by necessary implication.

CASE #03 — MENS REA UNDER WELFARE STATUTES (ITPA §18)

Chitan J. Vaswani v. State of West Bengal

AIR 1975 SC 2473 (Krishna Iyer, J.)

DETAILED FACTS

The petitioners were connected with premises in West Bengal which the police reported as **being run/used as a brothel** within the **prohibited distance (200 metres/yards) of public places** of the kind specified in §7(1) (places of public religious worship, educational/medical institutions, hostels, hospitals, etc.). The Magistrate, acting on police information under **§18(1)**, issued **show-cause notice** to the owner/occupier, heard them, recorded satisfaction that the premises were being used as a brothel, and passed **eviction + letting-restriction orders**. Separately, convictions under **§§3/7** had been recorded in connected proceedings, attracting **§18(2)**. The petitioners challenged the orders as punitive eviction without proper criminal proof, *mens rea*, and territorial compliance, and questioned whether a §7(2)(a) conviction (keeper knowingly permitting prostitutes — no distance ingredient) could trigger §18(2) at all.

ISSUES

(i) What is the **nature and scope of §18(1)** — is prior prosecution/conviction or *mens rea* needed? **(ii)** What is the **scope of §18(2)** — territorial limits, notice, appealability? **(iii)** Does a conviction under **§7(2)(a)** (no distance ingredient) or **§7(2)(b)** attract §18(2)? **(iv)** What is imported from §18(1) into §18(2)? **(v)** Effect of **§3(3)** (lease void on §3 conviction)?

PETITIONERS' ARGUMENTS

(1) Eviction + letting bar is **punitive** — needs full criminal proof including *mens rea*. **(2)** §18(1) confined **strictly to 200m**; any doubt defeats jurisdiction. **(3)** §18(2) should apply only to **§7(2)(b)** (which contains the distance ingredient), not §7(2)(a). **(4)** Notice principles and appeal rights apply to §18(2) orders as to §18(1).

STATE'S ARGUMENTS

(1) §18(1) is **preventive, summary, moral-hygiene** jurisdiction — "a moral scavenging operation / fumigation process" — needing only information + notice + hearing + satisfaction, **no prosecution**. **(2)** §18(2) is **consequential**: once prostitutional use is proved to conviction standard under §3/§7, cleansing must follow **wherever** the vice operated. **(3)** Wholesome purpose demands **broad construction** covering all §7 convictions. **(4)** *Sub-Divisional Magistrate v. Ram Kali*, AIR 1968 SC 1: §18(1) and §18(2) address **two different classes**.

DECISION (6 HOLDINGS)

(i) §18(1) — summary & preventive, *proprio vigore* **within 200m:** information → 7-day show-cause → hearing → satisfaction → **eviction within 7 days + letting bar (1 year; 3 years if child/minor found on search u/§15)**; **no criminal prosecution/conviction needed**; strictly **not punitive but preventive**; proviso restores **innocent owner/lessor** on proof of innocence (with no-reletting condition). **(ii) §18(2) — on conviction u/§3 or §7:** court **may pass §18(1)-type orders without further notice**; **no 200m limit** — applies to all places of proved prostitutional use. **(iii) §3(3):** conviction voids the lease *w.e.f. conviction* → logical consequence is **expulsion via §18(2)**. **(iv) §7 coverage:** convictions under **§7(1), §7(2)(a) or §7(2)(b)** *all* attract §18(2) — §18(2) says "conviction under §7" without sub-division. **(v) Import:** only the **decretal part (clauses (a)-(b))** of §18(1), not its substantive/territorial paragraph, is abbreviated into §18(2). **(vi) Two classes** (*Ram Kali*): §18(1) = **quick defensive moral sanitation** near sensitive places; §18(2) = **post-conviction extirpation**. *Mens rea* **NOT necessary for §18.**

Principles Evolved: (1) Welfare-preventive tracks can **bypass** *mens rea* **and full criminal proof**. **(2)** Preventive vs consequential jurisdictions must not be conflated. **(3)** Social-legislation purpose justifies **purposive, broad construction**. DU's reform note: add **forfeiture** (NDPS Ch.V-A style) + **reverse burden** for repeaters.

CASE #04 — JUDICIAL CHARACTERISATION OF SOCIO-ECONOMIC CRIMES

Tofan Singh v. State of Tamil Nadu

(2021) 4 SCC 1 (3-Judge Bench: Nariman, Navin Sinha, Indira Banerjee, JJ.; 29 Oct 2020)

DETAILED FACTS

The appellant was intercepted in an NDPS prosecution where the **principal evidence was a confessional statement recorded by narcotics officers under §67, NDPS Act**. He was convicted by the trial court largely on that confession; the conviction raised the recurring question whether officers under the NDPS Act are **"police officers"** for §25, Evidence Act — i.e., whether such confessions are **per se inadmissible**. Given conflicting precedents (*Raj Kumar Karwal v. UoI* line vs Charter-rights concerns), the matter was

referred to a 3-Judge Bench. In resolving it, the Court surveyed the **jurisprudence of socio-economic/white-collar crime** to calibrate procedure and sentencing — producing the paragraph DU prescribes.

ISSUES

(i) Are NDPS officers "police officers" — is a §67 confession admissible? **(ii)** How should **socio-economic/white-collar crimes** be characterised for purposes of procedure, presumptions, and punishment?

STATE'S ARGUMENTS

(1) NDPS officers are **revenue/enforcement officers**, not police — §67 statements admissible. **(2)** Drug-trafficking is a **grave socio-economic crime**; procedural rigour must not defeat enforcement; statutory presumptions (§§35/54) show Parliament's stern intent.

DEFENCE ARGUMENTS

(1) Officers wielding **investigation, search, seizure, arrest** powers are **substantially police** — §25 bar + Art.20(3)/21 safeguards apply. **(2)** Conviction founded **solely on an uncorroborated custodial confession** violates fair-trial guarantees.

DECISION

Held (unanimous on the reference): officers under the NDPS Act ARE "police officers" for §25 — hence **confessions made to them are inadmissible**; the appellant's conviction founded on such material could not stand on that basis. Simultaneously, the Court **reaffirmed the stern substantive characterisation** of socio-economic crimes (Para 210 / Para 50) — extracted below — to guide **presumptions, burden, and sentencing**, while insisting that sternness operates **within constitutional fair-trial boundaries**.

Principle / Passage Evolved: *"Socio-economic crimes such as trafficking in narcotic drugs and psychotropic substances, food adulteration, black marketing, profiteering and hoarding, smuggling, tax evasion and the like, which are 'white collar crimes', affect the health and material welfare of the community as a whole, as against that of an individual victim, and are, by and large, committed not by disadvantaged low-class people, but by very affluent and immensely powerful people, who often exploit the less advantaged to execute their nefarious designs. Such crimes have to be dealt with firmly and cannot be equated with other crimes committed by individual offenders against individual victims."*

CASE #05 CORPORATE FRAUD — SFIO POWERS · PRESCRIBED DU CASE

Serious Fraud Investigation Office v. Rahul Modi

Criminal Appeal Nos. 538-539 of 2019 (decided 27 Mar 2019; Sapre & U.U. Lalit, JJ.) + bail sequel (2022; Nageswara Rao, J.)

DETAILED FACTS (CHRONOLOGY)

(1) Order to investigate (20 Jun 2018): Central Government, in exercise of **§212(1)(c), Companies Act + §§43(2)/(3)(c)(i), LLP Act**, directed SFIO to investigate the affairs of the **Adarsh Group of Companies and LLPs** (entities associated with Rahul Modi, Mukesh Modi and associate Vivek Harivyasi), fixing an initial time-frame (expiring **19 Sep 2018**). **(2) Findings:** SFIO Inspectors unearthed a *prima facie* case of **§447 fraud** — routing/siphoning of funds, shell layers, beneficiary-concealment. **(3) Arrest approval & arrest (10 Dec 2018):** proposal placed before the **Director, SFIO**, who, satisfied under **§212(8) + Arrest Rules**, approved arrest; all three were arrested at New Delhi and produced — Magistrate granted **3 days' SFIO custody till 14 Dec 2018**, recording that though they had appeared on notices, **custodial probe was needed to trace the money-trail and locate beneficiaries**. **(4) Writs & interim bail (18–20 Dec 2018):** Rahul/Mukesh Modi filed writs (+ *habeas*) in Delhi HC alleging the mandate had **expired on 19 Sep 2018**, no extension existed on 10 Dec, so arrest was **without jurisdiction, violating Art.21**; HC granted **interim bail on personal bonds of ₹5 lakh + 2 sureties**. **(5) Extension (14 Dec 2018):** Central Government granted **time-extension** — accused called it **invalid** *ex post facto* **validation**. **(6) SC-2019:** SFIO appealed (SG Tushar Mehta) vs accused (Sibal et al.). **(7) Sequel:** accused surrendered **1 Apr 2019**; P&H HC granted **regular bail (31 May 2019)** on the plea that though the complaint was filed within **60 days**, **cognizance was not taken** within 60 days ⇒ **§167(2) default bail** (*Sanjay Dutt*); SFIO challenged — **SC-2022 set the bail aside** and remanded to custody.

ISSUES

(i) Is the §212 investigation time-frame **mandatory or directory**? Does expiry terminate the mandate and vitiate later arrest? **(ii)** Is *ex post facto* **extension** valid? **(iii)** What is the scope of **§212(8) arrest power** (time-circumscribed?) and **§212(6)** (cognizable + non-bailable)? **(iv)** Maintainability of *habeas* against a remand-backed custody? **(v) [2022]** Does **§167(2) default bail** turn on **filing** or on **taking of cognizance**? What are the **twin bail conditions** under the §212(6) proviso?

SFIO'S ARGUMENTS

(1) §212(3)'s purpose is only to **sanction investigation per Ch.XIV procedure**; **§212(12) prescribes no completion period** — mandate continues **till final report**. **(2)** Time-frame is **administrative/directory** (for expedition), extendable; the Director's arrest-approval itself evidenced continuation. **(3)** Extension of 14 Dec 2018 is **valid and clarificatory**. **(4)** §212(6) makes §447 **cognizable and non-bailable** ⇒ arrest, remand, final-report powers intact; **§212(8) arrest is not time-circumscribed** once its conditions (reasons, approval, necessity) are met. **(5)** Custody was **necessary**: appearances yet evasive; trail + beneficiaries unlocated. **(6) [2022]** Complaint was **filed within 60 days** — cognizance is a **judicial act beyond agency control**; default-bail plea misconceived; **twin conditions** (§212(6) proviso: PP heard + court satisfied of *not guilty + no re-offending*) were ignored; gravity + ongoing probe militate against bail.

ACCUSED'S ARGUMENTS

(1) SFIO is a **special creature** — must act **strictly within its dated mandate**; post-expiry arrest = **without jurisdiction**. **(2)** Extension cannot **retrospectively cure** an Art.21 illegality; vested liberty-rights had accrued in the interregnum. **(3)** *Habeas* lies against patently illegal arrest. **(4) [2022]** *Sanjay Dutt* **line:** indefeasible §167(2) right where cognizance is not taken within 60 days; detention beyond is illegal unless bail unsured.

DECISION

2019 — Appeals allowed; Delhi HC interim-bail order set aside. Holdings: **(i)** Period is **directory**; mandate did **not end on 19 Sep 2018**; arrest of 10 Dec 2018 was **legal and authorised**. **(ii)** Extension of 14 Dec 2018 **valid in any case**. **(iii) §212(8) power exercisable so long as its conditions are satisfied** — no time fetter. **(iv)** §447 is **cognizable + non-bailable** via §212(6). **(v)** *Habeas* **misplaced** — custody flowed from a **judicial remand order**; remedy, if any, was **regular bail** satisfying the twin conditions. **2022 — P&H HC regular bail set aside; accused taken back into custody.** Holdings: **(vi)** §167 clock stops on **filing of the report/complaint**, not on cognizance; **(vii)** twin-conditions + **seriousness + need for uninterrupted probe** disentitled bail at that stage.

Principles Evolved (DU must-learn quartet "D-C-T-F"): (1) Directory time — SFIO mandate runs till final report; extensions valid. **(2) Cognizable + non-bailable** corporate fraud (§447 r/w §212(6)). **(3) Twin bail conditions** — PP heard + *not-guilty* + *no-reoffending* satisfaction. **(4) Filing stops the §167 clock**, not cognizance. Together they make SFIO investigation **continuous, custodial where needed, and bail-rigorous**.

CASE #06 HEALTH-CARE / PHARMA FRAUD · TRANSNATIONAL

United States v. Ranbaxy USA, Inc.

JFM-13-CR-0238 (D. Maryland, plea & settlement 13 May 2013) — $500 Million

DETAILED FACTS

(1) The company: Ranbaxy USA Inc., subsidiary of Indian generic giant **Ranbaxy Laboratories Ltd.** (plants at **Paonta Sahib & Dewas, India**), then among the world's largest generic suppliers to the US. **(2) Manufacturing failures (cGMP):** DoJ/FDA found the plants **failed to conduct proper safety/quality/stability testing**; maintained **inadequate procedures, unvalidated methods, incomplete records** — rendering drugs **"adulterated"** under the FDCA (a status offence: non-compliant manufacture = adulterated, regardless of proven patient harm). **(3) False statements:** knowingly **false annual reports and compliance statements to FDA** concealing deficiencies. **(4) False claims:** adulterated drugs billed to **Medicare, Medicaid, TRICARE, Veterans Affairs** ⇒ False Claims Act exposure. **(5) Backdrop:** whistleblower disclosures (Dinesh Thakur), FDA **import alerts/bans** on Indian plants, consent-decree negotiations. Ranbaxy's first-filer **180-day exclusivity** games (Valcyte/Diovan generics — *Meijer* class action, 2014) compounded distrust.

ISSUES

(i) Criminal liability for **manufacturing/distributing adulterated drugs** (FDCA felonies)? **(ii)** Liability for **knowing false statements to FDA**? **(iii) Civil False-Claims** liability for government-program billings? **(iv)** Quantum and structure of a **global resolution**?

US (DOJ/FDA) ARGUMENTS

(1) Selling adulterated drugs **undermines the integrity of the FDA approval process** and exposes patients to **substandard/ineffective/unsafe** medicines. **(2)** False statements **deceived the regulator** into continued market access. **(3)** Government programs **overpaid for tainted drugs** — treble/damages logic of the False Claims Act. **(4)** Only a **record, deterrent penalty + remediation + exclusion-threat** restores credibility.

COMPANY'S POSITION

(1) Accepted responsibility via **guilty pleas** (remorse/cooperation). **(2)** Committed to **plant remediation, independent oversight, compliance overhaul** (later under acquirer Sun Pharma, $3.2B, 2015). **(3)** Sought a **single global settlement** ending criminal + civil exposure to stabilise supply and investor confidence.

DECISION (PLEA + SETTLEMENT, 13 MAY 2013)

Guilty plea to 3 felony FDCA counts (adulteration/cGMP) + 4 felony false-statement counts; $500M global resolution — then the largest generic-drug safety settlement: $150M criminal fines/forfeitures + $350M civil (False Claims + state laws). Plants subjected to **consent decree, import bans, third-party oversight**; enhanced compliance undertakings; exclusion-debarment leverage retained by regulators.

Principles / DU Lessons: (1) Health-care fraud = **adulteration + false regulatory statements + false claims** — simultaneously **corporate + occupational + socio-economic + WCC**. **(2) Criminal + civil tracks run concurrently** (penalty + disgorgement + debarment). **(3) cGMP breach = adulteration as status** — no need to prove individual patient injury. **(4)** Transnational reach: Indian manufacture ⇒ US criminal process. **Pair cases:** *Kain Kumar* (C.D. Cal., pleaded Apr 2019 — 1 count health-care fraud + 1 count hydrocodone distribution; Jan 2020: **2 yrs + $509,365 restitution + $494,900 forfeiture + $72,000 fine**) for the **physician-side** fraud; Hodges' **"Spurious Drugs Kingpin" (Chennai) + Dolo-650/Micro Labs** (350 cr pills; alleged ₹1,000-cr freebies) for the **Indian parallel**.

CASE #07 ORGANISED CRIME — STATUTORY MEANING

Abhishek v. State of Maharashtra

2022 LiveLaw (SC) 516 (interpretation of §2(1)(e), MCOCA)

DETAILED FACTS

The appellants were booked under MCOCA for offences alleged to constitute **continuing unlawful activity as members/on behalf of an organised crime syndicate**. They sought discharge/quashing, arguing the acts showed **neither actual violence nor a pecuniary/economic motive** — at most rivalry, intimidation, or supremacy-seeking — hence outside §2(1)(e). The High Court rejected the plea, reading "other advantage" broadly. The Supreme Court was asked to settle the **breadth of "other advantage"** and whether **actual use of violence** is a *sine qua non*.

ISSUES

(i) Does **"other advantage"** in §2(1)(e) cover non-pecuniary gains (stronghold, supremacy, fear)? **(ii)** Is **actual violence** essential, or do **threat/intimidation/coercion** suffice?

ACCUSED'S ARGUMENTS

(1) Penal statutes — especially with **stringent bail/confession regimes** — must be **strictly construed**; "other advantage" read *ejusdem generis* with pecuniary/economic gains only. **(2)** Without **actual violence**, ordinary IPC offences cannot be escalated into organised crime.

STATE'S ARGUMENTS

(1) Legislature deliberately added **"other advantage"** to catch syndicate-building gains — **territory, fear, supremacy** — which later convert into money. **(2)** Section lists **"violence OR threat OR intimidation OR coercion OR other unlawful means"** disjunctively — any one suffices. **(3)** Restrictive reading would **defeat MCOCA's purpose** against sophisticated syndicates that outsource violence.

DECISION

State upheld; High Court affirmed. Holdings: **(i)** "Other advantage" **cannot be read restrictively** — must be given **full effect**: advantage "not directly leading to pecuniary benefit but **getting a stronghold or supremacy in society or even in the syndicate itself**" qualifies. **(ii) Actual violence is NOT a** *sine qua non* — threat, intimidation, or coercion, even unexecuted, falls within the mischief where the syndicate/continuity/advantage elements exist.

Principle Evolved: Organised crime = **continuity + syndicate + (violence/threat/intimidation/coercion/unlawful means) + (pecuniary/economic/other advantage)** — each alternative within a limb suffices. Carried forward into **BNS §111** (syndicate = 2+; continuing activity = 3-yr+ cognizable + >1 charge-sheets in 10 yrs + cognizance; economic offence enumerated).

CASE #08 — TAX EVASION — SETTLEMENT AS POLICY

Commissioner of Income-Tax v. B.N. Bhattacharjee

AIR 1979 SC 1725 (Krishna Iyer, J.)

DETAILED FACTS

Following the **Wanchoo Committee (Report Dec 1971)** — which found tax evasion and black money "closely and inextricably interlinked" and evasion "defeating economic policies" — Parliament created a **statutory Settlement Commission**: a "big evader" could make **full disclosure**, accept the **Commission-fixed liability**, **disgorge** it, and earn **immunity/quittance** from penalty/prosecution. In *Bhattacharjee*, the scope, purpose, and validity of this **compromise machinery** came before the Supreme Court: was it a **premium on dishonesty**, or a **pragmatic recovery device**?

ISSUES

(i) What is the **legislative purpose** of Ch. XIX-A? **(ii)** Can disclosure + Commission-fixed disgorgement buy **quittance + immunity**?

REVENUE'S / OBJECTORS' ARGUMENTS

(1) Settlement lets rich evaders **"buy" their way out** cheaper than full liability + prosecution. **(2)** It **dilutes deterrence** and discriminates against honest taxpayers.

ASSESSEES' / POLICY ARGUMENTS

(1) Wanchoo-designed **pragmatism**: certain, swift recovery > uncertain, decades-long litigation. **(2)** Disclosure **unearths networks** and augments the exchequer. **(3)** Deterrence survives for **non-disclosers** (Ch. XXII prosecution + Black Money Act).

DECISION (KRISHNA IYER, J.)

Settlement machinery upheld and purposively expounded: Wanchoo proposed a **"compromise measure of statutory settlement machinery where the big evader could make a disclosure, disgorge what the Commission fixes and thus buy quittance for himself and accelerate recovery of taxes in arrears by the State, although less than what may be fixed after long protracted litigation."** Disclosure must be **full and true**; Commission's fixation + immunity operate **within statutory safeguards**.

Principle Evolved: Tax enforcement = **carrot (settlement/disclosure) + stick (Ch. XXII prosecution, Black Money Act 2015, SIT)**. Settlement is **recovery-pragmatism, not absolution-by-price** — conditional on candour.

PYQ ARCHIVE // CH.01 Previous Year Questions (DU LL.B. Examinations)

Q.1 DU LL.B. 2015 Q.1 Discuss the concept and nature of 'socio-economic offences'. Explain evolution and reasons for development of the same in Indian context.

▸ Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891

Q.2 DU LL.B. 2016/2017 Q.1(a) Discuss the development in the concept of 'socio-economic offences' in India in view of Santhanam Committee Report (1964) and 47th Law Commission Report (1972).

Q.3 DU LL.B. 2017 Q.1(b) + 2019 Q.1(a) 'Every accused shall be presumed innocent till proved guilty' — how far relevant in socio-economic statutes?

Q.4 DU LL.B. 2017 Q.3(a) / 2018 Q.4(a) Distinguish socio-economic offences, white-collar crimes and traditional crimes.

Q.5 DU LL.B. 2018 Q.1(a) Explain the concept and nature of socio-economic offences in light of the 47th Law Commission Report (1972).

Q.6 DU LL.B. 2017 · Q. 1(b) How are the concepts, viz., Mens Rea, Nature of Liability, Burden of Proof and Sentencing Policy applicable in socio-economic offences statutes? Discuss with decided cases.

Q.7 DU LL.B. Examination Distinguish between tax evasion, tax avoidance and tax planning. Examine white-collar criminality in corporate fraud (including SFIO investigation under Section 212 of the Companies Act, 2013) and health-care fraud.

MODULE 02 // Topic 2 · Criminology & Theories Cases #09 – #10

White Collar Criminality, Differential Association Theory & The Fraud Triangle

Edwin H. Sutherland's Concept & 9 Propositions of Differential Association · Donald R. Cressey's Fraud Triangle & Rationalization

Part A: Edwin H. Sutherland's Concept of 'White Collar Criminality'

1. HISTORICAL BACKGROUND & ORIGIN

The term **"White Collar Crime"** was coined by **Edwin H. Sutherland**, a prominent American sociologist and criminologist. He first introduced this concept in his **Presidential Address to the American Sociological Society on December 27, 1939**, and subsequently published it in the article *"White Collar Criminality"* in the **American Sociological Review, Vol. 5(1), February 1940**.

▸ WHY IS SUTHERLAND'S WORK REVOLUTIONARY?

Before Sutherland, it was universally presumed that crime was committed exclusively by the lower class – the poor, the uneducated, the socially disadvantaged. Sutherland's empirical studies shattered this assumption by establishing that **crimes are also committed by the upper class**, and these crimes are far more dangerous to society than street crimes because of the massive financial damage and the erosion of public morals.

The **Law Commission of India (LCI)**, in its **29th Report** (1966) titled "Proposal to include Certain Social and Economic Offences in the Indian Penal Code," at **Para 13** traced the history: *"The problem similar to white-collar crimes had arisen as far back as the 18th Century. The 'South Sea Bubble' led to the Bubble Act of 1720, which may be cited as example of an effort by the Legislature to deal with fraud on a big scale perpetrated by unscrupulous persons. But the varieties of such crimes and their diverse manifestations were seen more acutely after the First World War."*

2. SUTHERLAND'S DEFINITION OF WHITE COLLAR CRIME

Sutherland's Original Definition (1949)
"White Collar Crime means a crime committed by a person of respectability and high social status in the course of his occupation."
— Edwin H. Sutherland (1949 Corporate Study)
Refined Definition (Later formulation)
"A person of the upper socio-economic class who violates the criminal law in the course of his occupational or professional activities."
— Sutherland (later formulation), cited in DU Case Material

TWO ESSENTIAL INGREDIENTS OF WCC (PER SUTHERLAND'S DEFINITION)

The Law Commission of India observed that the **emphasis is on the connection with occupation**. The commission of crime in this category is facilitated by the office, calling, profession or vocation of the individual concerned.

1. **The offender must be a person of respectability and high social status** (upper socio-economic class)
2. **The crime must be committed in the course of his occupation/profession**

WCCs **excludes** crimes like murder, adultery and intoxication, even if committed by people of the upper class, since these have *nothing to do with their occupation*.

3. ARNOLD'S DEFINITION

Arnold defined white-collar criminals as *"persons of the socio-economic class who violates the criminal law in the course of his occupational or professional activities."* He pointed out that white-collar crime was **more dangerous to society** than crimes committed by the members of the lower class, because of the damage inflicted on **public morals**.

4. CLASSIFICATION OF CRIMES: WHITE-COLLAR VS. BLUE-COLLAR

Feature	White-Collar Crime	Blue-Collar Crime
Class	Upper or Middle Class	Underprivileged / Lower Class
Nature	Non-violent, economic, fraud-based	Often violent, physical force
Method	Fraud, deception, breach of trust	Force, theft, physical harm
Detection	Difficult, concealed in organizational routine	Relatively easier to detect
Victim	Society, State, consumers at large	Individual victims
Social Stigma	Often no social sanction	High social stigma
Punishment	Usually fines, rarely imprisonment	Imprisonment common

5. EXAMPLES OF WHITE COLLAR CRIMES (SANTHANAM COMMITTEE)

The **Santhanam Committee (1964)** observed the following examples of white-collar crimes:

- Tax-evasion and avoidance
- Share-pushing, mal-practices in the share market and administration of companies
- Monopolistic controls
- Usury
- Under-invoicing or over-invoicing
- Hoarding

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- Profiteering
- Sub-standard performance of contracts of construction and supply
- Evasion of economic laws
- Bribery and corruption
- Election offences and malpractices

6. FOUR ILLUSTRATIVE EXAMPLES (LCI 47TH REPORT, 1972)

FOUR ILLUSTRATIVE EXAMPLES FROM 47TH REPORT — LAW COMMISSION OF INDIA, 47TH REPORT, PARA 1.8 & 1.9 (1972)

+ EXAMPLE 1 — IS A WHITE COLLAR CRIMINAL
A **manufacturer of drugs** who deliberately supplies sub-standard drug is a white collar criminal. *(This is also a socio-economic offence)*

+ EXAMPLE 2 — IS A WHITE COLLAR CRIMINAL
A **big corporation** which has committed evasion of tax fraudulently is a 'White-collar criminal'. *(This is also a socio-economic offence)*

X EXAMPLE 3 — NOT A WHITE COLLAR CRIMINAL
A person who illegally smuggles (for his personal use) costly television sets is **NOT** a white collar criminal — there being **no connection between his occupation and the crime** committed by him. *(It is only a socio-economic offence)*

EXAMPLE 4 — NOT A WHITE COLLAR CRIMINAL
A **pensioner** who submits a false returns of income is **NOT** a white collar criminal. *(But it is a socio-economic offence)*

▸ KEY INSIGHT
Every White Collar Crime IS a Socio-Economic Offence, but every Socio-Economic Offence is NOT a White Collar Crime. Socio-economic offences constitute the wider genus; white collar crimes form a narrower species within it. The two could be represented as **intersecting circles**.

7. SALIENT FEATURES OF SOCIO-ECONOMIC OFFENCES (47TH REPORT, PARA 1.4)

1. **Motive** – The motive of the criminal is *avarice* (extreme greed for wealth) or *rapaciousness* (excessive desire to acquire money) — **not lust or hate**.
2. **Background is non-emotional** – Unlike murder, rape, defamation etc., there is no emotional reaction as between the victim and the offender.
3. **Victims at large** – The victim is usually the State or a section of the public. Even where there is an individual victim, the more important element of the offence is **harm to society**.
4. **Fraud** – The mode of operation of the offender is **fraud, not force**.
5. **Wilful** – Usually, the act is deliberate and wilful.
6. **Interest protected is two-fold**:
   - Social interest in preservation of property/wealth/health of individual members and national resources, and the general economic system from exploitation or waste
   - Social interest in augmentation of wealth of the country by enforcing laws relating to taxes, duties, foreign exchange, foreign commerce, industries

8. DIFFERENCES: SOCIO-ECONOMIC OFFENCES VS. TRADITIONAL OFFENCES

Grounds	Socio-Economic Offences	Traditional Offences
History	New concept. Origin in 18th Century (29th Report, LCI)	Old concept
Mens Rea	Persons convicted **even without mens rea** (Strict Liability)	Actus non facit reum, nisi mens sit rea strictly followed
Presumption	**Presumption of guilt** (Sec 35 & 54, NDPS; Sec 24, PMLA)	Presumption of innocence (Malimath Committee)
Burden of Proof	**Burden on accused** (Sec 68J NDPS; Sec 24 PMLA)	Burden on prosecutor
Victim	Whole nation / mass level; damages national economy	Individual or group
Heat of Passion	Committed with **cool mind** and calculation (Gujarat v. Mohanlal Porwal)	May be with cool mind OR heat of passion
Mode of Operation	**Fraud, not force** (47th Report)	Generally force
Motive	Avarice or rapaciousness (not lust or hate)	Lust or hate
Liability	Strict / Absolute liability	As provided under statute
Stigma	No social stigma as such	Disgrace, depravity, immorality

9. SOCIO-ECONOMIC OFFENCES AND MENS REA

The cardinal principle of criminal law is **"Actus non facit reum, nisi mens sit rea"** — the act does not make a person guilty unless the mind is also guilty. However, in socio-economic offences, this principle is **modified or excluded**.

! 47TH REPORT, LCI – TWO KEY RECOMMENDATIONS ON MENS REA (PARA 3.17, 3.20)
1. Socio-economic offences must be **treated differently from traditional crime**. In such offences, mens rea should **not be required**.

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2. The **burden of disproving mens rea should lie over the accused**.

Key Statutes where Mens Rea requirement was rejected:

- **The Sea Customs Act, 1878** — *Indo-China Steam Navigation Co. Ltd. v. Jasjit Singh* (1964)
- **The Foreign Exchange and Regulation Act, 1947** — *State of Maharashtra v. M.H. George* (1965)
- **The Immoral Traffic Prevention Act, 1956** — *Chitan J. Vaswani v. State of West Bengal* (1975)
- **The Essential Commodities Act, 1955** — *State of M.P. v. Narayan Singh* (1989)
- **The Prevention of Money-Laundering Act, 2002** — *Ramaraju v. Union of India* (2011)

10. WHY WHITE COLLAR CRIMES ARE MORE DANGEROUS

Sutherland pointed out that a white collar crime is **more harmful than ordinary crimes** because:

- The **financial loss to society** from white collar crime is far greater than the financial loss from traditional crimes
- They cause **irreparable damage to public morals**
- Those who administer justice spare the well-off and influential by postulating that many such offences are "victimless"
- Offenders are not treated as "real criminals"
- Offences are of a non-violent nature
- Mere implication of a person of high status is considered sufficient punishment (loss of status, professional license)
- Imposition of jail sentence is rare
- Typical **concealment of offences within organizational routine** makes detection difficult
- Until the 20th century, corporations were immune from criminal liability

11. CRITICISM OF SUTHERLAND'S CONCEPT

- Sutherland's definition is considered **too narrow** — it requires BOTH conditions to be satisfied: (1) person must have respectability and high social status, AND (2) crime must be in course of occupation. Difficulty arises when only one condition is satisfied.
- **Tappan** criticized that only legally convicted acts should count as crime, excluding regulatory violations
- The definition doesn't adequately address corporate/organizational crime vs. individual crime
- Difficulty in prosecution because of the social status and influence of the offenders

Part B: The Theory of Differential Association by Edwin H. Sutherland

1. INTRODUCTION

Differential Association Theory was propounded by **Edwin Sutherland**. He was searching for *how* a person becomes a criminal. According to him, when a person associates with other criminals, he learns values, attitudes, techniques and motives for criminal behaviour and becomes a criminal.

CORE FOCUS

His main focus was on **HOW** a person becomes a criminal. He did **NOT** discuss **WHY** a person becomes a criminal. This theory is also known as the **"Learning Theory of Deviance"**.

The theory was first made implicit by Edwin H. Sutherland in 1939 and refined into its final nine-proposition form in 1947.

2. CENTRAL PREDICTION

Core Prediction of Differential Association
"An individual will choose the criminal path when the balance of definitions for law-breaking exceeds those for law-abiding."
In other words: A person becomes delinquent because of an **excess of definitions favorable to violation of law** over definitions unfavorable to violation of law.

3. NINE PRINCIPLES OF DIFFERENTIAL ASSOCIATION THEORY

THE NINE PROPOSITIONS — SUTHERLAND'S CRIMINOLOGICAL ANALYSIS (1947 FINAL FORMULATION)

PRINCIPLE 1 — LEARNED BEHAVIOUR

Criminal behaviour is **learned** from other individuals. It is not inherited or biologically determined.

PRINCIPLE 2 — COMMUNICATION PROCESS

Criminal behaviour is learned in **interaction with other persons in a process of communication**. This communication may be verbal or non-verbal.

PRINCIPLE 3 — INTIMATE PERSONAL GROUPS

The **principal part** of the learning of criminal behaviour occurs within **intimate personal groups** (family, close friends, peer groups). The impersonal agencies of communication (media) play a relatively unimportant role.

PRINCIPLE 4 — CONTENT OF LEARNING

When criminal behaviour is learned, the learning includes:
(a) **Techniques** of committing the crime — sometimes very complicated, sometimes simple;
(b) The specific direction of **motives, drives, rationalizations, and attitudes**.

PRINCIPLE 5 — LEGAL CODES AS DEFINITIONS

The specific direction of motives and drives is learned from **definitions of the legal codes as favorable or unfavorable**. A person learns whether the law is something to respect or to violate.

PRINCIPLE 6 — EXCESS OF DEFINITIONS (THE CENTRAL PRINCIPLE)

by Ankur R. Upadhyay

A person becomes delinquent because of an **EXCESS of definitions favorable to violation of law over definitions unfavorable to violation of the law**.

PRINCIPLE 7 — VARIATION IN ASSOCIATIONS

Differential associations may vary in:
- **Frequency** — how often one associates with criminal patterns
- **Duration** — how long the associations last
- **Priority** — whether associations occur early in life (childhood)
- **Intensity** — the prestige of the source and emotional reactions

PRINCIPLE 8 — SAME LEARNING MECHANISMS

The process of learning criminal behaviour by association with criminal and anti-criminal patterns involves **all of the mechanisms that are involved in any other learning**.

PRINCIPLE 9 — GENERAL NEEDS & VALUES

While criminal behaviour is an expression of general needs and values, it is **not explained by those needs and values**, since non-criminal behaviour is an expression of the same needs and values. (A thief steals for money; a businessman works for money — same need, different expression.)

4. CONTRIBUTION OF THIS THEORY

CULTURAL CONNECTION

This theory is based on the Hindi proverb: "[illegible], [illegible]" (Company makes or breaks character). The role of the **Peer Group** in commission of crime has been emphasized. Parents should always take care of their children — with whom babies are living and playing.

The theory was supported by **James Short Jr.** on the basis of his study of 176 school children (126 boys and girls) in 1955.

5. CRITICISM OF THE THEORY

1. **Ignorance of personality factors** — *Tappan* criticized the theory for ignoring the role of personality, biological and psychological factors.
2. **Origin of criminality unexplained** — He failed to explain the *origin* of criminality, since criminality has to exist before it can be learned from someone else. (Who was the first criminal?)
3. **Systematic vs. Situational crime** — *Elliot* explained that Sutherland explained systematic crimes but failed to discuss situational crime.
4. **Doesn't explain "why"** — He did not discuss WHY a person becomes a criminal; only HOW.
5. **Individual strength ignored** — Some persons may be so strong-willed that outer criminal associations cannot affect their life. The theory assumes everyone is equally influenced by associations.

6. APPLICATION TO WHITE COLLAR CRIMES

Sutherland, through his Differential Association Theory, explained how **white collar crimes** are learned:

- White collar criminals are **seldom recruited from juvenile delinquents**
- A young man with idealism is **inducted into white collar crime** as part of learning practical business
- He is **ordered by managers** to do things which he regards as unethical or illegal
- He learns from colleagues **specific techniques** of violating the law
- He develops a **general ideology** — transmitted through phrases like "We are not in business for our health", "Business is business", "No business was ever built on the beatitudes"
- These generalizations assist the neophyte in business to **accept illegal practices** and provide **rationalizations** for them

Part C: Rationalization of White Collar Crimes — Fraud Triangle by Donald Cressey

1. BACKGROUND & RESEARCH METHODOLOGY

Donald R. Cressey, a student of Sutherland, conducted his doctoral research on **embezzlers** whom he called *"trust violators."* Embezzlement is an **occupational crime** (also known as 'workplace crime').

Cressey arranged for permission to **visit prisons in the Midwest** and eventually interviewed about **200 incarcerated inmates**. He was especially interested in the circumstances that led them to be overcome by temptation. He **excluded** from his research those employees who took their jobs *for the purpose of stealing* — a relatively minor number of offenders.

His 1953 empirical study examined the social psychology of embezzlement and criminal violation of financial trust.

2. SHAREABLE VS. NON-SHAREABLE FINANCIAL PROBLEMS

Cressey divided financial problems into two categories:

▸ **SHAREABLE FINANCIAL NEED**

Problems that a person **can share** with others — business associates, family, friends. For example, a failing bank might be considered a problem to be shared with the community.

NON-SHAREABLE FINANCIAL NEED

Problems that a person feels **must be kept secret**. The same failing bank could be defined by one person as non-sharable. A man could lose money at the race track daily but define it as a problem that must be kept private. **It depends upon the capacity and circumstances of the individual**.

▸ CRESSEY'S KEY INSIGHT

"Thus a man could lose considerable money at the race track daily but the loss, even if it constituted a problem for the individual, might not constitute a *non-sharable* problem for him. Another man might define the problem as one which must be kept secret and private."

3. CRESSEY'S HYPOTHESIS (THREE PARTS)

The Proven Hypothesis
"Trusted persons become trust violators when they:

(1) Conceive of themselves as having a **financial problem**,
(2) The financial problem is **non-shareable**, and
(3) The offender believes that he can solve the problem **secretly by using his position**."

This hypothesis was found **TRUE** — i.e., a proved hypothesis.

4. THE FRAUD TRIANGLE — THREE COMPONENTS

LEG 1: PRESSURE (NON-SHAREABLE FINANCIAL NEED)

The accused commits the crime because of a **financial need that cannot be shared** with others. This is the driving force. Without this pressure, even with opportunity and rationalization, the crime may not occur.

LEG 2: OPPORTUNITY

There must be a **perceived opportunity** to commit the crime — a position of trust, access to funds, ability to conceal the act. The offender believes he can solve the problem *secretly* using his position.

LEG 3: RATIONALIZATION

Rationalization (justification) for the commission of crime is *sine qua non* (absolutely essential). Many times the **hedonism principle** is followed — if there is more pleasure, he will commit the crime. The offender convinces himself that what he is doing is not really wrong.

5. SIX CATEGORIES OF NON-SHAREABLE PROBLEMS

Cressey divided non-sharable problems into six categories:

1. **Violation of ascribed obligations (Unable to pay debts)** — When persons incur debts or become financially obligated as a result of violation of the obligations ascribed to the role of trusted person, they consider these debts must be kept secret. Meeting them becomes a non-sharable financial problem.
2. **Problems resulting from personal failure** — Financial problems arising due to misguidance or poorly planned activities. The person fears loss of status due to "own bad judgment" or "own fault" or "own stupidity."
3. **Business reversals** — Financial reverses coming from conditions beyond one's control: inflation, high interest rates, raising capital. The CORONA period is a glaring example of business reversals.
4. **Physical Isolation** — The person in financial straits is isolated from people who can help. It's not that he is afraid to share — he has *no one* with whom to share. He wants to share the problem, but no one is there to listen.
5. **Status Gaining** — Living beyond one's means or spending lavishly to maintain a false image (making "Bhaukal"). If your condition has changed, you should have also changed your lavish lifestyle. There is no need to commit fraud for showing off.
6. **Employer–Employee Relations** — An employed person who resents his status within the organization. The resentment can come from perceived economic inequities (pay), or feeling overworked or underappreciated. The problem becomes non-sharable when the individual believes that making suggestions will threaten his status. There is also a strong motivator to seek revenge when feeling ill-treated.

6. WHY DID THEY NOT COMMIT THE OFFENCE PREVIOUSLY?

When Cressey asked his subjects why they had not embezzled before, their responses fell into **three categories**:

RESPONSE 1

"There was no need for it like there was this time."

RESPONSE 2

"The idea never entered my head."

RESPONSE 3

"I thought it was dishonest then, but this time it did not seem dishonest at first."

7. PRACTICAL APPLICATION: VIJAY MALLYA EXAMPLE

Applying the Fraud Triangle
Vijay Mallya is the best example cited in the DU material:

Pressure: Massive financial debts from Kingfisher Airlines that became non-sharable
Opportunity: Position as chairman of a publicly listed company with access to bank loans
Rationalization: He rationalized himself and *ran away* after committing the crime, believing the business failure was not entirely his fault

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Prescribed & Landmark Case Law Dossiers — Detailed IRAC Analysis

CASES #09 - #10

CASE #09 — BURDEN OF PROOF + SENTENCING FOR WCC

State of Gujarat v. Mohanlal Jitamalji Porwal

AIR 1987 SC 1321 (decided 26 Mar 1987; Thakkar, J.)

DETAILED FACTS

The Customs Superintendent (PW-1), acting on **prior intelligence**, intercepted the respondents and seized a **heavy chain with a mercury coating giving it the appearance of silver**. On-the-spot, an experienced **goldsmith opined it was pure (primary) gold** — a classic smugglers' disguise. PW-1 recorded **"reasonable belief"** under §123 that the chain was smuggled gold, shifting the statutory burden to the accused to prove licit import/possession. The defence claimed it was a **worn ornament** (hence personal jewellery, not primary gold) and that the officer's belief was subjective. **Trial Magistrate acquitted** — going so far as to record *"I have seen the seized gold chain myself in court. It cannot be called unfinished... It is an ornament"* — **effectively making himself a defence witness** — and viewing the officer's belief through a "legal microscope with an over-indulgent eye which sees no evil". The State's **§391 CrPC application** (to fill a curable evidentiary gap by examining the goldsmith properly) was rejected; the **High Court affirmed** the acquittal.

ISSUES

(i) What is the standard for judging an officer's **"reasonable belief"** under §123, and what is the **effect on burden of proof**? **(ii)** Was the chain **primary gold vs ornament**? **(iii)** Was rejection of **§391 additional evidence** justified? **(iv)** What is the **judicial attitude** required toward economic offenders at trial and sentencing?

STATE'S ARGUMENTS

(1) Three convergent circumstances — **intel + deceptive coating + expert on-spot opinion** — would arouse suspicion in *anyone*, "much less an experienced officer"; belief must be viewed from the **officer's experienced eye**, not a legal microscope. **(2)** Once belief is *prima facie* justified, **§123 shifts the onus to the accused**; lower courts illegally shifted it back. **(3)** The ornament theory is **absurd on common sense**: one may coat silver to look like gold, but **"no one would ordinarily take the trouble and incur expenditure to coat gold to look like silver"** — unless concealing smuggling. **(4)** §391 exists precisely to do **"full and true justice"**; curable gaps should not sink grave economic prosecutions.

DEFENCE ARGUMENTS

(1) Chain was **worn as ornament** for ostentation — personal effect, not contraband. **(2)** Officer's belief was **subjective hunch**; prosecution must independently prove smuggling beyond reasonable doubt. **(3)** §391 cannot be used to **fill deliberate lacunae** of a failed prosecution.

DECISION

Appeals allowed; acquittals set aside; SC's celebrated strictures recorded. Holdings: **(i)** Officer's belief was *prima facie* justified on the triple circumstances; courts must **defer to the specialised, experienced eye**. **(ii)** Trial court committed **impropriety in making itself a defence witness** and adopting an **"over-indulgent attitude"**. **(iii)** High Court was **"altogether unjustified"** in rejecting §391 — the application should have been granted to do full and true justice. **(iv) Judicial philosophy:** economic/white-collar crime is committed with a **cool mind and calculation for personal profit regardless of consequences to the community**; **"a disregard for the interest of the community can be manifested only at the cost of forfeiting the trust and faith of the community in the system to administer justice in an even-handed manner, without fear of criticism from quarters which view white-collar crimes with a permissive eye, unmindful of the damage done to the national economy and national interest."**

Principles Evolved: (1) §123: **justified belief ⇒ reverse burden** — foundational for all reverse-burden provisions. **(2) Deference to specialised enforcement eye**. **(3)** WCC = **cool calculation** (vs heat-of-passion). **(4)** Courts must **never view economic offenders with a permissive eye** — the locus classicus for deterrent sentencing.

CASE #10 — DU LL.B. PRESCRIBED AUTHORITY

Noormohmed Jamalbhai Latiwala v. State of Gujarat

Gujarat High Court | Date: March 25, 2004

FACTS

This case involved **white collar crimes in the field of cooperative banking** in Gujarat. The accused were involved in fraudulent activities in the cooperative banking sector that adversely affected the economic conditions of the public at large and particularly the class of depositors whose life savings were deposited in these institutions.

DECISION & KEY OBSERVATIONS

The Gujarat High Court observed: *"Unfortunately in the last few years, the country has seen an alarming rise in white-collar crimes which has affected the fibre of the country's economic structure. These cases are nothing but private gain at the cost of public, and lead to economic disaster. In the present case also, if not national interest, but in view of the rampant white collar crimes in the field of cooperative banking business of the State, it can hardly be denied that it has adversely affected the economic conditions of the public at large in general and the class of depositors in particular whose life saving money is either deposited or whose livelihood is dependent on the income of interest."*

▸ PRINCIPLE EVOLVED

White collar crimes in the banking sector constitute a direct attack on the **economic fibre of the nation**. They represent *"private gain at the cost of public"* and lead to economic disaster. The investigation of such crimes must be conducted by highly trained investigating officers well conversant with the system. Such offences involve crores of rupees.

Hypothetical Visual — The Banking Fraud
A respected bank manager, Noormohmed, sits in his air-conditioned office. Behind him, certificates of appreciation line the walls. Depositors — small shopkeepers, retired teachers, daily wage earners — trust him with their life savings. He approves fake loans, creates shell accounts, and siphons crores. The depositors never know until one day, the bank doors are locked. Their life savings — gone. This is white collar crime: committed with a pen, not a gun; with a signature, not a knife.

PYQ ARCHIVE // CH.02 **Previous Year Questions (DU LL.B. Examinations)**

Q.1 DU LL.B 2019 · Question 3(a) Explain the concept of white collar crimes in the light of 'Differential Association Theory'.

▸ **Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891**

Q.2 DU LL.B 2020 · Question 2 Sutherland asserts that in an area where the delinquency rate is high, a boy who is sociable, gregarious, active, and athletic is very likely to come in contact with other boys in the neighbourhood, learn delinquent behaviour from them and become a gangster; the psychopathic boy who is isolated, introverted and inert may remain at home, not become acquainted with other boys in the neighbourhood, and not become delinquent." Do you agree with the instance stated by Sutherland? Support your answer based on the differential association theory.

Q.3 DU LL.B. Examination Critically examine Edwin H. Sutherland's concept of 'White Collar Criminality' (1939/1949) and evaluate Paul Tappan's legalistic critique of Sutherland's definition.

Q.4 DU LL.B. Examination Enumerate the nine propositions of Sutherland's Differential Association Theory and explain how white-collar crime is learned in occupational and corporate sub-cultures.

Q.5 DU LL.B. Examination Discuss Donald R. Cressey's 'Fraud Triangle' hypothesis — non-shareable financial pressure, perceived opportunity, and rationalization — in explaining embezzlement and violation of financial trust.

PART II // MODULES 03 TO 04 · CASES #11 TO #20

PUBLIC HEALTH & NARCOTICS REGULATION: FSS ACT, 2006 & NDPS ACT, 1985

MODULE 03 // Topic 3 · FSS Act, 2006 Cases #11 – #14

The Food Safety and Standards Act, 2006: Authorities, Officers, Analysis & Offences

FSS Act, 2006: Ss. 3 (Definitions), 4-17 (FSSAI), 18 (General Principles), 29-31 (Licensing), 37-42 (FSO & Purchaser), 45 & 48-67

Introduction, Object & Constitutional Foundation

The **Food Safety and Standards Act, 2006 (FSS Act)** is a comprehensive, consolidated and integrated law that replaced a fragmented multi-departmental regime of food regulation in India. It was published in the Official Gazette on **23 August 2006**; its provisions were brought into force on different dates by different notifications. It extends to the **whole of India**, including the Union Territories of Jammu & Kashmir and Ladakh.

§ The Preamble

"An Act to consolidate the laws relating to food and to establish the Food Safety and Standards Authority of India for laying down science-based standards for articles of food and to regulate their manufacture, storage, distribution, sale and import, to ensure availability of safe and wholesome food for human consumption and for matters connected therewith or incidental thereto."

What it repeals (Second Schedule → S.97)

- The Prevention of Food Adulteration Act, 1954
- Fruit Products Order, 1955
- Meat Food Products Order, 1973
- Vegetable Oil Products (Control) Order, 1947
- Edible Oils Packaging (Regulation) Order, 1998
- Solvent Extracted Oil, De-oiled Meal & Edible Flour (Control) Order, 1967
- Milk and Milk Products Order, 1992
- Any other order under the Essential Commodities Act, 1955 relating to food

Constitutional & International Framework

Constitutional Provisions

- **Article 21** — Right to life & personal liberty (safe food = necessary concomitant of life).
- **Article 39(a)** — Directive: adequate means of livelihood / nutrition.
- **Article 47** — Duty of State to raise the level of nutrition, standard of living and improve public health.

International Instruments

- **UDHR, 1948** — Article 25 (right to adequate standard of living).
- **ICESCR, 1966** — Article 11 (right to adequate food).
- **Convention on the Rights of the Child, 1989** — Article 24.
- **Codex Alimentarius Commission** (FAO/WHO) & WTO **SPS Agreement** — international food-safety norms.

Related Penal Law

- **Section 272, IPC** — adulteration of food/drink intended for sale.
- **Section 273, IPC** — sale of noxious food/drink.
- **Law Commission Report No. 264 (2017)** — recommended amending Ss. 272-273 IPC (submitted in light of *Swami Achyutanand Tirth*).

- **Entry 18, List III (Concurrent List)** — "Adulteration of foodstuffs and other goods" — legislative competence.

▸ REASONS FOR ENACTMENT (LCI REPORT 264, PARA 4.1–4.2)

There were numerous pre-constitutional and post-constitutional laws, orders and rules on food safety that complemented and supplemented each other — but because of **multiplicity of specifications/standards** and administration by different departments/ agencies, there were implementation problems and safety standards lost importance over time. The FSS Act therefore established a **single reference point** and moved from **multi-level, multi-departmental control to a single line of command**.

Salient Features of the Act

+ Movement to an integrated line of command

From multi-level, multi-departmental control to a single integrated command (FSSAI).

+ Self-compliance regime

Shift from a purely regulatory regime to **self-compliance through Food Safety Management Systems**.

+ Responsibility on Food Business Operators

FBOs must ensure food processed, manufactured, imported or distributed complies with domestic food laws.

+ Graded penalties

Graded penalties according to gravity of offence — **civil penalties for minor offences; punishment for serious violations**.

KEY STATUTORY FACTS

- The Act contains **101 sections and two Schedules**.
- **First Schedule** → relates to S.5(1)(e); divides States/UTs into five zones (for rotation of State-representative members).
- **Second Schedule** → relates to S.97 (Repeal & Saving).
- The Central Government issued the **Food Safety and Standards Rules, 2011** under the Act.

Definitions (Section 3)

The FSS Act, 2006 is an **interpretation-heavy statute**. Its definitions are wider, more inclusive and more "pervasive" than the corresponding definitions in the repealed Prevention of Food Adulteration Act, 1954 — a difference repeatedly emphasised by the courts in the decided cases.

A. "Food" — Section 3(1)(j)

The definition of "food" is the most important definition in the Act. It has **three parts** — (1) the main clause, (2) the inclusion clause, and (3) the exclusion clause.

"food" means any substance, whether processed, partially processed or unprocessed, which is intended for human consumption, and includes primary food to the extent defined in clause (zk), genetically modified or engineered food or food containing such ingredients, infant food, packaged drinking water, alcoholic drink, chewing gum, and any substance, including water used into the food during its manufacture, preparation or treatment — but does not include any animal feed, live animals unless they are prepared or processed for placing on the market for human consumption, plants prior to harvesting, drugs and medicinal products, cosmetics, narcotic or psychotropic substances.

(1) Main clause

Any substance — **processed, partially processed or unprocessed** — **intended for human consumption**.

(2) Includes…

- Primary food [to extent defined in cl.(zk)]
- Genetically modified / engineered food
- Infant food
- Packaged drinking water
- Alcoholic drink
- Chewing gum
- Any substance incl. water used in manufacture/preparation/treatment

(3) But does not include…

- Animal feed
- Live animals (unless prepared/ processed for human market)
- Plants prior to harvesting
- Drugs & medicinal products
- Cosmetics
- Narcotic / psychotropic substances

▸ PROVISO TO S.3(1)(J)

The Central Government may, by notification in the Official Gazette, declare any **other article** as food for the purposes of the Act, having regard to its use, nature, substance or quality.

Related definition — "Primary Food", S.3(1)(zk)

"primary food" means an article of food, being a produce of agriculture or horticulture or animal husbandry and dairying or aquaculture in its natural form, resulting from the growing, raising, cultivation, picking, harvesting, collection or catching in the hands of a person other than a farmer or fisherman.

Related definition — "Food Safety", S.3(1)(q)

"food safety" means assurance that food is acceptable for human consumption according to its intended use.

§ HOW THE COURTS READ THE DEFINITION OF "FOOD" (DECIDED CASES)

Pyarali K. Tejani v. Mahadeo Ramchandra Dange (1974): "…the word food is a very general term and applies to all that is eaten by man for nourishment and takes in subsidiaries. Is *supari* eaten with relish by man for taste and nourishment? It is." And so it is food.

State of T.N. v. R. Krishnamurthy (1980): To be "food", an article need not be **fit** for consumption, nor described as intended for consumption — it is enough if it is **generally or commonly used** for human consumption or in preparation of human food.

Bishan Das Mehta v. UoI (1970, Del HC): It is not essential that the article be consumed as such — if it **enters into the composition/**

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preparation of human food (e.g., *katha* used in *paan*), it is food. The definition is worded very widely.

Ramlal v. State of Rajasthan (2001): An article which is food does not lose its character as food merely because it is also used or sold for other purposes (e.g., camel's milk).

B. "Adulterant" — Section 3(1)(a)

"adulterant" means any material which is or could be employed for making the food unsafe or sub-standard or misbranded or containing extraneous matter.
The definition is **purpose-linked** — it connects the "adulterant" to four categories of offending food, each with its own definition and penalty:

C. "Contaminant" — Section 3(1)(g)

"contaminant" means any substance, whether or not added to food, but which is present in such food as a result of the production (including operations carried out in crop husbandry, animal husbandry or veterinary medicine), manufacture, processing, preparation, treatment, packing, packaging, transport or holding of such food or as a result of environmental contamination — and does not include insect fragments, rodent hairs and other extraneous matter.

KEY POINTS ON "CONTAMINANT"
- It is present **whether or not added** — i.e., it need not be intentionally added.
- It arises from **production, manufacture, processing, packing, transport, holding**, or from **environmental contamination**.
- It **excludes** insect fragments, rodent hairs and extraneous matter (which are separately covered by S.3(i) "extraneous matter").

Contaminant standards — FSS (Contaminants, Toxins & Residues) Regulations, 2011

These Regulations (made under S.92 read with Ss.20–21) prescribe maximum limits of metal contaminants, crop contaminants, toxins and residues. Regulation 2.1.1 prescribes metal contaminant limits (per million / mg/kg or mg/L):

Extract — Metal Contaminant limits (Regulation 2.1.1, C-T-R Regulations 2011)

Metal contaminant	Article of food	Parts per Million (mg/kg or mg/L)
Lead (Sr. No. 1)	Concentrates used in manufacture of soft drinks, lime juice & lemon juice	2.0
	Foods not specified (residuary entry)	**2.5**

! WHY THIS TABLE MATTERED IN THE NESTLÉ / MAGGI CASE
The Bombay High Court held that for "foods not specified" (which included proprietary food like Maggi noodles), the permissible limit of **lead is 2.5 ppm**. The Food Authority could not invent its own, lower limit for proprietary food — the Regulations (approved by Parliament) are binding.

Crop Contaminant — (C-T-R Regulations 2011, Reg. 1.2.1)

"Crop contaminant" means any substance not intentionally added to food, but which gets added to articles of food in the process of their production (including operations carried out in crop husbandry, animal husbandry and veterinary medicine), manufacture, processing, preparation, treatment, packing, packaging, transport or holding of such food as a result of environmental contamination.

D. "Food Business" (S.3(1)(n)) and "Food Business Operator" (S.3(1)(o))

Food Business — S.3(1)(n)

"food business" means **any undertaking, whether for profit or not and whether public or private**, carrying out any of the activities related to **any stage of manufacture, processing, packaging, storage, transportation, distribution of food, import** and includes **food services, catering services, sale of food or food ingredients**.

> Note the deliberate breadth — "whether for profit or not" and "whether public or private" bring charitable, NGO, temple and household-scale food ventures within the net.

Food Business Operator (FBO) — S.3(1)(o)

"food business operator", in relation to food business, means **a person by whom the business is carried on or owned** and **is responsible for ensuring the compliance** of this Act, rules and regulations made thereunder.

> The FBO is the central duty-holder — the Act imposes primary responsibility for food-safety compliance squarely on the FBO.

E. "Misbranded Food" — Section 3(1)(zf)

The definition operates through **three limbs (A), (B) and (C)**:

Limb (A) — Misrepresentation / deceptive selling

An article is misbranded if it is **purported, or represented to be, or is being** —
- (i) **offered or promoted for sale with false, misleading or deceptive claims** either (a) upon the label of the package, or (b) through advertisement; or
- (ii) **sold by a name which belongs to another article of food**; or
- (iii) **offered or promoted for sale under the name of a fictitious individual or company** as the manufacturer or producer borne on the package/label.

Limb (B) — Deceptive packaging by a manufacturer/producer

Where the article is sold in packages sealed/prepared by or at the instance of the manufacturer or producer bearing his name and address, but —
- (i) the article is an **imitation of, or substitute for, or resembles in a manner likely to deceive** another article of food, and is **not plainly and conspicuously labelled** so as to indicate its true character; or
- (ii) the package/label bears any **false or misleading statement, design or device** regarding ingredients or substances, or is otherwise deceptive as to contents; or

- (iii) the article is **offered for sale as the product of a place or country which is false**.

Limb (C) — Labelling deficiencies

Where the article contained in the package —

- (i) contains any **artificial flavouring, colouring or chemical preservative** and the package is **without a declaratory label** stating that fact, or is not labelled per the Act/regulations or is in contravention; or
- (ii) is offered for sale for **special dietary uses**, unless its label bears the specified information concerning vitamins, minerals or other dietary properties; or
- (iii) is **not conspicuously or correctly stated** on the outside within the limits of variability laid down under the Act.

PENALTY FOR MISBRANDED FOOD — SECTION 52

(1) Any person who manufactures for sale, stores, sells, distributes or imports any misbranded article of food for human consumption **shall be liable to a penalty up to ₹3 lakh**.
(2) The Adjudicating Officer may direct the person found guilty to **take corrective action** to rectify the mistake, or the article of food **shall be destroyed**.

Other key definitions referred to in this Topic

Definitions under Section 3 of the FSS Act, 2006

Term	Section	Meaning (gist)
Unsafe food	3(1)(zz)	An article of food whose nature, substance or quality is so affected as to render it **injurious to health**.
Sub-standard food	3(1)(zx)	Food which does not meet specified standards **but not so as to render it unsafe**.
Extraneous matter	3(1)(i)	Matter carried from raw materials/packaging/process systems or added, which **does not render food unsafe** (e.g., husk).
Food additive	3(1)(k)	Substance not normally consumed as food by itself, intentionally added for a **technological/organoleptic** purpose; **excludes** contaminants and nutritional substances.
Food Safety Officer	3(1)(t)	An officer **appointed under Section 37**.
Designated Officer	3(1)(h)	The officer **appointed under Section 36**.
Food Authority	3(1)(m)	The Food Safety and Standards Authority of India established **under Section 4**.
Food Analyst	3(1)(u)	An analyst appointed under Section 45.
Food laboratory	3(1)(p)	State/Central food laboratory or any other laboratory **accredited by NABL and recognised/notified by the Food Authority** under S.43.
Proprietary food	22 (Expl. 4)	An article of food not standardised under the Act/regulations.

Authorities — FSSAI & State Food Safety Authorities (Establishment & Functions)

The Act establishes a **two-tier** enforcement architecture: a central **Food Safety and Standards Authority of India (FSSAI)** and a **State-level machinery** headed by the Commissioner of Food Safety, assisted by Designated Officers, Food Safety Officers and Food Analysts.

1. Food Safety and Standards Authority of India (FSSAI) — Establishment (S.4)

Section 4 — Establishment

- (1) The **Central Government** shall, by notification, establish the FSSAI to exercise the powers and perform the functions under the Act.
- (2) The Food Authority shall be a **body corporate** having **perpetual succession** and a **common seal**, with power to acquire, hold and dispose of property (movable and immovable), to contract, and to **sue or be sued** in its own name.
- (3) Its **head office is at Delhi**.
- (4) It may establish offices elsewhere in India (Delhi, Guwahati, Mumbai, Kolkata, Kochi, Chennai, Lucknow, Chandigarh).

FSSAI is a **statutory body** functioning under the **Ministry of Health & Family Welfare**.

Composition — Section 5 (Chairperson + 22 members, ⅓ women)

Composition of the Food Authority (S.5(1)) — total 23 persons (1 Chairperson + 22 Members)

Category	Number	Details
Chairperson	1	Appointed from persons of eminence in **food science** or administration (not below rank of Secretary to GoI). Shall not hold any other office [S.5(5)].
(a) Ex-officio Members (Ministries/Depts.)	7	Not below Joint Secretary rank — Agriculture, Commerce, Consumer Affairs, Food Processing, Health, Legislative Affairs, Small Scale Industries.
(b) Food industry representatives	2	One from small-scale industries.
(c) Consumer organisations	2	—
(d) Eminent food technologists / scientists	3	—

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Category	Number	Details
(e) State/UT representatives (rotation)	5	Appointed by rotation every 3 years, one each from the 5 Zones in the First Schedule.
(f) Farmers' organisations	2	—
(g) Retailers' organisations	1	—

The Chairperson and members (other than ex-officio) are appointed on the recommendation of a **Selection Committee** constituted under **Section 6**. Appointments must secure "the highest standards of competence, broad range of relevant expertise and the broadest possible geographic distribution" [S.5(2)].

Chief Executive Officer — Sections 9 & 10

The FSSAI has a **Chief Executive Officer (CEO)** [S.9], who shall be the **legal representative of the Food Authority** [S.10]. His functions are specified in S.10.

Duties & Functions of the Food Authority — Section 16

S.16(1) — Primary duty

To **regulate and monitor** the manufacture, processing, distribution, sale and import of food so as to ensure **safe and wholesome food**.

S.16(2) — Power to make regulations (specific matters)

The Food Authority may by regulations specify —

- (a) standards & guidelines for articles of food; systems for enforcing standards
- (b) limits for food additives, crop contaminants, pesticide residues, veterinary drug residues, heavy metals, processing aids, mycotoxins, antibiotics, pharmacological active substances, irradiation
- (c) mechanisms & guidelines for accreditation of certification bodies (food safety management systems)
- (d) procedure & quality control for imported food
- (e) procedure for accreditation of laboratories & notification of accredited labs
- (f) method of sampling, analysis & exchange of information
- (g) surveys of enforcement
- (h) food-labelling standards incl. health/nutrition claims

(i) manner/procedure of risk analysis, assessment, communication & management

S.16(3) — Other functions (non-exhaustive)

- Provide scientific advice & technical support to Central & State Governments on food safety/nutrition policy.
- Search, collect, collate, analyse scientific/technical data — food consumption, biological risk, contaminants, residues, emerging risks, rapid alert system.
- Promote & coordinate risk-assessment methodologies; forward messages on health/nutritional risks to Governments & Commissioners.
- Assist in **crisis management** and draw up a general plan for crisis management.
- Establish a **network of organisations** for scientific cooperation.
- Improve cooperation with international organisations.
- Ensure public/consumers/Panchayats receive **rapid, reliable, objective information**.
- Provide **training programmes** in food safety for food business personnel.
- Undertake tasks assigned by Central Government.
- Contribute to development of **international technical standards** (sanitary & phytosanitary).
- Promote coordination of work on food standards & consistency between international and domestic standards.
- Promote general awareness of food safety and standards.

S.16(4)–(6)

- (4) Shall make public (without undue delay): opinions of Scientific Committee/Panels; annual declarations of interest; results of scientific studies; annual report.
- (5) May give **directions to the Commissioner of Food Safety**, who is bound by them.
- (6) Shall **not disclose confidential information**, except where required to protect public health.

Central Advisory Committee — Sections 11 & 12

The Food Authority shall, by notification, establish a **Central Advisory Committee** (S.11); its functions (coordination & advice) are in S.12.

Scientific Committee & Scientific Panels — Sections 13 & 14

Scientific Panels (S.13)

The Food Authority establishes **Scientific Panels** of independent scientific experts to develop standards and give scientific opinions. There are currently **21 panels** — vertical (e.g., milk & milk products) and horizontal (e.g., pesticide residues).

Scientific Committee (S.14)

A statutory body of **6 independent experts** (nominated by the Food Authority, not belonging to any panel) plus the **Chairpersons of all Scientific Panels**. It acts as the **link between the Panels and the Food Authority**, examining the panels' recommendations and

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recommending them for approval — the **highest scientific body** advising the Food Authority.

2. State Food Safety Authorities — Commissioner of Food Safety (Section 30)

Section 30 — Commissioner of Food Safety

For the purpose of this Act, the **State Government** shall appoint a **Commissioner of Food Safety for the State**. He is the chief enforcement authority at the State level and is bound by the directions of the Food Authority [S.16(5)].

- The Commissioner may, by order, **appoint the Designated Officer** (S.36) and **Food Safety Officers** (S.37) and **Food Analysts** (S.45).
- Under S.30, in cases of food risk to health, the **Commissioner shall take appropriate steps to inform the general public** of the nature of the risk [read with S.18(1)(f)].
- He may issue **guidelines** for exercise of powers by Food Safety Officers, which are binding [S.38(10)].

▸ CAG AUDIT REPORT (DEC 2017) — IMPLEMENTATION SHORTCOMINGS

(1) FSSAI failed to identify "grey areas" where standards are yet to be framed/revised. (2) Licences issued on **incomplete documents** in >50% of cases checked. (3) Failure to ensure customs authorities keep **unsafe foods out**. (4) **65 of 72 state food laboratories** lack NABL accreditation. (5) Acute shortage of staff — recruitment rules not framed even a decade after enactment.

Food Safety Officer — Power, Functions & Liabilities (Ss. 37–42)

Appointment & Qualifications — Section 37

"Food Safety Officer" [S.3(1)(t)] means an officer appointed under Section 37. S.37(1): The Commissioner of Food Safety shall, by notification, appoint such persons as he thinks fit, having the qualifications prescribed by the Central Government, as Food Safety Officers for such local areas as he may assign to them. S.37(2): The State Government may authorise any officer of the State Government having the prescribed qualifications to perform the functions of a Food Safety Officer within a specified jurisdiction.

Qualifications (Food Safety & Standards Rules, 2011, para 2.1.3 — made under S.91(2)(b)): a whole-time officer holding a degree in **Food Technology / Dairy Technology / Biotechnology / Oil Technology / Agricultural Science / Veterinary Sciences / Bio-Chemistry / Microbiology, or a Master's degree in Chemistry, or a degree in Medicine** from a recognised university (or other notified equivalent qualification).

Enforcement role — Section 29(4) & (5)

The **Food Safety Officers enforce and execute** the provisions of the Act within their area where the duty is not expressly/implicitly imposed on some other authority (S.29(4)); the regulations specify which officers enforce which provisions (S.29(5)).

Liability of the Food Safety Officer — Section 39

S.39: Any Food Safety Officer who — (a) vexatiously and without reasonable ground seizes any article of food or adulterant; or (b) commits any other act to the injury of any person without having reason to believe that such act is necessary for the execution of his duty, shall be guilty of an offence under this Act and shall be liable to a penalty up to ₹1 lakh. PROVISO: where a false complaint is made against a Food Safety Officer and it is proved, the complainant shall be punishable with fine not less than ₹50,000, extendable to ₹1 lakh.

This creates a **two-way accountability** — it penalises the officer for abuse of power, and simultaneously deters false complaints against officers.

Procedure for launching prosecution — Section 42

(1) The Food Safety Officer shall be responsible for **inspection of food business, drawing samples and sending them to the Food Analyst for analysis**. (2) Where the Food Analyst's report shows contravention, the Food Analyst forwards the report to the Designated Officer to follow the prosecution procedure (read with S.40(2)).

LIABILITIES SUMMARISED

The FSO is liable to a **penalty up to ₹1 lakh** (S.39) for vexatious seizure or injurious acts without reasonable belief; and a false complainant is liable to a fine of ₹50,000–₹1 lakh (proviso to S.39). The FSO is also under a duty to follow the **CrPC** procedure for search/inspection (S.38(5)) and must have witnesses present (S.38(7)).

Food Analyst — Section 45

Appointment — Section 45

S.45(1): The Commissioner of Food Safety shall, by notification, appoint such persons as he thinks fit, having the qualifications prescribed by the Central Government, to be Food Analysts for such local areas as may be assigned to them. S.45(2): The Food Analyst shall exercise the powers and perform the functions conferred on him under this Act (namely Ss.40, 41, 43, 44, 46 & 47) and the rules/regulations.

Qualifications (FSS Rules 2011, para 2.1.4)

A whole-time officer holding a Master's degree in Chemistry / Food Technology / Microbiology / Bio-Chemistry / Dairy Technology / Veterinary Science / Agricultural Science or equivalent, with prescribed experience (or such other notified qualifications).

Where must analysis be done?

A **"food laboratory"** [S.3(1)(p)] must satisfy a **twin test**: (i) accredited by **NABL**, and (ii) **recognised & notified by the Food Authority under S.43**. Section 43(1) mandates that the Food Analyst analyse food **only** in such a laboratory.

Sampling & analysis procedure — Section 47

Section 47 prescribes the **procedure of sampling and analysis**. Under S.47(1), when a Food Safety Officer takes a sample he must — divide it into **parts**, seal and mark them, send one part to the Food Analyst, and send two parts to the Designated Officer for further reference/appeal; the Food Safety Officer must also send the sample "in the prescribed manner" so that the vendor/manufacturer gets an opportunity to have the sample tested. Section 46(4) gives the right of **appeal** to the referral food laboratory.

! WHY S.47 AND S.43 WERE DECISIVE IN THE MAGGI CASE

The Bombay High Court held that S.43(1) is **mandatory, not directory**: if food is tested in a laboratory not accredited by NABL / not recognised & notified by the Food Authority, the analysis **cannot be relied upon**. It also held the **mandatory sampling procedure under S.47(1)** had not been followed. (Discussed in detail in the case-law section below.)

RELATIONSHIP TO S.40

The Food Analyst also analyses samples submitted by a **purchaser** under Section 40; and if the sample is found non-compliant, the Food Analyst **forwards the report to the Designated Officer** to follow the S.42 prosecution procedure.

General Principles to be Followed for Food Safety — Section 18

Section 18 is the **philosophical and operational compass** of the entire Act. It binds the Central Government, State Governments, the Food Authority and other agencies. It has **three clauses**.

Section 18(1) — Principles during implementation

(a) Appropriate level of protection

Endeavour to achieve an appropriate level of **protection of human life and health** and **protection of consumers' interests**, including **fair practices** in all kinds of food trade, with reference to food safety standards and practices.

(b) Risk management

Carry out **risk management**, taking into account the results of **risk assessment** and other relevant factors, to achieve the general objectives of the regulations.

(c) Precautionary principle

Where harm is identified but **scientific uncertainty persists**, adopt **provisional risk-management measures** pending further scientific information for a more comprehensive risk assessment.

(d) Proportionality

Measures under cl.(c) must be **proportionate and no more restrictive of trade than required**, having regard to technical/ economic feasibility and other reasonable factors.

(e) Review of measures

Measures adopted shall be **reviewed within a reasonable period**, depending on the nature of the risk and the type of scientific information needed.

(f) Duty to inform the public

Where there are reasonable grounds to suspect a food **may present a risk to health**, the Food Authority and the Commissioner of Food Safety shall **inform the general public** of the nature of the risk, the food/type of food involved, and measures taken/ proposed.

(g) Presumption re: batch/lot/consignment

Where any food which fails to comply with food-safety requirements is part of a **batch, lot or consignment** of the same class/ description, it **shall be presumed, until the contrary is proved**, that all the food in that batch/lot/consignment fails to comply.

Section 18(2) — Principles while framing regulations / specifying standards

(a) Take into account prevalent practices & international standards

Consider (i) **prevalent practices and conditions** in the country (agricultural practices, handling, storage, transport) and (ii) **international standards/practices** — unless they would not be effective/appropriate, or there is scientific justification, or they would result in a different level of protection.

(b) Risk-analysis basis

Determine food standards on the basis of **risk analysis**, except where such analysis is not appropriate to the circumstances or nature of the case.

(c) Independent, objective, transparent risk assessment

Undertake risk assessment on the basis of **available scientific evidence**, in an **independent, objective and transparent manner**.

(d) Open & transparent public consultation

Ensure open and transparent **public consultation** (directly or through representative bodies incl. Panchayats) during preparation, evaluation and revision of regulations — except in **urgency**, where consultation may be dispensed with; such urgent regulations remain in force **not more than six months**.

(e) Protection of consumers' interests

Protect consumers' interests and provide a basis for **informed choices**.

(f) Prevention of unfair practices & unsafe food

Ensure prevention of (i) **fraudulent, deceptive or unfair trade practices** which may mislead/harm the consumer, and (ii) **unsafe, contaminated or sub-standard food**.

Section 18(3) — Non-application of the Act

The provisions of this Act shall not apply to any farmer or fisherman or farming operations or crops or livestock or aquaculture, and supplies used or produced in farming or products of crops produced by a farmer at farm level or a fisherman in his operations.

§ JUDICIAL INTERPRETATION OF SECTION 18

The Association of the Traders v. Union of India (Bom. HC, 16.09.2015): "A perusal of Section 18 reveals that the foundation is **preservation of human life and health** while protecting the consumer's interest and by having fair practices in all kinds of food trade… The authorities are not merely to perform the negative duty of preventing food adulteration, but are required to play a very **pro-active role** for ensuring safe and wholesome food and to prevent and eliminate risk to health… FSS Act, 2006 is the **comprehensive single special legislation** for all food products on the subject of safety and standards."

Nestlé India Ltd. v. FSSAI: "Sub-section (1) of Section 18 enumerates the guiding principles to be followed **while implementing** the provisions; sub-section (2) lays down principles to be kept in mind by the Food Authority **while framing regulations** and specifying standards. This section **cannot be said to be a source of power** since it only lays down guidelines."

Licensing & Registration of Food Business — Section 31

S.31(1): No person shall commence or carry on any food business except under a licence. S.31(2): Nothing contained in sub-section (1) shall apply to a petty manufacturer who manufactures or sells any article of food himself or a petty retailer, hawker, itinerant vendor or a temporary stall holder or small scale or cottage or such other industry relating to food business or tiny food business operator; but they shall register themselves with such authority and in such manner as may be specified by regulations, without prejudice to the availability of safe and wholesome food for human consumption. S.31(3): Any person desirous to commence or carry on any food business shall make an application for grant of a licence to the Designated Officer in such manner containing such particulars and fees as may be specified by regulations. S.31(4): The Designated Officer on receipt of an application under sub-section (3), may either grant the licence or after giving the applicant an opportunity of being heard and for reasons to be recorded in writing, refuse to grant a licence to any applicant, if he is satisfied that it is necessary so to do in the interest of public health and shall make available to the applicant a copy of the order. S.31(5): Every licence shall be in such form and subject to such conditions as may be specified by regulations. S.31(6): A single licence may be issued by the Designated Officer for one or more articles of food and also for different establishments or premises in the same area. S.31(7): If the articles of food are manufactured, stored, sold or exhibited for sale at different premises situated in more than one area, separate applications shall be made and separate licences shall be issued in respect of such premises not falling within the same area.

▸ KEY POINTS ON S.31

- **Registration** (not licence) is required for petty/small-scale/cottage/tiny businesses — "without prejudice to the availability of safe and wholesome food".
- The **Designated Officer** grants licences; a **refusal** must follow the principles of natural justice — opportunity of being heard + **reasons recorded in writing** — and only "in the interest of public health".
- The **Designated Officer** also has power to **issue or cancel licences** [S.36(3)(a)].

Purchaser May Have Food Analysed — Section 40

S.40(1): Nothing contained in this Act shall be held to prevent a purchaser of any article of food (other than a Food Safety Officer) from having such article analysed by the Food Analyst on payment of such fees, and receiving from the Food Analyst a report of his analysis within such period as may be specified by regulations. PROVISO 1: such purchaser shall inform the food business operator at the time of purchase of his intention to have such article so analysed. PROVISO 2: if the report of the Food Analyst shows that the article of food is not in compliance with the Act/rules/regulations, the purchaser shall be entitled to a REFUND of the fees paid by him. S.40(2): In case the Food Analyst finds the sample in contravention of the Act/rules/ regulations, the Food Analyst shall forward the report to the Designated Officer to follow the procedure laid down in Section 42 for prosecution.

▸ WHY THIS PROVISION MATTERS

Section 40 **empowers the consumer** (not merely the State machinery) to trigger food-safety enforcement. The **fee-refund mechanism** incentivises genuine testing, and the forwarding of a non-compliant report to the **Designated Officer** (for S.42 prosecution) means a single vigilant purchaser can set the enforcement process in motion.

Offences & Penalties — Sections 48–67 (Overview)

The Act prescribes a **graded penalty structure**: monetary penalties (adjudicated) for minor contraventions and imprisonment for serious violations. The following is the consolidated scheme (a supplementary section to the syllabus items).

Section	Offence	Penalty / Punishment
50	Selling food not of the nature/ substance/quality demanded	Penalty up to ₹5 lakh
51	Sub-standard food	Penalty up to ₹5 lakh
52	Misbranded food	Penalty up to ₹3 lakh (corrective action / destruction possible)
53	Misleading advertisement	Penalty up to ₹10 lakh
54	Food containing extraneous matter	Penalty up to ₹1 lakh
55	Failure to comply with directions of the Food Safety Officer	Penalty up to ₹2 lakh
56	Unhygienic / unsanitary processing or manufacture	Penalty up to ₹1 lakh
57	Possessing adulterant	Up to ₹2 lakh (not injurious); up to ₹10 lakh (injurious)
58	Contravention for which no specific penalty provided	Penalty up to ₹2 lakh
59	**Unsafe food**	(i) no injury — up to 6 months + ₹1–3 lakh; (ii) non-grievous injury — up to 1 yr + ₹3 lakh; (iii) grievous injury — up to 6 yrs + ₹5 lakh; (iv) death — min 7 yrs to life + min ₹10 lakh
63	Carrying on business without licence	Imprisonment up to 6 months + fine up to ₹5 lakh
64	Punishment for subsequent offences	Twice the punishment for first offence, up to ₹1 lakh per day for continuing offences
66	Offences by companies	Company + every person in charge liable (vicarious liability)

§ IMPORTANT JUDICIAL NOTE — RAM NATH V. STATE OF U.P. (2024 LIVELAW SC 160)

The Food Safety and Standards Act **overrides the Indian Penal Code** in matters of food adulteration; **simultaneous prosecution under both the FSS Act and IPC (Ss.272/273) is not possible**.

Adjudication & Appeal — Sections 68–76 (gist)

The Act creates a distinct **adjudication** mechanism (Adjudicating Officer — S.68) for penalties, and an appellate structure — appeal to the **Food Safety Appellate Tribunal** (S.70) and then to the High Court (S.76). This is separate from the criminal prosecution route initiated through the Designated Officer (S.42).

Prescribed & Landmark Case Law Dossiers — Detailed IRAC Analysis

CASES #11 - #14

CASE #11 DU LL.B. PRESCRIBED AUTHORITY

M. Mohammed v. Union of India

W.A. No. 1491 of 2014 and M.P. Nos. 1 & 2 of 2014 · High Court of Judicature at Madras · Bench: Satish K. Agnihotri, J. and M. Venugopal, J. · Reserved on: 04.02.2015 | Decided on: 12.02.2015 · Nature: Letters Patent Appeal (Clause 15) against order dated 10.10.2014 in W.P. No. 24999 of 2014

Parties

- **Appellant:** M. Mohammed (importer/wholesaler of raw areca/betel nuts)
- **Respondents:** (1) Union of India, Secretary, Ministry of Health & Family Welfare; (2) Authorised Officer, FSSAI, Chennai; (3) Commissioner of Customs, Chennai

A. Statutory and Regulatory Framework

Food Safety and Standards Act, 2006 (FSSA)

- **Section 3(j):** "Food" means any substance, whether processed, partially processed or unprocessed, intended for human consumption, and includes primary food, genetically modified/engineered food, and any substance including water used in the food during manufacture/preparation/treatment; excludes animal feed, live animals (unless prepared for human consumption), plants prior to harvesting, drugs, and narcotic/psychotropic substances.
- **Section 3(zk):** "Primary food" means an article of food, being produce of agriculture/horticulture/animal husbandry/dairying/aquaculture in its natural form, resulting from growing, raising, cultivation, picking, harvesting, collection, or catching, in the hands of a person other than a farmer/fisherman.
- **Section 48(2)(b):** Where the quality/purity of a primary food article falls below the specified standard, or its constituents fall outside specified limits, solely due to **natural causes beyond the control of human agency**, it shall not be deemed unsafe, sub-standard, or containing extraneous matter.
- **Section 97(1):** Repeals the Prevention of Food Adulteration Act, 1954 — only the FSS Act now governs food imports/exports.

Prevention of Food Adulteration Act, 1954 (repealed — cited comparatively)

- **Section 2(v):** "Food" means any article used as food/drink for human consumption (excluding drugs/water); includes articles ordinarily entering into or used in composition/preparation of human food, flavouring matter/condiments, and any article notified by the Central Government.
- **Section 2(xiia):** "Primary food" means any article of food being agricultural/horticultural produce in its natural form.
- **Section 10:** Food Inspector's power to draw samples.

FSS (Food Product Standards & Food Additives) Regulations, 2011

- **Regulation 2.3(5)** ("Nuts and Raisins"): Prescribes standards for dry fruits/nuts — moisture ≤ 7%, damaged kernel (incl. slightly damaged) ≤ 5% by weight, aflatoxin ≤ 30 ppb; authorises laboratory analysis of imported betel nut/supari samples.

Other Instruments

- Plant Quarantine (Regulation of Import into India) Order, 2003, Clause 3(16) — PQ Test requirement (Destructive Insects and Pests Act, 1914).
- Plant, Fruits and Seeds (Regulation of Import into India) Order, 1989.
- ITC (HS) 2012, Schedule I, Import Policy, Chapter 8, Tariff Heading 0802 80 (Areca Nuts) — CIF-value-based import conditions.
- Constitutional provisions invoked: Articles 14, 15, 19(1)(g), 21.

B. Facts

The appellant imported 688 bags of Sri Lankan betel nuts (50,942 kg) from M/s Commodities Importers, Sri Lanka, under Bill of Entry No. 5853707 dated 19.06.2014 — the Bill of Entry described the goods simply as "Areca Nuts (Betel Nuts)," not "Ungarbled Betel Nuts" (that characterisation appeared only later, in the appellant's affidavit).

On 19.06.2014, the Commissioner of Customs, Chennai passed an Examination Order requiring a test report and NOC from FSSAI before clearance. The appellant applied via FICS, contending the raw betel nuts were not "food" since they required extensive processing (washing, 10–day soaking, boiling, drying, shell removal) before becoming consumable/marketable.

The FSSAI's referral laboratory found the sample non-conforming: (i) mould growth on split areca nut, and (ii) damaged/discoloured units exceeding the prescribed limit. The Authorised Officer declined the NOC. The Single Judge dismissed the appellant's writ petition (W.P. No. 24999/2014) on 10.10.2014, holding betel nut is an agricultural product falling within "primary food," covered by "food" under Section 3(2) FSSA. The appellant filed this intra-court appeal.

C. Issues

1. Whether "Ungarbled Betel Nuts" fall within "Food" under Section 3(j) FSSA, given they aren't commonly consumed raw.
2. Whether Regulation 2.3(5) (framed for dry fruits/nuts) validly applies to raw betel nuts, argued to be a distinct/heterogeneous class.
3. Whether the consignment qualifies as "primary food" under Section 3(zk), attracting the Section 48(2)(b) natural-variance exemption.

4. Whether *Al Marwa Traders* (decided under the repealed PFA Act) continues to bind interpretation of the differently-worded FSS Act.
5. Whether the Single Judge's dismissal, upholding FSSAI's NOC refusal, was legally sustainable.

D. Appellant's Contentions

- Ungarbled betel nuts aren't meant/commonly used for human consumption in raw form; no food-safety concern in clearing the shipment.
- *Al Marwa Traders v. Assistant Commissioner of Imports* [2007 (1) KLT 381] (Kerala HC DB) squarely applies: betel nuts are a "heterogeneous class" distinct from dry fruits/nuts; Regulation 2.3(5) standards inapplicable.
- The change from PFA Act to FSS Act doesn't alter the settled principle since the dry-fruit/nut standard is materially the same under both statutes.
- Even if "food," the nuts are "primary food"; under Section 48(2)(b), defects "solely due to natural causes beyond human control" cannot render the article unsafe/sub-standard.
- Single Judge erred on Section 3(1)(j): the essential element — "intended for human consumption" *in that form* — was missing.
- Relied on an unreported Kerala HC order (W.P.(C) No. ___ of 2014(L), dated 15.10.2014) reiterating betel nuts are heterogeneous from dry fruits/nuts, and suggesting Customs could ensure non-adulteration via the Plant Quarantine Order, 2003 / Plant, Fruits and Seeds Order, 1989 instead, without delaying clearance of perishables.

E. Respondents' Contentions

- Regulation 2.3(5) expressly provides for lab analysis of imported betel nut/supari samples.
- Section 3(j) FSSA is "all inclusive and pervasive" — covers processed/partially processed/unprocessed substances intended for human consumption, including "primary food" under Section 3(zk) — materially wider than the PFA Act.
- Betel nuts, being agricultural produce, are automatically "primary food" and hence "food."
- Relied on *Pyarali K. Tejani v. Mahadeo Ramchandra Dange* [1974 AIR 228]: supari is "food" because "eaten with relish by man for taste and nourishment."
- Sampling under Regulation 2.3(5) revealed real defects — mould and excess damaged/discoloured units — justifying NOC refusal.
- Single Judge correctly recognised the "vast difference" between "food"/"primary food" definitions under the PFA Act, 1954 vs. the FSS Act, 2006.

F. Court's Observations and Reasoning

The Bench relied on a purposive line of precedent (detailed in Section H below) to hold that "food" legislation must be construed widely to serve its protective, social-defence object.

On the central issue: *Al Marwa Traders* interpreted the PFA Act's narrower Section 2(v) definition; the present case falls under the FSS Act's "all inclusive and pervasive" Section 3(j), which expressly includes primary food under Section 3(zk). Since **Section 97(1) FSSA fully repealed the PFA Act**, only the FSS Act now governs food imports — so *Al Marwa Traders* "is to no avail to the Petitioner."

On the factual mischaracterisation: The Bill of Entry itself described the goods as "Areca Nuts (Betel Nuts)," not "Ungarbled Betel Nuts" — undermining the claim that the imported product was, on its face, an unprocessed raw item outside "food."

On Section 48(2)(b): The referral lab's findings (mould growth, excess damaged/discoloured units) were treated as genuine non-conformity, not mere natural variability beyond human control — so the exemption didn't assist the appellant.

G. Held

The Writ Appeal was **dismissed**. The Single Judge's finding — that the appellant "miserably failed to make out any case for granting the relief claimed" — suffered from no material irregularity or patent illegality. FSSAI's NOC refusal and the requirement of lab conformity before customs clearance were sustained.

> ▸ **RATIO**
>
> The FSS Act, 2006's definition of "food" (S.3(j)) is deliberately broader than the repealed PFA Act's definition (S.2(v)); since S.97(1) fully repealed the PFA Act, precedents interpreting the older, narrower definition don't automatically bind interpretation of the new, differently-worded statute. Agricultural produce like betel nut, even raw/ungarbled, falls within "primary food" under S.3(zk) and thus "food" under the FSSA — irrespective of whether further processing is needed before direct consumption.

H. Precedents Relied Upon (Paragraph Summaries)

1. **Pyarali K. Tejani v. Mahadeo Ramchandra Dange** (1974 AIR 228 / (1974) 1 SCC 167) — Constitution Bench of SC. Dealer prosecuted under S.16(1)(a)(i) PFA Act for selling scented supari mixed with prohibited sweeteners (saccharin, cyclamate), violating S.7(i)(ii) and Rule 47 PFA Rules. Held: "supari is food within the meaning of Section 2(v)" — items like pan masala/gutka/supari are eaten "for taste and nourishment," qualifying as food despite not being a staple meal. Upheld strict liability irrespective of seller's knowledge; appeal dismissed, conviction affirmed, deterrent sentencing emphasised.
2. **Dineshchandra Jamnadas Gandhi v. State of Gujarat** (1989 AIR 1011 / (1989) 1 SCC 420) — Tradesman convicted for selling "Kesari-coloured sweet supari sali" adulterated with yellow basic coal-tar dye under S.16(1)(a)(i) PFA Act. Gujarat HC restored conviction; SC upheld it, observing (paras 16–17) that the PFA Act's object is "to eliminate the danger to human life from the sale.. of adulterated food," constituting "a legislative measure for social defence" requiring broad, purposive interpretation of its provisions, including the definition of food.
3. **Bishan Das Mehta v. Union of India** (AIR 1970 Delhi 267) — Delhi HC considered whether "Katha" (used in preparing Pan) is "food" despite not being eaten alone. Held yes — the test is "whether the article.. is usable and enters into the composition or preparation of food which is taken by human beings," not whether it's independently consumable. Supports the view that raw ingredients (like unprocessed betel nut) need not be directly edible to qualify as "food."
4. **Ramlal v. State of Rajasthan** (AIR 2001 SC 47) — SC held camel's milk falls within "food" under the PFA Act, clarifying "an article which is food does not lose its character as food by the fact that it was also used or sold for other purposes." Used to reject the argument that betel nuts used in trade/pre-processing before consumption should escape "food" classification.
5. **Al Marwa Traders v. Assistant Commissioner of Imports** (2007 (1) KLT 381) — Kerala HC DB held betel nuts form a class "heterogeneous" and distinct from "dry fruits and nuts," so dry-fruit/nut quality standards couldn't be mechanically applied to betel-nut imports. Appellant's central precedent; distinguished by the Madras HC as decided under the repealed PFA Act's narrower definition, rendered inapplicable post-repeal.

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6. **Unreported Kerala HC Order** (W.P.(C) No. ___ of 2014(L), dated 15.10.2014) — Followed *Al Marwa Traders*, holding Regulation 2.3(5) standards shouldn't apply to betel nuts, and suggesting Customs could verify non-adulteration via the Plant, Fruits and Seeds Order, 1989, and Plant Quarantine Order, 2003, instead. Rejected by the Madras HC for the same reason as *Al Marwa Traders*.

Hypothetical visual

CASE #12 DU LL.B. PRESCRIBED AUTHORITY

M/S Nestle India Limited v. Food Safety and Standards Authority of India & Ors.

Writ Petition (L) No. 1688 of 2015 · High Court of Judicature at Bombay, Ordinary Original Civil Jurisdiction · Bench: V.M. Kanade, J. and B.P. Colabawalla, J. (per V.M. Kanade, J.) · Reserved on: 31.07.2015 | Decided on: 13.08.2015

Parties

- **Petitioner:** M/S Nestle India Limited
- **Respondents:** (1) FSSAI; (2) Chief Executive Officer, FSSAI; (3) State of Maharashtra; (4) Commissioner of Food Safety, Maharashtra

A. Statutory and Regulatory Framework

Food Safety and Standards Act, 2006

- **Section 3(1)(zz)** — misbranding, read with penal provisions.
- **Section 10(5)** — power of Designated Officer/Food Authority to direct action on food articles.
- **Section 16(1), (2), (5)** — powers/functions of Food Authority, including framing Regulations; Regulations acquire force of law only after being laid before both Houses of Parliament under **Section 93**.
- **Section 18(1)(a),(b),(c),(f),(g)** — general principles governing Food Authority's exercise of functions.
- **Section 22** — regulation of genetically modified/novel/proprietary foods; requires risk assessment/product approval before marketing.
- **Section 26** — obligations of food business operators to ensure food safety.
- **Section 28** — power to prohibit non-compliant food business.
- **Section 29** — general enforcement powers.
- **Section 30** — Commissioner of Food Safety's emergency powers (State level).
- **Section 43** — accreditation/notification of food laboratories.
- **Section 46(4)** — appellate remedy against a Food Analyst's report.
- **Section 47(1)** — mandatory sampling/testing procedure.
- **Section 53** and related penal Sections 20, 23, 24, 48, 50, 52, 58, 59 — penalties for sub-standard/unsafe food.
- **Section 97 & Second Schedule** — repeal of PFA Act, 1954, and six other food-control orders (Fruit Products Order 1955, Meat Food Products Order 1973, Vegetable Oil Products Order 1947, Edible Oils Packaging Order 1998, Solvent Extracted Oil Order 1967, Milk and Milk Products Order 1992).

Constitutional Provisions

Articles 14 (equality), 19(1)(g) (right to trade/business), 226 (writ jurisdiction).

Key Precedents Applied

Whirlpool Corporation v. Registrar of Trade Marks (AIR 1999 SC 22); *Aamir Khan Productions Pvt. Ltd. v. Union of India*; *Pepsico India Holdings v. Food Inspector*; *Dharampal Satyapal Ltd. v. Dy. Commissioner of Central Excise*; *Godawat Pan Masala Products v. Union of India*; *E.P. Royappa v. State of T.N.*; *Maneka Gandhi v. Union of India*; *A.K. Kraipak v. Union of India* (AIR 1970 SC 150).

B. Facts

Nestle had manufactured/sold Maggi Noodles in India for 30+ years — first under a 1983 PFA-era license, later under FSS Act product approvals (8 of 9 variants approved; the 9th, "Maggi Oats Masala Noodles," was under a stay in *Vital Nutraceuticals v. Union of India*).

In January 2015, a Food Inspector in Barabanki, UP, suspected the "No added MSG" label; the State Food Laboratory, Gorakhpur, detected MSG. The sample went to the Referral Laboratory, Kolkata, at Nestle's request; that lab (reporting ~3 months later, 29.03.2015) found MSG **and** lead at **17 ppm** against the permissible **2.5 ppm**. Nationwide follow-up testing of only 3 of the 9 variants across states found 30 of 72 samples exceeding the lead limit (42 compliant) — excess lead in Delhi, UP, Tamil Nadu, Gujarat, Maharashtra, Punjab, Meghalaya; compliant in Goa and Kerala.

On 4 June 2015, amid media coverage, Nestle voluntarily announced withdrawal, asserting the product was safe. On 5 June, at a meeting with FSSAI's CEO, Nestle was informed of the excess-lead/mislabeling findings; the same day, the CEO passed the impugned order (Exhibit-A) under Sections 10(5), 16(1), 18(1)(a),(b),(c),(f),(g), 26, 28, 29 — directing withdrawal/recall of all 9 variants, cessation of production, plus a show-cause notice on cancelling product approval. The next day, Maharashtra's Commissioner passed a parallel order (Exhibit-B) under Section 30, based on 5 of 20 samples (only 4 of 9 variants) showing excess lead.

Nestle challenged both orders under Article 226.

C. Structure of the Judgment

The judgment is organised into: Challenge (paras 3–5), Facts (paras 6–21), Scheme of the Act (paras 22–34), Issues (para 34), and Reasons/Findings (para 35 onward).

D. Issues (Twelve, framed at para 34)

1. Maintainability of the writ petition given the alternative remedy under S.46(4).
2. Whether Nestle suppressed material facts / destroyed evidence.
3. Whether the Food Authority could ban based on lead exceeding Nestle's own product-approval representation (below 1 ppm) though below the Regulation's 2.5 ppm ceiling.
4. Whether the Food Authority had unfettered discretion over "proprietary food" standards, unbound by the Regulations.
5. Whether natural justice was violated (no show-cause notice, no shared findings before the ban).

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6. The true source of statutory power for the impugned orders.
7. Whether the testing laboratories were NABL-accredited/notified under S.43, and whether their reports were reliable.
8. Whether lead beyond the permissible limit and misbranding were actually established.
9. Whether banning all 9 variants (when only 3–4 were tested) was arbitrary/disproportionate and violative of Articles 14 and 19(1)(g).

E. Nestle's Contentions

- Complete violation of natural justice — no show-cause notice, no particulars shared; the 5 June meeting was purely informational.
- Testing labs were unaccredited/unnotified under S.43; even accredited labs lacked specific lead-testing accreditation.
- Product should have been tested "according to intended use" (prepared with tastemaker/water as consumed) — not done.
- Nestle's own accredited lab showed lead within limits.
- No viable S.46(4) appeal since the Food Authority had already finally decided the issue via the ban itself — Article 226 was the only real recourse.
- Banning all 9 variants when only 3 were tested was disproportionate and unconstitutional.

F. Respondents' Contentions

- Alternative remedy under S.46(4) existed; petition premature (relied on *Aamir Khan Productions*).
- A show-cause notice had in fact been issued (on product-approval cancellation); Nestle rushed to court instead of replying.
- Accreditation objection raised only in rejoinder — an afterthought; Nestle suppressed Pune lab results and destroyed stock to avoid prosecution.
- Food Authority has unfettered discretion on proprietary-food standards, unbound by Regulation limits.
- Nestle's own product-approval application represented lead below 1 ppm; exceeding even that (despite being under 2.5 ppm) justified the ban.
- Even a single non-compliant sample justifies prohibition in the public interest.
- Orders validly passed under Ss. 10(5), 16(1), 16(5), 22, 26, 28 (FSSAI) and S.30 (Maharashtra).

G. Court's Findings, Issue-by-Issue

Issue I — Maintainability (paras 35–41): Held maintainable. Para 38 quotes para 7 of the impugned order directing withdrawal/recall/cessation "with immediate effect" — proving it was a completed ban, not a show-cause notice (that clause was merely consequential). Para 39 applies *Whirlpool Corporation*'s three exceptions to the alternative-remedy bar: fundamental-rights enforcement, natural-justice violation, or orders wholly without jurisdiction. *Aamir Khan Productions* distinguished (that case involved only a show-cause notice).

Issue II — Suppression/Destruction of Evidence (paras 42–44): Rejected both allegations. Postal tracking showed Pune lab reports were dispatched 10.06.2015 and received 15–17 June — after the petition was filed (11.06.2015) — so no suppression. Stock destruction was carried out under signed, mutually agreed minutes with the Food Authority itself (preserving a specified sample quantity, reduced from 2,000 to 750 cases) — done in coordination with, not defiance of, the regulator.

Issues III–V — Proprietary Food Discretion & Section 22: Rejected the "unfettered discretion" argument — Regulations bind only after Parliamentary approval under S.93; the Food Authority cannot informally override its own notified 2.5 ppm ceiling merely because Nestle's application represented a lower figure.

Issue VI — Natural Justice: Held that even absent an express statutory hearing requirement, one is impliedly required before orders with adverse civil consequences (citing *Dharampal Satyapal* and *Godawat Pan Masala Products*). Informing Nestle of adverse findings without a genuine opportunity to respond before the same-day ban breached natural justice.

Issue VII — Source of Power: Held the orders weren't properly sustainable under Ss.10(5), 16(1), 16(5), 18, 22, 26, 28, 29 — more properly governed by Ss.30/34, both requiring natural-justice compliance. Wrong statutory basis was invoked for a peremptory, hearing-free ban.

Issues VIII–X — Laboratory Accreditation (decisive finding): Samples must be analysed only in NABL-accredited labs recognised under Ss.3(p) and 43 (relying on *Pepsico India Holdings v. Food Inspector*). Since the Food Authority's labs weren't fully accredited for lead-testing, their reports couldn't be relied upon; by the same logic, Nestle's own lab reports were equally procedurally unreliable — neither side's results were conclusive.

Issues XI–XII — Misbranding & Disproportionality: Misbranding ("No added MSG") held insufficient standalone ground for an indefinite nationwide ban given the narrower statutory penalty framework for misbranding. Applying *E.P. Royappa*, *Maneka Gandhi*, and *Lucknow Development Authority v. M.K. Gupta* on arbitrariness under Article 14, banning all 9 variants when only 3–4 were tested was held arbitrary, unreasonable, unconstitutional, and lacking a transparent, reasoned basis.

H. Held

Both impugned orders (FSSAI's 05.06.2015 order and Maharashtra's 06.06.2015 order) were **set aside** for breach of natural justice, reliance on unaccredited lab findings, and disproportionality. However, the Court did not permit unconditional resumption — it directed fresh samples from every batch to be tested at three NABL-accredited laboratories (Hyderabad, Mohali/Punjab, Jaipur) within a stipulated period; resumption of manufacture/sale was conditional on these fresh tests confirming lead within the 2.5 ppm limit.

I. Table of Precedents Applied

Precedents applied in the Nestlé / Maggi case

Precedent	Principle	Application
Whirlpool Corporation v. Registrar of Trade Marks	Alternative remedy doesn't bar Art. 226 relief for natural-justice violations	Supported maintainability
Aamir Khan Productions v. Union of India	Writ against mere show-cause notice is premature	Distinguished — this was a final ban
Pepsico India Holdings v. Food Inspector	Mandatory NABL accreditation for food analysis	Non-compliance vitiated lab reports
Dharampal Satyapal Ltd. v. Dy. Commissioner of Central Excise	Implied hearing requirement before adverse orders	Natural justice violated
Godawat Pan Masala Products v. Union of India	Hearing required before ban orders	Orders held arbitrary

Precedent	Principle	Application
E.P. Royappa v. State of T.N.; *Maneka Gandhi v. Union of India*	Arbitrariness violates Article 14	Ban held unconstitutional
A.K. Kraipak v. Union of India	Principles of natural justice in administrative action	Reinforced natural-justice analysis

J. Aftermath

All three accredited labs cleared Maggi as compliant after fresh testing; Nestle resumed sales in November 2015. FSSAI later challenged aspects of the order before the Supreme Court (objecting that Nestle itself selected samples for retesting). Separately, in February 2025, the Bombay High Court quashed a related 2016 criminal complaint against Nestle (under Ss.26(2)(i), 27(2)(c) read with S.3(1)(zz) FSSA) alleging sale of "sub-standard" noodles.

Hypothetical visual

CASE #13 DU CASE MATERIAL AUTHORITY

Swami Achyutanand Tirth & Ors. v. Union of India & Ors.

Supreme Court of India · AIR 2016 SC 3626 · Coram: T.S. Thakur (CJI), R. Banumathi, U.U. Lalit, JJ. · Decided 05.08.2016

▸ Facts

- Writ petitions were filed in the Supreme Court relying on the FSSAI report dated 02.01.2011, **"Executive Summary on National Survey on Milk Adulteration, 2011"**, which concluded that at the national level **68.4% of milk sold is adulterated**.
- The worst performers were Bihar, Chhattisgarh, Odisha, West Bengal, Mizoram, Jharkhand and Daman & Diu (up to 100% adulteration); in Uttarakhand and Uttar Pradesh, 88% of milk samples were found adulterated.
- The petitioners (residents of Uttarakhand, U.P., Rajasthan, Haryana & NCT of Delhi) alleged that State Governments and the Union of India had **failed to combat adulteration of milk with hazardous substances** (urea, detergent, refined oil, caustic soda, etc.), violating **Article 21**.

§ Decision / Guidelines

- The Court disposed of the petitions with **10 directions**, including: implement the FSS Act more effectively; inform dairy owners/ retailers of stringent action for chemical adulterants; identify **high-risk areas/times** (near festivals) and increase sampling; ensure **NABL-accredited laboratory infrastructure**; undertake **spot testing** through Mobile Food Testing Vans; conduct **periodic snap-shot surveys**; constitute **State-level and District-level Committees**; set up **websites & toll-free complaint mechanisms**; create public awareness (per S.18(1)(f)); and evolve a **complaint mechanism against corruption** of food authorities/officers.

▸ Significance

The case read **Article 21** (right to life) as encompassing the right to safe food, and led to **Law Commission Report No. 264 (2017)** recommending amendment of Ss.272–273 IPC. It also recognised the **pro-active duty** (not merely a negative duty) of food authorities.

CASE #14 DU CASE MATERIAL AUTHORITY

The Association of the Traders & Ors. v. Union of India

Bombay High Court · Decided 16.09.2015

▸ Principle (relevant to Section 18)

The Court observed that the foundation of S.18 is **preservation of human life and health** while protecting consumers' interests and ensuring fair practices in food trade. The authorities under the Act are not merely to perform the **negative duty of preventing adulteration** but must play a **pro-active role** in ensuring safe and wholesome food and eliminating risk to health. The Court reiterated that Parliament enacted the FSS Act under **Entry 18, List III** in the interest of public health, safeguarding the **constitutional guarantee under Article 21**; the FSS Act is the **comprehensive single special legislation** on food safety and standards.

PYQ ARCHIVE // CH.03 Previous Year Questions (DU LL.B. Examinations)

Q.1 DU LL.B. 2015 · 2017 What are the principles to be followed for food safety under the Food Safety and Standards Act, 2006?

▸ Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891

Q.2 DU LL.B. 2015 · 2017 · 2019 Define "food". Whether it can be analysed by the purchaser?

Q.3 DU LL.B. 2015 Write a short note on the Food Safety and Standards Authority (of India).

Q.4 DU LL.B. 2017 What are the duties and functions of the Food Authority under the FSS Act, 2006?

Q.5 DU LL.B. 2017 · 2019 Discuss the power, functions and liabilities of the Food Safety Officer under the FSS Act, 2006.

Q.6 DU LL.B. 2019 (short note) Discuss in detail the definition of "mis-branded food" and the penalty for the same in the context of decided cases.

Q.7 DU LL.B. 2017 · 2018 N was engaged in the business of import, processing and wholesale of raw areca nut ("betel nuts") in ungarbled form. N imported 700 bags of Sri Lankan betel nuts under a Bill of Entry. The authorities passed an "Examination Order" directing that for customs clearance N must obtain a test report and a No Objection Certificate from the Authorised Officer. N objected. Decide.

Q.8 DU LL.B. Examination Explain the process of licensing and registration of food business under the FSS Act, 2006.

Q.9 DU LL.B. Examination In the light of M/s Nestlé India Ltd. v. FSSAI, W.P.(L) No. 1688 of 2015, discuss the procedure of food analysis prescribed by the FSS Act, 2006.

Q.10 DU LL.B. Examination Discuss the powers and functions of the Designated Officer under the FSS Act, 2006.

MODULE 04 // Topic 4 · NDPS Act, 1985 Cases #15 - #20

The Narcotic Drugs and Psychotropic Substances Act, 1985

NDPS Act, 1985: Ss. 2, 4-9A, 15-32B, 31A (Death Penalty), 35 & 54 (Presumptions), 36-37 (Special Courts & Bail), 41-43, 50 & 52A

Part I — Introduction: Genesis, Objects and Scheme of the Act

1. Constitutional and international backdrop

Article 47 of the Constitution (DPSP) ordains that the State shall regard improvement of public health as a primary duty and, "in particular, the State shall endeavour to bring about prohibition of the consumption except for medicinal purposes of intoxicating drinks and of drugs which are injurious to health." The NDPS Act is the principal legislative fulfilment of this mandate in respect of drugs. India is also a party to the **Single Convention on Narcotic Drugs, 1961**, the **Convention on Psychotropic Substances, 1971**, and the **United Nations Convention against Illicit Traffic in Narcotic Drugs and Psychotropic Substances, 1988**. The Act was passed under treaty obligations, and the **Prevention of Illicit Traffic in NDPS Act, 1988** (a preventive-detention law, enacted under Article 253) followed it.

2. Pre-1985 law and reasons for a new statute

The earlier regime consisted of the **Opium Act, 1857**, the **Opium Act, 1878** and the **Dangerous Drugs Act, 1930**, supplemented by a few IPC provisions (ss. 272–276 on adulteration of food and drugs). These were found deficient to deal with psychotropic substances, transnational trafficking and organised drug mafias. The Statement of Objects and Reasons (reproduced in *Karnail Singh*) states that the new law was needed:

- "to make the scheme of penalties **sufficiently deterrent** to meet the challenge of well-organised gangs of smugglers";
- to empower Central enforcement agencies (Narcotics, Customs, Central Excise, Revenue Intelligence) to investigate offences relating to **new drugs of addiction — psychotropic substances** — posing serious problems to national governments, in the manner envisaged by the 1971 Convention;
- to consolidate and amend the existing laws, strengthen controls, **enhance penalties for trafficking**, control psychotropic substances, and implement the international conventions to which India had acceded.

The NDPS Act (61 of 1985) came into force on **14 November 1985**; s. 82 repealed the Opium Acts and the Dangerous Drugs Act, 1930. The **Narcotics Control Bureau (NCB)** was constituted on **17 March 1986** under s. 4(3).

3. Amendment timeline

1985 — Parent Act (w.e.f. 14–11–1985): uniform minimum 10 years RI for most trafficking offences; Chapter VA (forfeiture) added in 1989.

1989 Amendment (Act 2 of 1989, w.e.f. 29–5–1989): inserted ss. 7A (National Fund), 25A, 27A (financing/harbouring), 31A (mandatory death on second conviction), 52A (disposal of seized drugs), 64A (immunity to addict-volunteers); Special Courts scheme.

2001 Amendment (Act 9 of 2001, w.e.f. 2–10–2001): the **rationalising amendment**. Introduced **three-tier quantity-based sentencing** (small / intermediate / commercial) via definitions s.2(vii-a) & (xxiii-a) and the S.O. 1055(E) Notification of 19–10–2001; rewrote ss. 15–32, 36A, 37, 41–43, 50 (adding sub-ss. (5) & (6)); narrowed s.31A; s.42(2) report time changed from "forthwith" to "within 72 hours"; s.27 confined to *consumption*; bail restrictions confined to ss. 19, 24, 27A and commercial-quantity cases.

2009 Notification (S.O. 2941/2942(E), 18–11–2009): added **"Note 4"** — notified quantities apply to the **entire mixture/solution/dosage form, not merely pure drug content**. Upheld in *Hira Singh* (2020).

2014 Amendment (Act 16 of 2014, w.e.f. 1–5–2014): gave statutory effect to *Hira Singh*-era and *Indian Harm Reduction Network* positions — s.31A death made optional ("punishment not less than s.31 *or with death*"); s.52A expanded to controlled substances & conveyances; essential narcotic drugs regime; small-quantity maximum raised to 1 year.

2021 Amendment (Act 48 of 2021): corrected cross-references (e.g. s. 27A definition clause renumbered to s. 2(viiib)).

5. Salient features

1. **Two streams of substances** — narcotic drugs (sleep-inducing; derived from the cannabis, coca and opium plants and their manufactured derivatives) and psychotropic substances (which act on the mind — mood, thought, emotion, behaviour, perception; natural or synthetic and listed in the Schedule).
2. **Reformative as well as deterrent** — s.64A immunity for addicts volunteering for de-addiction (reformative) coexists with ss. 31/31A enhanced and capital punishment (deterrent).
3. **General prohibition** of cultivation, production, manufacture, possession, sale, purchase, transport, warehousing, use, consumption, import/export and transhipment, except for **medical or scientific purposes** (s.8), with permit regimes of the Centre (s.9) and States (s.10).
4. **Quantity-based three-tier punishment** post-2001 — small quantity; intermediate (more than small but less than commercial); commercial quantity.
5. **Reverse presumptions** — s.35 presumes culpable mental state; s.54 presumes commission of the offence from unsatisfactorily accounted possession.
6. **Heightened standard of rebuttal** — under s.35(2) the accused must disprove the presumption **beyond reasonable doubt**, not merely by preponderance of probability (contrast ordinary IPC accusatorial standards).
7. **Special Courts** (s.36) for speedy trial; all offences **cognizable**; specified offences **non-bailable** with twin conditions (s.37).
8. **Strict procedural safeguards** at search/seizure (ss.42, 50) balancing the stringent law against false implication; report of arrest/seizure within 48 hours (s.57); production before Magistrate within 24 hours (s.52 read with Art. 22(2)).
9. **Chain-of-custody statute** — s.52A makes Magistrate-certified inventory, photographs and samples **primary evidence**.

10. **No probation** (s.33 bars s.360 CrPC / Probation of Offenders Act except for under-18s and ss.26/27 cases); **no remission/commutation** (s.32A, except s.27).
11. **Pardon/immunity** machinery (s.64); publication of convicts' names (s.40); vexatious searches punished (s.58); confiscation (ss.60–63).

Why a special Act at all? Notably, ss. 272–276 IPC were grossly insufficient against drug trafficking; NDPS is a **special/socio-economic criminal statute**. Under s.51 NDPS, CrPC applies only *"in so far as not inconsistent"* with the Act — where there is a conflict, NDPS prevails. In *State of Gujarat v. Mohanlal Jitamalji Porwal* the Supreme Court characterised such socio-economic crimes as **more heinous than murder**: murder injures an individual, while narcotics destroy a whole generation and the national economy — they are committed with a cool mind, for avarice, by organised syndicates.

Part A — Definitions of Narcotic Drug, Psychotropic Substance and Controlled Substance

The entire sentencing architecture of the NDPS Act rests on **correctly classifying the seized substance**. The five prescribed cases repeatedly demonstrate that the court must first identify the drug and the entry under which it falls; only then can quantity, and therefore sentence, be determined. (*Harjit Singh*, para 24.)

1. "Narcotic Drug" — s. 2(xiv)

SECTION 2(XIV)
"narcotic drug" means **coca leaf, cannabis (hemp), opium, poppy straw and includes all manufactured drugs**.

Narcotic — from the Greek *narkos* (numbness/sleep) — denotes substances inducing stupor. The definition is **inclusive and exhaustive by enumeration**: four plant-based materials plus the manufactured-drug family. The definitional chain is best understood visually:

Opium in detail — s. 2(xv) [the provision at the heart of Harjit Singh]

Clause (a) — "pure" opium
the **coagulated juice** of the opium poppy. "Coagulated" means solidified, clotted, curdled — something which has commenced in a curdled/solid form. The proviso (0.2% morphine cut-off) has **no application** to clause (a).

Clause (b) — mixture
any mixture, **with or without neutral material**, of the coagulated juice; **but does not include** any preparation containing **not more than 0.2% morphine**. The morphine-content question arises *only* here (and for opium derivatives under s.2(xvi)).

Botany noted by the Supreme Court in *Harjit Singh*: the poppy secretes juice (opium) containing alkaloids — **morphine (the primary alkaloid), codeine, thebaine**. Pure opium "once seen and smelt can never be forgotten" because of its characteristic appearance and scent; chemical analysis is essential under the NDPS Act to prove the case, but the morphine *percentage* is irrelevant for quantity classification where clause (a) applies.

Opium derivative — s. 2(xvi)

(a) medicinal opium; (b) prepared opium (product suitable for smoking, incl. dross/residue after smoking); (c) phenanthrene alkaloids — **morphine, codeine, thebaine and salts**; (d) **diacetylmorphine = diamorphine = heroin**; (e) all preparations containing **more than 0.2% morphine** or containing any diacetylmorphine.

Doctrinal consequence (settled in Harjit Singh, para 22): Heroin (diacetylmorphine) is an "opium derivative" under s.2(xvi)(d)/(e) and therefore a "manufactured drug" under s.2(xi)(a), punished under **s.21** — not under s.18 which deals with opium. This is why *E. Micheal Raj* (a heroin case) could not govern an opium case.

2. "Psychotropic Substance" — s. 2(xxiii)

SECTION 2(XXIII)
"Psychotropic substance" means **any substance, natural or synthetic, or any natural material or any salt or preparation of such substance or material, included in the list of psychotropic substances specified in the Schedule**.

- The Schedule (originally Entries 1–76 with Entry 77 as residuary "salts and preparations"; renumbered post-2001, residuary becoming Entry 111) controls identification. The Central Government may add/omit entries under **s.3** to meet 1971 Convention obligations.
- Examples: LSD, MDMA (ecstasy), methamphetamine, amphetamine, methaqualone, diazepam, alprazolam, buprenorphine, fentanyl, zolpidem.
- Punished under **s.22**; the 2001 Notification fixes small/commercial quantities for each entry.

3. "Controlled Substance" — s. 2(viid)

SECTION 2(VIID)
"controlled substance" means **any substance which the Central Government may, having regard to the available information as to its possible use in the production or manufacture of narcotic drugs or psychotropic substances or to the provisions of any International Convention, by notification in the Official Gazette, declare to be a controlled substance**.

These are **precursor chemicals** (e.g. acetic anhydride, ephedrine, pseudoephedrine, anthranilic acid) — not themselves drugs of abuse but essential to illicit manufacture. They are regulated under **s.9A** and breach of a s.9A order is punished under **s.25A** (RI up to 10 years + fine up to ₹1 lakh). The controlled-substance concept also feeds search provisions (ss.41–43, 49, 50(5)) and forfeiture (s.60).

4. The quantity definitions that drive sentencing

s. 2(vii-a) — "Commercial quantity"
"in relation to narcotic drugs and psychotropic substances, means **any quantity greater than the quantity specified** by the Central Government by notification in the Official Gazette."

s. 2(xxiii-a) — "Small quantity"
"means **any quantity lesser than the quantity specified** by the Central Government by notification in the Official Gazette."

The operative thresholds are in **Notification S.O. 1055(E), dated 19-10-2001** (239 entries), amended by S.O. 2941/2942(E), dated 18–11–2009 which added **Note 4**. The interval between the small-quantity threshold and the commercial threshold is colloquially the **"intermediate/lesser quantity"** band (expressly punished in ss.20(b)(ii)(B), 21(b), 22(b)).

Substance	Notification entry	Small quantity	Commercial quantity	Punishing section
Opium	Entry 92	**25 g**	**2.5 kg**	s.18
Morphine	Entry 77	5 g	250 g	s.21
Heroin (diacetylmorphine)	Entry 56	5 g	250 g	s.21
Opium derivatives (general)	Entry 93	5 g	250 g	s.21
Codeine	—	10 g	1 kg	s.21
Cocaine	—	2 g	100 g	s.21
Charas / hashish (cannabis resin)	Entry 23	100 g	1 kg	s.20
Ganja	Entry 55	1 kg	20 kg	s.20
Coca leaf	Entry 26	100 g	2 kg	s.16
Poppy straw	Entry 110	1 kg	50 kg	s.15
MDMA (ecstasy)	—	0.5 g	10 g	s.22
Amphetamine / Methamphetamine	—	2 g	50 g	s.22
Methaqualone	—	20 g	500 g	s.22
LSD	—	2 mg	100 mg	s.22
Alprazolam / Diazepam	—	5 g / 20 g	100 g / 500 g	s.22

The entry numbers and thresholds are those used by the Supreme Court in the prescribed cases (Entries 56, 77, 92, 93; Entry 23 charas 100 g; Entry 55 ganja 1 kg — *Hira Singh*, para 5.10) and the Department of Revenue's published table. **Historical note:** thresholds have been revised over time; at the time of the 2003 recovery in *Harjit Singh*, the parties cited the morphine entry as 0.5 g (small) / 250 g (commercial), whereas the current notified threshold for morphine is 5 g / 250 g. The case argument in the notes reproduces the figures as they appear in the DU case material.

Notes to the Notification — the crux of Hira Singh

Note 2: "The quantities shown against the respective drugs listed above also apply to the **preparations** of the drugs and the preparations of the substances of Note 1 above."
Note 4 (inserted 18-11-2009): "The quantities shown in columns 5 and 6 of the Table … shall apply to the **entire mixture or any solution** or any one or more narcotic drugs or psychotropic substance of the particular drug in dosage form or isomers, esters, ethers and salts … and **not just its pure drug content**."
Entry 239 (* / **): for a mixture/preparation of *two or more drugs* with or without neutral material, take the **lesser of the small quantities** and the **lesser of the commercial quantities** of the constituent drugs.

5. Other working definitions frequently needed

Term	Section	Content & significance
Addict	s.2(i)	A person who has **dependence** on any narcotic drug or psychotropic substance (substituted 2001). Anchors ss.27, 39, 64A.
Illicit traffic	s.2(viiib)	Cultivation/production/manufacture/possession/sale/transport/warehousing/concealment/use/consumption/import/export/transhipment or dealing outside permitted limits; includes **financing, abetting/conspiring, harbouring**, and letting premises. Feeds ss.27A and PITNDPS Act.
Preparation	s.2(xx)	One or more such drugs/substances in **dosage form or any solution or mixture, in whatever physical state**, containing them — central to *Hira Singh*: the Act always punished preparations, not merely pure content.
Production	s.2(xxii)	Separation of opium, poppy straw, coca leaves or cannabis from the plants.
"Use"	s.2(xxviiia)	Any kind of use **except personal consumption** (consumption is separately dealt with by s.27).
Controlled delivery	s.2(vii-b)	Allowing illicit/suspect consignments to pass with the knowledge and supervision of an empowered officer (s.50A) to identify offenders — an investigative technique.
Corresponding law	s.2(vii-c)	Any foreign law corresponding to the Act — relevant to s.31(3)/31A(2) (foreign convictions count) and s.8A.
Essential narcotic drug	s.2(viiia)	A narcotic drug notified by the Centre for **medical and scientific use** (added 2014).
Conveyance	s.2(viii)	Any aircraft, vehicle or vessel — liable to search (s.49), confiscation (s.60(3)) and disposal under s.52A.
International Conventions	s.2(ix)	Single Convention 1961 (as amended 1972); Convention on Psychotropic Substances 1971; later conventions ratified by India (incl. 1988 Convention).
Psychotropic list	s.3	Central Government may, by Gazette notification, add to or omit from the Schedule, having regard to scientific knowledge and convention obligations.

Part B — Authorities and Officers (Sections 4, 6, 7; with ss. 5, 53)

1. Section 4 — Central Government's functions and power to create agencies

SECTION 4(1)

Subject to the provisions of the Act, the Central Government **shall take all such measures as it deems necessary or expedient for preventing and combating abuse of narcotic drugs and psychotropic substances and the illicit traffic therein, and for ensuring their medical and scientific use**.

Section 4(2) enumerates the measure-area (illustrative, not exhaustive):

Clause	Measure
(a)	**Coordination** of actions by various officers, State Governments and other authorities under the Act or under any other enforcement law.
(b)	Obligations under the **International Conventions**.
(c)	Assistance to foreign authorities and international organisations for coordinated action against illicit traffic.
(d)	**Identification, treatment, education, after-care, rehabilitation and social re-integration of addicts**.
(da)	Availability of narcotic drugs and psychotropic substances for **medical and scientific use** (inserted 2014).
(e)	All other matters necessary for effective implementation.

SECTION 4(3) — THE NCB CLAUSE

The Centre may, by Official Gazette order, constitute **an authority or a hierarchy of authorities** by such name(s) as specified, to exercise such powers/functions of the Centre under the Act as are mentioned in the order, subject to the Centre's supervision and control.

Exercising this power, the Government of India constituted the **Narcotics Control Bureau (NCB)** on **17 March 1986**, with the Director General NCB; s.50A later specifically empowered the DG-NCB (or authorised officer) to undertake **controlled delivery**. The NCB is the apex coordination/enforcement body and national nodal agency under the anti-drug conventions.

2. Section 5 — Officers of the Central Government

- **s.5(1):** the Centre **shall appoint a Narcotics Commissioner** and may appoint other officers with such designations as it thinks fit.
- **s.5(2):** the Narcotics Commissioner — by himself or through subordinate officers — exercises all powers/functions relating to **superintendence of cultivation of the opium poppy and production of opium**, plus other entrusted functions.
- **s.5(3):** officers are under the general control of the Central Government (or the Central Board of Indirect Taxes & Customs/other authority if so directed).

3. Section 6 — The NDPS Consultative Committee

- **s.6(1):** the Centre may constitute an advisory body named "**The Narcotic Drugs and Psychotropic Substances Consultative Committee**" to advise on matters of administration of the Act referred to it.
- **s.6(2):** a Chairman + members **not exceeding 20**, appointed by the Centre.
- **s.6(3):** meets when required; regulates its own procedure.
- **s.6(4):** may constitute **sub-committees** and co-opt non-members (including non-officials).
- **s.6(5):** term, filling of casual vacancies and allowances are rule-prescribed.

4. Section 7 — Officers of the State Government

- **s.7(1):** the State Government may appoint officers with such designations as it thinks fit for the purposes of the Act (e.g. State Excise/Drugs Control/Police empowered officers).
- **s.7(2):** they work under the general control and direction of the State Government or any designated authority.

5. Related machinery: s. 53 — power to invest departmental officers with SHO powers

s.53(1): the Centre (after consulting the State Government) may, by notification, invest officers of central excise, narcotics, customs, revenue intelligence, para-military/armed forces with the **powers of an officer-in-charge of a police station** for investigation of NDPS offences. **s.53(2):** the State Government may similarly invest officers of drugs control, revenue or excise departments. This is why NCB/Customs/DRI officers can file charge-sheets and receive seized stock under s.52A(2).

Part C — National Fund for Control of Drug Abuse (Section 7A; s. 7B)

Chapter IIA was inserted by the 1989 amendment.

SECTION 7A(1) — CONSTITUTION AND CREDITS

The Central Government may constitute a Fund called the **National Fund for Control of Drug Abuse**. There shall be credited to it —
(a) moneys provided by Parliament after due appropriation;
(b) **sale proceeds of property forfeited under Chapter VA**;
(c) grants made by any person or institution;
(d) income from investment of the Fund.

SECTION 7A(2) — APPLICATION OF THE FUND

The Fund is applied to meet expenditure on measures for —
(a) combating **illicit traffic** in NDPS/controlled substances; (b) **controlling drug abuse**; (c) **identifying and treating/rehabilitating addicts**; (d) preventing drug abuse; (e) **educating the public** against drug abuse; (f) **supplying drugs to addicts where medically necessary**.

- **s.7A(3)–(5):** a **Governing Body** (Chairman not below the rank of Additional Secretary; up to six members) advises and sanctions expenditure up to the notified limit; it regulates its own procedure.
- **s.7B:** the Government shall prepare an **annual report** of activities financed under the Fund and cause it to be laid before Parliament.

Policy link: the Fund operationalises s.4(2)(d) (rehabilitation) and gives a statutory channel for ploughing forfeited trafficking assets back into demand-reduction and de-addiction — an early example of asset-forfeiture-funded social remediation.

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Part D — Prohibition, Control and Regulation (Sections 8, 9, 9A)

1. Section 8 — Prohibition of certain operations (the core prohibition)

SECTION 8

No person shall —
(a) cultivate any **coca plant** or gather any portion of it; or
(b) cultivate the **opium poppy** or any **cannabis plant**; or
(c) **produce, manufacture, possess, sell, purchase, transport, warehouse, use, consume, import inter-State, export inter-State, import into India, export from India or tranship** any narcotic drug or psychotropic substance,
except for medical or scientific purposes and in the manner and to the extent provided by the Act/rules/orders and in accordance with the terms of any licence, permit or authorisation.

- **First proviso:** the prohibition on cannabis cultivation for **ganja**, and on production/possession/use/consumption/purchase/sale/transport/warehousing/inter-State movement of ganja for non-medical/scientific purposes, takes effect only from a date the Centre notifies.
- **Second proviso:** s.8 does not apply to **export of poppy straw for decorative purposes**.
- Breach of s.8 is the **threshold illegality** for every penalty section (ss.15–22): e.g. in *Harjit Singh*, possession of commercial opium "violated s.8" and attracted s.18(b).

Section 8A (inserted 2001) creates the domestic money-laundering-type offences over drug-derived property — conversion/transfer, concealment/disguise, or acquisition/possession/use of property known to be derived from an NDPS offence; breach is punished under s.27B (3–10 years RI).

2. Section 9 — Central Government's power to permit, control and regulate

Section 9(1) empowers the Centre, **subject to s.8, by rules**, to permit and regulate:

- (a)(i) cultivation/gathering of the **coca plant** and production/possession/sale/purchase/transport/inter-State movement/use/consumption of coca leaves (only on Central Government account);
- (a)(ii) cultivation of the **opium poppy** (only on Central Government account);
- (a)(iii) production/manufacture of **opium** and production of poppy straw; (iiia) poppy straw from un-lanced plants (2014);
- (a)(iv) sale of opium and opium derivatives from **Central Government factories** for export or to States/manufacturing chemists;
- (a)(v) manufacture of **manufactured drugs** (other than prepared opium); (va) **essential narcotic drugs** (2014, with licence transition protection);
- (a)(vi) manufacture/possession/transport/sale/purchase/consumption/use of **psychotropic substances**;
- (a)(vii) **import into/export from India and transhipment**; and (b) all ancillary control matters.

Section 9(2) details the rule-content: licensing for poppy cultivation, compulsory delivery of all opium produce to authorised officers, weighment/examination/classification, price-fixing, confiscation of adulterated opium, licence forms/fees/authorities/appeals, ports for import/export, etc. **Section 10** gives parallel (narrower) powers to State Governments (poppy straw, opium, cannabis excluding charas, medicinal opium, manufactured drugs other than prepared opium/ENDs). Other regulatory provisions: s.11 (no distress/attachment), s.12 (restrictions on external dealings — breach punished s.24), s.13 (coca for flavouring), s.14 (special cannabis provision).

3. Section 9A — Power to control and regulate controlled substances

SECTION 9A (INSERTED 1989)

(1) If the Central Government is of the opinion that, having regard to the use of any **controlled substance** (precursor) in production/manufacture of any NDPS, it is necessary or expedient **in the public interest**, it may, by order, provide for **regulating or prohibiting** the production, manufacture, supply and distribution thereof and trade and commerce therein.
(2) The order may, by licences/permits or otherwise, regulate production, manufacture, possession, transport, inter-State movement, sale, purchase, consumption, use, storage, distribution, disposal or acquisition of any controlled substance.

Penalty — s.25A: contravention of a s.9A order is punishable with RI up to **10 years** and fine up to **₹1 lakh** (higher fine permitted for recorded reasons). Precursor control is India's response to Article 12 of the 1988 Convention; common notified precursors include acetic anhydride (used in heroin manufacture), ephedrine/pseudoephedrine (methamphetamine), and N-acetylanthranilic acid (methaqualone).

Licensing division of labour
Centre (s.9): poppy/coca cultivation on Government account, opium manufacture and inter-State/foreign trade, psychotropic manufacture.
States (s.10): possession/transport/sale/use of opium & manufactured drugs, cannabis (excl. charas), prepared opium for registered addicts.

Why the distinction matters in court
Lawful possession must trace to a s.9/s.10 licence. Where a licence-holder's premises are searched, the s.42 proviso requires the officer to be **not below the rank of sub-inspector**. Unauthorised possession regardless of motive violates s.8 (subject to s.35 mental-state presumption).

Part E — Presumptions under the Act (Sections 35 and 54)

The NDPS Act is a classic **socio-economic/welfare penal statute** where the common law presumption of innocence is statutorily diluted. Two distinct presumptions operate: **s.35 (guilty mind)** and **s.54 (possession → commission)**. Note the heightened rebuttal standard in s.35(2).

1. Section 35 — Presumption of culpable mental state

SECTION 35(1)

In any prosecution for an offence under this Act **which requires a culpable mental state of the accused, the court shall presume the existence of such mental state**; but it shall be a defence for the accused to prove the fact that he had no such mental state with respect

to the act charged.
Explanation: "culpable mental state" includes **intention, motive, knowledge of a fact and belief in, or reason to believe, a fact**.

SECTION 35(2) — STANDARD OF PROOF
A fact is said to be proved only when the court **believes it to exist beyond reasonable doubt** and not merely when its existence is established by a **preponderance of probability**.

Nature of the presumption
Rebuttable presumption of law as to *mens rea*. Once the prosecution proves the actus (possession/transport etc.), knowledge/intention is presumed. The accused must positively prove lack of the mental state.

Contrast with ordinary criminal law
Under the IPC the prosecution proves mens rea beyond reasonable doubt; an accused acquits by creating a reasonable doubt. In socio-economic statutes the accused generally rebuts on preponderance (e.g. PMLA s.24). **Under NDPS s.35(2) the accused must go beyond preponderance — up to beyond reasonable doubt.**

Comparative position: IPC — presumption of innocence, accused need only raise a probability/doubt; NDPS — presumption of commission of crime (ss.35, 54) and the accused must disprove beyond reasonable doubt. This is constitutionally saved because the offence is grave, the facts are specially within the accused's knowledge, and licence/permit records are accessible to him (Illustrations (e)/(f) to s.106 Evidence Act logic). In *Devendra @ Kalu v. State (2020)* and a consistent line of decisions the Court has read s.35 as shifting only the evidential burden after the prosecution establishes possession; the prosecution still proves the prohibited act and seizure beyond doubt.

2. Section 54 — Presumption from possession of illicit articles

SECTION 54
In trials under this Act, it may be **presumed, unless and until the contrary is proved, that the accused has committed an offence** under this Act in respect of —
(a) any narcotic drug/psychotropic substance/controlled substance;
(b) any opium poppy, cannabis plant or coca plant growing on any land which he has cultivated;
(c) any apparatus specially designed, or group of utensils specially adapted, for manufacture; or
(d) any materials which have undergone any process towards manufacture, or any residue left from manufacture,
for the possession of which he fails to account satisfactorily.

Section 54 is an evidentiary presumption triggered by **unexplained possession**. The prosecution must first prove possession of the article; if the accused gives no satisfactory account, the court may presume he committed the offence in respect of it — e.g. possession of manufacturing apparatus/partially processed material supports a manufacture charge. It is "may presume" (rebuttable), leaving the court discretion under s.4 Evidence Act.

Part F — Offences and Penalties (Chapter IV)

Chapter IV (ss.15–32A) follows the subject-matter of the contraband (ss.15–24), connected conduct (ss.25–27A), inchoate/secondary liability (ss.28–30), recidivism/capital sentencing (ss.31, 31A), residuary liability (s.32), sentencing limitations (ss.32A, 32B, 33, 34) and the s.35 presumption.

1. The sentencing code — substance-wise sections and quantity bands

Section	Contraband / conduct	Small quantity	Intermediate (more than small, less than commercial)	Commercial quantity
s.15	Poppy straw	Graded similarly (RI up to 6 months/₹10,000 → up to 10 years/₹1 lakh → 10–20 years + ₹1–2 lakh).		
s.16	Coca plant & coca leaves	Graded three-tier structure.		
s.17	Prepared opium	Graded three-tier structure.		
s.18	**Opium poppy & opium** (cultivation, production, manufacture, possession, sale, purchase, transport, inter-State import/export, use)	RI up to **1 year** and/or fine up to ₹10,000 (cl. a)	RI up to **10 years** + fine up to ₹1 lakh (cl. c)	**10–20 years RI + ₹1–2 lakh fine**; higher fine for recorded reasons (cl. b, proviso)
s.19	**Embezzlement/illegal disposal of opium by a licensed cultivator**	Flat **10–20 years RI + ₹1–2 lakh fine** (quantity-independent). One of the s.37 strict-bail sections and a s.31A predicate offence.		
s.20	**Cannabis plant & cannabis**	(b)(ii)(A): RI up to 1 yr and/or ₹10,000	(B): RI up to 10 yrs + ₹1 lakh	(C): 10–20 yrs + ₹1–2 lakh. Cultivation under (a)/cl.(i): RI up to 10 yrs + ₹1 lakh.
s.21	**Manufactured drugs & preparations** (incl. heroin, cocaine, morphine, opium derivatives)	(a) RI up to 1 yr and/or ₹10,000	(b) RI up to 10 yrs + ₹1 lakh	(c) 10–20 yrs + ₹1–2 lakh
s.22	**Psychotropic substances** (Schedule list)	(a) RI up to 1 yr and/or ₹10,000	(b) RI up to 10 yrs + ₹1 lakh	(c) 10–20 yrs + ₹1–2 lakh
s.23	Illegal import into/export from India or transhipment	Tiered; commercial-tier offences feed s.31A and the 180-day investigation rule.		
s.24	External dealings in contravention of s.12	Strict 10–20 year regime; quantity-independent predicate for ss.31A, 37, 36A(4).		
s.25	Knowingly allowing premises/animal/ conveyance to be used for an offence	Same punishment as the offence permitted.		
s.25A	Contravention of s.9A orders (precursors/ controlled substances)	RI up to **10 years** + fine up to ₹1 lakh (higher for recorded reasons).		

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Section	Contraband / conduct	Small quantity	Intermediate (more than small, less than commercial)	Commercial quantity
s.26	Licensee/servant failures (accounts, returns, false statements, licence breaches)	Up to 3 years/fine/both. Probation available (s.33 exception).		
s.27	**Consumption** of any NDPS	(a) cocaine, morphine, diacetylmorphine or notified drugs: RI up to **1 year** + fine up to ₹20,000; (b) others: simple/RI up to **6 months** + ₹10,000. *Quantity-independent; post-2001 possession removed from s.27.*		
s.27A	**Financing illicit traffic & harbouring offenders**	**10–20 years RI + ₹1–2 lakh fine** — quantity-independent; strict bail under s.37; predicate for s.31A and 36A(4).		

s.27A needs no quantity — important in *Rhea Chakraborty v. UOI* (Special NDPS Court, 14-9-2020 rejected bail on the ground that s.27A does not require quantity of prohibited drugs; Bombay High Court granted bail on 7-10-2020 on merits). Financing/harbouring is treated as severely as commercial trafficking because money is the engine of the trade.

2. Section 18 dissected (the section in Harjit Singh)

Actus reus: whoever, in contravention of the Act/rule/order/licence-condition, *cultivates the opium poppy or produces, manufactures, possesses, sells, purchases, transports, imports inter-State, exports inter-State or uses opium*. **Sentence** keyed to quantity: (a) small → up to 1 yr/₹10,000; (b) commercial → mandatory minimum 10 years, up to 20, fine ₹1 lakh (min)–₹2 lakh, with a proviso allowing higher fine for recorded reasons; (c) other/intermediate → up to 10 years/₹1 lakh. In *Harjit Singh*, 7.10 kg opium (commercial threshold 2.5 kg under Entry 92) attracted s.18(b): RI 10 years + ₹1 lakh + 6 months' default imprisonment — affirmed at all three levels.

3. Sections 28–30 — attempt, abetment/conspiracy and preparation

Section	Liability	Punishment / rule
s.28	Attempt to commit any Chapter IV offence (or causing it), where any act **towards commission** is done	Same punishment as the completed offence.
s.29	**Abetment or criminal conspiracy** to commit a Chapter IV offence — whether or not the offence is committed; non obstante clause overriding **s.116 IPC**; extra-territorial abetment/conspiracy within India also covered	Same punishment as the offence — unlike IPC, even unsuccessful abetment/conspiracy draws full punishment.
s.30	**Preparation**: making preparation to do (or omit) anything which constitutes an offence under **ss.19, 24, 27A** or a **commercial-quantity** offence, where circumstances show determination but prevention by causes independent of will	Half the minimum term (if any), up to half the maximum term; fine not less than half the minimum (if any), up to half the maximum; proviso allows higher fine for recorded reasons.

IPC ↔ BNS cross-reference (inchoate liability): s.28 NDPS parallels the general attempt provision **IPC s.511 → BNS s.62**; s.29 NDPS parallels abetment (**IPC s.107 → BNS s.45**; punishment **IPC s.109 → BNS s.49**; abetment where offence not committed **IPC s.116 → BNS s.56**) and criminal conspiracy (**IPC ss.120A/120B → BNS s.61**). The NDPS special rule is stricter — full punishment even if the offence is not committed.

4. Sections 31 and 31A — recidivism and capital punishment

s.31 — enhanced punishment after previous conviction: a person previously convicted of (or attempt/abetment/conspiracy to commit) any NDPS offence, subsequently convicted of an offence with the same punishment, is punished for the second/subsequent offence with **1½ times the maximum term** and **1½ times the maximum fine** (post-2014; earlier it was 1½ of the minimum where minimum sentence exists). A conviction under a **corresponding foreign law** counts (s.31(3)).

s.31A — death penalty for certain repeat offences (inserted 1989; narrowed 2001; made optional in 2014):

- **First conviction** must be under **s.19, s.24 or s.27A**, or for an offence involving **commercial quantity** (these are quantity-independent in ss.19/24/27A).
- **Second/subsequent conviction** must be for specified production/manufacture/possession/transport/import/export/transhipment of table-listed drugs at or above the table quantity, **or financing** such activities.
- Table quantities: **opium 10 kg; morphine 1 kg; heroin 1 kg; codeine 1 kg; thebaine 1 kg; cocaine 500 g; hashish 20 kg; LSD 500 g; THC 500 g; methamphetamine/methaqualone/amphetamine 1,500 g; salts & preparations of (ix)–(xiii) 1,500 g; mixture — the lesser constituent threshold**.
- Pre-2014: "shall be punishable with death." Post the Bombay High Court decision *Indian Harm Reduction Network v. UOI* (2011) and the 2014 amendment: "shall be punished with **punishment which shall not be less than the punishment specified in s.31 or with death**" — i.e. judicial discretion restored; death only on **special reasons** (s.354(3) CrPC) in the rarest-of-rare category (Bachan Singh).
- Foreign previous convictions under corresponding laws count (s.31A(2)).

s.32 (residuary penalty): contravention of the Act/rules/order/licence for which no separate punishment is provided — imprisonment up to **6 months**, or fine, or both.

5. Sentencing limitations and ancillary provisions

- **s.32A:** no suspension, remission or commutation of any NDPS sentence other than s.27 (subject to s.33).
- **s.32B (2014):** factors for imposing more than the minimum — (a) use/threat of violence or arms; (b) public-office holder abusing office; (c) minors affected/used; (d) offence in/near educational institutions or places children frequent; (e) membership of organised international/criminal group; (f) other linked illegal activities.
- **s.33:** s.360 CrPC and the Probation of Offenders Act, 1958 do not apply, except to persons **under 18** or offences under s.26 or s.27.
- **s.34:** bond for abstaining from NDPS offences, up to 3 years.
- **s.38:** offences by companies — in-charge persons deemed guilty unless they prove lack of knowledge/due diligence; directors/manager/secretary/officer liable on consent/connivance/neglect.

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- **s.40:** publication of the convict's name, place of business/residence and nature of contravention at his expense (after appeal time lapses/appeal disposed).
- **s.58 (Chapter V but penal):** punishment for **vexatious entry, search, seizure or arrest** by officers empowered under ss.42–44 — up to 6 months/fine up to ₹1,000/both; and for wilfully/maliciously giving false information causing arrest/search — up to 2 years/fine/both. (General parallel: **IPC s.166 → BNS s.198** — public servant knowingly disobeying law intending injury, up to 1 year simple imprisonment.)

Part G — Procedure: Special Courts, Bail, Search, Seizure, Disposal and Immunity

Chapter V (ss.41–68) is the constitutional-nerve centre of the Act. Because the statute grants extraordinary powers (warrantless entry, arrest and search), the legislature embedded **mandatory checks** — recorded information (s.42), the Gazetted-Officer/Magistrate option in personal search (s.50), reporting time-limits (ss.42(2), 57), and Magistrate-supervised sampling (s.52A). Three of the five prescribed cases (*Karnail Singh, Jadeja, Mohanlal*) interpret these checks.

1. Special Courts — Sections 36, 36A–36D

- **s.36:** the Central/State Government may, by notification, constitute **Special Courts** for speedy trial; each consists of a **single Judge** appointed with the **concurrence of the Chief Justice of the High Court**; only a **Sessions/Additional Sessions Judge** is qualified.
- **s.36A(1)(a): every offence punishable with imprisonment over 3 years is triable only by the Special Court** of the area (thus all commercial and most intermediate offences); s.36A(5): offences punishable with **not more than 3 years may be tried summarily**.
- **s.36A(1)(b):** remand powers — Judicial Magistrate up to **15 days** custody in whole; Executive Magistrate up to **7 days**; the Magistrate must forward the accused to the Special Court if detention becomes unnecessary.
- **s.36A(1)(c):** Special Court exercises s.167 CrPC remand powers. **s.36A(1)(d):** cognizance may be taken on police report or a compliant of an authorised officer **without committal**.
- **s.36A(2):** the Special Court may try non-NDPS offences with which the accused could be charged at the same trial under CrPC.
- **s.36A(3):** the High Court's bail powers under s.439 CrPC remain; "Magistrate" there includes a Special Court.
- **s.36A(4):** for offences under **ss.19, 24, 27A or commercial-quantity** offences, the s.167 default-charge-sheet period of 90 days becomes **180 days**, extendable by the Special Court **up to one year** on the Public Prosecutor's report showing progress and specific reasons.
- **s.36B:** appeals/revision lie to the High Court (Chapters XXIX–XXX CrPC applied; Special Court treated as Sessions Court). **s.36C:** CrPC applies (including bail/bonds); Special Court = Court of Session; prosecutor = Public Prosecutor. **s.36D:** transitional provision — pre-constitution, Sessions Courts try such cases.

2. Bail — Section 37: cognizable and non-bailable

s.37(1)(a): every offence under the Act is **cognizable**. **s.37(1)(b):** no person accused of an offence under **ss.19, 24, 27A**, or any offence involving **commercial quantity**, shall be released on bail/own bond unless —
(i) the **Public Prosecutor has been given an opportunity** to oppose; and
(ii) where opposed, the court is satisfied that **there are reasonable grounds to believe he is not guilty** and that **he is not likely to commit any offence while on bail**.
s.37(2): these are **additional** limitations to the CrPC restrictions.

Small/intermediate-quantity offences remain governed by the ordinary bail code, though all are non-bailable; the 2001 amendment confined the twin "super-bail" conditions to serious categories. In *Rhea Chakraborty* the Special Court stressed that s.27A requires no quantity, triggering s.37 conditions (bail was later granted by the High Court on merits).

3. Addict-friendly procedures — Section 39 (and s.64A)

s.39: where an **addict** is found guilty under **s.27** or of an offence involving **small quantity**, the court may, having regard to age, character, antecedents, physical/mental condition, **with his consent**, instead of sentencing, direct **de-toxification/de-addiction** at a Government maintained/recognised institution on bond (report within ≤1 year); on the treatment report it may release him after admonition on bond for up to 3 years. Section 39 is the judicial-route counterpart of the pre-prosecution immunity under **s.64A** (addict charged under s.27 or small-quantity offences who voluntarily undergoes complete treatment gets immunity; withdrawable if treatment is incomplete).

4. Entry, search, seizure and arrest — Sections 41, 42, 43, 49

Section 41 — power by warrant or authorisation

- **s.41(1):** a Metropolitan Magistrate, JMFC or specially empowered JM-II may issue warrant of arrest / for search (day or night) of building, conveyance or place on reason-to-believe.
- **s.41(2):** a **Gazetted officer** of central excise/narcotics/customs/revenue intelligence/other central dept. (incl. para-military/armed forces) or of state revenue/drugs control/excise/police, empowered by general/special order, may on personal knowledge or **information taken in writing** authorise a subordinate (above peon/sepoy/constable rank) or himself arrest/search.
- **s.41(3):** the warrant/addressee officer and the authorising officer have all powers of an officer acting under s.42.

Section 42 — warrantless power over building, conveyance or enclosed place

s.42(1): an empowered officer (superior in rank to peon/sepoy/constable) of the named departments, **if he has reason to believe from personal knowledge or information given by any person and taken down in writing** that drugs/controlled substance/articles/illegally-acquired-property documents are kept/concealed in any **building, conveyance or enclosed place**, may **between sunrise and sunset**: (a) enter & search; (b) break open doors/remove obstacles on resistance; (c) seize drugs, manufacturing materials, articles, animals, conveyances and documents; (d) detain, search and, if he thinks proper, arrest.
Proviso 1 (2014): for a licence-holder for manufacture of manufactured drugs/psychotropic/controlled substances, such power must be exercised by an officer **not below sub-inspector rank**.
Proviso 2 (night search): if a warrant cannot be obtained without affording opportunity for concealment/escape, he may enter between **sunset and sunrise after recording grounds of belief**.
s.42(2): where information is taken down or grounds recorded, he must send a copy **within 72 hours** (pre-2001: "forthwith") to his immediate official superior.

Section 43 — public place/in-transit power (no written-information requirement)

Any officer of a s.42 department may (a) **seize in any public place or in transit** drugs/controlled substances, plus animals/conveyances/articles/documents; (b) detain and search any person he has reason to believe committed an offence, and if unlawful possession appears, **arrest him and any person in his company**.
"**Public place**" (Explanation) includes any **public conveyance, hotel, shop or other place intended for use by, or accessible to, the public**.

Key 42/43 distinction (Karnail Singh, para 12): s.42 requires *recording reasons/information in writing before search* of a building/conveyance/enclosed place; **s.43 contains no such requirement** for public-place seizures. Characterising the scene decides compliance.

Section 49 — stopping and searching conveyances

An officer authorised under s.42, suspecting an animal/conveyance is or is about to be used for transport in contravention, may at any time **stop it** (and compel aircraft to land), (a) rummage/search; (b) examine goods; (c) use all lawful means to stop it, and where such means fail, **fire upon** the animal/conveyance.

5. Personal search — Section 50 (the most litigated provision)

s.50(1): when an officer duly authorised under s.42 is about to search **any person** under ss.41, 42 or 43, **he shall, if such person so requires, take such person without unnecessary delay** to the nearest Gazetted Officer of a s.42 department or the nearest Magistrate.
(2): if requisition is made, the officer may **detain** the person until produced.
(3): the Gazetted Officer/Magistrate shall, if he sees **no reasonable ground**, **forthwith discharge**; otherwise **direct that the search be made**.
(4): no female shall be searched except by a female.
(5) (added 2001): where the officer has reason to believe it is **not possible** to take the person to the GO/Magistrate without the possibility of his **parting with possession** of drugs/article/document, he may instead search as under **s.100 CrPC** (two/more respectable witnesses).
(6) (added 2001): record reasons for that belief and send a copy to the superior **within 72 hours**.

6. Post-arrest / post-seizure procedure and the chain of custody

- **s.52:** inform arrestee of grounds; forward persons/articles without unnecessary delay to the warrant-issuing Magistrate, the officer-in-charge of the nearest police station, or the s.53 empowered officer.
- **s.51:** CrPC applies to warrants, arrests, searches and seizures *in so far as not inconsistent* with the Act. Article 22(2) and CrPC require production before a Magistrate within 24 hours.
- **s.55:** the officer-in-charge of the police station keeps seized articles in safe custody pending Magistrate's orders; affixes seals/takes sealed samples.
- **s.57:** full report of every arrest/seizure to the immediate official superior **within 48 hours**.
- **s.56:** officers of s.42 departments are legally bound to assist each other.
- **s.52A:** Magistrate-supervised certification, photography and representative sampling — the modern evidentiary centrepiece (analysed fully with *Mohanlal* below).
- **ss.60–63:** confiscation: drugs, plants, materials, apparatus, utensils, receptacles, packages, animals/conveyances (unless owner proves lack of knowledge/connivance and all reasonable precautions), concealing goods and sale proceeds; the court decides confiscation even on acquittal/discharge (s.63).

7. Section 52A text (as amended by Act 16 of 2014) — Mohanlal's pivot

(1) Having regard to hazardous nature, vulnerability to theft/substitution, storage constraints etc., the Centre may notify drugs/psychotropic/controlled substances or conveyances (or classes) to be disposed of soon after seizure, by officers and in the manner determined.
(2) Where seized items are forwarded to the SHO/s.53 officer, the officer must prepare an inventory with description, quality, quantity, packing, marks, numbers, identity particulars, country of origin, and apply to a Magistrate for — (a) certifying inventory correctness; (b) photographs in his presence certified true; (c) drawing representative samples in his presence and certifying the sample list.
(3) the Magistrate shall allow the application **as soon as may be**.
(4) every court trying an NDPS offence shall treat the certified inventory, photographs and sample list as **primary evidence**, notwithstanding the Evidence Act, 1872 or CrPC.

Reading (Mohanlal, paras 13–14): the statute does **not** mandate spot-sampling; sampling is to be done under Magistrate supervision after seizure; the application must be made **without undue delay**, and High Courts must watch Magistrates' performance. Standing Order 1/89 para 2.2 (duplicate spot samples) yields to the statute where inconsistent; the 2015 Notification governs disposal.

8. Immunity and pardon — Section 64 (and s.64A)

s.64(1): the Central/State Government, if of opinion (reasons recorded in writing) that it is necessary/expedient to obtain evidence of a person directly/indirectly concerned in or privy to a contravention, may **tender immunity from prosecution** under the Act, IPC or any other Central/State Act, **conditional on full and true disclosure**.
(2): accepted tender makes him immune to the extent tendered.
(3): non-compliance/concealment/false evidence → recorded finding → immunity deemed withdrawn; he may then be tried.
s.64A: an **addict** charged under s.27 or with small-quantity offences who **voluntarily seeks and undergoes de-addiction** at a Government recognised institution is immune from prosecution; immunity withdrawable if treatment is not completed.

Pardon comparison: CrPC ss.306–308 (approver pardon by Magistrate) vs **NDPS s.64** (governmental conditional tender, reasons in writing, covering IPC/other laws). Reformative route: s.39 (court-supervised de-addiction after conviction for s.27/small-quantity) and

s.64A (pre-trial voluntary treatment immunity); s.71 empowers Government to establish de-addiction centres and supply addicts drugs on medical necessity (also Fund head s.7A(2)(f)).

Subject of Crime — IPC 1860 and Corresponding BNS 2023 Provisions

Although the NDPS Act is a self-contained special code, several answers require the general criminal-law backdrop. The table below gives the IPC provision and its corresponding Bharatiya Nyaya Sanhita, 2023 (in force from 1 July 2024) provision for every point at which the subject of crime intersects the NDPS syllabus.

Concept	Indian Penal Code, 1860	Bharatiya Nyaya Sanhita, 2023	NDPS linkage
Attempt to commit offences	s.511 — punishment for attempting offences punishable with imprisonment for life or other imprisonment	**s.62** (Chapter IV — Abetment, Criminal Conspiracy and Attempt)	**s.28 NDPS** — attempt of a Chapter IV offence draws the *same* punishment as the completed offence (stricter special rule).
Abetment — definition	s.107 (instigation, conspiracy, intentional aid)	**s.45**	**s.29 NDPS** — abetment or criminal conspiracy of a Chapter IV offence is punishable *whether or not the offence is committed*, notwithstanding **IPC s.116 (→ BNS s.56)**; extra-territorial abetment from India covered. NDPS thus overrides the reduced punishment where the offence is not committed.
Abetment in India / abettor	ss.108, 108A	ss.46, 47 (new s.48 — abetment outside India for offence in India)	
Punishment of abetment if act committed (no express provision)	s.109	**s.49**	
Abetment where offence **not committed**	**s.116** (expressly overridden by s.29 NDPS)	**s.56**	
Criminal conspiracy — definition + punishment	ss.120A and 120B	**s.61** (consolidated)	s.29 NDPS (same punishment) and s.2(viiib) treats conspiracy in furtherance of illicit traffic as illicit traffic itself.
Adulteration of food or drink for sale	s.272	**s.274**	These were the only drug-related general offences before 1985 — held grossly insufficient against trafficking, justifying the special NDPS regime. BNS retains them as bailable/non-cognizable minor offences, underscoring the need for the stringent special law.
Sale of noxious food or drink	s.273	**s.275**	
Adulteration of drugs	s.274	**s.276**	
Sale of adulterated drugs	s.275	**s.277**	
Sale of a drug as a different drug/ preparation	s.276	**s.278**	
Public servant knowingly disobeying law with intent to cause injury	s.166	**s.198**	General counterpart to **s.58 NDPS** (vexatious entry/search/ seizure/arrest — up to 6 months/₹1,000; false information causing arrest/search — up to 2 years).
Mandatory death for murder by a life-convict	**s.303** — struck down in *Mithu Singh v. State of Punjab, 1983*	**No equivalent provision**	Used as precedent in *Indian Harm Reduction Network* to strike down mandatory death under the old s.31A NDPS.
Poisonous/negligent conduct with substances endangering life	s.284	s.286	Residual liability for negligent handling of dangerous drugs outside NDPS licensing.

How to write this in an answer: "General inchoate liability under the IPC (s.511; ss.107–116; ss.120A–120B), now re-enacted as ss.62, 45–56 and 61 BNS, is *modified* by the NDPS special rule: ss.28, 29 and 30 NDPS punish attempt, abetment/conspiracy and (for grave commercial offences) preparation with the same, or half the, punishment, and s.29 expressly overcomes s.116 IPC (s.56 BNS). As between the general and special law, the special law (NDPS) prevails."

NDPS special features vs ordinary criminal law (IPC/BNS)

Parameter	IPC 1860 / BNS 2023 (ordinary crimes)	NDPS Act, 1985 (special statute)
Mens rea	Presumption of innocence; prosecution proves guilty mind beyond reasonable doubt.	**s.35** presumes culpable mental state; accused must prove absence — for s.35 facts, **beyond reasonable doubt** (s.35(2)).
Possession	Knowledge/mens rea to be proved by prosecution.	**s.54** presumption of offence from unsatisfactorily accounted possession of drugs/plants/apparatus/materials.
Attempt/ abetment/ conspiracy	Graded/lesser punishment where offence not committed (ss.116, 120B, 511 IPC; ss.56, 61, 62 BNS).	Same punishment (ss.28–29); preparation itself punishable by half sentence in s.30 cases.

by Ankur R. Upadhyay

Parameter	IPC 1860 / BNS 2023 (ordinary crimes)	NDPS Act, 1985 (special statute)
Arrest & search	CrPC safeguards; warrant normally for places.	Warrantless powers (ss.42–43) plus enhanced safeguards — recorded information, s.50 GO/Magistrate option, 24/48/72-hour reports.
Bail	Bail code (CrPC, s.439).	All cognizable; ss.19/24/27A & commercial cases non-bailable with s.37 twin conditions.
Trial	Magistrate/Sessions per schedule.	**Special Courts** (ss.36–36D); >3 years exclusively Special Court; up to 3 years summary; 180-day (extendable to 1 year) investigation for grave cases.
Probation/ remission	Probation of Offenders Act; remission policy.	Barred (ss.32A, 33) except under-18s and ss.26/27; reformative routes only for addicts/small quantity (ss.39, 64A).
Property	Forfeiture limited.	Confiscation (ss.60–63), Chapter VA forfeiture of illegally acquired property, sale proceeds to the National Fund (s.7A(1)(b)).

Prescribed & Landmark Case Law Dossiers — Detailed IRAC Analysis

CASES #15 - #20

CASE #15 DU LL.B. PRESCRIBED AUTHORITY

Harjit Singh v. State of Punjab

(2011) 4 SCC 441 · Supreme Court of India · Author: Dr. B.S. Chauhan, J. (Division Bench with P. Sathasivam, J.) · Decided 30 March 2011

Charging section: s.18(b) NDPS (opium, commercial quantity)

Key provisions: ss.2(xv), 2(xvi), 2(xi), 8, 18; Notification Entries 56, 77, 92, 93

Question: Does morphine % fix the quantity band for pure opium?

Outcome: Appeal dismissed — conviction RI 10 yrs + ₹1 lakh affirmed

Facts (from the DU material, paras 3–7)

- On **4-7-2003**, a police party was going from Focal Point, Mandi Gobindgarh towards the G.T. Road on patrol in a government vehicle. Near a culvert in village **Ambe Majra**, they spotted the appellant coming on foot with a **plastic bag in his right hand**; on seeing the police he **turned to the left**. He was apprehended on suspicion.
- One **Ashok Kumar, an independent witness**, arrived and joined the party. The appellant was **apprised of his s.50 right** to be searched before a Gazetted Officer and his statement was recorded. The ASP, **Shri Dinesh Partap Singh**, was summoned; in his presence Inspector **Amarjit Singh (PW-3)** searched the bag — it contained **opium**.
- Two samples of **10 g each** were drawn; the remaining opium weighed **7.10 kg**. Samples and stock were sealed and taken into possession. ₹510 was recovered on personal search; arrest memo prepared; FIR registered.
- The **FSL report** confirmed the substance was **opium with 0.8% morphine**. Charge-sheet under s.18 followed; the appellant claimed trial.
- At trial the prosecution examined PW-1 Constable Manjinder Singh, PW-2 HC Jagdish Singh, PW-3 Inspector Amarjit Singh, PW-4 ASP Dinesh Partap Singh and PW-5 SI Dalip Singh. The independent witness Ashok Kumar was not examined as he had been "won over". In his s.313 CrPC statement the appellant alleged false implication, claimed he was lifted from home, ₹6,000 snatched, and that he could barely walk after a 1999 accident; he examined six defence witnesses.

Procedural history

1. **Special Judge, Fatehgarh Sahib (2-9-2005):** convicted under s.18; RI 10 years + ₹1,00,000 fine (6 months further RI in default).
2. **Punjab & Haryana High Court (19-5-2010):** dismissed the appeal.
3. **Supreme Court:** SLP/appeal by certificate; both courts had recorded concurrent findings of fact, leaving only the sentence question open.

Issue before the Supreme Court

Whether, where recovered **opium weighs 7.10 kg but contains only 0.8% morphine (56.96 g)**, the sentence must be graded by the **morphine content** (which sat above the small-quantity threshold for morphine but below its commercial threshold), making the maximum 10-year sentence unwarranted — or by the **weight of the opium itself**.

Arguments on behalf of the appellant (Shri R.S. Suri, Senior Advocate)

- Reliance on **E. Micheal Raj v. Intelligence Officer, NCB, (2008) 5 SCC 161**: when a drug is found mixed with neutral substance(s), **only the content of the narcotic drug** is taken into account for punishment.
- 0.8% of 7.10 kg = **56.96 g morphine** — above the 0.5 g minimum but below the 250 g commercial threshold for morphine: an intermediate band, hence the maximum sentence was illegal.

Arguments on behalf of the State (Shri Jayant K. Sud, Addl. Advocate General)

- The recovered material was **opium as such, not a mixture**; it is independently offending material. Morphine percentage becomes relevant only for a mixture/derivative.
- The Notification contains distinct entries: **Entry 92 — opium** (small 25 g; commercial 2.5 kg); **Entry 77 — morphine** (0.5 g / 250 g); **Entry 93 — opium derivatives** (5 g / 250 g). The case falls under Entry 92: 7.10 kg is nearly **three times** the commercial quantity.
- *E. Micheal Raj* was a **heroin** case (an opium derivative/manufactured drug) and has no application to opium.
- The **Notification dated 18-11-2009** (Note 4) provides quantities apply to the entire mixture; the appellant being a mere carrier was irrelevant to the legal position.

Reasoning of the Court

1. **Retrospectivity (Art. 20(1)):** the 2009 amendment/Note 4 created a procedure which could **enhance sentence**; a penal provision enhancing sentence cannot operate retrospectively. The 2009 Notification therefore **did not apply** to the July 2003 recovery.

2. **Nature of opium:** opium is the coagulated juice of the opium poppy and contains alkaloids (morphine, codeine, thebaine — morphine primary). It has a characteristic appearance and strong scent identifiable without chemical analysis; analysis is needed only where it is so diluted in a mixture that its traits are lost. The old *Opium Act* decisions are not authorities under NDPS; under NDPS chemical analysis is essential to prove the case, yet the FSL here established "substance is opium, morphine 0.8%".
3. **Two-clause definition s.2(xv):** clause (a) covers the coagulated juice (pure opium); clause (b) covers mixtures with/without neutral material, with the cut-off that preparations containing ≤ 0.2% morphine are excluded. "Coagulated" means solidified/clotted/curdled. The 0.2% proviso can apply only to clause (b) mixtures.
4. **Application to facts:** the material was opium in its natural coagulated form — no neutral material, no new preparation: clause (a) squarely applied. If morphine content decided punishment for opium, **Entry 92 would be rendered redundant**. Entry 92 exclusively fixes small/commercial quantities of opium; morphine percentage merely indicates potency.
5. **Classification is a pre-condition:** the law first requires identifying and classifying the substance, then finding the entry. Entries: **56 heroin; 77 morphine; 92 opium; 93 opium derivatives**. Morphine is a derivative but is separately notified.
6. **E. Micheal Raj distinguished:** heroin = diacetylmorphine, an opium derivative under s.2(xvi)(d)/(e) and thus a manufactured drug under s.2(xi)(a), punished under s.21. Its ratio (pure content in a mixture) was irrelevant where there was no mixture.
7. **Amarsingh Ramjibhai Barot v. State of Gujarat, (2005) 7 SCC 550** explained: black liquid with 2.8% anhydrous morphine plus poppy flower pieces was treated as an opium derivative under s.2(xvi)(e) (the 0.2% threshold there classified the substance) — a different situation.
8. Possession of 7.10 kg could not be for personal consumption; it violated **s.8** and was rightly punished under **s.18(b)** (commercial: minimum 10, up to 20 years; ₹1–2 lakh fine).

DECISION

The appeal was devoid of merit and **dismissed**; the conviction (RI 10 years + ₹1 lakh fine) was affirmed.

PRINCIPLE / RATIO

(1) **Classify before sentencing**: identify the substance and apply its own Notification entry. (2) For **pure opium (coagulated juice, s.2(xv)(a))**, the **entire weight counts**; morphine percentage is irrelevant to the small/commercial band (Entry 92). (3) Morphine assay matters only for **mixtures under s.2(xv)(b)** or to bring a preparation within the opium-derivative definition s.2(xvi) (e.g. >0.2% morphine). (4) A notification whose effect enhances punishment cannot apply retrospectively (Art. 20(1)).

CASE #16 DU LL.B. PRESCRIBED AUTHORITY

Hira Singh and Another v. Union of India

(2020) 20 SCC 272 · Three-Judge Bench, Supreme Court · Author: M.R. Shah, J. · Reference answered 2020

Nature: Reference to 3-Judge Bench (order in (2017) 8 SCC 162)	**Statutes:** ss.2(xx), (xi), (xiv), (xxiii), (vii-a), (xxiii-a), 21, 22, 27; Notifications 19-10-2001 & 18-11-2009
Overruled: E. Micheal Raj v. NCB (2008) 5 SCC 161	**Upheld:** Note 4 of the 2009 Notification — valid, clarificatory

Genesis and the questions referred

Disagreeing with *E. Micheal Raj*, which held that where a drug is mixed with neutral substance(s) only the pure narcotic content counts for sentence, the Bench framed five questions on 3-7-2017:

1. Does *E. Micheal Raj* need reconsideration for omitting **Entry 239 and Note 2** of the 2001 Notification and the interplay of the Act with s.21?
2. Does the impugned notification redefine the parameters of the offence/punishment?
3. Does the NDPS Act permit the Central Government such a dispensation?
4. Must the **mixture be considered in totality (street weight)**, or only actual drug content?
5. Is **s.21 a standalone provision** or intrinsically linked to the "manufactured drug"/"preparation" provisions?

Arguments for the Union (Shri Aman Lekhi, ASG)

- *E. Micheal Raj* read only s.21 in isolation; the expression "offending material" appears nowhere in the Act; reliance on *Ouseph v. State of Kerala, (2004) 4 SCC 446* was misplaced as that decision passed **sub silentio**.
- **Legislative history**: the original s.2(xx) defined "preparation" (one or more drugs in dosage/solution/mixture); "mixture" = mechanical mixture of two or more substances; s.2(xxiii) psychotropic substance included preparations (Schedule Entry 77 residuary, now 111); narcotic drugs s.2(xiv) included coca leaf, cannabis, opium, poppy straw and manufactured drugs — the Act always covered preparations, not merely pure content.
- Originally only s.27 recognised a "small quantity" (S.O. 827 of 14-11-1985, five drugs); the 1989 amendment did not alter the scheme; the **2001 amendment added s.2(vii-a) and (xxiii-a)** to rationalise sentencing — emphasis remained on quantity of the drug/substance *including preparations*; s.37 was similarly amended and ss.27/64A reworked (possession left s.27; addict immunity narrowed).
- **Note 2** of the 2001 Notification expressly applied notified quantities to **preparations**; **Note 4 (2009)** merely stated the obvious (*ex abundanti cautela*) — even ignoring it, the Act reached the entire mixture/solution.
- **Chapman v. United States**, US Supreme Court (LSD blotter paper; 50 mg LSD on 5.7 g paper): the sentence turned on the weight of the "mixture or substance containing a detectable amount" — the **street weight**, not pure content; "that is a rational sentencing scheme".
- Practical absurdity: small quantity of heroin is 5 g; pure-content theory would make 100 g of street heroin (~0.25 g/dose ≈ 400 doses) a small-quantity offence with six months — traffickers would escape; the object and Preamble demand a literal deterrent reading (Crawford on Statutory Construction; Maxwell via *Directorate of Enforcement v. Deepak Mahajan, (1994) 3 SCC 440*; *Murlidhar Meghraj Loya*; *Reema Aggarwal*; *Rajinder Singh* — fair, pragmatic, common-sense construction; *ex visceribus actus*). Thus s.21 is not standalone; *E. Micheal Raj* is per incuriam.

Arguments for the accused appellants (Shri R.K. Kapoor, Crl. A. No. 722/2017; Shri Manoj Swarup, Crl. A. No. 721/2017)

- **Ultra vires:** ss.2(vii-a)/(xxiii-a) empower the Centre only to notify quantities *of the narcotic drug/psychotropic substance* — there is no power to count **neutral material**, which is neither in Columns 2/4 nor punishable. "What cannot be done directly cannot be done indirectly."
- The A/B illustration: **A** holds 4 g heroin (below 5 g small) → one year; **B** holds 1 g heroin + 250 g neutral material (251 g > 250 g commercial) → up to 20 years: i.e. "one year for heroin and nineteen years for neutral material"; more dilution/less potency would yield more punishment — arbitrary and destructive of the 2001 rationalisation.
- The Government's power is confined to raising/lowering thresholds (e.g. heroin 5 g → 1 g; 250 g → 100 g), never to add neutral weight. "Mixture" is referenced only through "preparation", which speaks of drugs/substances, not neutral material.
- (Swarup) The Act itself recognises neutral material only at defined places — ss.2(iii) cannabis, 2(vi) coca leaf, 2(xv)–(xvi) opium/opium derivative; Note 4 could validly clarify only there. Across-the-board application makes it legislation, expands the offence, and frustrates 2001 rationalisation; *E. Micheal Raj* had no need to discuss Entry 239 because a notification is not the source of power.

Arguments of the Intervenor — Indian Drug Manufacturers' Association (Shri Anand Grover)

- Column 4 uses the **chemical name** of each drug; chemical composition fixes quantity (except natural plant drugs — Entries 23 cannabis/charas, 26 coca leaf, 55 ganja, 92 opium, 110 opium straw, 111 Indian hemp tincture — whose definitions expressly include neutral material).
- Section 2(xi) notifications legitimately exempt pharmaceutical preparations (e.g. codeine Entry 35 and Entries 36, 37, 48, 70, 76, 83, 87): Note 4 would drag exempt medicines into liability "through the back door"; licences run on actual drug quantity while punishment would run on bulk — absurd for the pharmaceutical industry.
- **Legislative acquiescence point:** the Government introduced the NDPS (Amendment) Bill 2011 (No. 78 of 2011) adding "in terms of the pure drug content or otherwise" to both quantity definitions; the Parliamentary Standing Committee rejected "preparation/otherwise" as vague and arbitrary; the Bill was withdrawn in 2013 and the change was **not** enacted in 2014 — showing the Centre lacked the power it claimed by notification.
- **Entry 239** (two-or-more-drug mixtures, with */** markers) uses the **lesser small/commercial threshold** of the constituents — illustration: 200 g = 110 g charas + 90 g ganja → judged by charas (small 100 g) not ganja (small 1 kg), i.e. intermediate liability; like clause (viii) of the s.31A table; Entry 239 never aggregates neutral weight. Reliance also on Bangladesh Supreme Court, *Mohd. Jafar Alam* (8–5–2012).

Discussion and findings of the Court

1. Before *E. Micheal Raj* the consistent view was that the **entire weight of the manufactured drug/preparation/mixture including neutral substance** was counted. *E. Micheal Raj* took the contrary view solely from the 2001 amendment and s.21.
2. What was seized there was 4 kg (4.5 kg noted in one passage) of **heroin — Entry 56** (5 g small; 250 g commercial); the Court wrongly treated it as opium derivative/manufactured drug for sentencing and **never considered Note 2** or Entry 239; had Note 2 been applied, 4.5 kg heroin was plainly commercial.
3. The **Statement of Objects and Reasons, 2001** (quoted in full) aimed at rationalisation — deterrence for significant-quantity traffickers, leniency for addicts — but does not say pure content is to be extracted; *E. Micheal Raj* "read more than what was stated".
4. The Preamble and SOR make the Act a deterrent special statute (Deepak Mahajan; Maxwell on modifying construction to avoid absurdity; the court must not frustrate legislative purpose). Definitions of "manufacture", "manufactured drug" and "preparation", read conjointly, require the **total weight including neutral material**.
5. Reality check (para 10.3): illicit drugs are **seldom pure** — heroin is cut with caffeine (aids vaporisation), aspirin, chalk powder, zinc oxide; "brown sugar/smack" is only ~20% heroin; the harm lies in the entire street-preparation; pure-content grading would collapse commercial-quantity prosecutions.
6. History (paras 10.5): Opium Act 1857/1875(78), Dangerous Drugs Act 1930 and deficiencies led to the 1985 Act — "the guilty must be in and the innocent out"; prevention outweighs punishment; the statute must be interpreted **literally** to serve its object, protecting life and liberty of the innocent through procedural safeguards rather than by diluting quantity rules.
7. For two-or-more-drug mixtures (Entry 239), the lesser threshold of the constituent drugs applies and the **entire mixture weight, including neutral material**, is counted (100 g heroin + methadone illustration).
8. **Validity of Note 4:** it was inserted after *E. Micheal Raj* by way of abundant caution; it merely clarifies the existing scheme (preparations/mixtures always covered); it is **not ultra vires** ss.2(vii-a)/(xxiii-a) or the Act. The challenge failed.

FORMAL ANSWERS TO THE REFERENCE (PARA 12)

12.1 *E. Micheal Raj* is **not good law**: neutral-substance weight is not to be excluded.
12.2 On seizure of a mixture with neutral substance(s), the neutral weight **shall be included** along with actual drug content in determining small/commercial quantity.
12.3 s.21 is not standalone; it must be construed with the whole Act and the 2001/2009 Notifications.
12.4 The **2009 Notification (Note 4) is valid**, not ultra vires; writ petitions and Civil Appeal No. 5218 of 2017 were dismissed; matters remitted for decision on merits in light of the reference.

PRINCIPLE / RATIO

Sentencing quantity is the **"street weight" — the total weight of the seized mixture/preparation/solution/dosage form, including neutral/cutting material** — not the assay-pure narcotic content. This applies to manufactured drugs (s.21) and psychotropic substances (s.22); for a mixture of two or more notified drugs the **lowest constituent threshold** (Entry 239) governs. Note 4 is declarative of the pre-existing law. Government notifications cannot *reduce* thresholds inconsistently, but counting the full seized preparation is within ss.2(vii-a)/(xxiii-a) because the Act itself punishes preparations (s.2(xx)).

Harjit Singh vs Hira Singh reconciled: the two decisions are complementary, not conflicting. *Harjit Singh* asks **"what is the substance?"** — a distinct drug gets its distinct entry (pure opium → Entry 92; morphine/derivative → Entries 77/93); pure drug vs mixture classification is preserved and the 0.2% cut-offs remain definitional. *Hira Singh* asks **"once the substance is a mixture/preparation, how much do you weigh?"** — answer: the entire mixture including neutral material. Illustrations: (i) 7.10 kg coagulated opium → Entry 92, commercial (Harjit); (ii) 300 g brown sugar of 20% purity = 60 g heroin content → weigh all 300 g against Entry 56 → commercial (Hira Singh); (iii) 1 g heroin + 250 g lactose = 251 g → commercial (the Court's rejected "absurdity" is now the law).

CASE #17 DU LL.B. PRESCRIBED AUTHORITY

Karnail Singh v. State of Haryana

(2009) 8 SCC 539 · Constitution Bench (5 Judges), Supreme Court · Author: P. Sathasivam, J. · Decided 29 July 2009

Focus: Scope & mandatory character of s.42 (entry/search/arrest without warrant)

Conflict resolved: Abdul Rashid Ibrahim Mansuri (2000) vs Sajan Abraham (2001)

Key change: 2001 amendment: report time "forthwith" → "72 hours"

Rule: Total non-compliance impermissible; delayed explained compliance acceptable

Why the reference arose

A three-Judge Bench in **Abdul Rashid Ibrahim Mansuri v. State of Gujarat, (2000) 2 SCC 513** held compliance with s.42 **mandatory** — failure to reduce information to writing and forthwith report to the superior causes prejudice. Another three-Judge Bench in **Sajan Abraham v. State of Kerala, (2001) 6 SCC 692** took a pragmatic view and accepted **substantial compliance** in emergent patrol situations. The conflict was referred to the Constitution Bench, which placed the scheme in context: Chapter IV creates offences/penalties, Chapter V provides procedure (s.41 warrants; s.42 warrantless entry into building/conveyance/enclosed place; s.43 public-place powers; s.50 conditions of personal search). Stringent punishment requires a balance between enforcement and protection from oppression; Chapter V's checks "are capable of being misused through arbitrary or indiscriminate exercise unless strict compliance is required".

The two precursor decisions examined in detail

Abdul Rashid Ibrahim Mansuri

Facts: PW-2, Inspector, Dariapur PS, got information on 12-1-1988 that one Iqbal was transporting charas to Shahpur in an autorickshaw (~4 p.m.). They stopped the auto driven by the accused; four gunny bags yielded **ten packets of charas worth ₹5.29 lakh**. Under s.313 the accused did not dispute interception but claimed two unknown persons had loaded the bags into his auto (Chokha Bazar story).
Trial Court acquitted; the High Court reversed and convicted.
Held: PW-2 admitted acting on prior information precisely falling under s.42(1) yet **neither reduced it to writing nor sent any copy to the superior** — absolute non-compliance. Applying the Constitution Bench's *State of Punjab v. Baldev Singh, (1999) 6 SCC 172* s.50 principles to s.42, the action on unrecorded information becomes **suspect**; trial may not be vitiated solely on that score, but prejudice results; non-recording deprives the accused and the court of the earliest, most valuable material and may count as a circumstance in favour of the accused (the recollected "information" itself tended to exculpate). Acquittal restored. Followed in *Koluttumottil Razak v. State of Kerala, (2004) 4 SCC 465*.

Sajan Abraham v. State of Kerala

Facts: on 10-10-1993 (~7 p.m.) the Head Constable (PW-3) of a Special Squad learnt that a person was selling **injectable "Tidigesic"** near Blue Tronics Junction, Palluruthy. While going to report to the SI, PW-3 met the SI (PW-5) on patrol in a jeep; the party proceeded immediately, found the accused with a packet — **5 strips of 5 ampoules each, three syringes**, ₹10 — seized on the spot (Ext. P-1 mahazar), took one ampoule sample and arrested.
Trial Court acquitted on discrepancies; High Court reversed and convicted under s.21.
Held: a **pragmatic approach** is required; provisions must not be construed so literally as to make compliance impossible. The information reached the SI while he was **moving in a jeep on patrol**; had he stopped to write and report, the accused would have escaped. He sent the FIR/arrest records immediately afterwards. No s.42 violation — substantial compliance. Strict mandates exist to balance stringency, but they should not hand offenders an escape route.

Statutory provisions analysed

- **s.42(1) (pre-2001 quoted):** empowered officer (rank above peon/sepoy/constable) with reason to believe from **personal knowledge or information given and taken down in writing** that contraband is in a **building, conveyance or enclosed place**, may between **sunrise and sunset** (a) enter/search, (b) break open on resistance, (c) seize drugs, materials, conveyances/animals/articles/documents, (d) detain/search/arrest; proviso allows **night** entry where a warrant cannot be obtained without risk of concealment/escape, **after recording grounds**.
- **s.42(2):** pre-2001 — send the written information/grounds **"forthwith"** to the immediate official superior; post-2001 — **"within seventy-two hours"**.
- **Balbir Singh dicta ((1994) 3 SCC 299, paras 2-C/3):** prior information must be in writing; personal-knowledge daytime searches need no recorded reasons; night searches do; total failure to send the copy affects the prosecution case, while mere **delay** is a question of fact (explained or undue).
- **s.42 vs s.43:** s.42 (building/conveyance/enclosed place) requires pre-search recording; s.43 (public places/in transit) does not.
- **s.50 and the 2001 sub-ss.(5)/(6):** the Court noted that insertion of the emergency s.100-CrPC search route and 72-hour reporting "diluted" the strict *Baldev Singh* mandate without removing safeguards — flexibility only for genuine emergencies.

Additional reasoning — technology and pragmatism

With mobile phones and wireless communication, information often reaches officers on the move; insisting on station-register entries before acting would frustrate emergency interdiction. The provisions "should be taken as a discretionary measure which should check the misuse of the Act rather than providing an escape to hardened drug-peddlers". The mandatory core was restricted to communicating the recorded information/grounds to the superior; non-compliance which causes prejudice vitiates, not every deviation.

CONCLUSIONS OF THE CONSTITUTION BENCH (PARAS 17(A)-(D))

(a) In-station information: the officer must record the information in the concerned register and **forthwith send a copy** to his immediate official superior **before** acting under clauses (a)-(d) of s.42(1).
(b) On-move emergency information: where information is received while on patrol/move (mobile or otherwise), it calls for **immediate action**, and delay would result in removal/destruction of goods/evidence, it is not feasible to write first; he may act under clauses (a)-(d), then **as soon as practical record the information and inform the superior**.
(c) Sequence: writing/reporting should normally **precede** entry, search and seizure; in special emergent circumstances it may be **postponed by a reasonable period** — a question of urgency and expediency.
(d) Total non-compliance is impermissible; **delayed compliance with satisfactory explanation** is acceptable. If the information was received in the station with ample time and nothing is recorded/sent — a suspicious, clear violation; if nothing is recorded or

communicated at all — likewise a clear violation. Adequacy of compliance is a **question of fact** in each case. The 2001 amendment (72 hours) strengthens this position.

PRINCIPLE / RATIO

Section 42 is **mandatory in its core (reduce information to writing; copy to superior)** but admits **temporally relaxed compliance in genuine on-the-spot emergencies** where acting later would allow escape/destruction; total omission or in-station inaction is fatal to the prosecution's credibility (recovery becomes suspect, prejudice presumed in practice), while explained delay is not.

CASE #18 DU LL.B. PRESCRIBED AUTHORITY

Vijaysinh Chandubha Jadeja (and Another) v. State of Gujarat (and Others)

(2011) 1 SCC 609 · Constitution Bench, Supreme Court · Author: D.K. Jain, J. · Decided 29 October 2010

Focus: True scope of s.50(1) — duty to "inform" vs mere enquiry	**Conflict resolved:** Joseph Fernandez / Prabha Shankar Dubey vs Krishna Kanwar
Anchored to: State of Punjab v. Baldev Singh (1999) 6 SCC 172 (Constitution Bench)	**Rule:** Duty to apprise the suspect of the right is mandatory & strict

Question referred

Does s.50 cast a duty on the empowered officer to **inform the suspect of his right** to be searched in the presence of a Gazetted Officer or Magistrate if he so desires — or is a **mere enquiry** ("would you like to be searched before a Magistrate/Gazetted Officer?") due compliance?

The divergence that triggered the reference

- **Joseph Fernandez v. State of Goa, (2000) 1 SCC 707 (3 Judges):** intimation in the words "if you wish you may be searched in the presence of a gazetted officer or a Magistrate" was treated as **substantial compliance** — a view taken without the benefit of the Baldev Singh interpretation.
- **Prabha Shankar Dubey v. State of M.P., (2004) 2 SCC 56:** a notice ("we have information you carry opium; would you give search to me or to a gazetted officer/Magistrate?") was also held substantial compliance, following Joseph Fernandez.
- **Krishna Kanwar (Smt.) alias Thakuraeen v. State of Rajasthan, (2004) 2 SCC 608:** no specific form is needed, but the suspect **must be made aware of the existence of the right**; courts must see substance, not form.

Arguments on both sides

For the accused (Shri P.H. Parekh, Sr.)

Conjoint reading of s.50(1) & (3) shows the safeguard must be employed effectively and honestly; Baldev Singh unambiguously settled the duty to inform; Joseph Fernandez and Prabha Shankar Dubey wrongly imported "substantial compliance".

Section 50 is the **only safeguard** against the statute's extensive powers — a "due process" clause with minimum procedural limits; per *Beckodan Abdul Rahiman v. State of Kerala, (2002) 4 SCC 229*, the harshness of NDPS casts a heavier duty on the prosecution. Mere questioning can never amount to compliance; it would make the right illusory.

For the States / Union (Shri Siddharth Luthra; Shri P.P. Malhotra, ASG)

Section 50's rigours do not apply to officers acting on a s.41(1) Magistrate's warrant or to Gazetted Officers acting/authorising under s.41(2) — Parliament reposes higher trust in gazetted rank (reliance on *M. Prabhulal (2003) 8 SCC 449*; *UOI v. Satrohan (2008) 8 SCC 313*; *State of Rajasthan v. Ram Chandra (2005) 5 SCC 151* — the right is to be **taken before** the GO/Magistrate, who then decides discharge/direction to search).

Balbir Singh, Saiyad Umar Saiyad, Ali Mustaffa cases wrongly "read the phrase 'for making the search' into s.50(1)", making it over-rigorous; Baldev Singh needed reconsideration; the Court should accept substantial compliance.

The Court confined the reference to the scope of the words "**if the person to be searched so requires**" and did not adjudicate the s.41 applicability arguments (noting Baldev Singh had itself considered s.41).

Statutory framework quoted

Section 50 (with sub-ss.(5),(6) inserted by Act 9 of 2001) was set out in full: (1) production before nearest GO/Magistrate **if the person so requires**; (2) detention till production; (3) GO/Magistrate to discharge if no reasonable ground, else direct search; (4) females searched only by females; (5)/(6) emergency search under s.100 CrPC where production risks disposal, with recorded reasons sent within 72 hours.

Reasoning and the restatement of Baldev Singh

1. The Court reproduced conclusions (1), (2), (3), (5), (6), (7) of Baldev Singh: it is **imperative to inform** the person of the s.50(1) right (information need not be in writing); failure causes **prejudice**; a search on prior information without informing, and (if opted) without conducting the search before the GO/Magistrate, **may not vitiate the trial** but renders recovery **suspect and vitiates conviction where it rests solely** on the personal recovery; compliance is a trial issue; the illicit article so recovered **cannot be used as evidence of unlawful possession** though other materials may.
2. Though Baldev Singh did not label s.50 mandatory/directory, it made the duty to make the suspect **aware of the existence of the right** mandatory; no prescribed form or writing is required but awareness is. "Any other interpretation would make the valuable right conferred on the suspect illusory and a farce."
3. Sub-sections (5)/(6) (2001) do not obliterate sub-s.(1): the emergency route is available **only in emergent and urgent situations, never as a matter of course**, and the 72-hour reasoned report remains open to judicial scrutiny. The Bench (para 19) cited its own observations in *Karnail Singh* that the Baldev mandate was "diluted" but safeguards not removed.
4. Joseph Fernandez and Prabha Shankar Dubey did not notice the Baldev Singh ratio; the phrase "substantial compliance" in them appeared against the unamended understanding and cannot be read in isolation. **"Substantial compliance" is neither borne out by the language of s.50(1) nor consonant with Baldev Singh.**
5. The object of the safeguard: **check misuse of power, avoid harm to innocents, minimise planting/foisting of false cases**. The key is the *animus imponentis* (In Re Presidential Poll, (1974) 2 SCC 33) — the reason and spirit of the law.
6. Where possible the suspect should in the first instance be produced before the **nearest Magistrate** rather than a departmental Gazetted Officer — greater public confidence, legitimacy and strengthened prosecution; but this is an endeavour, not a straitjacket.

DECISION

The reference answered: the obligation under s.50(1) to **apprise/inform the person to be searched of his right** to be searched before a Gazetted Officer or Magistrate is **mandatory and requires strict compliance**; a bare enquiry is insufficient. Whether the procedure was followed remains a question of trial; no absolute formula is possible. The appeals were remitted for disposal accordingly.

PRINCIPLE / RATIO

"**Inform, don't merely ask.**" The suspect must be made to understand that the choice to be searched before a GO/Magistrate is his **right**, not the officer's concession. Non-information does not per se void the trial, but personal recovery in such a search becomes suspect evidence and cannot sustain a conviction based solely on it; emergency s.50(5) searches need recorded reasons + 72-hour report and are exceptional. Applied later in *Arif Khan @ Agha Khan v. State of Uttarakhand* (2018) to acquit where mere written consent was obtained without full compliance.

CASE #19 DU LL.B. PRESCRIBED AUTHORITY

Union of India v. Mohanlal & Another

(2016) 3 SCC 379 · Division Bench, Supreme Court · Author: T.S. Thakur, J. · Judgment 28 January 2016 (interlocutory directions from 2012, (2012) SCC orders)

Trigger: MP HC acquittal for failure to prove destruction/disposal of 3.36 kg seized opium

Issues: Seizure & sampling; storage; disposal/destruction; judicial supervision

Key provisions: s.52A (as amended 2014); s.53, s.55; Standing Order 1/89; Notifications of 2007 & 16-1-2015

Relief: Nationwide mandamus + monitoring by High Court Judges' Committees

Facts and genesis

- The Union appealed against an MP High Court acquittal of the respondents under ss.8/18(b) r/w s.29: the HC found the prosecution had produced no evidence that the **3.36 kg opium** seized had been destroyed/disposed of under the prescribed procedure; failure to produce the contraband before the trial court implied failure to prove seizure/possession.
- The Centre relied on **Standing Order No. 1/89 (13-6-1989)** governing seizure, sampling, safe-keeping and disposal, said to be followed nationwide, and a Department of Revenue Circular of 23-2-2011 exhorting Chief Secretaries/police chiefs to enforce it. Doubts persisted because **pilferage and re-circulation** of seized drugs is a major hazard.
- The Court appointed **Shri Ajit Kumar Sinha, Senior Advocate, as Amicus Curiae** to review the working of the procedure and identify loopholes.
- A Times of India report ("Bathinda's police stores bursting at the seams…") documented, in Bathinda alone, 39 lakh sedative/narcotic tablets, 1.10 lakh capsules, 21,000 drug syrups, 1,828 injections, 8 kg smack, 84 kg ganja awaiting disposal — indicative of nationwide accumulation, worst in border States.

The nation-wide fact-finding exercise (3 & 4 July 2012 orders)

Reports were called from every State/UT through Chief Secretaries → DGPs, routed via Registrars General of High Courts (appointed Nodal Officers), who also independently gathered District & Sessions Judges' answers; central agencies (NCB, CBN, DRI, Customs & Central Excise, Coast Guard) reported similarly. Four query-heads were framed:

Head	Illustrative questions
12.1 Seizure	Year-wise/district-wise seizures over 10 years (natural & synthetic); steps to prevent damage/loss/pilferage during seizure/transit; circulars/notifications/guidelines.
12.2 Storage	Notified stores per district/taluka; withdrawal conditions/court orders; nature/quantity checks; anti-substitution/anti-pilferage measures; stock registers, periodic inspections, infrastructure deficiencies.
12.3 Disposal / destruction	10-year destruction data; who applies for court permission and defaults; technical personnel at destruction; transit safeguards; designated destruction facilities; records and supervising ranks.
12.4 Judicial supervision	Sessions Judges' inspections of stores and destruction initiatives; reports to Administrative Judges; pending destruction applications and delays; judicial officers associated at each stage; rules and average trial duration.

Issue I — Seizure and sampling (paras 11-14)

- Section 52A(1) empowers the Centre to notify the disposal procedure; Standing Order 1/89 para 2.2 required **on-the-spot duplicate samples** drawn before panchas and the person, noted in the panchnama. The survey showed **no uniform practice** — only the DRI claimed spot sampling; the NCB said it did not; most States did not.
- The Court set out s.52A (as substituted in 2014): on seizure and forwarding to the SHO/s.53 officer, an inventory must be prepared and an application made to a Magistrate for (a) certification of inventory, (b) photographs certified true, (c) **representative samples drawn in the Magistrate's presence** with certified sample lists; the Magistrate must allow "as soon as may be"; certified documents/samples are **primary evidence** under s.52A(4) notwithstanding the Evidence Act/CrPC.
- **Held:** the statutory scheme does not contemplate sampling at seizure (which usually occurs without a Magistrate); sampling is to be under Magistrate supervision and certification. Where Standing Order 1/89 conflicts with the statute, the **statute prevails**; the Centre was asked to re-examine/recalibrate the Standing Order. Seizure must be followed by the s.52A(2) application **without undue delay**; Magistrates must act expeditiously (s.52A(3)); High Courts must supervise both Magistrates and agencies.

Issue II — Storage (paras 15-16)

- Beyond s.55 (SHO to keep articles in safe custody pending Magistrate's orders) the Act has no storage rules; Standing Order 1/89 Section III (paras 3.2-3.9) fills the gap: storage **invariably in safes and vaults with double-locking** in designated godowns chosen for security and proximity to courts, under a **Gazetted Officer's overall charge**; deposit **within 48 hours** with a forwarding memo (crime number, accused, test memo, description, package count); acknowledgement in Annexure-I to the IO; godown-in-charge to verify seals/packing and maintain the Annexure-II register; frequent inspections recorded at column 15; periodic returns; pre-trial disposal via s.52A(2).
- **Ground reality:** after 26 years **no notified godowns existed**; NCB used court malkhanas; Customs/DRI had no designated facilities; States dumped drugs in the **common police maalkhana** alongside weapons and IPC case property; no specific registers, no periodic inspections — "complete failure bordering on criminal negligence".

- Only **16% of contrabands seized between 2002–2012 had been disposed of**; the fate of 84% was unknown. The Court lamented the neglect, noting the deep-rooted menace is sustained by money power, transnational links and, at times, collusion of enforcement agencies/politicians; it expressed hope (rather than a finding) that the failure was apathy, not an "unholy connect" with traffickers.

Issue III — Disposal/destruction (paras 17–19)

- The Notification of **16 January 2015** (superseding the 10–5–2007 Notification): para 4 requires the SHO/specified officer to apply to the Magistrate under s.52A(2) **within 30 days of the chemical analysis report** (Annexure 2); after certification, preserve inventory/photos/samples as primary evidence and send details to the **Drugs Disposal Committee (DDC)** Chairman and godown in-charge; paras 5–6 constitute the DDC and define functions; para 7 procedure; para 8 quantity/value limits with reference to a high-level DDC by the departmental head for excess consignments; para 9 mode of destruction; para 10 intimation/surprise checks by the head of department; para 11 destruction certificate; paras 12–13 godown-register entries and NCB communication.
- Differences from Standing Order 1/89 (enumerated substances vs all substances/conveyances; court approval required under 1/89 but not expressly under 2015; head-of-department presence vs high-level DDC). To the extent of inconsistency, **the 2015 Notification was treated as superseding Standing Order 1/89**.

THREE CATEGORIES OF PENDING STOCK AND THEIR TREATMENT (PARA 19)

(1) Cases finally concluded before 29 May 1989: DDCs to take stock and destroy **without further verification, testing or sampling** — responsibility for ancient pilferage cannot now be fixed; head of department personally supervises.
(2) Seizures after May 1989 where trial/appeal/revision have attained finality: testing under para 5.5 of Standing Order would be a futile exercise after such lapse; DDCs stock and destroy under the **direct supervision of the head of department**.
(3) Pending cases (trial/appellate/Supreme Court): heads of department ensure competent officers move applications before the DDCs under the 2015 Notification **without further loss of time**.

Final mandamus (paras 20–21)

1. **Immediate forwarding** of every seizure to the SHO/s.53 officer, followed by a s.52A(2) application; the Magistrate allows it under s.52A(3); **sampling under Magistrate supervision** (paras 13–14).
2. Centre, its agencies and States to set up **exclusive storage facilities with vaults and double-locking within six months**; designate officers and adopt Standing Order safeguards; one facility per district or shared by several districts as warranted.
3. Existing malkhana stocks to be disposed of by the DDCs under the three-category plan.
4. **Chief Justices of High Courts requested to appoint administrative-side Committees of Judges** to supervise/monitor compliance and issue directions, judicial or administrative, in public interest.

PRINCIPLE / RATIO

(1) The NDPS **sampling event is Magistrate-centric**: s.52A(2)–(4) makes his supervised, certified inventory/photographs/representative samples the primary evidence; spot sampling is not statutorily mandated and a subordinate Standing Order cannot override the statute. (2) Seized narcotics are **hazardous, theft/ substitution-vulnerable evidence**: the State owes a chain-of-custody duty — timely application, secure double-lock vaults, registers, inspections, DDC destruction under s.52A/2015 Notification. (3) Courts have **constitutional supervisory jurisdiction** (Arts. 226/227/141–142-style continuing mandamus) to compel systemic reform in NDPS administration, monitored by High Court Judges' Committees.

CASE #20 SUPPLEMENTARY LANDMARK AUTHORITY (S. 31A)

Indian Harm Reduction Network & Another v. Union of India & Others (with Gulam Mohammed Malik matters)

Bombay High Court, Writ/PIL jurisdiction (Art. 226) · Division Bench: A.M. Khanwilkar & A.P. Bhangale, JJ. · Decided 16 June 2011

Challenge: Constitutionality of mandatory death under s.31A (Arts. 14 & 21)	**Petitioners:** IHRN (NGO) + Gulam Mohammed Malik (twice convicted, sentenced to death: Ahmedabad 2004, Mumbai 2008)
Authorities: Maneka Gandhi; Bachan Singh; Mithu Singh (s.303 IPC); s.235(2), s.354(3) CrPC; Art. 6 ICCPR	**Effect:** "Shall be punished with death" read down to "may"; 2014 amendment codified it

Issues and answers recorded by the High Court

1. Does s.31A violate **Article 14**? — **No.** The classification (**first-time offender vs repeat offender** dealing in specified huge quantities; or offences under ss.19/24/27A) is founded on intelligible differentia with rational nexus to deterrence; the classification between s.31 and s.31A cases is also rational.
2. Does it violate **Article 21**? — **Yes, as a mandatory sentence.** Maneka Gandhi requires procedure that is just, fair and reasonable. Standardised mandatory death: (a) eliminates the **pre-sentence hearing** under s.235(2) CrPC; (b) does away with **special reasons** under s.354(3) CrPC and the **Bachan Singh** "rarest of rare" norm; (c) destroys individualised sentencing (circumstances of offence *and offender*); (d) impinges on separation of powers and the judicial sentencing function; (e) is disproportionate — drug activities are licensed torts absent licence, not inherently heinous, and drugs serve medical/scientific needs; (f) offends Article 6 ICCPR (no arbitrary deprivation of life).
3. Is s.31A **void ab initio**? — **No.** The provision was saved by reading it down prospectively.
4. Can "shall" be read as "may"? — **Yes.** "Shall be punishable with death" is to be read as **"may be punishable with death"**: the court retains discretion to impose the s.31 enhanced term or, on special reasons, death.

Respondents' contentions rejected/accepted

The Union argued death is not cruel/unusual; narcotic crimes are more heinous than murder (society/economy as victim); procedural safeguards exist; classification is valid; sentencing minimums are legislative policy and prerogative. The Court accepted the Art. 14 defences but held mandatory capital punishment unconstitutional under Art. 21.

PRINCIPLE / RATIO AND AFTERMATH

No mandatory death penalty for drug offences: sentencing discretion and the rarest-of-rare discipline are non-negotiable under Article 21. Parliament gave effect to the ruling via **Act 16 of 2014** (w.e.f. 1–5–2014): s.31A now prescribes "punishment which **shall not be less than the punishment specified in s.31 or with death**" — death optional. Pre-2014, the same result followed by judicial reading-down. Parallels: **Mithu Singh v. State of Punjab** struck down s.303 IPC mandatory death (s.303 IPC has no counterpart in the BNS, 2023).

by Ankur R. Upadhyay

PYQ ARCHIVE // CH.04 **Previous Year Questions (DU LL.B. Examinations)**

Q.1 Paper 9121 · Q. 1(b) P has been convicted by the trial Court under Section 19 of the NDPS Act, 1985. As it was his second conviction, the Trial Court awarded death penalty. P challenges it as unconstitutional, being violative of Articles 14 and 21. Decide.

▸ Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891

Q.2 Paper 9121 · Q. 2(b) An Inspector of Police got information that accused M was trying to transport ganja in a car to a neighbouring city. Immediately thereafter the Inspector left the police station and reached the spot; after some time M came in the car. The Inspector stopped M, searched the car, which had many bundles of ganja. M was arrested and tried. M defends on the ground of non-compliance with s.42. Decide.

Q.3 Paper 9121 · Q. 3(b) What measures does the Central Government have to take for preventing and combating abuse of, and illicit traffic in, narcotic drugs, etc.?

Q.4 Paper 9121 · Q. 5(b) A police party proceeding from Gokulpuri to Bhajanpura on patrol in a jeep spotted T coming on foot with a plastic bag. Apprehending him on suspicion, the Police Inspector immediately searched T without saying anything and recovered a large quantity of opium. At trial T pleads non-compliance with s.50. Decide.

Q.5 Paper 2071 · Q. 1(b) Discuss the provisions relating to the procedure to be followed by the Central and State Governments for disposal of seized drugs and psychotropic substances under the NDPS Act, referring to the law laid down in Union of India v. Mohanlal & Another, (2016) 3 SCC 379.

Q.6 Paper 2071 · Q. 3(b) X, a constable, got information about Y selling narcotic drugs. On his way to the police station to furnish the information to the Sub-Inspector, he found the SI on patrol duty. On communication of the information, the SI with the party immediately proceeded and apprehended the accused. Discuss the procedure for search, seizure and arrest under the NDPS Act with decided cases.

Q.7 Paper 2071 · Q. 6(b) Section 31A makes the sentence provision mandatory and provides for standardised death penalty. Discuss with relevant case law whether s.31A is violative of Articles 14 and 21.

Q.8 DU LL.B. 2019 · Q. 2(b) Discuss the law laid down in Karnail Singh v. State of Haryana (2009) 8 SCC 539.

Q.9 DU LL.B. 2019 · Q. 8(d) Write a short note on the provisions related to offences triable by Special Courts under the NDPS Act, 1985.

PART III // MODULES 05 TO 06 · CASES #21 TO #29

ANTI-CORRUPTION & ECONOMIC ENFORCEMENT: PC ACT, 1988 & PMLA, 2002

MODULE 05 // Topic 5 · PC Act, 1988 (2018 Amend.) Cases #21 - #24

The Prevention of Corruption Act, 1988 (with the 2018 Amendment Act)

PC Act, 1988: Genesis, ACB/CVC/CBI, S. 2(c) Public Servant, Ss. 7-15 Offences, Ss. 17 & 17A Investigation, S. 19 Sanction & S. 20

Part I — Genesis, the Santhanam Committee and the Scheme of the Act

1. Corruption as a crime — from Kautilya to the special statute

The problem of corruption has ancient roots in Indian governance discourse. Ancient Indian governance philosophy (Kautilya) famously compares the corruption of government servants to fish moving under water: "*just as it is impossible not to taste the honey or the poison that finds itself at the tip of the tongue, so it is impossible for a government servant not to eat up, at least, a bit of the king's revenue; just as fish moving under water cannot possibly be found out either as drinking or not drinking water, so government servants employed in the government work cannot be found out while taking money.*" The modern law developed in recognisable stages:

IPC, 1860 — Chapter IX ("Of Contempts of the Lawful Authority of Public Servants") contained the basic bribery and public-servant offences: s.161 (public servant taking gratification other than legal remuneration), ss.162–163 (gratification to influence a public servant / by exercise of personal influence), s.164 (punishment for abetment by public servant of ss.162/163), s.165 (public servant obtaining valuable thing without consideration from a person concerned in proceeding/business), s.165A (abetment), plus ss.166–171 (disobedience, unlawful trade, personation, elections) and the property offences s.409 (criminal breach of trust by public servant). These were widely regarded as **inadequate**: low sentences, no investigative specialisation, no machinery for attaching ill-gotten wealth.

Criminal Law (Amendment) Ordinance, 1944 (Ord. 38 of 1944) — a wartime measure under the Government of India Act, 1935, enabling **attachment and confiscation of property** procured by scheduled offences (including corruption), through District Judges. It survives today and is applied to PC Act cases via **s.18A** (inserted 2018), with the Special Judge treated as District Judge.

Prevention of Corruption Act, 1947 (Act 2 of 1947) — the first independent anti-corruption statute; s.5 criminalised "criminal misconduct in discharge of official duty" (the disproportionate-assets offence); s.6 required previous sanction; amended in 1952 and again in **1964** on the Santhanam Committee's recommendations.

Santhanam Committee (1962–1964) — the Report of the Committee on Prevention of Corruption (Chairman: Shri K. Santhanam, MP), submitted in 1964, produced the institutional and doctrinal blueprint (detailed below).

Prevention of Corruption Act, 1988 (Act 49 of 1988; assent 9-9-1988) — a consolidating and strengthening statute: it widened the public-servant definition, absorbed ss.161–165A IPC, enhanced sentences, created **Special Judges**, codified the s.20 presumption and tied in attachment of property.

2014 amendment (Act 1 of 2014) — enhanced the sentence for s.13(2) criminal misconduct from a minimum of 1 year to a minimum of **four years** (maximum raised from 7 to 10 years); added the Lokpal cross-reference.

Prevention of Corruption (Amendment) Act, 2018 (Act 16 of 2018; enforced 26-7-2018) — the most sweeping recast, aligned to the **UN Convention against Corruption, 2003**: new ss.7, 7A, 8, 9, 10; criminalisation of the **bribe giver** and of **commercial organisations**; narrowed s.13 criminal misconduct; inserted s.17A prior-approval, s.18A attachment, the two-year trial target, and an expanded s.19 (sanction even for retired/transferred public servants).

2. The Santhanam Committee (the answer to Syllabus Head A)

The committee was born out of a Lok Sabha debate in **June 1962** (Pandit Jawaharlal Nehru was Prime Minister; Lal Bahadur Shastri was Home Minister). Shri K. Santhanam chaired it; the Report was delivered in **1964**. Its diagnostic premise (paras 2.1 and the socio-economic offences chapter) was that the IPC was "dominated by the notion that almost all major crimes consist of offences against person, property or State" and failed against **white-collar and socio-economic offences** by "powerful sections of modern society" — offences more dangerous because the financial stakes are high and they cause "irreparable damage to public morals".

2.1 The eight categories of socio-economic offences identified by the Committee

1. Offences calculated to prevent or obstruct the country's **economic development** and endanger its economic health;
2. **Evasion and avoidance of taxes** lawfully imposed;
3. **Misuse of position by public servants** in making contracts, disposal of public property, issue of licences and permits and similar matters;
4. Delivery by persons/undertakings of **goods not according to agreed specifications** in fulfilment of public contracts;
5. **Profiteering, black-marketing and hoarding**;
6. **Adulteration** of foodstuffs and drugs;
7. **Theft and misappropriation of public property and funds**; and
8. **Trafficking in licences, permits**, etc.

The Committee's illustrative list of white-collar crime included tax evasion/avoidance, share-pushing and company-administration malpractices, monopolistic controls, usury, under-/over-invoicing, hoarding, profiteering, sub-standard construction and supply contracts, evasion of economic laws, **bribery and corruption**, and election offences. This list was repeatedly adopted by the Law Commission (29th Report, 1966; 47th Report, 1972).

2.2 The principal recommendations

Recommendation	Content / eventual fate
Vigilance machinery	A permanent vigilance Commission at three levels — Central, State and District. The **Central Vigilance Commission (CVC)** was set up by Government resolution in **February 1964** (advisory body; given statutory status by the CVC Act, 2003). Chief Vigilance Officers (CVOs) in each Ministry/department; the Delhi Special Police Establishment (later CBI) to be strengthened.
Amend the law — widen "public servant"	Amend IPC s.21 to bring more categories within the definition; achieved in the wide s.2(c) of the 1988 Act (twelve clauses and two explanations).
Article 311 safeguards	Narrow the constitutional protection for government servants in disciplinary matters so that corrupt officers are punished quickly.
Cooling-off period	A complete **two-year bar** on government servants accepting private commercial/industrial employment after retirement (para 6.16), to prevent post-retirement reward for past favours.
Pension consequences	Recovery from pension of losses caused by negligence; withholding/withdrawal of pension, permanently or for a period, for grave misconduct.
Forced/"compulsory" retirement	Officers found indulging in corruption to be compulsorily retired (now operationalised through periodic review of service records under service rules — the "premature retirement" jurisprudence).
Special courts and procedure	Speedy day-to-day trials; institutionalised in Chapter II of the 1988 Act (Special Judges) and strengthened by the 2018 two-year trial target in s.4(4).
Property consequences	Attachment/confiscation of ill-gotten wealth; realised through the 1944 Ordinance and now s.18A, alongside the Prevention of Money-Laundering Act, 2002.

3. Why the 1988 Act was needed — the "need of the Act"

The Statement of Objects and Reasons (appended to the 1987 Bill, piloted by Minister P. Chidambaram, 20 February 1987) records that the legislation was "intended to make the existing anti-corruption laws more effective by **widening their coverage and by strengthening the provisions**." Four key legislative drivers:

1. **The Bofors context (1986-87):** on 18 March 1986 India signed a ₹1,437-crore contract with Swedish arms maker AB Bofors for 400 155 mm howitzers; on 16 April 1987 Swedish radio alleged that the company had paid bribes to top Indian politicians and defence personnel. The scandal exposed the weakness of the 1947 Act against high-level political corruption and middlemen.
2. **The 1947 Act was too narrow:** the 1988 Act replaced the 1947 Act and the scattered IPC provisions, widened "public servant", incorporated ss.161-165A IPC with enhanced punishment, provided for day-to-day trial, and created Special Judges.
3. **The Santhanam Committee's reform agenda** (above) remained partially unimplemented.
4. **Judicial articulation of purpose:** in *State of Madhya Pradesh v. Shri Ram Singh* (decision 1 February 2000), the Supreme Court explained that Act 49 of 1988 was enacted to deal with "the circumstances, contingencies and shortcomings which were noticed in the working and implementation of the 1947 Act"; it is a **social legislation** to curb illegal activities of public servants and is to be **liberally construed so as to advance its object, and not liberally in favour of the accused**. In *CBI, Bank Securities & Fraud Cell v. Ramesh Gelli* (2016), the Court read the Objects & Reasons with s.46A of the Banking Regulation Act, 1949 to bring private-bank functionaries within "public servant".

§ CONNECTED LAW — HOW THE 1988 ACT RE-ENGINEERED THE EARLIER STATUTES

- **s.30 — repeal:** the PC Act, 1947 and the Criminal Law Amendment Act, 1952 were repealed, with savings (actions taken under them deemed taken under the 1988 Act; Special Judges under the 1952 Act deemed Special Judges under s.3 — s.26).

- **s.31 (later repealed by the Repealing and Amending Act, 2001):** omitted ss.161–165A IPC. Corruption bribery offences have since lived *only* in the PC Act — which is why the BNS, 2023 does **not** re-enact them (see the IPC↔BNS table later).
- **s.28:** the Act is "**in addition to, and not in derogation of, any other law**" — a public servant may additionally face IPC/BNS offences (cheating, CBT s.409→BNS s.316(5)), departmental proceedings, PMLA prosecution and asset actions, all in parallel.
- **s.1(2):** extends to the whole of India and **applies to all citizens of India outside India** (extra-territorial reach — relevant to bribery by Indians abroad and the unimplemented UNCAC Art. 16 foreign-bribery obligation).

4. Objects and salient features

From the name of the Act, the Statement of Objects and Reasons and the decisions in *Ram Singh* and *Ramesh Gelli*, the objects are: (i) prevention of bribery and corruption among public servants; (ii) wider coverage of who is a "public servant"; (iii) higher, minimum-sentence punishment; (iv) specialised investigation and trial; (v) protection of honest officers through sanction; and (vi), since 2018, punishing the **supply side** (bribe givers and businesses) and meeting UNCAC obligations.

Chapter	Sections	Content
I — Preliminary	ss.1–2	Extent (whole of India + extra-territorial); definitions: election, prescribed, **public duty s.2(b)**, **public servant s.2(c)**, **undue advantage s.2(d)** (2018).
II — Special Judges	ss.3–6	Appointment/qualification (Sessions-rank), exclusive trial jurisdiction, day-to-day trial with a 2-year/4-year target (2018), warrant-case procedure, pardon power (CrPC s.307 → BNSS s.344), summary trial for EC Act-linked cases.
III — Offences and Penalties	ss.7–16	Post-2018: s.7 bribe-taking; s.7A influence-peddling; s.8 bribe-giving; s.9 commercial organisations; s.10 officers-in-charge; s.11 undue advantage without consideration; s.12 abetment; s.13 criminal misconduct; s.14 habitual offender; s.15 attempt; s.16 fine factors.
IV — Investigation	ss.17–18A	Rank requirements; **s.17A prior approval** (2018); inspection of bankers' books (s.18); attachment via the 1944 Ordinance (s.18A, 2018); J&K ss.17B–17G.
IVA — Attachment & Forfeiture	s.18A	CLA Ordinance 1944 applies, Special Judge = District Judge; subject to PMLA 2002.
V — Sanction & Miscellaneous	ss.19–30	**s.19 previous sanction**; s.20 presumption; s.21 accused as competent defence witness; s.22 CrPC modifications; s.23 particulars in s.13(1)(a) charges; s.25 armed-forces laws unaffected; s.27 appeal/revision; s.28 Act in addition to other laws; s.29A rules (2018).

5. The wholistic framework — the Act in its ecosystem of institutions, statutes and conventions

Like the NDPS Act, the PC Act is the centre of an **anti-corruption ecosystem**. The table below maps every connected instrument to the syllabus head it enriches; each is revisited in its proper Part.

Instrument	Type / year	Relates to	What it does
IPC 1860, Chapter IX & s.409; now **BNS 2023**	General penal code (in force 1-7-2024)	Definitions; residual offences	IPC s.21 "public servant" → BNS s.2(28); bribery ss.161–165A were repealed and live only in PC Act; s.166→BNS 198; s.167→BNS 201; s.168→BNS 202; s.169→BNS 203; CBT s.409→BNS s.316(5); election bribery (IPC ss.171B & 171E) → BNS ss.170 & 173.
Criminal Law (Amendment) Ordinance, 1944	Pre-independence Ordinance (Ord. 38/1944)	s.18A; s.5(6) Special Judge	Attachment/administration/confiscation of money or property procured by scheduled offences; the Special Judge functions as the District Judge under it.
Delhi Special Police Establishment Act, 1946	Central Act (25 of 1946)	Part A institutions; s.17	Constitutes the DSPE (s.3) — the agency renamed **CBI** by 1963 resolution; superintendence (s.4 → Central Government; CVC for PC Act matters under CVC Act s.8); extension of powers (s.5); **State consent (s.6)**; other offences (s.8).
Central Vigilance Commission Act, 2003	Central Act (45 of 2003)	Part A; ss.17, 19	Statutory CVC + Vigilance Commissioners; superintendence over CBI in PC Act cases (s.8(a)); directions (s.8(b)); inquiry/investigation powers (s.8(c),(d)); review of investigations and sanction applications (s.8(e),(f)); advice; s.8A/8B (2014) preliminary-inquiry time-limits; CVOs; CBI Director selection/tenure.
Lokpal and Lokayuktas Act, 2013	Central Act (1 of 2014)	s.19 chapeau; s.17A	Lokpal can inquire/prosecute (incl. Prime Minister with safeguards) and grant/procure sanction; PC Act s.19 expressly saves the Lokpal regime; attachment provisions; references to CVC.
Prevention of Money-Laundering Act, 2002	Central Act	s.18A; proceeds of corruption	PC Act offences are scheduled predicate offences; ED attachment/confiscation and laundering prosecution; s.18A expressly operates "save as otherwise provided in the PMLA".
Companies Act, 2013	Central Act	ss.9–10 (commercial organisations); s.28	s.447 fraud; s.177 audit committee/vigil mechanism; s.184 related-party conflicts; corporate liability parallel to PC Act s.9 (whose adequate-procedures guidelines are the Indian analogue of the UK Bribery Act "failure to prevent" defence).
Service/Conduct Rules & Disciplinary machinery	CCS/CCA Rules; State Civil Services Rules; Art. 311	s.28; Part C	Departmental proceedings (e.g. Punjab Civil Medical Rules Rule 15 in *Kakkar*); compulsory retirement; pension sanctions — often the *only* remedy where conduct is service-misconduct, not crime.
BNSS 2023 / BSA 2023 (in force 1-7-2024)	Procedure & evidence re-codes	ss.19, 20, 22; Special Judges	s.197 CrPC → **s.218 BNSS** (120-day deemed-sanction proviso); complaint s.200 → s.223 BNSS (public-servant safeguards); approver ss.306–308 → 343–345; presumption vocabulary IEA s.4 → BSA s.4; special knowledge IEA s.106 → BSA s.109.

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Instrument	Type / year	Relates to	What it does
UN Convention against Corruption, 2003 (UNCAC)	Treaty (India ratified 2011)	Whole Act — esp. 2018 amendment	Art.15 bribery of national public officials (ss.7, 8); Art.16 foreign officials (not yet codified — LCI 258th Report); Art.17 embezzlement (s.13(1)(a)); Art.18 trading in influence (s.7A); Art.19 abuse of functions; Art.20 illicit enrichment (s.13(1)(b)/ Explanation 1); Art.21 private-sector bribery; Art.23 laundering (PMLA); Art.26 liability of legal persons (s.9); Chapter V asset recovery (s.18A/PMLA).
Comparative foreign laws	Foreign statutes	ss.8–9	US **Foreign Corrupt Practices Act, 1977** (FCPA: anti-bribery + books-and-records; facilitation-payments carve-out, since largely abandoned); **UK Bribery Act, 2010** (s.7 failure of commercial organisations to prevent bribery; "adequate procedures" defence — the model for PC Act s.9 proviso).
Central Government guidelines/rules under s.29A	Delegated legislation	ss.9, 19	Guidelines for commercial organisations to prevent persons associated with them from bribing (s.9(5)); guidelines on sanction for prosecution (s.19 proviso 5).

§ CONNECTED LAW — THE UNCAC ARTICLE MAP (INTERNATIONAL LEGAL FRAMEWORK)

India signed the **UN Convention against Corruption, 2003** in 2005 and ratified it in 2011 (176+ States parties). It is the first comprehensive global anti-corruption treaty and was the template for the 2018 amendment.

UNCAC Article	Obligation	Indian implementation
Art. 15	Criminalise bribery (offer and acceptance) of national public officials	ss.7 & 8 PC Act
Art. 16	Bribery of **foreign public officials** and officials of public international organisations	**Not yet codified**; 2011 Bill; LCI 258th Report (2015) drafted the law — an exam-ready gap to mention
Art. 17	Embezzlement, misappropriation or diversion of property by a public official	s.13(1)(a) PC Act; IPC 409 → BNS s.316(5)
Art. 18	Trading in influence	**s.7A** (2018); old s.9
Art. 19	Abuse of functions for undue advantage	ss.7(c), 11; old s.13(1)(d)
Art. 20	**Illicit enrichment** (significant increase in assets not reasonably explainable)	s.13(1)(b) + Explanation 1 (DA presumption); old s.13(1)(e)
Arts. 21–22	Private-sector bribery; embezzlement in private sector	ss.9–10 (commercial organisations); Companies Act 2013 s.447; BNS s.316
Art. 23	Laundering of proceeds of crime	PMLA, 2002
Art. 26	Liability of legal persons	ss.9–10 PC Act; companies
Arts. 30–33	Prosecution/adjudication; protection of witnesses, experts, victims and reporting persons	s.21 (defence witness); s.17A balance; Whistle Blowers Protection Act, 2011 (CVC)
Ch. V (Arts. 51–59)	**Asset recovery** — confiscation, MLA, return of assets	s.18A / 1944 Ordinance; PMLA Chapter V; mutual legal assistance treaties

§ CONNECTED LAW — COMPARATIVE CORPORATE-BRIBERY REGIMES

Regime	Reach	Distinctive mechanism
India: PC Act ss.8–10 (2018)	Bribe giver (7 yrs); commercial organisation (fine); officer-in-charge (3–7 yrs)	"Adequate procedures" guidelines defence (s.9 proviso + s.29A rules); compelled-citizen 7-day reporting harbour; cognizable giver offences
UK Bribery Act, 2010	Bribing; being bribed; bribery of foreign officials; s.7 failure of a commercial organisation to prevent bribery (strict liability)	Six "adequate procedures" principles (proportionate procedures; top-level commitment; risk assessment; due diligence; communication/ training; monitoring & review)
US FCPA, 1977	Issuers, domestic concerns and territorial-jurisdiction persons; foreign-official bribery	Anti-bribery clauses plus **books-and-records** and **internal accounting controls**; SEC/DOJ enforcement; deferred prosecution agreements; (traditional narrow facilitation-payments exception)
UNCAC 2003	176+ States; preventive, criminalisation, cooperation and asset-recovery chapters	Treaty-based mutual evaluation; Art. 16 foreign bribery; Art. 20 illicit enrichment

The KPMG 2018 analysis notes the Indian amendment's limitation: the two-year trial target has no statutory consequence for non-completion, and capacity/autonomy of enforcement agencies decides whether the new supply-side offences protect harassed businesses or expose them to victimisation.

§ DU CASE MATERIAL PRECEDENTS ON ANTI-CORRUPTION LAWS

The prescribed **DU Case Material Precedents on Anti-Corruption Laws** remains the standard framework on the 1988 Act: it organises the case law on (i) the width of "public servant", (ii) what amounts to gratification "other than legal remuneration", (iii) the sanction machinery and its relationship with s.197 CrPC, and (iv) proof of demand and acceptance in trap cases — the same four pivots the Supreme Court develops in *Antulay, Madhukar Joshi, B. Noha, Satyanarayana Murthy* and the four prescribed cases. Examination answers may cite this for the proposition that the Act is a **special, self-contained code** (Special Judges, investigation ranks, presumption, sanction) which nonetheless operates "in addition to, and not in derogation of, any other law" (s.28).

REAL-WORLD EXAMPLE — WHY EVERY LAYER EXISTS: THE 2G AND CWG SCANDALS AND THE CPI CONTEXT

The KPMG analysis accompanying the 2018 amendment notes that India sank to a historic low of **95th rank** in Transparency International's Corruption Perception Index in 2011, after the **2G spectrum** and **Commonwealth Games** revelations of 2010 (the Comptroller and Auditor General quantified presumptive 2G losses at ₹1.76 lakh crore; both matters produced CBI prosecutions under the PC Act). Reform moved on two tracks simultaneously: (i) institutional — the CVC Act 2003, the Lokpal Act 2013, and court-monistered CBI investigations; and (ii) statutory — the 2018 amendment criminalising bribe-giving and businesses (demand side alone had failed). Digital public-infra reform (e-procurement, e-tenders, online passport/rail bookings, DBT) attacked the "interface" corruption the 2018 law still punishes; India's CPI ranking improved to 81st of 180 by 2017, though state/department/municipal-level corruption remains the stated concern. The ecosystem answer for "need of the Act" is therefore: **general code (IPC/BNS) → special code (PC Act) → institutions (CBI/ACB/CVC/ Lokpal) → asset regime (1944 Ordinance/PMLA) → treaty discipline (UNCAC)**.

Part A — The Anti-Corruption Machinery (Syllabus Head B): ACB, CVC and CBI

The PC Act is enforced by a three-tier institutional architecture: **State Anti-Corruption Bureaus / Vigilance Departments** inside each State, the **Central Bureau of Investigation** (the Delhi Special Police Establishment) for central employees and notified cases, and the **Central Vigilance Commission** as the apex integrity watchdog which also superintends the CBI in corruption cases. Above them sits the **Lokpal** (and State Lokayuktas) since 2014.

1. Anti-Corruption Bureau (ACB) / State Vigilance

- Each State maintains a **Police Vigilance & Anti-Corruption Bureau** (the names vary: ACB, Vigilance Bureau, Lokayukta police) under the State Government's Home/Vigilance department, staffed by State police officers and registered under the Police Acts.
- It registers traps and FIRs under the PC Act against **State Government employees and local/State public functionaries**, lays traps, conducts searches, investigates and prosecutes before the State's Special Judge(s). The Telangana ACB trap in *K. Shanthamma* (Deputy Superintendent of Police, ACB, Hyderabad) is the prescribed-case example of the entire trap workflow.
- Officers below DSP rank cannot investigate PC Act cases without a Magistrate's order (s.17); State ACBs operate their own trap-teams with mediators/panch witnesses and chemical tests.

2. Central Bureau of Investigation (CBI) and the DSPE Act, 1946

DELHI SPECIAL POLICE ESTABLISHMENT ACT, 1946 — KEY PROVISIONS

s.3: the Central Government may constitute a special police force (the DSPE) for investigation of notified offences in Union territories; **s.4:** superintendence of the DSPE vests in the Central Government — but, by virtue of the CVC Act, 2003, superintendence over **corruption cases under the PC Act** vests in the **CVC**, while the Director/CBI administration remains with the Government (the *Vineet Narain* settlement); **s.5:** the Centre may by notification extend DSPE powers to other areas (railways, States); **s.6:** no member may exercise powers in a State area (not being a UT or railway area) **without the State Government's consent**; **s.8:** the Centre may specify other offences/officers the DSPE may investigate.

- **Origins:** the Special Police Establishment was set up in 1941 (War Department) to check wartime corruption; it became the DSPE under the 1946 Act and was renamed the **Central Bureau of Investigation** by a Ministry of Home Affairs resolution dated 1 April 1963. The CBI is not created by statute (the DSPE Act never uses the initials "CBI") — it is the DSPE under its better-known name.
- **Divisions:** Anti-Corruption Division (PC Act cases against central public servants, PSUs, nationalised banks); Special Crimes Division (serious/economic crimes on notification/State consent/High Court or Supreme Court orders); Economic Offences Division (bank frauds, cyber, securities); Directorate of Prosecution; Central Forensic Science Laboratory linkages.
- **Consent regime under s.6:** States give either **general consent** (a standing notification, e.g. the Maharashtra consent of 22–2–1989) or **case-specific consent**. Withdrawal of general consent (West Bengal, Chhattisgarh, Rajasthan, Maharashtra, Kerala, Jharkhand, Mizoram and others did so at various points after 2015) means CBI officers lose police powers within the State for new local cases; pending investigations and cases registered elsewhere whose trail enters the State are unaffected, and the Supreme Court/High Courts can still **order** a CBI probe without consent (judicial direction overrides s.6).
- **Single Directive → s.6A → s.17A:** the "Single Directive" required prior Government sanction to investigate senior officers (Joint Secretary and above). The Supreme Court in *Vineet Narain v. Union of India* (1998) struck down the executive directive as unsupported by law; Parliament reintroduced statutory prior approval in DSPE s.6A via the CVC Act 2003; the Constitution Bench in *Subramanian Swamy v. CBI* (2014) struck down s.6A as violative of Article 14; the 2018 amendment then inserted the present, decision-focused **s.17A** of the PC Act (below).
- **Director's tenure/selection:** post-*Vineet Narain* and the CVC/DSPE amendments, the CBI Director is appointed by a high-powered committee (Prime Minister, Leader of the Opposition in the Lok Sabha, Chief Justice of India or his nominee) with a fixed two-year tenure.

§ CONNECTED LAW — THE UPLOADED 1949–1952 ENQUIRY COMMITTEE MATERIAL

The **Special Police Establishment Enquiry Committee (1949–1952)** (the report included in the project materials) examined the working of the DSPE after a decade of operation, reviewed its charter, strength and procedures, and supplied the institutional bridge between the wartime SPE and the permanent national investigating agency that became the CBI — the first formal post-independence stocktaking of specialist anti-corruption policing, preceding the Santhanam Committee by a decade. For the essay on institutions, the sequence is: **1941 SPE → 1946 DSPE Act → 1949–52 Enquiry Committee → 1963 CBI resolution → 1964 CVC (resolution) → 1998 Vineet Narain → 2003 CVC Act → 2013 Lokpal Act → 2018 s.17A**.

3. Central Vigilance Commission (CVC) — the CVC Act, 2003

The CVC was created by Government resolution in February 1964 on the Santhanam recommendation and became a **statutory body** under the Central Vigilance Commission Act, 2003. It consists of a Central Vigilance Commissioner and up to two Vigilance Commissioners, appointed by the President on a committee recommendation (Prime Minister, Home Minister, Leader of the Opposition). Section 8 catalogues its functions:

s.8 clause	Function
(a)	Exercise **superintendence over the DSPE (CBI)** in so far as it investigates PC Act offences (and connected charges at the same trial) — without directing how a particular case is to be investigated/disposed of.

s.8 clause	Function
(b)	Give **directions to the CBI** for discharging its DSPE Act s.4 responsibility.
(c)	Inquire or cause inquiry/investigation into a Central Government reference alleging PC Act offences by Central employees/PSUs/ societies.
(d)	Inquire into complaints against specified officials (All-India Services serving the Centre, Group A officers; later Group C/D via Lokpal references — s.8A/8B).
(e)	**Review progress of CBI investigations** in corruption cases.
(f)	**Review progress of sanction applications** pending with competent authorities under the PC Act — directly relevant to s.19 delays.
(g)/(h)	Tender advice on vigilance matters; exercise superintendence over the vigilance administration of Central Ministries/PSUs (not policy direction).

- **s.8A (inserted 2014):** after a preliminary inquiry into Group C/D officials, the CVC may order investigation, initiate disciplinary action, or close and proceed against a false complainant under Lokpal Act s.46; preliminary inquiries are targeted at ~90 days (+90 for recorded reasons). **s.8B:** investigation to be completed within six months (extendable by six).
- The CVC has civil-court powers for summoning/evidence and its proceedings are judicial for IPC/BNS purposes; it supervises the Chief Vigilance Officers (CVOs) embedded in each Ministry/department.
- **Whistle-blower protection:** the Public Interest Disclosure and Protection of Persons Making the Disclosure ("Whistle Blowers Protection") Act, 2011 designates the CVC as the competent authority for whistle-blower complaints (the Act received assent but is not yet fully notified/enforced).

4. Lokpal and Lokayuktas Act, 2013

- Creates the **Lokpal** at the Centre (Chairperson + up to 8 members; 50% judicial; quota for SC/ST/OBC/minorities/women) with an Inquiry Wing and Prosecution Wing, and mandates State Lokayuktas within 365 days.
- Jurisdiction reaches the Prime Minister (with safeguards), Ministers, MPs and Groups A–D public servants; entities financed by the Government; and (under amendments) certain recipient entities of foreign contributions.
- The chapeau to **s.19(1) PC Act** begins "**save as otherwise provided in the Lokpal and Lokayuktas Act, 2013**": where the Lokpal directs prosecution, the sanction procedure is governed by the Lokpal regime (Lokpal may itself grant or seek sanction through the competent authority).

Part B — Definitions: 'Public Servant', 'Public Duty' and 'Undue Advantage' (Syllabus Head C)

1. "Public servant" — Section 2(c)

SECTION 2(C) — TWELVE INCLUSIVE CATEGORIES

(i) any person in the **service or pay of the Government** or remunerated by fees/commission for performance of any public duty;
(ii) any person in the service or pay of a **local authority**;
(iii) any person in the service or pay of a **statutory corporation, Government-aided/controlled/owned body or Government company**;
(iv) any **Judge**, including any person empowered to discharge adjudicatory functions;
(v) any person **authorised by a court** in connection with administration of justice (liquidator, receiver, commissioner);
(vi) any **arbitrator** or person to whom a cause/matter is referred for decision/report by a court or competent public authority;
(vii) any person holding office empowering him to prepare electoral rolls or conduct **elections**;
(viii) any person holding an office by which he is authorised/required to perform **any public duty**;
(ix) office-bearers of aided registered **co-operative societies** engaged in agriculture, industry, trade or banking;
(x) chairmen/members/employees of **Service Commissions/Boards** and selection-committee members for examinations/selections;
(xi) Vice-Chancellors, governing-body members, teachers and employees of **Universities**, and persons whose services are availed for examinations;
(xii) office-bearers/employees of aided **educational, scientific, social, cultural or other institutions**.

Explanation 1: persons falling in these categories are public servants **whether appointed by the Government or not**.
Explanation 2: a person in **actual possession** of the situation of a public servant is covered, whatever legal defect may exist in his title to hold it.

§ CONNECTED LAW — THE GENERAL-CODE DEFINITION: IPC S.21 → BNS S.2(28)

The PC Act's s.2(c) is much wider than IPC s.21 (now re-enacted as the definition of "public servant" in **clause 2(28) of the Bharatiya Nyaya Sanhita, 2023**, in force from 1-7-2024). The IPC/BNS definition uses descriptions (commissioned officers, judges, court officers, officers with revenue/property duties, etc.); the PC Act definition uses *relationships to public power* (service/pay, aid, office carrying public duty) and, through Explanation 1, reaches office-bearers regardless of Government appointment. Where the PC Act applies it prevails as the special law (s.28 is "in addition to, not in derogation of" other laws); BNS s.2(28) remains relevant for offences charged under the general code.

1.1 Who is a public servant — the case-law map

Case	Held
M. Karunanidhi v. Union of India **(1979)**	A **Chief Minister and Ministers** are public servants — they are in the pay of the Government (then s.21(12) IPC; now s.2(c)(i)/(viii) PC Act).
K. Veeraswami v. Union of India **(1991) 3 SCC 655 (Constitution Bench)**	Judges of the **High Courts and Supreme Court** are public servants under the Act; prosecution requires the prior sanction of the **President**, and no FIR can be registered against an HC/SC Judge without **consultation with, and the assent of, the Chief Justice of India** — protecting judicial independence (the **Veeraswami safeguards**, later fine-tuned by the 1998 and 2014 judicial legislations on CBI/CVC).

Case	Held
P.V. Narasimha Rao v. State (CBI) **(1998) SCC— bribery in Parliament**	(1) An MP enjoys **no immunity** under Article 105(1)/(3) from prosecution for offering/accepting a bribe in connection with voting/speaking in Parliament; (2) an **MP is a public servant** under s.2(c); (3) since no authority is competent to remove an MP or grant s.19 sanction, the court can take cognizance without sanction — but until Parliament legislates, the prosecuting agency must obtain the **permission of the Chairman, Rajya Sabha / Speaker, Lok Sabha** before filing a charge-sheet.
Kalicharan Mahapatra v. State of Orissa **(1998) 6 SCC 411**	Status is tested at the **time the offence is committed**, not at trial; a **retired** public servant remains triable under the Act (detailed as Case 8).
CBI, Bank Securities & Fraud Cell v. Ramesh Gelli **(2016) 3 SCC 788**	The Chairman/MD, Executive Director and officers of a **private bank** (Global Trust Bank, pre-amalgamation) perform **public duty** — banking being a public utility regulated under s.46A of the Banking Regulation Act, 1949 and holding public deposits — and are therefore public servants under s.2(c)(viii) read with s.2(b). Landmark extension of the Act to private functionaries wielding State-backed power.

2. "Public duty" — Section 2(b)

"Public duty" means a **duty in the discharge of which the State, the public or the community at large has an interest**.
Explanation: "State" includes a corporation established by or under a Central/Provincial/State Act, or an authority or body **owned or controlled or aided by the Government**, or a Government company (now under the Companies Act, 2013 successor provision).

The definition is the gateway clause: it is the performance (or pretence of performance) of a public duty that makes an office-holder a public servant under s.2(c)(viii)—(xii). The *Ramesh Gelli* Court read it with the Objects & Reasons and with banking law: a private bank's directors "perform a **public duty** for the reason that the activities of the banks have public character" — depositors' money is held and the bank is regulated "for the welfare of the public". Public duty also fixes the constitutional s.197/s.218–BNSS analysis (was the act "in discharge of official duty"? — corruption never is, per *Kalicharan*).

3. "Undue advantage" — Section 2(d) (inserted 2018)

SECTION 2(D)
"Undue advantage" means **any gratification whatever, other than legal remuneration**.
Explanation: (a) "gratification" is **not limited to pecuniary gratifications** or to gratifications estimable in money; (b) "legal remuneration" is not restricted to remuneration paid to the public servant but includes all remuneration which he is permitted by the Government or the organisation he serves to receive.

- This replaces the phrase "**valuable thing or pecuniary advantage**" and the old wording "gratification other than legal remuneration" in pre-2018 s.7. It covers non-monetary benefits: gifts, foreign trips, jobs for relatives, club memberships, shares, property below market price, sexual favours, medals/referral benefits — anything that satisfies or pleases the recipient.
- **Gratification is not reward**: per *Madhukar Bhaskarrao Joshi v. State of Maharashtra* (2000) 8 SCC 571 (para 12), once payment/acceptance of gratification is proved, the s.20 presumption supplies the "motive or reward" element; "gratification" in that sense means any payment giving satisfaction to the recipient.
- **Legal remuneration** is the complete answer when money is received which the officer is actually permitted to receive (e.g. honorarium lawfully allowed, exam-invigilation dues) — that is why an unauthorised private-practice fee, though not "legal remuneration" from the *official* employer, was still held in *Kakkar* not to be an illegal gratification for an **official** act (professional remuneration for a private medical act, not corruption — see Case 10).

REAL-WORLD EXAMPLES — "UNDUE ADVANTAGE" BEYOND CASH
- **Below-market flats / gifts:** a municipal commissioner allotted himself/relatives prime plots at circle rates far below market value — the difference in value is a non-cash undue advantage; the s.11 (obtaining valuable thing without/inadequate consideration from a person concerned in business) and s.7 offences capture it.
- **Jobs and admissions:** a selection-board member securing an appointment for a candidate against donations to a favoured trust — s.2(c)(x) already declares him a public servant; the seat/"recommendation" is the gratification.
- **Foreign junkets and sponsorships:** regulators/PSU officials accepting overseas travel and hospitality from vendors bidding for contracts — "gratification not estimable in money" squarely within s.2(d)(a).
- **The trap example:** a ration-card applicant being asked ₹5,000 "to process his routine application on time" — this is the **statutory Illustration to s.7 itself**: even though timely processing is the officer's duty, the demand is bribery.

Part C — Offences and Penalties: Public Servant and Bribe Giver (Syllabus Head D; Sections 7–14) and Attempt (s.15, Head E)

The 2018 amendment replaced the old ss.7–10 and narrowed s.13. The prescribed cases (*Shanthamma*, *Kakkar*, *Kalicharan*, *Chautala*) were decided under the **old** sections 7 and 13(1)(d)/(e), so an exam answer must know **both** numbering schemes. This Part gives the current law first and a complete old-law comparison table at the end.

1. Section 7 — offence relating to a public servant being bribed (post-2018)

SECTION 7
A public servant who —
(a) **obtains or accepts or attempts to obtain** from any person an undue advantage, with the intention to perform/cause performance of public duty improperly or dishonestly, or to forbear/cause forbearance, by himself or another public servant; or
(b) obtains/accepts/attempts to obtain an undue advantage **as a reward** for the improper/dishonest performance or forbearance of a public duty (by himself or another); or
(c) performs or induces another public servant to perform improperly/dishonestly, or to forbear, a public duty **in anticipation of or in**

consequence of accepting an undue advantage,
shall be punished with **imprisonment not less than three years, extendable to seven years, and fine**.

- **Explanation 1:** the obtaining/accepting/attempt to obtain is itself an offence **even if the public duty is not, in fact, performed improperly**. **Illustration (statutory):** "A public servant 'S' asks a person 'P' to give him five thousand rupees to process his routine ration-card application on time. S is guilty under this section." The duty need not be bent; demanding for *doing the duty* suffices.
- **Explanation 2:** covers obtaining "for himself or another" by **abuse of position or personal influence** or any corrupt/illegal means; and it is immaterial whether the advantage is received **directly or through a third party** (middlemen, agents, family members).
- The three clauses cover the demand, the receipt and the corrupt act respectively; "attempts to obtain" makes even an unsuccessful demand punishable at the same scale.

2. Section 7A — taking undue advantage to influence a public servant by corrupt/illegal means or personal influence

Whoever accepts/obtains/attempts to obtain an undue advantage for himself or another, **as motive or reward to induce** a public servant (by corrupt/illegal means or exercise of personal influence, through that or another public servant) to perform/forbear a public duty improperly — punishment **3–7 years + fine**. This is the "**influence peddling / middleman**" offence and implements **UNCAC Article 18** (trading in influence). The fixer who never meets the official but trades on access is caught even though he holds no office.

3. Section 8 — the bribe giver (supply-side criminalisation)

SECTION 8(1)

Any person who **gives or promises to give** an undue advantage to another, with intention (i) to **induce** a public servant to perform public duty improperly, or (ii) to **reward** such improper performance — imprisonment up to **7 years** or fine or both.
Proviso 1 (coerced bribe-giver): the section does **not** apply where a person was **compelled** to give the undue advantage;
Proviso 2 (7-day report): the compelled person must report the matter to a law-enforcement/investigating agency **within seven days** of giving the advantage;
Proviso 3: where the offence is committed by a **commercial organisation**, it is punished with **fine**.
(2): no liability for a person who, after informing the authorities, gives/promises an advantage to **assist an investigation** (legitimate trap/sting cooperation).
Explanation: immaterial whether the recipient is the same person who performs/was to perform the duty, and whether given directly or through a third party.
Statutory illustration: P gives S ₹10,000 to secure a licence over other bidders — P is guilty.

Doctrine note: pre-2018, the bribe giver was primarily caught as an abettor under s.12 and could be a witness; old **s.24** protected a bribe giver from prosecution if he made a statement (immunity). Section 24 was **omitted in 2018** and replaced by the narrow compelled-giver + seven-day-report safe harbour — deliberate reporting, not after-the-fact cooperation, now protects the harassed citizen.

4. Sections 9–10 — commercial organisations and persons in charge

- **s.9(1):** a **commercial organisation** (Indian-incorporated body doing business anywhere; foreign body doing business/part-business in India; Indian or foreign partnership/association — s.9(3)(a)) is punishable with **fine** if a person **associated with it** (employee, agent, subsidiary — Explanations 1-3; an employee is presumed associated unless contrary proved) gives or promises an undue advantage to a public servant intending to (a) obtain/retain **business** for the organisation or (b) obtain/retain an **advantage in the conduct of business**. **Defence:** the organisation proves it had **adequate procedures** in compliance with prescribed guidelines to prevent such conduct. Under s.9(5) the Central Government prescribes those guidelines (rule-making power in s.29A).
- **s.9(4):** ss.7A, 8 and 9 are **cognizable** — arrest is possible without warrant in the manner of the Code (a deliberate departure for supply-side offences).
- **s.10:** where the s.9 offence is committed with the **consent/connivance of a director, manager, secretary or other officer**, that person is guilty too — **3–7 years + fine** ("director" includes a firm's partner).

§ CONNECTED LAW — UNCAC AND THE COMPARATIVE CORPORATE-BRIBERY REGIME

Section 9 implements **UNCAC Articles 15–16 and 26** (bribery and liability of legal persons). It closely tracks the **UK Bribery Act, 2010, s.7** ("failure of a commercial organisation to prevent bribery"; the statutory "adequate procedures" six-principle defence: proportionate procedures, top-level commitment, risk assessment, due diligence, communication/training, monitoring/review). The older US **Foreign Corrupt Practices Act, 1977** instead regulates issuers/US persons through anti-bribery prohibitions plus books-and-records and internal-controls requirements; India's **Companies Act, 2013** (s.447 fraud; s.177 audit committee/vigil mechanism; s.184 conflicts) supplies the books-and-records side domestically. Remaining statutory gap: India has still **not legislated UNCAC Article 16** (bribery of *foreign* public officials) — the Law Commission's **258th Report** (August 2015) drafted amendments through the Prevention of Bribery of Foreign Public Officials Bill.

5. Section 11 — undue advantage without consideration from a person concerned in a proceeding/business

A public servant who accepts/obtains/attempts to obtain, for himself or another, an undue advantage **without consideration, or for a consideration he knows to be inadequate**, from a person whom he knows to be concerned, or likely to be concerned, in **any proceeding or business transacted or about to be transacted by him**, or having a connection with the official functions/public duty of himself or a superior, or from an interested/related person — punishment **minimum 6 months, extendable to 5 years + fine**. This is the "benami gifts / dealings" provision (old s.11; it corresponds to former s.165 IPC). It requires no proof that any official act was done or promised; the *relationship* between the giver and the officer's work plus want of consideration suffices.

6. Section 12 — abetment

Whoever **abets** any offence under the Act, **whether or not the offence is committed** in consequence, is punishable with **3–7 years + fine**. Like NDPS s.29, this is stricter than the general code (IPC s.116 / BNS s.56 gives reduced punishment where the offence abetted is not committed).

7. Section 13 — criminal misconduct by a public servant (the sentencing centrepiece)

SECTION 13(1) (POST-2018) — ONLY TWO FORMS OF CRIMINAL MISCONDUCT

(a) he **dishonestly or fraudulently misappropriates or otherwise converts for his own use** any property entrusted to him or under his control as a public servant, or allows any other person so to do; or
(b) he **intentionally enriches himself illicitly** during the period of his office.
Explanation 1 — illicit enrichment presumed: a person is presumed to have intentionally enriched himself illicitly if he (or anyone on his behalf) is, or at any time during office has been, in possession of **pecuniary resources or property disproportionate to his known sources of income which he cannot satisfactorily account for**.
Explanation 2: "known sources of income" means income from **lawful sources**.
s.13(2): imprisonment **not less than four years, extendable to ten years + fine** (minimum raised from 1 to 4 years by the 2014 amendment).

Narrowing in 2018 — a frequently asked reform point: old s.13(1) contained **five** clauses: (a) habitual gratification; (b) gratification by corrupt or illegal means; (c) gratification by exercise of personal influence; (d) obtaining valuable thing/pecuniary advantage by **abuse of position** without public interest; (e) disproportionate assets. Clauses (a)–(d) were deleted as duplicative of new ss.7/7A/8/11 (or are now covered by them), and clause (e) was re-cast as clause (b) ("illicit enrichment"); old clause (a) (misappropriation/breach of trust type conduct) survives as new clause (a). The practical effect: the broad "abuse of position" charge in old (d) — used in *Kakkar* and many DA/"benefit" cases — must now be fitted to ss.7/11, and legitimate-decision protection is additionally provided by s.17A.

Old s.13(1) clauses (law under which the prescribed cases were tried) — where did each go in 2018?

Old clause	Content	Post-2018 home
(a)	Habitually accepts/obtains gratification (other than legal remuneration) from a person concerned in proceeding/business with him	ss.7/11 + s.14 (habitual offender)
(b)	Accepts/obtains gratification for himself/another by **corrupt or illegal means**, abusing official position	s.7 / s.7A
(c)	Accepts/obtains gratification by **exercise of personal influence** over another public servant	s.7A
(d)	Obtains valuable thing/pecuniary advantage by **abusing his position** (with provisos on benefit without public interest)	ss.7(c), 11; private medical practice held *not* within it (*Kakkar*)
(e)	Possession of resources/property **disproportionate to known sources** which he cannot satisfactorily account for	**s.13(1)(b)** + Explanation 1 (illicit enrichment) — the Chautala/Kalicharan charge

s.13(2) under the old law punished all five clauses; the sentence was 1–7 years until Act 1 of 2014 raised it to 4–10 years (w.e.f. 16–1–2014). s.13(1)(d) carried provisos (added 2014) limiting prosecution where the public servant merely gained benefit from a decision, absent corrupt motive.

8. Sections 14, 15 and 16

- **s.14 (substituted 2018) — habitual offender:** whoever, having been **convicted** of an offence under the Act, subsequently commits an offence under it — **minimum 5 years, extendable to 10 years + fine**. (Old s.14 punished the public servant who committed the s.13(a)–(d) misconduct after having previously accepted gratification.)
- **s.15 — attempt (Syllabus Head E):** whoever attempts to commit an offence referred to in **clause (a) of s.13(1)** (dishonest/fraudulent misappropriation or conversion) — imprisonment **not less than two years, extendable to five years + fine**. Pre-2018, s.15 also punished attempts under old s.13(1)(c)/(d); the 2018 amendment confined it to misappropriation. Attempts to bribe/take bribes are now covered in the language of ss.7–8 themselves ("attempts to obtain"; "promises to give").
- **s.16 — fine fixation:** the court must consider the amount/value obtained by the offence — or, for s.13(1)(b), the value of unaccounted resources/property — in fixing fine.

8A. The pre-2018 statutory text (the law the four prescribed cases applied)

OLD S.7 (1988–2018) — PUBLIC SERVANT TAKING GRATIFICATION OTHER THAN LEGAL REMUNERATION IN RESPECT OF AN OFFICIAL ACT
Whoever, **being or expecting to be a public servant**, accepts or obtains or agrees to accept or attempts to obtain from any person, for himself or for any other person, **any gratification whatever, other than legal remuneration**, as a **motive or reward** for doing or forbearing to do any official act (or showing/causing disfavour through the Government or any public servant), was punishable with imprisonment 6 months–5 years + fine. Explanations covered: "expecting" to be a public servant; gratification to a third person; motives of donor immaterial; gratification not limited to pecuniary benefits; "legal remuneration" including permitted perquisites.

Old section	Offence (pre-2018)	Sentence (as amended by 2014)
s.7	Public servant taking gratification other than legal remuneration for official act/forbearance (motive or reward)	6 mo–5 yrs + fine
s.8	Taking gratification **to induce** a public servant by corrupt/illegal means, or for exercise of personal influence (bribe-giver/middleman to a public servant)	6 mo–5 yrs + fine
s.9	Taking gratification for exercise of **personal influence** with a public servant	6 mo–5 yrs + fine
s.10	**Misconduct in public by a drunken person** while employed as a public servant	1 month/fine/both
s.11	Public servant obtaining valuable thing without consideration / inadequate consideration from a person concerned in any proceeding/business	6 mo–5 yrs + fine (minimum 6 months)
s.12	Punishment for abetment of offences under ss.7/11 (public servant); and abetting by the public servant of s.8/9	6 mo–5 yrs + fine
s.13(1) (a)–(e)	Criminal misconduct: habitual gratification; gratification by corrupt/illegal means; by personal influence; abuse of position for valuable thing/pecuniary advantage; **disproportionate assets**	1–7 yrs raised in 2014 to **4–10 yrs** + fine

Old section	Offence (pre-2018)	Sentence (as amended by 2014)
s.14	Habitual commission of s.13(1)(a)–(d) after prior s.7/13 conduct	Up to 7 yrs (old)
s.15	Attempt to commit s.13(1)(c)/(d)	Up to 3 yrs (old; now 2–5 yrs for new (a))
s.20	Presumption of motive/reward for ss.7 & 11 and s.13(1)(a)/(b) on proof of acceptance	—
s.24	Statement by bribe giver not to subject him to prosecution (immunity for the assisting witness)	**Omitted 2018** → s.8 compelled + 7-day rule

The trap jurisprudence in *Shanthamma* ("sections 7 and 13(1)(d)(i)–(ii)"), *Kakkar* (s.13(1)(d)), *Kalicharan* and *Chautala* (s.13(1)(e)) operates on this scheme; when reproducing the prescribed cases, quote the old numbering, and when advising today, map the conduct to the new sections as shown in Part C.

8B. The 2018 amendment at a glance

#	Change	Section
1	Definitions inserted: **"prescribed"** and **"undue advantage"** (gratification beyond legal remuneration, not limited to money)	s.2(aa), 2(d)
2	**Time-bound trial**: day-to-day; endeavour to conclude in **2 years**; 6-month extensions for recorded reasons; ordinarily not beyond **4 years**	s.4(4)
3	Bribe-taking restructured (obtains/accepts/attempts; improper performance as reward/anticipation; third-party receipt; statutory ration-card illustration)	s.7
4	**Bribe-giver punishable** (up to 7 years), with the compelled-citizen safe harbour on reporting within **7 days**; commercial organisations fined	s.8
5	**Commercial organisations liable** to fine for associated-person bribery to obtain/retain business; adequate-procedures guidelines defence; cognizable ss.7A/8/9	ss.9–10; s.29A rules
6	**s.17A prior approval** before inquiry/investigation relatable to official recommendations/decisions; spot-arrest exception; 3+1-month decision window	s.17A
7	**Wider sanction**: "is or was employed"; Explanation covering retired/transferred officers; private-complainant safeguards; 3+1-month time-limit; list changed to ss.7, 11, 13, 15	s.19
8	Attachment/forfeiture of procured property through the **1944 Ordinance** (Special Judge = District Judge), subject to PMLA	s.18A; Ch. IVA

9. Penalty chart (current scheme)

Section	Offence	Who commits it	Punishment
7	Public servant bribed (demand/receipt/corrupt performance)	Public servant	3–7 years + fine
7A	Taking advantage to influence a public servant (middleman)	Any person	3–7 years + fine; **cognizable**
8	Bribing a public servant	Bribe giver (commercial org → fine)	Up to 7 years / fine / both; compelled + 7-day report safe harbour; **cognizable**
9	Bribery by/associated with a commercial organisation	Commercial organisation	Fine; adequate-procedures defence; **cognizable**
10	Officer of commercial organisation in charge	Director/manager/secretary/ officer/partner	3–7 years + fine
11	Undue advantage without/inadequate consideration from concerned person	Public servant	6 months–5 years + fine
12	Abetment (whether or not offence committed)	Any person	3–7 years + fine
13(1)(a)	Dishonest/fraudulent misappropriation or conversion of entrusted property	Public servant	4–10 years + fine
13(1)(b)	Illicit enrichment (disproportionate assets presumed)	Public servant	4–10 years + fine
14	Habitual offender (post-conviction re-offence)	Previously convicted person	5–10 years + fine
15	Attempt to commit s.13(1)(a)	Public servant	2–5 years + fine

REAL-WORLD EXAMPLES — FITTING CHARGES TO CONDUCT

1. **Trap at a registration office:** a sub-registrar demands ₹25,000 to register a sale deed which is legally in order; the buyer lays a trap with the ACB. Demand + tainted-notes recovery → **s.7**; the buyer is a *complainant-cooperating witness* (old law s.24; today s.8(2) post-information assistance, or the compelled + seven-day rule) — not prosecuted as giver.
2. **Defence middleman:** an agent receives commissions abroad from an arms company and routes them to officials — s.7A (influence), s.12 (abetment), s.8 (giver), PMLA laundering; the Bofors fact-pattern is precisely what ss.7A/8/9 and PMLA were built for.
3. **Private bank scam:** a private-bank chairman sanctions loans against fictitious security for kickbacks. Post-*Ramesh Gelli* he is a public servant under s.2(c)(viii)/(b); the kickback → s.7 (old law s.13(1)(d)); the wrongful loss → s.13(1)(a)/CBT and Companies Act s.447; the bank's compliance failure could now engage s.9.
4. **Disproportionate assets:** assets of 522% or 339% of known income (the JBT-check-period figures in *Chautala*) → old s.13(1)(e); today s.13(1)(b) with Explanation 1.

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5. **Private tuition/clinic:** a government doctor charging a genuine consultation fee in unpermitted private hours → departmental misconduct only (*Kakkar*), but demanding money to admit a patient in the government hospital → s.7 (*R.R.S. Seth*).

Part D — Special Judges and Investigation (Syllabus Head F: Sections 17 and 17A)

1. Special Judges (Sections 3–6)

- **s.3:** the Central/State Government may, by Official Gazette notification, appoint as many **Special Judges** as necessary for specified areas/cases to try (a) offences under the Act and (b) conspiracy, attempt or abetment of them. Qualification: a Sessions, Additional Sessions or (earlier) Assistant Sessions Judge.
- **s.4:** notwithstanding anything in the CrPC/BNSS or other law, these offences are **triable by Special Judges only**; territorial allocation; co-trial of connected offences; and, as substituted in 2018, trial "as far as practicable on a **day-to-day** basis" with an endeavour to conclude within **two years**, reasons recorded for delay, extensions of six months at a time, ordinarily not exceeding **four years** in aggregate.
- **s.5:** the Special Judge takes cognizance **without committal**, follows warrant-case procedure, may tender **pardon** (deemed tender under s.307 CrPC → **s.344 BNSS**; the approver regime of ss.306–308 → ss.343–345 BNSS applies), and the court is deemed a Court of Session with the prosecutor deemed a Public Prosecutor; s.5(6) confers District Judge powers under the 1944 Ordinance (attachment).
- **s.6:** narrow summary-trial provision for public-servant contraventions tied to Essential Commodities Act special orders (cap of one year's imprisonment on summary conviction).
- **s.27:** appeal/revision to the High Court as if the Special Judge were a Sessions Court (appeal now follows s.415 BNSS, replacing s.374 CrPC).

2. Section 17 — persons authorised to investigate

Notwithstanding the CrPC, **no police officer below the rank** — (a) in the **Delhi Special Police Establishment (CBI): Inspector of Police**; (b) in the metropolitan areas of Bombay, Calcutta, Madras, Ahmedabad and other notified metropolitan areas: **Assistant Commissioner of Police**; (c) elsewhere: **Deputy Superintendent of Police** or equivalent — shall investigate an offence under the Act without the order of a Metropolitan Magistrate/first-class Magistrate, or arrest without a warrant.
Proviso 1: an Inspector authorised by the State Government by general/special order may investigate without a Magistrate's order and arrest without warrant.
Proviso 2: the s.**13(1)(b)** illicit-enrichment offence (old 13(1)(e)) shall not be investigated without the order of a police officer not below the rank of **Superintendent of Police**.

Consequence of breach: investigation by an officer below the prescribed rank is not a nullity per se but, absent proper authorisation, is an illegality; courts assess whether it caused failure of justice and permit ratification by a competent officer taking over. The rank check is a recurring ground in quash petitions (compare *H.N. Rishbud v. State of Delhi* (1955) and *State of M.P. v. B.B.S. Thimaya* principles for cognizance despite procedural lapses).

3. Section 17A — previous approval before enquiry/inquiry/investigation (inserted 2018)

SECTION 17A(1)
No police officer shall conduct any **enquiry, inquiry or investigation** into an offence alleged to have been committed by a public servant under this Act, where the alleged offence is **relatable to any recommendation made or decision taken by such public servant in discharge of his official functions or duties**, without the previous approval of — (a) the Central Government for Union employees; (b) the State Government for State employees; (c) in any other case, the authority competent to remove him **at the time of commission** of the alleged offence.

- **Proviso 1 (spot-arrest exception):** no approval is needed "for cases involving arrest of a person **on the spot** on the charge of accepting or attempting to accept any undue advantage for himself or for any other person" — every ACB/CBI **trap case** falls in this exception.
- **Proviso 2 (time-limit):** the competent authority must convey its decision within **three months**, extendable by **one further month** for recorded reasons in writing.
- **Scope (Supreme Court reading, e.g. *Anil Kumar v. M.K. Aiyappa*, (2023) and the 2021–24 line):** approval is a **post-FIR safeguard against harassment for bona fide decisions**: it is not required to *register* an FIR or conduct a **preliminary enquiry**, but is required before actual investigation involving coercive steps into a decision/recommendation; it is **not** required for offences unrelated to official decisions (e.g. trap-based s.7 acceptance; private assets/DA cases of the s.13(1)(b) type are governed by s.17 proviso 2 SP-level authorisation).

§ CONNECTED LAW — THE SINGLE DIRECTIVE LINEAGE AND THE BNSS COMPLAINT CHECKS
s.17A is the statutory successor to the "Single Directive" (executive sanction for probing senior officers) struck down in *Vineet Narain*, and to DSPE s.6A (inserted by the CVC Act 2003) struck down in *Subramanian Swamy v. CBI* (2014) as Article-14-violative (no basis to shield senior officers categorically). The 2018 drafting survived challenge by being decision-focused rather than rank-focused. Alongside it, BNSS s.223(2) (new; replaces s.200 CrPC complaint procedure) now requires a Magistrate taking cognizance on a **private complaint against a public servant** relating to official functions to give the accused an opportunity of explanation and seek a report from his superior — a parallel pre-cognizance filter. CVC s.8A/8B supplies the preliminary-enquiry track (90+90 days; then investigation, departmental action or closure with action against a false complainant under Lokpal Act s.46).

4. Sections 18 and 18A — bankers' books and attachment of property

- **s.18:** an empowered officer who suspects an offence may **inspect bankers' books** relating to the suspect's accounts (or third-party accounts suspected to be held for him) and take certified copies; the bank is bound to assist. Below SP rank, specific written authorisation of an SP is needed. "Bank"/"bankers' books" carry the meanings from the Bankers' Books Evidence Act, 1891 (now succeeded by the BSA-compatible certified-copies regime).
- **s.18A (inserted 2018):** save as otherwise provided in PMLA, the **Criminal Law Amendment Ordinance, 1944** applies, as far as may be, to attachment, administration and execution of attachment/confiscation of money or property procured by a PC Act offence; references to "District Judge" are read as the **Special Judge**. This is the domestic asset-forfeiture track; the Enforcement Directorate's PMLA track (PC offences are scheduled predicate offences) runs independently.

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REAL-WORLD EXAMPLE — THE TRAP WORKFLOW THE ACB ACTUALLY FOLLOWS (SEE SHANTHAMMA FOR A FAILED TRAP)

1. **Complaint and preliminary verification:** the complainant's written report (e.g. Ex.P3 in *Shanthamma*) is recorded; mediators/panch witnesses are arranged (in *Shanthamma*, LW8 was instructed to accompany the complainant inside the chamber).
2. **Pre-trap panchnama:** denomination and serial numbers of the tainted notes are recorded; the complainant is briefed; where phenolphthalein powder is used, its transfer to the recipient's hands turns a sodium-carbonate solution pink (chemical proof of contact with the notes — its **absence** matters where, as in *Shanthamma*, the notes were placed in a diary).
3. **The transaction and signal:** the complainant offers the money; the team watches from vantage positions; a pre-arranged signal is given after recovery.
4. **Post-trap:** raid, recovery, seizure memo, chemical test, arrest (on the spot — no s.17A approval needed), statements, FIR; sanction under s.19 is sought before cognizance.
5. **Evidentiary chain:** demand → acceptance → recovery → presumption under s.20 → defence explanation; the prosecution must prove **demand independently** of recovery (the lesson of *Shanthamma*).

Part E — Sanction for Prosecution (Syllabus Head G: Section 19 read with s.197 CrPC → s.218 BNSS)

1. Section 19 (current text, post-2018)

SECTION 19(1)

No court shall take cognizance of an offence punishable under **sections 7, 11, 13 and 15** alleged to have been committed by a public servant, except with the previous sanction **save as otherwise provided in the Lokpal and Lokayuktas Act, 2013** —
(a) of the Central Government for a person **employed, or who was at the time of commission employed**, in connection with the affairs of the Union and removable only by that Government;
(b) of the State Government on the same footing for State affairs;
(c) in any other case, of the **authority competent to remove him from office**.
Private-complainant provisos (2018): a private person (not police/law-enforcement) may seek sanction only after filing a court complaint which has not been dismissed under s.203 CrPC (now the BNSS analogue) with a direction to obtain sanction; the competent authority must give the public servant an **opportunity of being heard** before granting such sanction.
Time-limits: decision within **three months**, extendable by one month for recorded reasons (legal consultation); guidelines may be prescribed.
Explanation: "public servant" for s.19(1) includes a person **(a) who has ceased to hold the office** during which the offence is alleged, or **(b) who has ceased to hold that office and holds another office**.

- **s.19(2):** if any doubt arises whether sanction should be by the Centre, a State or another authority, it is given by the Government/authority **competent to remove the public servant at the time the offence was allegedly committed**.
- **s.19(3):** absence of, or error/omission/irregularity in, sanction does not by itself reverse/alter a finding, sentence or order or stay proceedings **unless a failure of justice has in fact been occasioned**; no revision lies against interlocutory orders. **s.19(4):** in judging failure of justice the court asks whether the objection could and should have been raised earlier (delay/waivability). Explanation: "error" includes **competency of the sanctioning authority**.
- **Nature of sanction:** per *R.S. Nayak v. A.R. Antulay* and the long line of cases, sanction is not an idle formality but a **solemn and sacrosanct act**: the competent authority must apply its mind to the evidence collected and the facts; a mechanically granted sanction is invalid.
- **Sections covered:** pre-2018 the list was "**7, 10, 11, 13 and 15**"; post-2018 it is "**7, 11, 13 and 15**" (old s.10 disappeared in the re-enactment; ss.7A, 8, 9, 10 giver/middleman offences deliberately need no sanction against the private party).

2. Section 197 CrPC → Section 218 BNSS — the general-code counterpart

§ CONNECTED LAW — GENERAL VS SPECIAL SANCTION

s.197 CrPC 1973 (now **s.218 BNSS, 2023**) bars cognizance of an offence alleged to have been committed by a Judge/public servant **while acting or purporting to act in discharge of official duty**, without sanction of the Government/competent authority; the words "who is **or was**" expressly cover **retired** officials. **BNSS s.218 first proviso adds a 120-day limit**: the competent authority must decide a sanction request within 120 days, failing which sanction is **deemed accorded**. Differences from s.19 PC Act (as explained in *Kalicharan*):

- s.197/s.218 protects official *acts* ("acting or purporting to act in discharge of duty"); the PC Act offences **cannot** be characterised as official acts even purportedly — hence Parliament deliberately left s.19's wording unchanged in 1988 despite adding "or was" to s.197 in 1973.
- s.19 is a **special** provision keyed to enumerated sections and the authority competent to remove; where it applies it excludes the general provision.
- Certain offences are declared outside sanction protection (the CrPC explanation lists ss.166A/166B, 354 series, 370, 376 IPC type offences); BNSS s.223(2) separately guards private complaints against public servants at the cognizance stage.

4. Sanction case law — faculty-notes principles

Case	Principle
S.A. Venkataraman v. State **(1958 SCR 1040)**	s.6(1) PC Act 1947 (pari materia s.19) did not require sanction to prosecute one who had **ceased** to be a public servant when cognizance was taken; clause (c) covers public servants removable by other authorities.
C.R. Bansi v. State of Maharashtra **(1971 3 SCR 236);** *State of W.B. v. Manmal Bhutoria* **(1977 3 SCR 758)**	Followed Venkataraman.
K. Veeraswami v. UOI **(1991) 3 SCC 655**	No sanction needed after retirement under the Act; separately, judges carry CJI-consultation and President-sanction protections.

Case	Principle
R.S. Nayak v. A.R. Antulay **(1984) 2 SCC 183 (Constitution Bench)**	Sanction is linked to the **office abused**: where the accused abused office as Chief Minister but at cognizance was only an MLA (a different office), no sanction was needed; sanction of every competent authority for plural offices is not required; the authority is the one competent to remove from the office alleged to have been misused. The observations were held binding ratio, not obiter.
Habibullah Khan **(1995);** *Balakrishnan Ravi Menon* **(2007);** *K. Karunakaran* **(2007);** *Prakash Singh Badal* **(2007)**	Consistent Antulay-line: no sanction where the office abused is not held at cognizance.
Manzoor Ali Khan v. UOI **(2014)**	Upheld the constitutional validity of s.19 against an Article 14 challenge (alleged misuse to protect corrupt officers); laid down the guideline that sanction/non-sanction decisions be made within **three months** — later codified in 2018.
Katti Nagaseshanna v. State of A.P., **Telangana HC, 16-11-2018**	The 2018 Explanation to s.19 (sanction for retired/transferred officials) applies **prospectively**, not to pending proceedings under old s.13(1)(e).

REAL-WORLD EXAMPLE — THE AKHILESH ILLUSTRATION

Akhilesh was a Central Government public servant from 2000 to 2020 and committed the misconduct in 2018. **Trial in 2019** (still in service): sanction of the Central Government necessary under every regime. **Trial in 2021** (after retirement): under *Kalicharan* and the unamended Act, **no sanction** was required; under the 2018-amended s.19 Explanation (a), sanction **is** required even post-retirement (but for offences committed/charged under the new regime's cognizance framework — pending old-law cases follow *Katti Nagaseshanna*). For the DU problems (2017 Joint-Secretary Rajender; 2016 MP "M"), the answer must give **both** answers: *Antulay/Chautala* says no sanction when the abused office differs; the 2018 amendment says sanction is needed.

Part F — Presumption, Trap Evidence and Burden of Proof (Syllabus Head H: Section 20)

1. Section 20 — presumption where a public servant accepts undue advantage

SECTION 20 (POST-2018)

Where, in any trial of an offence punishable under **section 7 or section 11**, it is proved that a public servant accused of an offence has **accepted or obtained or attempted to obtain** for himself or another any **undue advantage** from any person, **it shall be presumed, unless the contrary is proved**, that he accepted/obtained/attempted to obtain that advantage as a **motive or reward under section 7** for performing/causing performance of a public duty improperly or dishonestly (by himself or another), or, as the case may be, the advantage **without consideration/inadequate consideration under section 11**.

- This is a **rebuttable presumption of law** ("shall presume") cast in terms of the old s.4, Evidence Act 1872, now the **"shall presume" concept in s.4, para (2) of the Bharatiya Sakshya Adhiniyam, 2023** (BSA).
- **Foundation first:** the presumption switches on only after the prosecution proves the **acceptance/obtaining** (and, under the section's interplay with case law, in a trap case the demand). Once the foundation is laid, the burden shifts to the accused to show the money was **not** a motive or reward (e.g. it was due, legally receivable, a loan, returned, planted). Under the evidence code the accused's burden is generally discharged by **preponderance of probability** (contrast the NDPS s.35(2) "beyond reasonable doubt" anomaly); he need not prove his innocence to the hilt.
- Pre-2018, s.20 applied on proof of acceptance in trials under **ss.7 and 11 and old s.13(1)(a)/(b)**; the present text keys it to new s.7 and s.11. *Madhukar Bhaskarrao Joshi* and *B. Noha* (below) remain the governing interpretations of the premise-and-inference structure.

2. The two indispensable facts — demand and acceptance

SETTLED PRINCIPLE (P. SATYANARAYANA MURTHY, (2015) 10 SCC 152, PARA 23)

"The proof of **demand of illegal gratification** is the **gravamen** of the offence under ss.7 and 13(1)(d)(i)/(ii), and in absence thereof unmistakably the charge fails. Mere acceptance of any amount allegedly by way of illegal gratification or recovery thereof, dehors the proof of demand, ipso facto would not be sufficient to bring home the charge…. Failure of the prosecution to prove the demand would be fatal and mere recovery of the amount from the accused would not entail conviction." **This is the exact rule applied to acquit in** *K. Shanthamma* **(Case 9).**

Case	Rule
Madhukar Bhaskarrao Joshi v. State of Maharashtra **(2000) 8 SCC 571 (para 12)**	The premise for the presumption is **payment or acceptance of gratification**; once that is established, the inference is that it was accepted "as motive or reward"; "gratification" need not mean "reward" — reward is the outcome of the presumption; gratification means any payment giving satisfaction. The official-act nexus is thus presumed, not independently proved.
B. Noha v. State of Kerala **(2006) 12 SCC 277 (paras 10-11)**	"When it is proved that there was **voluntary and conscious acceptance** of the money, there is no further burden cast on the prosecution to prove by direct evidence the demand or motive; it has only to be deduced from the facts and circumstances." **But** Noha applies on a reliable foundation — it does not dispense with proof of demand where acceptance itself is doubtful (Shanthamma reconciles the two).
Raj Rajendra Singh Seth (R.R.S. Seth) v. State of Jharkhand **(2008) 11 SCC 681**	Where money demanded for proper treatment of a patient in a government hospital (₹500, payable even to the ward boy) is proved to have passed to the doctor, the burden is on him to show it was not illegal gratification; not discharged → conviction upheld. Cited contrast in *Kakkar*: hospital-linked extraction is corruption; unauthorised private-practice fee is not.
State of Punjab v. Madan Mohan Lal Verma; *Vishnu Kumar Bhargava* **line**	The complainant's evidence in trap cases requires careful scrutiny with the assistance of independent witnesses; where the bribe-giver turns hostile and other circumstances do not establish demand, acquittal follows.

3. The trap case — evidence architecture

Prosecution must establish

1. Demand by the accused for an undue advantage linked to an official function (oral/writing; prior demands + demand at trap).

2. Acceptance — conscious, voluntary receipt of the tainted money/advantage (hand-to-hand, or through a third party/diary/agent).
3. Identity and continuity — pre-trap note serial numbers, sealing, panch witnesses, the complainant's version, shadow witness, post-trap recovery and chemical test.
4. Official nexus — the advantage related to the public duty (then presumed under s.20 unless rebutted).

Defence commonly raised

No demand — complainant's version is an improvement/after-thought (s.161 CrPC → s.180 BNSS statement vs. court statement).
Money planted / kept unknowingly (diary, drawer); no conscious possession — negative chemical test on fingers.
Independent shadow witness did not witness the transaction; sole interested witness.
Amount legally due (fees, dues, loan, returned advance); enmity/memo motive of witnesses; no pending favour (order already passed/no tax due).

4. Accused as witness; charge particulars; other evidentiary provisions

- **s.21 — accused a competent defence witness:** he may give evidence on oath in disproof of charges against himself/co-accused, only **on his own request**; his failure to testify cannot be commented upon by the prosecution or raise a presumption; cross-examination on prior offences/bad character is tightly restricted.
- **s.22 — modified Code procedure** before the Special Judge (witness lists, absence of accused, no automatic stay on revision, restricted record-calling). **s.23:** for a s.13(1)(a) charge (misappropriation), it suffices to describe the property and the date-range (not exceeding one year) without item/date particulars, and the charge is deemed one offence for s.219 CrPC (now BNSS analogue) — practical for DA/embezzlement prosecutions.
- **s.25:** armed-forces/paramilitary statutes and their courts are unaffected; the Special Judge is nonetheless a court of ordinary criminal justice for those laws. **s.27:** appeal/revision to the High Court.

5. Burden of proof and the new evidence code

§ CONNECTED LAW — PRESUMPTIONS AND BURDENS UNDER THE BSA, 2023 (IN FORCE 1-7-2024)

- "May presume / shall presume / conclusive proof" (old s.4 IEA) → **s.4, paras (1)–(3), BSA** (definitions in s.2). Section 20 PC Act is a "shall presume": the court must hold the presumed fact proved until disproved.
- Burden of proving exceptions/defences (old s.105 IEA) → **s.108 BSA** — the accused's case of legal entitlement, coercion, repayment etc.
- Burden as to facts within special knowledge (old s.106 IEA) → **s.109 BSA** — why money was in the drawer, how assets were acquired: facts pre-eminently within the accused's knowledge.
- Accomplice/approver evidence (s.133 + ill.(b) to s.114 IEA) → **s.307 BSA**, relevant to co-accused/pardons under s.5 read with BNSS ss.343–345.
- Trap witnesses: police/accomplice witnesses are not automatically untrustworthy; courts assess reliability, with independent witnesses preferred where available (the *Shanthamma* failure to let the shadow witness enter the chamber was fatal precisely because no independent corroboration of demand survived).

REAL-WORLD EXAMPLE — PHENOLPHTHALEIN TRAPS AND THE "DIARY PROBLEM" IN SHANTHAMMA

In a standard cash trap the tainted notes are dusted with phenolphthalein powder; when the recipient handles them and dips his fingers into sodium-carbonate water, the solution turns pink — corroborating physical contact. In *Shanthamma* the officer allegedly asked the complainant to place notes inside a **diary in her drawer**; her fingers did not turn pink (she never touched the notes), the independent shadow witness remained outside the chamber, and the complainant's repeated-demand story was an "improvement" over his s.161/s.164 statements — recovery from the diary proved custody but neither **demand** nor **conscious acceptance as bribe**. Contrast the modern practice where trap teams insist on hand-to-hand passing, continuous audio/video recording and two independent panch witnesses — reforms directly responsive to acquittals on these gaps.

Subject of Crime — IPC 1860 ↔ BNS 2023; CrPC 1973 ↔ BNSS 2023; Evidence Act 1872 ↔ BSA 2023

The three re-codes came into force on **1 July 2024**. The PC Act offences themselves are untouched (ss.161–165A IPC had already been absorbed into the PC Act and the BNS does not re-create bribery), but every procedural and evidentiary cross-reference must be updated. Name the code you cite ("s.218 BNSS", never a bare "s.218").

1. Substantive code map (IPC → BNS)

Concept	IPC, 1860	BNS, 2023	PC Act linkage
Definition of **public servant**	s.21	**s.2(28)**	PC Act s.2(c) is wider/special (12 clauses); it prevails for PC Act trials.
Bribery of public servant	s.161 (taking gratification); ss.162–165A (giving/influence/gifts/abetment)	**Not re-enacted in BNS** — repealed by PC Act 1988 (s.31; omitted 2001)	PC Act ss.7, 7A, 8, 9, 10, 11, 12.
Bribery in connection with **election**	ss.171B & 171E	**ss.170 & 173** (definition; punishment)	Separate from PC Act bribery; s.2(a) PC Act defines "election" for s.2(c)(vii).
Public servant **disobeying law/direction** causing injury	s.166; s.166A; s.166B (non-treatment of victim)	**ss.198, 199, 200**	Residual liability where no corrupt motive is proved (s.28 PC Act).
Public servant framing an **incorrect document** to cause injury	s.167	**s.201**	Often charged alongside s.13(1)(a); s.28 overlap.
Public servant **unlawfully engaging in trade**	s.168	**s.202**	The companion charge in *Kakkar* — held not made out for medical practice (professional duty, not trade).

by Ankur R. Upadhyay

Concept	IPC, 1860	BNS, 2023	PC Act linkage
Public servant **unlawfully buying/bidding for property**	s.169	**s.203**	Shares with s.11 PC Act the concern over interested dealings; s.11 is the corruption track.
Personating a public servant / garb	ss.170–171	**ss.204–205**	Connected person offences.
Criminal breach of trust by public servant/banker/ merchant/agent	s.409 (general: ss.405–408)	**s.316(5)** (consolidated s.316)	Misappropriation of entrusted property — the same conduct now falls under PC Act s.13(1)(a); punishment up to life under BNS 316(5).
Criminal **conspiracy**; abetment; attempt	ss.120A/120B; ss.107–116; s.511	**s.61; ss.45–56; s.62**	PC Act s.12 is stricter: abetment punishable the same **whether or not the offence is committed**, overriding the IPC s.116/BNS s.56 lower scale.

Writing rule: "Before 1988, bribery was punished under IPC ss.161–165A; the PC Act absorbed those sections with enhanced minimum sentences and s.31 deleted them from the IPC; the Bharatiya Nyaya Sanhita, 2023 accordingly contains no bribery offence — corruption is governed exclusively by the special statute, while public-servant misconduct of other kinds survives in BNS ss.198–205 and CBT in s.316(5)."

2. Procedure code map (CrPC 1973 → BNSS 2023) in PC Act practice

Stage / topic	CrPC, 1973	BNSS, 2023	PC Act hook
Sanction for prosecution of judges/ public servants	**s.197** ("is or was")	**s.218** (first proviso: decide within **120 days else deemed sanctioned**)	PC Act **s.19** special regime (3+1 months; 2018 Explanation for retired/ transferred)
Private-complaint examination; new public-servant pre-cognizance safeguards	s.200	**s.223** (incl. s.223(2) opportunity/explain + superior's report for official-function complaints)	s.19 private-complainant provisos (court-directed sanction)
Dismissal of complaint (in the s.19 proviso)	s.203	s.225–style dismissal stage	s.19(1) first proviso
FIR / cognizable case information	s.154	s.173	Spot-arrest trap cases (s.17A first proviso)
Police remand / default bail; charge-sheet	ss.167, 173	ss.187, 193	s.22 modified Code application; Special Judge warrant-case procedure
Cognizance	s.190	s.210	s.5 Special Judge takes cognizance without committal
Approver pardon (tender / conditional / trial)	ss.306–308	**ss.343–345**	s.5(2): Special Judge pardon deemed under s.307 → s.344
Warrant-case procedure adopted by Special Judge	ss.238–250; modified s.243 etc. (s.22 PC Act)	BNSS warrant-case counterparts	ss.5(1), 22
Property disposal (attachment/ confiscation)	ss.451–459	BNSS property chapter counterparts	s.18A + CLA Ordinance 1944; PMLA
Appeals / revisions / inherent powers	ss.374; 397/401; 482	ss.415; 438/442; 528	s.27; s.19(3)(c) bars revision of interlocutory orders

3. Evidence code map (Evidence Act 1872 → BSA 2023)

Topic	IEA, 1872	BSA, 2023	PC Act hook
May presume / shall presume / conclusive proof	s.4	**s.4, paras (1)–(3)** (definitions in s.2)	s.20 is a "shall presume"; s.13(1)(b) Explanation 1 likewise presumes illicit enrichment.
Burden of exceptions/defence	s.105	**s.108**	Defence of legal remuneration, coercion + 7–day report (s.8), adequate procedures (s.9)
Burden of facts within special knowledge	s.106	**s.109**	Why money was in the drawer; source of assets (s.13 Explanation 1); R.R.S. Seth burden
Accomplice / approver evidence	s.133; ill.(b) to s.114	**s.307**	Trap complainants as interested witnesses; approvers under s.5(2)
Certified copies of bankers' books/electronic records	ss.61–65; Bankers' Books Evidence Act 1891	ss.63–67 BSA	s.18 inspection and certified copies

by Ankur R. Upadhyay

Prescribed & Landmark Case Law Dossiers — Detailed IRAC Analysis

CASES #21 - #24

CASE #21 DU LL.B. PRESCRIBED AUTHORITY

Kalicharan Mahapatra v. State of Orissa

AIR 1998 SC 2595 · (1998) 6 SCC 411 · Supreme Court of India · M.M. Punchhi, C.J.I., and K.T. Thomas, J. · Judgment delivered by K.T. Thomas, J. (4 August 1998)

Forum chain: Special Judge, Bhubaneswar (Orissa Special Courts Act, 1990) → High Court → Supreme Court

Charge: s.13(2) r/w s.13(1)(e) PC Act — disproportionate assets

Key question: Can a retired public servant be prosecuted without sanction?

Answer: Yes — and no sanction is needed after he demits office

Facts

- The appellant, **Kalicharan Mahapatra**, was an IPS officer who rose to **Superintendent of Police** in the Orissa State Police Service.
- **12 May 1990:** on "sleuth information", a raid was conducted at his residence and **a good amount of cash and jewellery was recovered**. A case was registered under **s.13(2)** of the PC Act.
- **31 December 1990:** the appellant **retired** from service while investigation continued.
- **30 September 1992:** the Vigilance Department filed a charge-sheet under **s.13(2) read with s.13(1)(e)** (criminal misconduct — pecuniary resources/property disproportionate to known sources of income).
- The case went to the Special Judge at Bhubaneswar; the appellant raised a **preliminary objection** that without previous sanction the court could not take cognizance. The Special Judge and the High Court rejected it; the matter reached the Supreme Court.

Issues framed (faculty summary)

1. Whether the PC Act, 1988 applies to a **retired public servant**? — **Yes.**
2. Whether previous sanction under **s.19** is required to try a retired public servant? — **No.**
3. Whether s.19 must be interpreted in the light of the amended **s.197 CrPC 1973** ("is or was")? — **No; the two provisions are distinct.**

Arguments on behalf of the appellant

1. **The Act does not cover a retired person:** the legislature did not include a retired public servant; there is no mention of a person who has ceased to be a public servant; s.2(c) does not include him, and Chapter III (offences/penalties) points to no non-public-servant offender for the public-servant offences.
2. **The s.19(1) structure breaks down after retirement:** clause (a) covers a person *employed* in Union affairs removable by the Centre; clause (b) likewise for the States; clause (c) covers "any other person" removable by a competent authority. A retired person cannot be removed from any office — so, it was argued, **none of the three clauses applies** and prosecution is impossible.
3. **The CrPC changed the rule:** s.197 of the 1973 Code expressly covers "any person who **is or was**… a public servant", whereas the old CrPC 1898 did not protect retired officials. Since Parliament knew how to say "is or was" but omitted such words from s.19 PC Act, the older decisions (under the 1947 Act) could no longer be relied upon.

Arguments for the respondent (accepted by the Court)

- Sections 8, 9, 12 and 15 deal with offenders who need not be public servants, while the other sections deal with public servants; **nothing anywhere says an offence "vanishes" when the offender demits office**.
- Public-servant **status is required at the time of commission**, not at trial; the offence cannot be committed after demitting office, but an offence committed in office remains triable.
- The s.19 wording was carried over **materially unchanged** from s.6 of the PC Act 1947 despite the 1973 CrPC change — a deliberate distinction: s.197 protects acts done in purported discharge of *official duty*; PC offences can never be official acts even purportedly.

Statutory provisions and precedents analysed

- s.2(c) (public servant); s.13(1)(e) and s.13(2) (old); **s.19(1)(a)/(b)/(c)**; s.6 PC Act 1947 (pari materia); ss.197 CrPC 1898 and 1973; 41st Law Commission Report (1969), para 15.123.
- *S.A. Venkataraman v. The State* **[1958 SCR 1040] (3-Judge Bench):** s.6(1) of the 1947 Act did not require sanction for a person who had ceased to be a public servant when cognizance was taken; clause (c) covers "any other public servant whom a competent authority could remove".
- *C.R. Bansi v. State of Maharashtra* [1971(3) SCR 236]; *State of W.B. v. Manmal Bhutoria* [1977(3) SCR 758]; and the Constitution Bench in *K. Veeraswami v. UOI* **(1991) 3 SCC 655** — all to the same effect (no sanction after retirement).
- *R. Balakrishna Pillai v. State of Kerala* (1996) 1 SCC 478 — recorded the Law Commission reasoning (41st Report, para 15.123): protection after retirement is needed under s.197 so a private complainant cannot wait out the officer's tenure to harass him — but that rationale is specific to official-act prosecutions.

DECISION (PARAS 14–15)

A public servant who committed an offence under the Act while in office can be prosecuted **with the s.19 sanction if he continues in office when the court takes cognizance**; if he has **ceased** to be a public servant by then, the court can take cognizance **without any sanction**. In other words, he is liable whether or not he remains in office at trial or during prosecution. Accepting the appellant's argument would produce the absurd result that an officer could offend just before retirement and escape, or protract trial until superannuation. The appeal was **dismissed**; the Special Court and High Court were upheld.

PRINCIPLE / RATIO

1. **Status at the time of offence, not trial:** the PC Act applies to retired public servants for offences committed while in office.
2. **No sanction post-retirement under the unamended Act:** s.19 protects the sitting public servant; once the office is demitted there is no authority "competent to remove" and the protection disappears (s.6 1947 Act precedents applied).
3. **s.19 PC Act ≠ s.197 CrPC:** the former concerns non-official corrupt acts; the latter concerns acts done or purported to be done in official duty — Parliament's 1988 decision not to import "is or was" was deliberate.

4. **Superseded by the 2018 amendment:** notably, this ratio has been **legislatively overruled** — the Explanation to amended s.19(1) now includes the person who has ceased to hold the office; post-2018, sanction is required even after retirement (see the Akhilesh illustration and *Katti Nagaseshanna*, 2018 on prospectivity).

CASE #22 DU LL.B. PRESCRIBED AUTHORITY

K. Shanthamma v. State of Telangana

Criminal Appeal No. 261 of 2022 (arising out of SLP (Criminal) No. 7182 of 2019) · Supreme Court of India · Ajay Rastogi and Abhay S. Oka, JJ. · Acquittal on appeal

Accused: Commercial Tax Officer (CTO), Secunderabad, A.P.	**Alleged bribe:** ₹3,000 demanded, scaled to ₹2,000 for the final assessment order
Trap: 27 March 2000 by ACB Hyderabad; notes found in a diary in her locked drawer	**Charges:** ss.7 & 13(1)(d) r/w s.13(2) (old law)

Facts and prosecution case

- The appellant, **K. Shanthamma**, was Commercial Tax Officer at Secunderabad. PW1, **R. Seetharamulu @ Sharma**, was a supervisor at the Farmers' Service Co-operative Society and filed its commercial-tax returns. Assessment for 1997–98 was complete but the **1996–97 returns were pending**.
- On **14 February 2000** the appellant issued notice to the Society to produce the cash book, general ledger and purchase/sales statements for 1996–97. PW1 produced the records; she directed PW4 (Ahmed Moinuddin, ACTO) to verify them.
- The prosecution case: on **24 February 2000** she demanded ₹3,000 for issuing the assessment order; reiterated the demand on three consecutive days; on **29 February** refused to issue the final order without payment; on **23 March** scaled the demand to ₹2,000.
- **27 March 2000:** PW1 and the Society's Managing Director went to the ACB, Hyderabad; PW1 gave a written complaint to the DSP, ACB, and a trap was laid. When PW1 tendered the tainted ₹2,000, the appellant (allegedly) did not take the money directly but opened a **diary** from her table drawer, asked him to place the notes inside, closed and locked the drawer, and kept the key in her handbag. She then signed the ledger/cash book (dating them 26 February 2000), had the attender affix the official rubber stamp, and signed the final assessment office note. PW1 collected the books, came out and gave the signal; the trap party entered.
- The DSP questioned her; she opened the right-side drawer with the key from her handbag and produced the diary; the wad of notes matched the pre-trap serial numbers. Seizure formalities followed. The Special Court convicted under ss.7 and 13(1)(d)/13(2); the Telangana High Court dismissed the appeal.

Issues

1. Was the **demand** of illegal gratification proved?
2. Was **acceptance** of the tainted notes by the appellant proved (recovery from the diary; negative chemical test)?
3. If recovery was proved, did the s.20 presumption nevertheless fail because the foundational demand/acceptance was not established?

Arguments — appellant (Mrs. V. Mohana, Senior Advocate)

- **Demand not proved — PW1's evidence was an improvement:** the 24 February and three-day demands did not figure in the Ex.P3 complaint, the s.161 CrPC statement or the s.164 statement; PW1 admitted these omissions in cross-examination.
- **Independent witness LW8 never entered the chamber:** the DSP (PW8) had directed R. Hari Kishan (LW8) to accompany PW1 inside and observe; both PW7 and PW8 admitted LW8 waited in the corridor. The prosecution offered no explanation — PW1 was therefore the **sole witness** to demand and acceptance.
- **Negative chemical test:** her fingers did not turn pink in the sodium-carbonate test — she never handled the notes; recovery from the diary was not recovery from her person. Her defence under s.313 CrPC: PW1 **slipped the notes into the diary on her table when she was in the attached washroom**; the officers admitted the chamber had an attached washroom.
- **No possible motive:** the notice dated **26 February 2000** (served 15 March 2000) recorded that the Society's net turnover was **nil** and allowed the claimed exemption — no tax was due; the final assessment order was a mere procedural formality, making the demand "highly doubtful".
- **PW4 (ACTO) had a grudge:** she had served a memo on him on 21/22 March 2000 for defaults in duty.
- She relied on the line of authority that **without proof of demand and acceptance, the s.20 presumption does not arise**.

Arguments — respondent (Ms. Bina Madhavan)

- PW1 had no reason to falsely implicate her; his evidence of continuous demands was trustworthy.
- The tainted notes were in **her diary, in her locked drawer; she had the key, opened it herself and produced the diary** — conscious possession/acceptance.
- The assessment **order** (as distinct from the 26 February notice) was still pending and was in fact issued on the trap day — the demand for issuing it was the official favour.
- Both courts had recorded concurrent findings of fact on evidence; under Article 136 the Supreme Court should not interfere.

Law applied

The Court quoted *P. Satyanarayana Murthy v. District Inspector of Police, State of A.P.*, **(2015) 10 SCC 152, para 23** in extenso: proof of demand is the **gravamen** under ss.7 and 13(1)(d); mere acceptance/recovery **dehors proof of demand** is insufficient; failure to prove demand is fatal. It then examined the evidence:

- **Doubtful demand on 23 March:** by 15 March the Society had been served with the nil-turnover/exemption notice; the final order was only formal — a bribe demand then was "highly doubtful".
- **Sole, improved witness:** LW8's failure to enter the chamber was unexplained; PW1 alone spoke to demand/acceptance; his examination-in-chief narrative ("I informed AO that I brought the bribe amount") showed the officer did **not** reiterate any demand at the trap; the earlier dates were admitted improvements over Ex.P3, s.161 and s.164 statements.
- **Corroboration absent:** PW2 had no personal knowledge; PW3 (godown in-charge) was not told the money was for any favour; PW4 was not a witness to any demand (and had been memoed).

DECISION (PARAS 15–16)

The demand of illegal gratification — the **sine qua non** for the s.7 offence — was not conclusively proved; without it the charge under s.7 and s.13(1)(d) could not survive despite diary recovery. The judgments of the Special Court and High Court were **set aside; the appeal allowed; the appellant acquitted**.

PRINCIPLE / RATIO

- **Demand + acceptance are the two indispensable elements** of the s.7/old s.13(1)(d) offence; recovery of tainted money alone, without proof of demand, cannot convict (*Satyanarayana Murthy* restated).
- The **s.20 presumption arises only after the foundational facts** (acceptance, with the demand context) are proved; the prosecution cannot start from the recovered notes.
- Where the independent shadow witness does not witness the transaction without explanation, and the complainant's demand-version is an admitted improvement, the uncorroborated interested testimony is unsafe.
- Absence of any pending official favour (nil assessment already decided) and a negative finger test powerfully support the defence that the notes were planted — the accused's s.313 explanation must be considered in the totality.

> **Note the post-2018 framing:** today the same facts are charged under new s.7 (and, for the giver, s.8). Explanation 1 to s.7 makes demand for *doing a duty owed anyway* (the ration-card illustration) an offence — but *Shanthamma*'s evidentiary lesson is untouched: the demand must still be proved by credible, preferably independent, evidence.

CASE #23 DU LL.B. PRESCRIBED AUTHORITY

Kanwarjit Singh Kakkar & Another v. State of Punjab

(2011) 13 SCC 158 · (2011) 6 SCR 895 · Supreme Court of India · Markandey Katju and Gyan Sudha Misra, JJ. (judgment by Misra, J.; 28 April 2011)

Accused: Two Punjab Government Medical Officers (Dr. Chawla & Dr. Kakkar)	**FIR:** No.13 dated 9-4-2003, PS Vigilance Bureau, Ludhiana
Charges: s.13(1)(d) r/w s.13(2) PC Act & s.168 IPC	**Result:** FIR quashed — departmental misconduct, not corruption

Facts

- Dr. Rajinder Singh Chawla (government doctor at Dhanasu) and Dr. Kanwarjit Singh Kakkar (government doctor at Koom Kalan, Ludhiana) were alleged to be doing **private practice in the evening at Metro Road, Jamalpur**, charging ₹100 cash per patient as prescription fee. Chawla checked blood pressure; Kakkar examined patients, issued prescription slips and medicines.
- The informant, **Raman Kumar**, claimed he himself obtained medicines/treatment for ₹100 and complained that government doctors cannot charge patients contrary to government instructions. A raid was conducted and the doctors were allegedly trapped receiving ₹100 consultation charges.
- FIR No.13 of 9 April 2003 was registered at PS Vigilance Bureau, Ludhiana under **s.13(1)(d) r/w s.13(2) PC Act and s.168 IPC** (public servant unlawfully engaging in trade).
- The High Court (single Judge, 2 April 2009) declined to quash, relying on **Rule 15 of the Punjab Civil Medical (State Service Class I) Rules, 1972**; the doctors appealed by special leave and sought quashing.

Issues

1. Can a government doctor alleged to be doing private practice be booked under the PC Act (s.13(1)(d))?
2. Does the conduct amount to an offence under **s.168 IPC** (unlawfully engaging in trade)?
3. Or is it merely **misconduct under the service rules** (Rule 15 / Punjab Civil Services Punishment & Appeal Rules)?

Arguments — appellants

- **No apparatus of practice:** no medical instrument, BP machine or even a thermometer was recovered; Kakkar's house was under renovation; the complainant requested treatment and on **humanitarian grounds** the doctor scribbled a prescription on plain, unsigned paper.
- **Rule 15 is a conduct regime, not a criminal prohibition:** the government may, by general/special order, **permit** private practice subject to conditions and may withdraw permission without cause; deviation from the rule warrants **departmental** action under the Punjab Civil Services (Punishment and Appeal) Rules — not the IPC, much less the PC Act.
- **Section 7's concept of corruption:** corruption means acceptance/demand of **illegal gratification for doing an official act**. A private consultation **fee is professional remuneration**, not gratification for official duty; the s.13(1)(d) ingredients (corrupt/illegal means; abuse of position to obtain valuable thing/pecuniary advantage; obtaining for another without motive) were absent.
- **s.168 IPC inapplicable:** medical treatment is a professional duty, not "trade"; fee acceptance does not involve profit-making of a trade character (relying on *State of Gujarat v. Maheshkumar Dheerajlal Thakkar*).
- The State Vigilance Department's own memo (23 December 2004, acted on 19 January 2005) directed withdrawal of cases against **government teachers giving private tuition** — tuition fees are neither corruption nor remuneration for an official act; the same logic applies.

Arguments — respondent State

- Government doctors in Punjab were **specifically prohibited** from private practice by departmental rules; the act of charging patients was therefore illegal and the PC Act's prohibition on abuse of position applied.
- The Rule 15 permission regime showed private practice was controlled public business; unauthorised practice was a breach punishable under the special statute.

The Court's analysis

- On a critical reading of the Preamble and s.7, "**corruption**" is acceptance/demand of illegal gratification for doing an official act; the receipt of a fee in private practice "by itself cannot be held to be an illegal gratification as the same obviously is the amount charged towards **professional remuneration**". It would be "**preposterous**" and against plain common sense to criminalise charging a fee for medical help rendered as a professional.

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- **Contrast —** *Raj Rajendra Singh Seth @ R.R.S. Seth v. State of Jharkhand*, **(2008) 11 SCC 681:** a government doctor demanded ₹500 for proper treatment of the complainant's admitted father, even directing payment to his ward boy Nag Narain; the CBI-tried conviction was upheld — there was no claim the money was legally receivable; once money passed to the public servant the **burden was on him** to show it was not illegal gratification (relying on *B. Noha v. State of Kerala*, (2006) 12 SCC 277 and *Madhukar Bhaskarrao Joshi v. State of Maharashtra*, (2000) 8 SCC 571). Demanding payment for admission/"proper" treatment in a **government hospital**, or prescribing unnecessary surgery to extract money, would make out the PC Act/IPC — but nothing of that kind was alleged.
- The ingredients of the offence must be deduced from the facts and circumstances; here, even per the FIR, the money was a **professional fee for examining/treating private patients**, not gratification for an official favour; no presumption of motive/reward could be drawn.
- Rule 15 itself contemplated permitted private practice; breach of the bar was, at its highest, **misconduct under the Service Rules** (a professional discharging his professional duty commits no crime merely because a circular forbids the arrangement — the act becomes a service-code violation, not a criminal offence).
- s.168 IPC was not made out: treating patients is discharge of professional duty and is not engaging in "trade".

DECISION (PARAS 16–17)

The High Court orders were **set aside** and FIR No.13 dated 9–4–2003 was **quashed**: no prima facie case under s.168 IPC or s.13(1)(d) r/w s.13(2) PC Act; proceeding would abuse the process of court and waste judicial time. The State was left free, if so advised, to initiate **departmental proceedings** under the Punjab Civil Services (Punishment and Appeal) Rules. Both appeals allowed.

PRINCIPLE / RATIO

- **Definition of corruption:** corruption is the demand/acceptance of *illegal gratification for an official act*; professional fees for a private professional act are not illegal gratification.
- **Service-rule breach ≠ crime:** unauthorised private practice by a government doctor/teacher is departmental misconduct (with compulsory retirement/pension sanctions available), not PC Act corruption or s.168 IPC unlawful trade.
- **The dividing line:** money extracted for performing the official/public function (admission to a government hospital, proper ward treatment, government certificates) is bribery (*R.R.S. Seth*); money for genuine private professional service outside official duty is at most a service violation.
- **Burden under s.20 logic:** once money for an official act is proved to have passed, the burden shifts to the public servant to explain it (*B. Noha; Madhukar Joshi*) — but that presumption never starts where the foundational official-nexus fact is absent.
- **Post-2018 mapping:** the conduct would now fall to be tested against new ss.7/11; nothing changes the core holding that a genuine professional fee lacks the official-act nexus.

CASE #24 DU LL.B. PRESCRIBED AUTHORITY

Abhay Singh Chautala & Another (Ajay Singh Chautala) v. C.B.I.

(2011) 7 SCC 141 · Supreme Court of India · V.S. Sirpurkar and T.S. Thakur, JJ. (judgment by Sirpurkar, J.; 4 July 2011) · Two SLPs disposed by common judgment

Context: JBT teachers recruitment scam; SC-ordered CBI probe (W.P.(Crl.) 93/2003)	**Charges:** ss.13(1)(e) & 13(2) r/w s.109 IPC — disproportionate assets
Abhay's DA: ₹119.69 crore = 522.79% of known income (check period 7–6–2000 to 8–3–2005)	**Ajay's DA:** ₹27.74 crore = 339.26% (check 24–5–1993 to 31–5–2006)

Facts and genesis

- The Supreme Court, by order in Writ Petition (Crl.) No.93 of 2003 (the JBT Teachers Recruitment Scam matter), directed the CBI to investigate the scam (illegal recruitment of 3,208 JBT teachers with forged documents, allegedly under the Om Prakash Chautala Government). The offences were registered on **24 May 2004**.
- Searches reportedly showed the family had acquired movable/immovable properties valued at ₹1,467 crores; a **notification dated 22 February 2006 under ss.5 & 6 of the DSPE Act**, with Haryana's consent, extended CBI jurisdiction into Haryana for the disproportionate-assets case, and an FIR was registered against Shri Om Prakash Chautala and family.
- **Abhay Singh Chautala** (MLA Haryana, Rori constituency during the check period 7–6–2000 to 8–3–2005) allegedly amassed ₹1,19,69,82,619 — 522.79% of known sources. **Ajay Singh Chautala** (MLA Rajasthan 2–3–1990–15–12–1992 and 28–12–1993–31–11–1998; Lok Sabha MP from Bhiwani 10–10–1999–6–2–2004; Rajya Sabha MP 2–8–2004–3–11–2009; later MLA from Dabwali) allegedly amassed ₹27,74,74,260 — 339.26% of known sources over 24–5–1993 to 31–5–2006.
- Separate charge-sheets were filed under **ss.13(1)(e) and 13(2) r/w s.109 IPC**. **No sanction under s.19** had been obtained. The Special Judge, CBI (common order 2 February 2010), held the charge-sheets did not allege abuse of the *current* office (MLA at cognizance), so no sanction was necessary. The High Court dismissed the s.482 CrPC petitions on 8 July 2010. Hence the SLPs.

Issue

Whether sanction under s.19 PC Act was necessary where the accused were admittedly public servants when cognizance was taken/charges framed, but the **office alleged to have been abused during the check period was an entirely different office** from the one held at cognizance — and whether *R.S. Nayak v. A.R. Antulay* was correctly decided / required reconsideration.

Arguments — appellants (Shri Mukul Rohatgi and Shri U.U. Lalit)

1. **Plain language of s.19(1):** on the cognizance/charge date both accused were admittedly public servants; the embargo is complete — no cognizance of ss.7, 10, 11, 13, 15 offences without sanction.
2. *R.S. Nayak v. A.R. Antulay* (1984) 2 SCC 183 and the line following it (*Habibullah Khan* (1995) 2 SCC 437; *Balakrishnan Ravi Menon* (2007) 1 SCC 45; *K. Karunakaran* (2007) 1 SCC 59; *Prakash Singh Badal* (2007) 1 SCC 1) were wrongly decided and merited a larger-bench reference: the Court ignored the plain meaning and the observations were **obiter dicta** (once Antulay was held not a public servant as MLA, the sanction discussion was unnecessary).
3. **Per incuriam of s.6(2) of the 1947 Act** (pari materia s.19(2)): the sub-section contemplates doubts about the sanctioning authority where the accused held different offices — implying the Act itself recognises a person may hold a different office at cognizance and still need sanction.

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4. **K. Veeraswami** undermined Antulay; reading Antulay's gloss amounts to **adding an unwritten proviso** ("provided nothing applies where the accused holds a different post"), which rewrites s.19(1) and violates strict construction in favour of the accused; the whole class of public servants would be exposed to frivolous prosecutions and career damage.
5. **Two terms, two times:** "public servant" in the chapeau looks to the past (commission); "a person" in clauses (a)/(b)/(c) looks to the present (sanction stage); they must mean different things — "person" covering the present office-holder.
6. **Limited-tenure public servants** (arbitrators, election officers, co-operative office-bearers under s.2(c)(vi)–(x)) would be in a "hazardous" position if the Antulay view prevailed; plural offices create doubt which only s.19(2) can resolve.

Arguments — respondent CBI (Shri Gopal Subramanium, Solicitor General)

- The law was **settled for 25+ years** by the Constitution Bench in *Antulay* and consistently followed: where the public servant abused office in one capacity and holds a different office (or no office) at cognizance, no sanction is needed. The principle of **stare decisis** counsels no disturbance.
- Sanction is tied to the authority **competent to remove from the office abused**; once that office is not held, there is no such authority and s.19(2)'s "doubt" machinery never arises.

Reasoning

1. **Antulay ratio, not obiter:** the Constitution Bench specifically interpreted s.6 as a whole (including s.6(2)) and decided the sanction question; its reasoning was necessary to the decision. Reconsideration refused.
2. **Not per incuriam:** s.6(2)/s.19(2) was neither ignored nor missed — once the Court held no sanction at all was required where the abused office was not held, there was no occasion to invoke the doubt-resolving sub-section. s.19(2) deals with a **genuine doubt** as between Centre/State/another competent authority; it does not sanction prosecutions where no sanction is necessary. To use (2) to create the need in (1) is "putting the cart before the horse".
3. **Stare decisis:** the rule settled for over 25 years should not be disturbed — per Lord Coke, "those things which have been so often adjudged ought to rest in peace".
4. **The added-proviso and literal arguments rejected:** the suggested proviso speaks of a different "post", but the Act speaks of an "office" — distinct concepts; clauses (a)/(b)/(c) all turn on the power to **remove from the office**. The section operates in praesenti but by necessary implication excludes a person who abused some other office. Literal construction would lead to absurd results already condemned in Antulay.
5. **"Public servant" vs "a person":** the court takes cognizance of the *offence*, not the offender; "public servant" identifies the offender-capacity in ss.7, 10, 11, 13 and 15; "a person" in the clauses denotes the accused as an employee removable by the named authority. No conflicting meanings result.
6. **Limited-tenure offices:** no hazard — if the person is not a public servant at trial, no sanction is required; the section is clear.
7. **Plurality of offices:** s.19(2) doubt arises only *where sanction is necessary*; if the abused office is not held at cognizance, there is no necessity and no doubt. The relevant time is the date of cognizance.

DECISION (PARA 34)

The High Court was "absolutely right" to hold that the appellants had **abused entirely different office(s) from the ones held at cognizance**, so no s.19 sanction was necessary. The appeals were **dismissed**; the trials could proceed.

PRINCIPLE / RATIO

- **Office-specific sanction:** the competent sanctioning authority is the one competent to remove the public servant **from the office alleged to have been abused**. If at cognizance he holds neither that office nor an office whose holder is removable by the same authority, **no sanction is required** — whether he has retired (*Kalicharan*) or merely changed office (*Antulay; Chautala*).
- s.19(2) resolves genuine doubts between sanctioning authorities; it does not manufacture a sanction requirement.
- *Antulay* is binding ratio (Constitution Bench), not obiter or per incuriam, and is not to be reconsidered lightly (stare decisis).
- **Legislative reversal in 2018:** the Explanation added to s.19(1) now expressly includes (a) persons who have ceased to hold the abused office and (b) persons holding another office — statutory reversal of both Kalicharan and Chautala for the post-amendment regime (prospective per *Katti Nagaseshanna*).
- **Epilogue (connected trial):** in the parent JBT recruitment case, *Om Prakash Chautala v. CBI*, the Special CBI court (January 2013) sentenced Om Prakash Chautala, Ajay Singh Chautala and officials to 10 years; the High Court (6 March 2015) and Supreme Court (3 August 2015) upheld the convictions — 55 accused convicted.

PYQ ARCHIVE // CH.05 Previous Year Questions (DU LL.B. Examinations)

Q.1 DU LL.B. 2015 · Question 6 What actions of a public servant amount to misconduct? Is it necessary to obtain previous sanction for prosecution under the Prevention of Corruption Act, 1988?

▸ Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891

Q.2 DU LL.B. 2015 · Question 8(b) Write a short note on "Public Servant" under the Prevention of Corruption Act, 1988.

Q.3 DU LL.B. 2016 · Question 5(a) Define 'Public Servant' and 'Illegal Gratification' under the Prevention of Corruption Act, 1988.

Q.4 DU LL.B. 2016 · Question 6(b) M was an MP in Lok Sabha from Karol Bagh, Delhi. He had earned money and property highly disproportionate to his known sources. An FIR was lodged and he was put on trial. M objected that no previous sanction had been taken though he is a public servant representing South Delhi Lok Sabha. Decide.

Q.5 DU LL.B. 2017 · Question 6(a) Define 'Public Servant' under the Prevention of Corruption Act, 1988 with special reference to decided cases.

Q.6 DU LL.B. 2017 · Question 6(b) Sh. Rajender is working as Joint Secretary in the Home Ministry. An FIR is lodged by Sh. Sanjeev for taking bribe when Rajender was working in the Finance Ministry. The trial is opposed for want of previous sanction from the competent authority. Decide.

Q.7 DU LL.B. 2018 · Question 3(a) What actions of a public servant amount to criminal misconduct? Enumerate the changes made in Section 19 by the amendment to the PC Act, 1988.

Q.8 DU LL.B. 2018 · Question 4(a) Define the border of 'public servant' and "illegal gratification' with reference to the law laid down in Kalicharan Mahapatra v. State of Orissa, AIR 1998 SC 2595.

Q.9 DU LL.B. 2018 · Question 4(b) Discuss the law laid down in Kanwarjit Singh Kakkar v. State of Punjab, (2011) 6 SCC 895, referring to the PC Act, 1988.

Q.10 DU LL.B. 2019 · Question 2(a) What actions of a public servant amount to criminal misconduct under the Prevention of Corruption Act, 1988? Discuss.

MODULE 06 // Topic 6 · PMLA, 2002 Cases #25 – #29

The Prevention of Money-Laundering Act, 2002: Offence, Attachment, Enforcement & Bail

PMLA, 2002: Ss. 2(1)(u) & 3-4, S. 5 Attachment, Ss. 6-11 Adjudication, Ss. 12-15 KYC, Ss. 16-19 & 50 ED Powers, Ss. 43-45 Twin Bail

Part I — The Need for Combating Money-Laundering (Syllabus Head A)

Every profitable crime produces two problems for the criminal: the **predicate offence** (murder, drug sale, bribe, fraud) and the **cash trail**. Spending stolen money openly is itself evidence. Money-laundering is the "second crime" that conceals the first: it converts the **illegal/tainted "black" money into apparently legal/"white" money**. Because the laundering process runs through banks, stock markets, real estate and cross-border payment systems, it threatens not merely individual victims but the **financial system, economic policy, national security and sovereignty** of States — which is why, after 1988, the entire world community (and India under Article 253) built a treaty-based AML architecture culminating in this Act.

1. What "money-laundering" means in ordinary language

ETYMOLOGY

To launder means to wash and iron clothes; figuratively, to **conceal the origins of money obtained illegally**, typically through transfers involving foreign banks or legitimate businesses. The term gained currency in the United States in the 1980s when organised crime groups channelled illicit cash through coin-operated **laundromats** (cash-intensive laundries) to disguise its source. The person who manipulates the money is called the **"launderer"**.

INTERPOL DEFINITION

"Money laundering is **concealing or disguising the identity of illegally obtained proceeds** so that they appear to have originated from legitimate sources. It is frequently a component of other, much more serious crimes such as drug trafficking, robbery or extortion." INTERPOL notes it is omnipresent — even in environmental crimes — and that **cryptocurrencies such as bitcoins have exacerbated** the phenomenon.

STANDING COMMITTEE ON FINANCE, 18TH REPORT (2008-09)

"The process of money laundering involves the **cleansing of money earned through illegal activities like extortion, drug trafficking and gun running** etc. The tainted money is projected as clean money through intricate processes of **placement, layering and laundering**." The Committee recorded that "the serious threat posed by money laundering to the financial systems and sovereignty was being progressively realized by various countries of [the] world."

JUDICIAL STATEMENT OF THE MISCHIEF

The Statement of Objects and Reasons, quoted by the Supreme Court in *Nikesh Tarachand Shah v. Union of India*, (2018) 11 SCC 1 (para 7), and again in *Vijay Madanlal Choudhary v. Union of India* (2022), states: **"It is being realised, world over, that money laundering poses a serious threat not only to the financial systems of countries, but also to their integrity and sovereignty."** In *B. Ramaraju v. Union of India*, (2011) 164 Comp Cas 149 (AP), the Enforcement Directorate's counter (para 12(A)), adopted by the High Court, described the "scourge of laundering of money which **destabilizes national and international economies, the sovereignty of several States and has adverse impact on law and order maintenance**".

2. Why the crime is "laundered": the two-crime structure

Drug trafficking, gun-running, human trafficking, illegal wildlife trade, food adulteration, bribery, embezzlement, securities fraud, cyber-fraud and extortion all generate large **cash surpluses**. The holder cannot deposit, invest or spend these surpluses without attracting tax, bank-suspicion or police enquiry. He must therefore break the audit trail between the crime and the money. This produces the characteristic legal architecture the PMLA addresses:

3. The international context: treaty architecture that compelled the Act

The PMLA is a quintessential **Article 253 statute**: Parliament enacted it "for giving effect to international conventions". The timeline below (drawn from the preamble, the SOR, the 18th Report of the Standing Committee, and the treaty history judicially noticed in *Ramaraju* and *Vijay Madanlal*) is the answer to "why was a special Act needed at all?"

1988 — UN Convention against Illicit Traffic in Narcotic Drugs and Psychotropic Substances (the "Vienna Convention"). The *first global treaty to criminalise money-laundering*. Article 3 obliges parties to make laundering of drug proceeds a criminal offence; Article 5 mandates confiscation; it also provides mutual legal assistance. India signed 1988 and bound itself to legislate. (India already had NDPS Chapter VA, inserted in 1989.)

1988 — Basel Committee Statement of Principles (Basel Convention on Banking Supervision). The first **banking-sector** response: customer identification, compliance with law, co-operation with law enforcement, staff training and record-keeping — the embryo of today's KYC rules (now ss.11A–12AA, PMLA).

14–16 July 1989 — G-7 Paris Summit creates the Financial Action Task Force (FATF). An inter-governmental policy-making body set "standards" to combat ML; it has no treaty status but enormous financial leverage.

April 1990 — FATF Forty Recommendations. The global AML rulebook: criminalise ML; enable seizure/confiscation; customer due diligence; record-keeping; STR reporting; international co-operation. Revised in 1996, 2003 and 2012 (the current integrated framework, with the **Nine Special Recommendations on Terrorist Financing, 2001**, folded in).

23 February 1990 — UNGA 17th Special Session: Political Declaration & Global Programme of Action (Resolution S-17/2). Invoked as the trigger for the PML Bills of 1998/99. It called on States to adopt national AML legislation by the year 2003.

1990 — Council of Europe Convention on Laundering, Search, Seizure and Confiscation (Strasbourg); 1995 Egmont Group of Financial Intelligence Units (FIUs). India's FIU-IND (2004) is an Egmont member.

8–10 June 1998 — UNGA 20th Special Session (UNGASS) on Drugs: Political Declaration and Action Plan against Money-Laundering (the first prescribed reading; the uploaded UN document records the later 2009 Vienna review). It set deadlines for national AML regimes, widened predicate offences beyond drugs, and demanded bank-regulation, FIU and MLA machinery. The Indian PML Bill followed within weeks (introduced 4 August 1998).

9 December 1999 — International Convention for the Suppression of the Financing of Terrorism; UNSC Resolution 1373 (28 September 2001). After 9/11, AML machinery was expressly turned to **counter-terror financing** (CFT); FATF's mandate expanded accordingly (the Explanation to s.2(1)(sa) and the PML Rules' "high risk… terrorist financing" language reflect this).

15 November 2000 — UN Convention against Transnational Organized Crime ("Palermo Convention"). Obliges States to criminalise laundering of proceeds of **all serious crimes** (punishable by 4+ years), not merely drugs — leading to the wide Part A Schedule.

31 October 2003 — UN Convention against Corruption ("Merida/UNCAC"). Chapter V creates a binding global **asset-recovery** regime (laundering of corruption proceeds, MLA, return of assets — directly underpinning Ch. IX, ss.55–61, PMLA).

2010 — India becomes a full FATF member (and member of the Asia/Pacific Group on Money Laundering, APG); India's FATF Mutual Evaluation Reports (2010, 2013 follow-up, 2023 MER) have driven every amendment cycle — the amendments of 2013, 2015, 2018 and 2019 (and the 2023 notifications on crypto and professionals) were justified as fulfilling FATF commitments (*Vijay Madanlal*, paras on international obligations).

CONNECTED LAW — HOW FATF COMPLIANCE IS ENFORCED (THE "GREY LIST" SANCTION)

FATF maintains (i) the "grey list" (Jurisdictions under Increased Monitoring) and (ii) the "black list" ("Call for Action", e.g. North Korea, Iran historically). Listed jurisdictions suffer **"de-risking"**: correspondent banks refuse wire channels, cross-border payments require enhanced scrutiny, foreign investment and trade finance shrink. *Vijay Madanlal* judicially noticed that the FATF recommendations and the risk of counter-measures are a legitimate ground for stringent domestic legislation. India's compliance machinery: **FIU-IND** (receives STRs/CTRs), **Enforcement Directorate** (investigation/prosecution/asset recovery), sectoral regulators (RBI, SEBI, IRDAI, ICAI/ICSIs as notified in 2023), and the **PML (Maintenance of Records) Rules, 2005** which translate FATF Recommendation 10/11/20 (CDD, record-keeping, STR) into Indian law.

4. Why India in particular needed the Act — black money and its "cancerous" effects

India's domestic driver was **black money**: income/wealth illegally concealed from tax and regulation, whether generated by evasion, corruption or crime, and held at home or smuggled abroad. The Direct Taxes Enquiry Committee (the **Wanchoo Committee**, final report 1971, chaired by former Chief Justice K.N. Wanchoo) — reproduced in the uploaded H.P. Ranina articles — called black money **"a cancerous growth in the country's economy which, if not checked in time, will surely lead to its ruination"**.

WANCHOO COMMITTEE (1971): CAUSES OF GENERATION OF BLACK MONEY — AS EXTRACTED FROM THE UPLOADED MATERIAL

1. **High rates of direct taxation.** The marginal rate on personal income rose as high as **97.75 per cent** at one stage — "the maximum marginal rate of income-tax went up to 97.75% and this resulted in large scale tax evasion. More the tax rates, more the tax evasion."
2. **The regime of controls, licences and permits.** "The system of controls, licences and permits… gave rise to a lot of corruption and black money. The system of licence permit raj gave rise to many malpractices." Rationing, controls on steel, cement, paper, foreign exchange, motor vehicles and the "bonus system" created premiums and illegal rents.
3. **Ban on company donations to political parties (1976 amendment, originally Ordinance 1969).** Companies were prohibited from donating to political parties, "which resulted in political corruption and black money… it is the big business houses who give political donations to politicians and the same is responsible for the generation of black money and corruption."
4. **Disallowance of legitimate business expenditure.** Advertisement, entertainment and publicity expenses were disallowed as deductions — "many of these expenses were of such nature that the same had to be incurred for business purposes… the businessman was tempted to show such expenses out of black money."
5. **High rates of sales tax and other indirect levies** driving under-invoicing and parallel markets.
6. **Ineffective enforcement** — tax authorities lacked information and manpower; few prosecutions; "hardly any person was prosecuted… People started taking the risk of tax evasion as the same was a paying proposition."

Cures recommended: lower tax rates and moderation; reduction in controls/permits; legalised, regulated and transparent political donations by companies; allowing legitimate business deductions; stronger enforcement and deterrent penalties; and voluntary disclosure schemes. The long-run legislative harvest included the Direct Tax Laws Amendment 1987–89, reduced rates under the 1991 reforms, the Companies Act donations regime, the Black Money Act 2015, demonetisation (2016), and the PMLA itself.

The concrete harms that supply the "need" for the Act

Harm	Mechanism and illustration
(1) Loss of public revenue	Black money is invisible to the tax collector. "Government of any country [is] run by taxes." Evasion deprives the State of funds needed for scholarships, salaries, food/agriculture/oil subsidies and development. The Wanchoo Committee found evasion "on a large scale", defeating the redistributive purpose of taxation (**Articles 38, 39, Directive Principles**, relied on in *Vijay Madanlal* to justify the law).
(2) Fuels predicate crime	"It helps illegal activities and commission of crimes". Without a way to use drug/extortion/bribe proceeds, the incentives for the underlying crimes collapse; conversely, laundering makes crime pay. ML is the "life-blood" of organised crime (the phrase used for drug money under NDPS Chapter VA).
(3) Terrorism, insurgency & waging war	"Terrorism and waging war depend upon black money." Counter-terror-financing became a core purpose after UNSC 1373. In *Vijay Madanlal* the Union placed data before the Court: **57 PMLA cases relating to terror/Naxal funding, ≈₹1,249 crore identified, ₹982 crore attached (256 properties)**, 37 complaints and 2 convictions.
(4) Corruption of democracy	Black money funds elections — "a direct attack on [the] basic tenets of democracy". The Wanchoo Committee traced illicit corporate political funding to the post-1969/76 donation ban. Electoral bonds (struck down in *Association for Democratic Reforms v. Union of India*, 2024) were a later chapter of the same problem.
(5) Contamination of the financial system	Banks that handle tainted money face prudential and reputational collapse; shell companies distort share prices; tainted real-estate/ gold purchases inflate asset bubbles; honest businesses cannot compete with laundered capital. The SOR warns of threat to the "financial system".
(6) Threat to integrity & sovereignty	Illicit cross-border flows (**outbound funds**) are capital flight that mocks exchange-control and customs laws; foreign secrecy jurisdictions (the *Ram Jethmalani* petitioners named LGT Bank, Liechtenstein-style havens, and Hassan Ali Khan's UBS-linked $1.6 bn dealings) allow hostile networks to move value across borders — including for terror, extremism and narcotics — "serious connotations for the security and integrity of India" (*Ram Jethmalani*).
(7) Macroeconomic & social damage	"Finally it destroy[s] [the] economic condition of country": unmeasured GDP, skewed liquidity, inequality, weak monetary-policy transmission, and a "soft state" where law-breakers operate with impunity (Gunnar Myrdal's phrase, quoted in *Vijay Madanlal*, para 395).

REAL-WORLD EXAMPLE — RAM JETHMALANI V. UNION OF INDIA, (2011) 8 SCC 1 / (2011) 9 SCC 761 (4 JULY 2011) [FACULTY-LISTED LEAD CASE]

Eminent citizens (Ram Jethmalani, Gopal Sharman, K.P.S. Gill, Subhash Kashyap and others) petitioned under Articles 32/14/21 over monies stashed in tax havens. The petition named **Hassan Ali Khan** (income-tax demand of ≈**₹40,000 crore**; ED-disclosed dealings of **US$1.6 billion** during 2001–2005) and the Tapurias (≈₹20,580 crore demand). The Supreme Court (Reddy & Nijjar JJ) expressed dismay at executive inaction and **constituted a Special Investigation Team chaired by Justice B.P. Jeevan Reddy (Vice-Chair: Justice M.B. Shah)**, responsible directly to the Court, and directed disclosure of documents/names — subject to protection of persons against whom no wrongdoing had yet emerged and the **privacy of legitimate bank accounts**. No PMLA provision was construed, but the decision is the judicial charter for retrieving outbound black money and the backdrop for s.60 (attachment abroad) and the Black Money Act, 2015.

CONNECTED LAWS — THE INDIAN ANTI-BLACK-MONEY FAMILY IN WHICH THE PMLA SITS

Smugglers and Foreign Exchange Manipulators (Forfeiture of Property) Act, 1976 (SAFEMA)
Older civil-forfeiture model for smuggler/FOREX-violator property; its Appellate Tribunal (s.25 PMLA) also hears PMLA appeals; *Amratlal Prajivandas* upheld its constitutional validity — relied on in *Ramaraju*.
NDPS Act, 1985, Chapter V-A (ss.68A–68Y, inserted 1989)
India's first forfeiture-of-drug-proceeds regime; para 2, Part A of the PMLA Schedule carries the 10-year maximum under s.4 proviso.
Foreign Exchange Regulation Act, 1973 → Foreign Exchange Management Act, 1999 (FEMA)
Civil exchange-control law administered by the same Enforcement Directorate; FEMA violations are *not* scheduled offences, but hawala/ FOREX laundering often straddles both.
Prevention of Money-Laundering Act, 2002 (this Act)
Apex criminal-cum-civil confiscation statute; **s.71 non-obstante override**.
Benami Transactions (Prohibition) Act, 1988 (substantially re-enacted 2016)
Civil/criminal action against property held in another's name — the classic Indian layering device.
Black Money (Undisclosed Foreign Income and Assets) and Imposition of Tax Act, 2015 (Act 22 of 2015)
Tax/penalty/prosecution for undisclosed foreign assets; **s.51 wilful evasion is a Part C cross-border scheduled offence**.
Fugitive Economic Offenders Act, 2018 (FEOA)
Attachment/confiscation of all property (including non-proceeds) of economic offenders (>₹100 crore) who flee India; shares personnel and procedures with the PMLA (s.4(4) deeming).
Companies Act, 2013 (ss.447 fraud; disqualification/deregistration of shell companies); Income-tax Act, 1961 (s.276C, 277); Central Goods and Services Tax (CGST) prosecutions; Customs Act, 1962
Scheduled predicate statutes; Companies Act s.447 listed at para 29, Part A.
Demonetisation (8 November 2016)
Policy note: "Demonetisation of Indian currency was done… to break [the] chain of money laundering" — an administrative, not statutory, measure, read with the RBI/PMGKPs.

5. How the Act answers that need — objects and salient features

The Preamble is the short answer to syllabus Head A: the Act was made **"to prevent money-laundering and to provide for confiscation of property derived from, or involved in, money-laundering, and for matters connected therewith or incidental thereto"**. The 2002 design (faculty: "salient features", updated to 2019) answers each harm:

#	Feature	How it meets the need
1	All-India application; one Schedule (Parts A/ B/C)	Uniform reach over every predicate and route, including cross-border implications.

#	Feature	How it meets the need
2	Wide offence definition (s.3) + "proceeds of crime" (s.2(1)(u))	Catches every process — concealment, possession, acquisition, use, projection, claiming — and every derivative asset, at home or abroad.
3	Strict punishment (s.4): 3–7 years RI + fine; up to 10 years (NDPS)	Deterrence, comparable to the UK Criminal Justice Act model (*Mohammad Arif*).
4	Presumptions (ss.22, 23) and reverse burden (s.24)	Responds to the "complex web" of layering: once foundational facts are proved, the possessor must explain the source (faculty: "presumption of guilt… burden… upon the accused" — subject to *Vijay Madanlal*'s safeguards).
5	Provisional attachment → adjudication → confiscation → absolute vesting (ss.5–10)	Strips the economic incentive even without a completed criminal trial — crime must not pay.
6	Special Courts on Director's complaint (ss.43–47); cognizable, non-bailable (s.45)	Expert, fast-track trial; stringent bail conditions for an economic offence "class apart".
7	Search with or without a predicate FIR/ chargesheet (ss.17/18 provisos deleted w.e.f. 1-8-2019)	Pre-empts launderers from moving assets while the predicate agency registers its case (*Vijay Madanlal* upheld the deletion).
8	KYC, record-keeping and reporting obligations (Ch. IV, ss.11A–13; Rules 2005)	Turns banks, FIs, intermediaries, casinos, real-estate agents, jewellers and (since 2023) CAs/ CSs/crypto platforms into the first line of defence.
9	International co-operation (Ch. IX, ss.55–61)	Letters of request, reciprocal service, attachment/confiscation of foreign property, transfer of accused — closes the outbound route.
10	Overriding effect (s.71); CrPC applies only insofar as consistent (s.65)	A self-contained special code immune from procedural gaps exploited across other laws.

Part II — Magnitude of Money-Laundering; its Steps and Methods (Syllabus Head B)

The 2015 DU question asks exactly this: *"Describe 'Money Laundering' with its various steps and methods."* The answer has three layers: **(1) scale** (magnitude at home and abroad); **(2) the three processing steps** — placement, layering, integration (adopted judicially in *Ramaraju*, *Mohammad Arif* and *Vijay Madanlal*); and **(3) the methods/techniques** through which each step is executed (shell companies, hawala, smurfing, round-tripping, trade manipulation, real estate, gold, casinos, crypto…), plus the **five directional fund flows** identified in *Ramaraju*.

1. Magnitude: how big is the problem?

Global (FATF/IMF estimate): ≈ **2–5% of global GDP** laundered annually — quoted in *Vijay Madanlal* (≈ US$ 800 bn–2 tn in the era when the estimate was made).

ED cases (Vijay Madanlal, Union data): ≈ **4,700 PMLA cases** registered since inception; **2,086 in the last five years** against ≈33 lakh FIRs countrywide — showing the predicate-to-laundering filtering.

Annual registrations: Rose from **111 (2015–16)** to **981 (2020–21)** ECIRs as FATF-driven amendments took effect.

Bank-fraud laundering: Assets of **₹19,111.20 cr attached** out of ₹22,585.83 cr fraud in the bank-fraud batch before the Court.

Terror/Naxal funding: 57 cases; **₹982 cr attached (256 properties)** of ≈₹1,249 cr identified; 37 complaints; 2 convictions.

Batch matters: Property worth **₹67,104 crore** under attachment proceedings in the batch cases cited to the Court.

Domestic black-money estimates placed before policy makers have ranged from the Wanchoo Committee's "cancerous growth" (1971) to estimates of hundreds of billions of dollars of outbound Indian funds in secrecy jurisdictions (the *Ram Jethmalani* petitions; Global Financial Integrity studies on illicit financial flows; the SIT reports on black money chaired by Justice B.P. Jeevan Reddy/Justice M.B. Shah). Post-2016, demonetisation, the Black Money Act 2015, the Benami law 2016 and GST were all aimed at shrinking the cash-black economy. The precise figure is unknowable — the laundered money is, by design, hidden — which is why the statute regulates **processes and records**, not just outcomes.

2. The three steps (process) of money-laundering

The 18th Standing Committee Report and the judgments in *B. Ramaraju* (ED counter, para 12(B), adopted at para 111), *Mohammad Arif v. Directorate of Enforcement* (Orissa HC, 13 July 2020) and *Vijay Madanlal* all describe the same triad: **placement → layering → integration**.

Stage	What happens)	Common techniques & Indian illustrations
1. Placement	"The malfeasant places the crime money into the normal financial system." Policy note: *once dirty money is placed in the banking system, it is called placement; even investing such money in other places is placement*. This is the riskiest stage — bulk cash is physically visible.	• Smurfing/structuring: splitting cash into sub-reporting deposits (CTR threshold rules under PML Rules); • mixing cash into **cash-intensive façade businesses** (restaurants, hotels, transport, dealerships, coaching institutes, event firms) — fake turnover books; • buying bank drafts/payment instruments, prepaid cards, insurance products with cash; • cash smuggled abroad in "suitcases" (the example used in *Ramaraju* at para 7(C) analysis of outbound flows); • cash deposited into a shell company's account as share capital/unsecured loans; remitted abroad through **hawala** or trade channels; • converting cash into gold/precious stones.

Stage	What happens)	Common techniques & Indian illustrations
2. Layering	"The money induced into the financial system is **layered — spread out into several transactions** within the financial system with a view to concealing the origin or original identity of the money and to make this origin/identity virtually disappear." Faculty: *when money is withdrawn in a different mode, it is called layering.*	• Multiple wire transfers between accounts of **shell/name-lender companies** across cities and jurisdictions; • **Round-tripping**: India → tax haven (Mauritius/Singapore/ Cayman/BVI/UAE) → back as FII/foreign direct investment or "foreign" share subscription; • Back-to-back loans, fake invoices and trade-based transfers (over/under-invoicing); • Purchasing and quickly selling shares/mutual funds/ insurance bonds; layering through **benami** holdings; • Cryptocurrency chains and mixers/tumblers, peer-to-peer VDA trades; • Casinos: cash → chips → cheque/wire "winnings". **Statutory response:** s.23 presumption in inter-connected transactions — if one of a chain is proved tainted, the rest are presumed tainted unless the contrary is proved (*Ramaraju*, paras 111–121: a rebuttable rule of evidence, *presumptio pro tantum*).
3. Integration	"The money is… integrated into the financial system in such a way that its **original association with crime is totally obliterated** and the money could be used… as untainted/clean money." Faculty: *after layering… when the property is purchased with the help of such money, it is called laundering [integration].*	• Purchase of **immovable property** (with documented "white" + cash "black" component), farms, malls, land parcels; M3M/IREO-style realty groups (see *Pankaj Bansal*); • Shares/business of legitimate companies; Satyam-style inflated revenue/investments (*Ramaraju*: SRSR Holdings shares and 287 immovable properties); • "Loans from friends and relatives" from laundered funds; gifts; foreign-settled credit cards; • Re-investment into the same or another criminal enterprise — completing the cycle that funds drugs, terror and corruption.

Exam drafting point: always note that the three stages are **not statutorily indispensable in sequence**. Section 3 (post-2019 Explanation, as interpreted in *Vijay Madanlal*) criminalises *any one* of the six activities — concealment, possession, acquisition, use, projection or claiming as untainted. The stages are an analytical description of the laundering economy (the "generic" definition used even for civil attachment, as *Ramaraju* para 112 explains), not additional ingredients the prosecution must prove in order.

3. The five directional fund flows (B. Ramaraju, para 12(C))

SECTION 2(1)(RA) — "OFFENCE OF CROSS BORDER IMPLICATIONS" (INSERTED BY THE 2009 AMENDMENT, W.E.F. 1-6-2009)

(i) conduct **outside India** which is an offence there and would be an offence in Parts A/B/C if committed in India, where the person **transfers in any manner** (word substituted for "remits" w.e.f. 15–2–2013) the proceeds to India; **or** (ii) an offence in Parts A/B/C committed in India whose proceeds have been transferred abroad (or an attempt so to transfer). An **Explanation saves** investigations/trials relating to Parts A/B begun before the 2009 amendment. Part C of the Schedule operationalises this limb (cross-border offences, Chapter XVII IPC property crimes, and s.51 Black Money Act).

4. The various methods and techniques — an exam-ready catalogue

The syllabus says "steps *and various methods*". Methods are the concrete vehicles used at each step. Map each to the stage it serves and to the Indian instrument that criminalises/regulates it.

Method	How it works	Indian hook / real example
Shell & paper companies	Dormant/"name-lender" companies with no real business, nominee directors, fake registered offices; used to park cash as share capital/loans and to issue fake invoices; layered chains (A→B→C) move value while obscuring ownership.	s.2(1)(u) *includes property directly or indirectly derived*; s.23; Companies Act s.447 (para 29 Part A); MCA struck off >2 lakh shell companies post-2016; thousands of companies deregistered in coal/scam probes (SIT data); ED's "benami" links in *Binod Kumar* (mines → shell firms → hotels/malls).
Hawala / Hundi (informal value transfer)	Money paid to a hawala operator in India; an associate pays it out abroad in foreign currency with no actual cross-border movement; settlement by counter-trade. No paper trail.	Illegal under FEMA (ED administers); proceeds laundered through hawala fall under s.3; **Jain Hawala case** led to the 1993 Supreme Court directions and CVC/CBI reforms (*Vineet Narain*).
Round-tripping / tax havens	Outbound black money returns through shell entities in zero-tax secrecy jurisdictions as FDI/FII/"loan against shares", acquiring legitimacy (and treaty protections).	Mauritius, Singapore, BVI, Cayman, UAE; s.2(1)(ra); Ch. IX; DTAA-TIEA network; Black Money Act 2015.
Smurfing / structuring	Teams of "smurfs" deposit cash in amounts below CTR/ STR thresholds across many branches/accounts.	PML (Maintenance of Records) Rules 2005 prescribe CTR/STR norms; Rule 3 record-keeping; FIU-IND analysis.
Trade-based ML	Over-invoicing of imports (moves money out), under-invoicing of exports or multiple/phantom invoicing; "da-bin" round-tripping; fake services invoices.	Customs Act 1962 (Part B, ₹1 cr threshold); DGCI&S; ED attachments in bank-loan/trade fraud; GST fake-invoice rackets.
Cash smuggling & currency concealment	Bulk currency physically moved across borders (the "suitcase" option in *Ramaraju*), or via couriers/container trade.	Customs s.135; FEMA; cross-border limb s.2(1)(ra)(ii); s.57 letters of request.

Method	How it works	Indian hook / real example
Real estate / Benami	Property bought partly in cash and registered at undervalue; held benami; later sold to "integrate"; multiple buyers/land parcels obscure source.	Benami Transactions (Prohibition) Act 2016; s.5 immovable attachment with s.5(4) possession carve-out; *Ramaraju*: 287 properties; *Pankaj Bansal*: M3M/IREO land bank; Inspector-General of Registration a "designated business" notifier under s.2(1)(sa)(ii) (2019).
Gold, precious metals/stones	Cash converted into gold, diamonds, platinum (s.2(1)(sb)/(sc)); melted/re-cut and sold across borders; jewellers are designated businesses under s.2(1)(sa)(iv).	Gold Control history; Customs; demonetisation-era seizures; dealers notifiable as reporting entities.
Casinos, lotteries, online gaming	Cash → chips/tickets → "winnings" by cheque/wire; online wallets and betting platforms layer value.	s.2(1)(sa)(i): games of chance for cash/kind, including casinos, are designated businesses.
Capital markets & insurance	Penny-stock rigging; bogus long-term-capital-gain scripts; "cash->listed-scrip->white LTCG"; insurance single-premium products bought with cash and surrendered; P-Notes.	SEBI Act 1992 offences (para 11 Part A); listed-company fraud; *Ramaraju* (market fraud) and Satyam's inflated books.
Façade / cash-intensive businesses	Hotels, restaurants, transporters, petrol pumps, wedding/events, contractors, hospitals, schools — fake cash revenue absorbs tainted money as sales.	Income-tax s.68/69 credits; GST; coal scam investments in hotels/malls (*Binod Kumar*).
Loans & gifts; "friends and relatives"	Tainted money routed as unsecured loans, gifts, or share warrants from associated persons/entities; later shown repaid or adjusted.	s.8(1) notice requires the holder to indicate **sources of income, earning or assets**; s.24 burden; benami law.
Professional enablers	Chartered accountants, company secretaries, cost accountants forming shell companies, creating fake audit trails, managing layers.	**Notification S.O. 2037(E), 3 May 2023**: CAs/CSs/CWAs carrying out financial transactions on behalf of clients (buying/selling companies, managing money/securities, opening bank/demat accounts) brought within "reporting entity" — FATF Recommendation 22 (DNFBPs).
Virtual Digital Assets (crypto)	Crypto purchase with cash/online, cross-chain movement, mixers, P2P encashment, overseas exchanges — rapid layering without banking rails; highlighted by INTERPOL.	**Notification S.O. 2038(E), 3 May 2023** brought transactions in "virtual digital assets" within the PMLA; exchanges/wallets are reporting entities with KYC/STR duties; s.2(1)(v) property includes intangible assets.
Cybercrime & mule accounts	Fraud/online-betting proceeds moved through recruited "mules", payment gateways, overseas acquirers; instant cross-border conversion to crypto.	

REAL-WORLD ILLUSTRATION — HOW A SINGLE SCAM RUNS ALL THREE STAGES (MADHU KODA COAL SCAM, BINOD KUMAR RECORD)

As pleaded in the CBI case described in *Binod Kumar v. State of Jharkhand*, illegal allotment of coal blocks/iron-ore leases generated bribes and illegal mining profits (**predicate offences**: IPC ss.409, 420, 423, 424, 465, 120B → now BNS ss.316, 318, 322, 323, 336/339, 61(2); PC Act ss.7, 10, 11, 13(2)). The proceeds were allegedly **placed** through companies and associates, **layered** into investments in hotels, malls, real estate in cities and (per the High Court's reference) assets in Dubai/Thailand, and **integrated** as apparently legitimate business assets. The CBI investigated the predicates; the ED registered the ECIR for s.3 and attached property; the jurisdictional question (who investigates what) is precisely what *Binod Kumar* decided.

REAL-WORLD ILLUSTRATION — SATYAM (B. RAMARAJU)

Inflated revenue and fictitious bank receipts/invoices generated proceeds (**predicate**: forgery for cheating, IPC s.467 → BNS s.338). Proceeds moved into the family-controlled investment vehicle SRSR Holdings and were deployed in **287 immovable properties** and group-company shares — layering/integration through related entities. The ED provisionally attached the SRSR shares and properties on 18–8–2009; the Adjudicating Authority confirmed on 14–1–2010. The High Court held third-party (including family-member and corporate-veil) property is attachable whenever it is shown involved in laundering.

Part III — The PMLA, 2002: Genesis, Constitutional Basis, Objects and Scheme (Syllabus Head C)

The Act is a **special, self-contained, hybrid (regulatory + civil-cum-confiscatory + penal) statute** enacted under **Article 253 of the Constitution** to implement international conventions. It is not a mere anti-crime law: it builds an entire parallel machinery — reporting entities, financial intelligence, attachment, adjudication, confiscation, special criminal courts and global mutual assistance — around a single policy: **crime must not pay, and tainted property must lose its taint's value**.

1. Legislative history — the journey from Bill to Act

1988–1998 — treaty build-up. Vienna Convention (1988), Basel Statement (1988), FATF (1989) & 40 Recommendations (1990), UNGA Global Programme of Action S-17/2 (23–2–1990), Strasbourg Convention (1990), UNGASS Political Declaration (June 1998).

4 August 1998 — The Prevention of Money-laundering Bill, 1998 introduced in Lok Sabha and referred to the Standing Committee on Finance.

4 March 1999 — Standing Committee report presented to Lok Sabha; its 18th (2008–09) Report later supplied Parliament the placement/layering description used in DU answers.

29 October 1999 — Prevention of Money-laundering Bill, 1999 introduced after incorporating the Committee's recommendations.

17 January 2003 — enacted as Act 15 of 2003, having received Presidential assent. 75 sections + one Schedule (Parts A, B, C).

1 July 2005 — Act brought into force (faculty: G.S.R. 436(E)); on the same day, by **G.S.R. 440(E) under s.49(1)**, the Director of Enforcement (already functioning under FEMA 1999) was appointed to exercise **exclusive powers** under ss.5, 8, 16, 17, 18, 19, 20, 21, 26(1), 45, 50, 57, 60, 62 and 63, and **concurrent powers** under ss.26(3)–(5), 39, 40, 41, 42, 48, 49, 66 and 69.

Amendment cycles: 2005 (enforcement architecture, ss.45/49); **2009** (cross-border implications, Part C, definitions ra/rb/rc, sa/sc, designated businesses; expansion to non-drug predicates); **2013** (s.3 widened — "concealment, possession, acquisition or use *and* projecting or claiming"; s.5 rewritten with 150→ regime; s.17(1A) freezing; reporting-entity regime; s.70 Explanation); **2015** (Part B threshold ₹30 lakh → **₹1 crore**; proceeds held abroad — equivalent property; s.8 confiscation by Special Court); **2016** (tribunal rationalisation); **2018** (s.45 twin conditions re-enacted for **all** PMLA offences; 180-day stay-exclusion proviso; "or abroad"); **2019, Finance (No.2) Act, 2019 w.e.f. 1-8-2019** (s.3 Explanation — standalone activities and continuing offence; deletion of ss.17/18 FIR-chargesheet provisos; confirmation period 90→**365 days**; s.2(u) Explanation; ss.11A & 12AA Aadhaar/enhanced due diligence; 2019 Explanation to s.45 — cognizable & non-bailable; IG Registration as designated business).

Post-2015 — Money Bill route. Policy note: amendments after 2015 were moved via Finance Acts as Money Bills under Article 110; MP Jairam Ramesh's challenge was rejected by the High Court and is **pending before the Supreme Court**. In *Vijay Madanlal* the Supreme Court left the Money Bill question to the pending *Rojer Mathew*/larger-benatch adjudication. **Review petitions against Vijay Madanlal remain part-heard** (three-Judge Bench, 2024–25) — students should state the law as laid down in *Vijay Madanlal* while noting the pending review.

2. Constitutional and international basis

Article 253, Constitution of India: "Notwithstanding anything in the foregoing provisions of this Chapter, Parliament has power to make any law for the whole or any part of the territory of India for implementing any treaty, agreement or convention with any other country or countries or any decision made at any international conference, association or other body."
Supporting Union-List entries: **Entry 10** (foreign affairs), **Entry 12** (UN), **Entry 13** (treaties), **Entry 14** (entering into treaties), **Entry 16** (foreign exchange), **Entry 17/18** (institutions/banking), **Entries 1–2** (defence/atomic energy, including terror-financing), **Entry 93** (offences against laws on Union subjects). The law therefore operates on a firmer federal footing than a State-list police statute — important for the ED's all-India jurisdiction and the s.45(1A) bar on State police investigating the s.3 offence.

CONNECTED LAW — HOW RAMARAJU TREATED THE TREATIES (ISSUE A)

The petitioners argued the Act lacked domestic competence and that the Vienna/Palermo conventions could not alter municipal rights. The Andhra Pradesh High Court (L. Narasimha Reddy & P.V. Sanjay Kumar JJ.) held: (i) Parliament's competence under Article 253 read with the Union List is **unassailable**; (ii) international conventions "enumerated measures for incorporation as… criminal offences under domestic law" — they **catalyse** legislation; (iii) consistent with the principle in *Gramophone Company of India v. Birendra Bahadur Pandey* and *Jolly George Varghese v. Bank of Cochin*, municipal courts will **read domestic law in harmony with treaties wherever there is ambiguity or a void**, but treaties "are not to be construed as" overriding clear domestic law. The preamble itself records the enactment as fulfilment of the **Political Declaration and Global Programme of Action adopted by the UN General Assembly on 23 February 1990** and the special session of June 1998 calling on States to legislate.

THE PREAMBLE

"An Act to **prevent money-laundering** and to **provide for confiscation of property derived from, or involved in, money-laundering**, and for matters connected therewith or incidental thereto." It records the Political Declaration/Global Programme of Action and "whereas" the resolution urged States to enact national laws. Two objects only — (a) prevention/punishment of the offence; (b) confiscation of the property — but the second object drives the Act's distinctive two-track design.

3. The hybrid character: regulatory × civil-confiscatory × penal

The single most important conceptual proposition in *Vijay Madanlal* is that the PMLA is a **"hybrid statute"**: it combines three legal logics, and each track carries its own standard and forum.

Dimension	Regulatory / preventive	Civil / confiscatory (property track)	Penal (offender track)
Provisions	Ch. IV: KYC, records, reports (ss.11A–13); FIU machinery; s.12A access; rules	Ch. III: s.5 provisional attachment; s.8 adjudication & confirmation; ss.9–10 vesting/ administration; s.23 presumptions; appeals s.26/42	s.3 offence; s.4 punishment; ss.16–19 powers; s.24(a) reverse burden; ss.43–47 Special Courts
Forum	Director/FIU; sector regulators; reporting entities	Adjudicating Authority (Chairperson + 2 members) → Appellate Tribunal → High Court	Special Court (Court of Session) on Director's written complaint; appeals/revision to High Court under s.47
Standard of proof	Administrative; penalties under s.13 (₹10,000–₹1 lakh per failure)	**Preponderance of probabilities** (civil); mens rea irrelevant for confiscation (*Ramaraju* Issues D–E)	**Beyond reasonable doubt**, after s.24(a) presumption triggers on proved foundational facts (*Vijay Madanlal*)
Nature of authorities	ED officers act **administratively/quasi-judicially**; they are **not police officers**; s.50 statements are not hit by s.25 Evidence Act (now s.23 BSA) — *Vijay Madanlal*; ECIR is an internal document, not an FIR.		Yet s.45 (2019 Explanation) makes all PMLA offences **cognizable and non-bailable**; s.19 arrest without warrant, production within 24 hours.

WHY THE HYBRID LABEL MATTERS (VIJAY MADANLAL, 2022)

The Court rejected the argument that ss.5/8 attachment was disguised punishment attracting criminal-procedure guarantees. Attachment is a **preventive, provisional civil measure** to secure property for possible confiscation (following *Amratlal Prajivandas v. UOI* on SAFEMA and the NDPS forfeiture line); hence its lower proof standard, its survival independent of the pace of the criminal trial, and its permissibility before a predicate police report (s.5 second proviso). Conversely, because the **same conduct** yields both civil confiscation

and criminal prosecution, the two sets of proceedings are **parallel, not barred by double jeopardy** (Article 20(2)/s.300 CrPC → s.337 BNSS): confiscation is not prosecution for the same offence (*Ramaraju*, Issue F).

4. A self-contained code

- **Section 71 (non-obstante):** "The provisions of this Act shall have effect notwithstanding anything inconsistent therewith contained in any other law for the time being in force" — the Act prevails over CrPC and other special laws to the extent of inconsistency (*Gautam Kundu*: the s.45 bail conditions bind even bail under s.439 CrPC).
- **Section 65:** the CrPC, 1973 applies to proceedings before a Special Court "so far as… not inconsistent" with the Act; s.46 deems the Special Court a Court of Session. *Post 1-7-2024, references to CrPC are read as corresponding BNSS provisions* (remand s.167 CrPC → s.187 BNSS; anticipatory bail s.438 → s.482 BNSS; inherent powers s.482 CrPC → s.528 BNSS) — see the mapping in Part XIII.
- **Section 66** enables sharing of information with other agencies (including contemporaneous intimation to the predicate police under the s.5 second-proviso regime, per *Vijay Madanlal*).
- **Section 67** bars suits/civil proceedings against authorities acting in good faith; **s.14** gives reporting-entity staff good-faith protection.
- **Section 62** punishes vexatious search/arrest (up to 2 years, ₹50,000); **s.63** penalises non-cooperation (₹500–₹10,000; deemed offences under IPC ss.175/179/180/228 → BNS ss.208, 211, 212, 267).
- **Section 64** requires sanction for prosecuting authorities; the appropriate authority must decide within 90 days.
- **Section 70** extends liability to companies/firms (2013 Explanation 2: a company may be prosecuted even without prosecution of the individual director/partner).
- **Section 72A** (2019) sets up an inter-agency Co-ordination Committee.

5. Chapter-scheme of the Act

Chapter	Heading	Sections / content
I	Preliminary	s.1 extent/commencement; s.2 definitions — (p) money-laundering; (u) proceeds of crime; (v) property; (ra) cross-border implication; (sa) designated businesses; (wa) reporting entity; (y) scheduled offence; (z) Special Court.
II	Offence of Money-Laundering	s.3 (offence + 2019 Explanation); s.4 (punishment 3–7 years; 10 years NDPS).
III	Attachment, Adjudication & Confiscation	ss.5 attachment; 6 Adjudicating Authority; 7 staff; 8 adjudication (1)–(8); 9 vesting; 10 Administrator; 11 AA's civil-court powers.
IV	Obligations of Banking Companies, FIs, Intermediaries	ss.11A identity verification; 12 records (5 years); 12A Director's access; 12AA enhanced due diligence; 13 monetary penalty; 14 good faith; 15 exemptions.
V	Summonses, Searches, Seizures, Arrest	ss.16 survey; 17 search/seizure + 17(1A) freeze; 18 search of persons; 19 arrest; 20 retention of property (180 days); 21 retention of records; 22–24 presumptions & burden.
VI	Appellate Tribunal	s.25 (SAFEMA Appellate Tribunal); s.26 appeal within 45 days; s.27–39 composition, powers, procedure, staff.
VII	Special Courts	ss.40–42 (Special Courts, offences triable, HC appeal on substantial question of law); ss.43 designation; 44 cognizance on written complaint; 45 cognizable/non-bailable + twin conditions + police bar; 46 CrPC application; 47 appeal/revision.
VIII	Authorities	ss.48 classes (Director, Additional/Joint/Deputy/Assistant Directors); 49 appointment & the G.S.R. 440(E) empowerment; 50 summons/evidence/impound; 51 jurisdiction; 52 directions; 53–54 empowerment/assistance (police, customs, FIU, regulators required to assist).
IX	Reciprocal Arrangement for Co-operation etc.	ss.55 definitions (contracting State); 56 agreements; 57 letters of request from India; 58 assistance to contracting States; 58A release; 58B confiscation/release on foreign request; 59 reciprocal service/transfer of accused; 60 attachment/seizure/confiscation in contracting States or India incl. 60(2A); 61 procedure on letters of request.
X	Miscellaneous	ss.62–63 penalties; 64 sanction; 65 CrPC application; 66 information-sharing; 67 protection; 68–69 rules/notifications; 70 companies; 71 override; 72 power to make rules; 72A Co-ordination Committee; 73–75.
The Schedule		**Part A** (paras 1–29: IPC/BNS offences, NDPS, UAPA, Arms, Wildlife, Immoral Traffic, PC Act, Explosives, Antiquities, SEBI, Customs economic offences, Copyright/Trade Marks, IT Act, environment laws, Companies Act s.447, etc.); **Part B** (Customs Act offences if value ≥ ₹1 crore); **Part C** (cross-border implications: Part A/B offences with cross-border element; property crimes under IPC Chapter XVII → BNS Chapter XVIII; s.51 Black Money Act 2015).

6. The institutional machinery at a glance

CONNECTED INSTRUMENTS — SUBORDINATE LEGISLATION AND NOTIFICATIONS BESIDE THE MACHINERY

Prevention of Money-laundering (Maintenance of Records) Rules, 2005
Notified under s.73 read with ss.11A/12/12AA: client/beneficial-owner identification (KYC), OVDs/Aadhaar/passport, transaction records reconstructible, 5-year retention, CTR (cash above ₹10 lakh), STR (within 7 days of arriving at suspicion), NTR (cross-border); amended repeatedly, incl. 2023 (BO threshold, VDA service providers, politically exposed persons).
Prevention of Money-laarding (Forms and Manner of Forwarding a Copy of Order of Arrest of the Person to the Adjudicating Authority and its Period of Retention) Rules, 2005 ("Arrest Rules")
Rule 6 + **Form III**: the order of arrest must record the grounds — central to *Pankaj Bansal* (2024).
Adjudicating Authority (Procedure) Rules, 2005; Appellate Tribunal (Procedure) Rules
Govern s.8 and s.26 practice.
G.S.R. 436(E) & 440(E), both 1 July 2005
Enforcement and exclusive/concurrent empowerment of the Director (text reproduced above).

Notifications S.O. 2036(E)/2037(E)/2038(E), 3 May 2023
Brought (i) more financial-transaction activities, (ii) CA/CS/CWA professionals acting in specified financial transactions, and (iii) virtual-digital-asset exchange/transfer/custodial services within the reporting-entity regime — implementing FATF's DNFBP and "travel rule" expectations.
s.54 assisting authorities
Officers of customs, central excise/GST, police, Enforcement, FIU, RBI/SEBI/IRDAI, banking, Foreign Trade, Companies Affairs, NCB, etc., are "empowered and required to assist" the authorities — the statutory bridge between the predicate agency and the ED (analysed in *Binod Kumar*).
FEMA 1999 / FEOA 2018 / Benami Act 2016 / Black Money Act 2015 / NDPS Chapter VA / SAFEMA 1976
The surrounding asset-recovery code; the ED is common personnel across FEMA, FEOA and PMLA but each statute has distinct procedures.

Frequently tested trap: the **ECIR (Enforcement Case Information Report)** is an internal ED document recording reasons to initiate a money-laundering investigation; it is **not an FIR** and need not be supplied to the accused at investigation stage — only the grounds of arrest (Article 22(1); s.19; Form III) must be furnished (*Vijay Madanlal*, contrasted and refined by *Pankaj Bansal* on the written-grounds duty). The FIR-equivalent for the predicate offence is registered by the ordinary agency; the s.3 prosecution begins with the Director's **complaint** to the Special Court (s.44(1)(b)).

Part IV — Definitions, the Offence of Money-Laundering (s.3) and Punishment (s.4) (Syllabus Heads D–E)

Section 2(1)(p) does not define the offence independently: it says "**money-laundering" has the meaning assigned to it in section 3**. The definitions of **proceeds of crime (u), property (v), scheduled offence (y)** and **cross-border implication (ra)** together set the reach of s.3. This drafting technique (a generic definition borrowed from the penal section) is deliberate, because the same conduct-definition drives both criminal prosecution and civil confiscation (*Ramaraju*, para 112).

1. The key definitions (s.2(1))

Clause	Term	Content and exam points
(na)	Investigation	All the proceedings under the Act conducted by an authority or person authorised by the Central Government for collection of evidence.
(p)	Money-laundering	"Has the meaning assigned to it in section 3." Note: defined by ascription — the generic contours of the conduct in s.3 apply wherever the expression is used, including Chapter III attachment/confiscation (*Ramaraju*, para 112, relying on *LIC v. Crown Life* and *Kishanlal*).
(ra) 2009	Offence of cross-border implications	**(i)** conduct outside India which is an offence there and would be a Part A/B/C offence if committed here, where the person **transfers in any manner** (substituted for "remits" in 2013) the proceeds to India; or **(ii)** a Part A/B/C offence committed in India whose proceeds are transferred (or attempted to be transferred) outside India. Explanation saves pre-2009 Part A/B investigations.
(s)	Person	Individual, HUF, company, firm, AOP/BOI (incorporated or not), every artificial juridical person, and any agency/office/branch owned or controlled by them (covers foreign and offshore entities).
(sa) 2009/2019	Person carrying on designated business or profession (DND-FBP)	(i) games of chance for cash/kind incl. casinos; (ii) **Inspector-General of Registration** (Registrations Act, 1908) as notified (2019 — real-estate documents); (iii) notified real-estate agents; (iv) notified dealers in precious metals/stones/high-value goods; (v) safekeeping/cash administration persons; (vi) other notified activities. Read with (sb) precious metals (gold, silver, platinum, palladium, rhodium) and (sc) precious stones (diamond, emerald, ruby, sapphire).
(u)	Proceeds of crime am. 2015, 2018, 2019	**"Any property derived or obtained, directly or indirectly, by any person as a result of criminal activity relating to a scheduled offence or the value of any such property"**, plus, if such property is held outside the country, **property of equivalent value held within the country or abroad** (inserted 2015/2018). **Explanation (2019):** proceeds include not only property derived/obtained from the scheduled offence but also any property directly or indirectly derived or obtained as a result of any criminal activity **relatable to** the scheduled offence.
(v)	Property	"Any property or assets of every description, whether **corporeal or incorporeal, movable or immovable, tangible or intangible** and includes deeds and instruments evidencing title to, or interest in, such property or assets, wherever located." **Explanation:** includes property of any kind **used in the commission** of the PMLA offence or a scheduled offence (instrumentality, e.g. accounts, vehicles, premises).
(w)	Records	Books, computer-stored records or such other form as may be prescribed (covers digital/electronic records).
(wa) 2013	Reporting entity	A banking company, financial institution, intermediary **or a person carrying on a designated business or profession** — the Chapter IV duty-bearer.
(y)	Scheduled offence	(i) offences specified in **Part A**; (ii) offences in **Part B** if total value involved is **₹1 crore or more** (raised from ₹30 lakh w.e.f. 14-5-2015); (iii) offences in **Part C**.
(z)	Special Court	A Court of Session designated as Special Court under s.43(1).
(za)	Transfer	Sale, purchase, mortgage, pledge, gift, loan or any other form of transfer of right, title, possession or lien — wide enough for every layering device.
(zb)	Value	Fair market value on the date of acquisition, or (if that cannot be determined) the date of possession.

s.2(2) corresponding-law clause: references to any enactment are construed, for an area where that enactment is not in force, as references to the corresponding law in force there. This is the domestic analogue of the "dynamic reference" principle applied to the IPC→BNS transition (see Part XIII: Bombay HC in *Nagani Akram Mohammad Shafi v. UOI*, 8 July 2025).

HOW "PROCEEDS OF CRIME" EXPANDS — THE CHAIN-OF-TAINT PRINCIPLE (RAMARAJU, PARAS 114–115)

"A property acquires a taint on account being a derivative of criminal activity relating to a scheduled offence and includes the **value** of such property. Since placement, layering and integration are among the essential features of money-laundering, the proceeds of crime **may not necessarily continue in the hands of the original malfeasant(s)**." Where proceeds are layered through plural transactions, s.23 presumes the remaining transactions form part of the same inter-connected chain unless rebutted. The 2019 Explanation to (u) ("relatable to") confirms that even assets not directly taken from the victim (e.g. bribes earned from a fraud, substitution assets, profits churned through the crime) are proceeds. **Equivalent-value property** (2015/18) defeats the launderer who has moved the actual asset abroad: property of equal value in India or abroad is attachable.

REAL EXAMPLE — THIRD-PARTY AND FAMILY PROPERTY (RAMARAJU / SATYAM)

The ED attached not only assets standing in the company/accused names but also SRSR Holdings shares and 287 properties held through family/associate entities. The High Court held property of **any person** — not merely the accused — can be attached/confiscated if it is shown involved in laundering; the s.8 notice provisos and hearing given to third parties/co-holders supply natural justice. A bona fide transferee for value without knowledge may seek release; a sham nominee cannot.

2. Section 3 — the offence of money-laundering

SECTION 3 (AS AMENDED IN 2013; EXPLANATION INSERTED W.E.F. 1-8-2019)

"**Whosoever directly or indirectly** attempts to indulge or **knowingly assists** or **knowingly is a party** or is **actually involved** in any process or activity connected with the proceeds of crime including its **concealment, possession, acquisition or use and projecting or claiming it as untainted property** shall be guilty of offence of money-laundering."

Explanation. — (i) a person is guilty if he has directly or indirectly attempted/assisted/been party/been involved in **one or more** of: (a) concealment; (b) possession; (c) acquisition; (d) use; (e) projecting as untainted; or (f) claiming as untainted, **in any manner whatsoever**; (ii) the process or activity is a **continuing activity** and continues till such time a person is directly or indirectly enjoying the proceeds by concealment, possession, acquisition, use, projection or claiming.

2.1 The four modes of involvement

1. **attempts to indulge** (attempt liability built into the section itself);
2. **knowingly assists**;
3. **knowingly is a party**; or
4. **is actually involved**, in each case **directly or indirectly**.

Knowledge (mens rea) attaches to "assists" and "is a party"; "actually involved" and the activity-based Explanation broaden liability but *Vijay Madanlal* insists there must still be **material** linking the person to proceeds of crime — guilt cannot be predicated on a "notional" basis (paras 281–284). Knowingly "assisting" catches professionals, bankers, hawala operators and directors who facilitate; s.70 catches companies.

2.2 The six activities (Explanation i, clauses (a)–(f))

(a) Concealment Hiding or disguising the nature, source, location, disposition or ownership of proceeds — layering in any manner.	**(b) Possession** Holding proceeds, even without having committed the predicate crime (*Mohammad Arif*: subsequent participation suffices).	**(c) Acquisition** Receiving/obtaining proceeds by purchase, gift, loan, share subscription, benami transfer.
(d) Use Deploying proceeds — buying assets, running businesses, funding further crime.	**(e) Projecting as untainted** Showing dirty money as clean (the classic integration claim).	**(f) Claiming as untainted** Asserting a clean title — e.g. in accounts, tax returns, court proceedings.

2.3 "And" read as "Or" — Vijay Madanlal Choudhary v. Union of India (2022)

LANDMARK INTERPRETIVE RULING (SCC PARA IN THE DU CASE FILE; RATIO AT PARAS 40–44 IN LIVELAW TEXT)

The challenge: s.3 uses the phrase "concealment, possession, acquisition or use **and** projecting or claiming it as untainted"; petitioners argued the statute required the prosecution to prove BOTH concealment/possession/acquisition/use AND projection as untainted — making possession alone unpunishable. The Supreme Court held that "**and" must be read as "or"**, relying on *Sanjay Dutt v. State through CBI (II)*, (1994) 5 SCC 410 ("arms and ammunition" under TADA read disjunctively), *Ishwar Singh Bindra v. State of U.P.*, and *Gujarat Urja Vikas Nigam v. Essar Power*. The Court's illustrative absurdity: if one person merely **possesses** crime proceeds and a friend alone **projects** them as untainted, a conjunctive reading would punish neither — "the whole Act will be frustrated". The **2019 Explanation** was held clarificatory (not retroactive punishment): it lists the six activities disjunctively and confirms guilt for involvement in "**one or more**".

2.4 Standalone yet dependent; continuing offence; retrospectivity

- **Standalone:** the s.3 offence is independent of the trial or even the registration of the scheduled-offence case; a person who never committed the predicate crime but knowingly holds/layers its proceeds is guilty (*Mohammad Arif*: "two types of offences"; *Vijay Madanlal*). It is also a **continuing offence** (Explanation (ii)) — it continues as long as the person enjoys the proceeds; the limitation clock does not run while possession/enjoyment continues, and prosecution lies even where the predicate predates the Act if laundering continued after notification (the Court applied s.482-CrPC-saving principles and the general continuing-offence doctrine).
- **Dependent:** there must be **criminal activity relating to a scheduled offence** generating proceeds; authorities cannot act "on a mere notional basis" (*Vijay Madanlal*, paras 281–284). The scheduled offence is the "backbone" — its final acquittal/discharge/quashing destroys the foundation for s.3 and for attachment of that person's property (*Parvathi Kollur*, applying para 187(d) of *Vijay Madanlal*).
- **Attempts:** "attempts to indulge" is within s.3 itself (separate from general attempt liability in IPC s.511 → BNS s.120).

3. Section 4 — punishment

SECTION 4 (FINE CEILING DELETED W.E.F. 15-2-2013)

Dr. Ankur R. Upadhyay

Whoever commits money-laundering is punishable with **rigorous imprisonment for a term which shall not be less than three years but which may extend to seven years, and shall also be liable to fine**.

Proviso: where the proceeds relate to an offence specified under **paragraph 2 of Part A** of the Schedule (i.e. offences under the **NDPS Act, 1985** specified there), the maximum is **rigorous imprisonment for ten years** (minimum three years unchanged), plus fine.

Feature	Position
Minimum sentence	3 years RI (court cannot award less — a "special law" minimum).
Maximum	7 years RI; **10 years RI for drug-related proceeds** (para 2 Part A/NDPS).
Fine	Mandatory ("shall also be liable to fine"); the pre-2013 ceiling of ₹5 lakh was deleted — unlimited, commensurate with the laundered amount; confiscation is separate (ss.8–9).
Character	**Cognizable and non-bailable** for all offences under the Act (s.45; 2019 Explanation); non-compoundable; triable only by the Special Court (ss.43–44).
Companies	s.70: company and every person in charge/responsible; 2013 Explanation 2 allows prosecution of a company even without prosecuting an individual; 2013 Explanation 1: nominated director liable unless absence of knowledge/due diligence shown.
Foreign/continued conduct	Continuing offence (s.3 Explanation (ii)); cross-border limbs (s.2(1)(ra), Part C); Ch. IX enables extradition-style transfer (s.59) and foreign confiscation (s.58B).

CONNECTED LAW — COGNATE SENTENCING MODELS

The Orissa High Court in *Mohammad Arif v. Directorate of Enforcement* (13 July 2020) observed the Act is **modelled on the UK Criminal Justice Act**, which imposes criminal liability on those who know or suspect laundering and fail to report. Compare the forfeiture minimum-terms under NDPS Chapter VA and the 7–10 year band of serious predicate offences; unlike ordinary IPC theft/cheating (now BNS ss.311–318), the sentence attaches to the *handling of proceeds*, not the predicate itself, and runs **in addition** to any sentence for the scheduled offence (no merger; distinct acts).

REAL EXAMPLE — SUBSEQUENT PARTICIPATION IS ENOUGH (MOHAMMAD ARIF, 2020)

The High Court held that even a person who did not commit the scheduled offence is culpable "**upon subsequent participation in the laundering of such monies**"; the offence is independent as well as continuing — "as long as [the] accused remains in possession, causes concealment of the nature of the money or continues to mask the tainted money as untainted". This is why spouses, nominees, directors and employees receiving proceeds are arrayed — but subject always to the *Vijay Madanlal* "foundational material" and *Parvathi Kollur* backbone limitations, and (post-2024) the *Pankaj Bansal* arrest safeguards.

The Schedule to the Act — Parts A, B and C (the "predicate" map)

A money-laundering case cannot exist without a **scheduled offence** (s.2(1)(y)). The Schedule is the statutory list of predicates. Think of it as the filter: conduct that is not a scheduled offence (e.g. a pure FEMA breach or ordinary tax evasion not listed in Part C) cannot generate "proceeds of crime" for the PMLA, however dishonest. Part C also covers **cross-border** property crimes that are not scheduled domestically.

Part / Para	Statute	Offences scheduled (key sections)
PART A (full list; no value threshold; also cross-border relevant under Part C(1))	**Para 1 — Indian Penal Code, 1860** (*now read as BNS, 2023 — see note below*)	120B (criminal conspiracy; **BNS 61(2)**); 121, 121A (waging war; **BNS 147, 148**); 255, 257–260 (counterfeit stamps/coins → **BNS 178–180**); 302, 304, 307, 308 (homicide/attempts → **BNS 103, 105, 109, 110**); 327, 329 (hurt to extort → **BNS 119**); **364A** (kidnapping for ransom → **BNS 140(2)**); 384–389 (extortion → **BNS 308**); 392–402 (robbery/dacoity → **BNS 309–313**); **411–414** (stolen property → **BNS 317**); 417–420 (cheating → **BNS 318–319**, incl. **420 → 318(4)**); **421–424** (fraudulent deeds → **BNS 320–323**); **467** (forgery of valuable security → **BNS 338**); **471** (using forged document → **BNS 340**); 472–473, 475–476 (counterfeit seals/marks → **BNS 341–342**); 481–488 (false property marks → **BNS 345–350**); **489A–489B** (counterfeit currency → **BNS 178–179**).
	Para 2 — NDPS Act, 1985	ss.15–24 (poppy straw, coca, opium, cannabis, manufactured drugs, psychotropic substances, import/export/transhipment, external dealings); 25A (s.9A order contravention); **27A (financing illicit traffic & harbouring offenders)**; 29 (abetment/conspiracy). **This paragraph triggers the 10-year maximum under the s.4 proviso.**
	Para 3 — Explosive Substances Act, 1908	ss.3, 4, 5 (causing/attempting explosion; suspicious possession).
	Para 4 — Unlawful Activities (Prevention) Act, 1967	s.10 r/w s.3 (unlawful association membership); 11 r/w s.3 (dealing in its funds); 13 r/w s.3 (unlawful activities); 16 r/w s.15 and 16A, 17, 18, 18A, 18B, 19, 20, 21, 38, 39, 40 (terrorist acts, funds, camps, recruitment, harbouring, membership/support, raising funds for a terrorist organisation).
	Para 5 — Arms Act, 1959	ss.25 (unlicensed manufacture/sale/possession of prohibited arms), 28, 29, 30.
	Para 6 — Wild Life (Protection) Act, 1972	s.51 r/w ss.9, 17A, 39, 44, 48, 49B (hunting; protected plants; government property; dealing in trophies/articles without licence).
	Para 7 — Immoral Traffic (Prevention) Act, 1956	ss.5, 6, 8, 9 (procuring; detaining in premises; seducing/soliciting; seduction in custody).
	Para 8 — **Prevention of Corruption Act, 1988** (substituted by Act 16 of 2018)	**ss.7, 7A, 8, 9, 10, 11, 12, 13, 14** (bribe-taking; personal influence; bribe-giving; commercial organisations; persons in charge; undue advantage without consideration; abetment; criminal misconduct; habitual offenders). — the foundation of most political PMLA cases (coal, 2G, Satyam/bank fraud adjacent).
	Para 9 — Explosives Act, 1884	ss.9B, 9C.

Part / Para	Statute	Offences scheduled (key sections)
	Para 10 — Antiquities and Art Treasures Act, 1972	s.25 r/w s.3 (illegal export); s.28 (companies).
	Para 11 — SEBI Act, 1992	s.12A r/w s.24 (fraudulent/unfair trade practices, insider trading); s.24 (failure to furnish information/returns etc.).
	Para 12 — Customs Act, 1962	**s.135** (evasion of duty or prohibitions — smuggling). (Distinct from Part B.)
	Para 13 — Bonded Labour System (Abolition) Act, 1976	ss.16, 18, 20.
	Para 14 — Child Labour (Prohibition & Regulation) Act, 1986	s.14.
	Para 15 — Transplantation of Human Organs Act, 1994	ss.18, 19, 20 (unauthorised removal; commercial dealings).
	Para 16 — Juvenile Justice (Care and Protection of Children) Act, 2000	ss.23–26 (cruelty; begging; exploitation).
	Para 17 — Emigration Act, 1983	s.24.
	Para 18 — Passports Act, 1967	s.12.
	Para 19 — Foreigners Act, 1946	ss.14, 14B, 14C.
	Para 20 — Copyright Act, 1957	ss.63, 63A, 63B, 68A (piracy; infringing computer programmes).
	Para 21 — Trade Marks Act, 1999	ss.103, 104, 105, 107, 120.
	Para 22 — Information Technology Act, 2000	ss.72, 75 (breach of confidentiality; extra-territorial operation).
	Para 23 — Biological Diversity Act, 2002	s.55 r/w s.6.
	Para 24 — Protection of Plant Varieties and Farmers' Rights Act, 2001	ss.70–73 r/w s.68.
	Para 25 — Environment (Protection) Act, 1986	s.15 r/w ss.7, 8 (pollutants; hazardous substances).
	Para 26 — Water (Prevention and Control of Pollution) Act, 1974	ss.41(2), 43.
	Para 27 — Air (Prevention and Control of Pollution) Act, 1981	s.37.
	Para 28 — Suppression of Unlawful Acts against Safety of Maritime Navigation & Fixed Platforms Act, 2002	s.3.
	Para 29 2018 — Companies Act, 2013	**s.447 (fraud)** — catches corporate accounting fraud (Satyam-type conduct, post-2018).
PART B	Customs Act, 1962 (ins. w.e.f. 14–5–2015)	**s.132** (false declaration, false documents, etc.) — scheduled **only if total value involved is ₹1 crore or more** (s.2(1)(y)(ii); raised from ₹30 lakh in 2015).
PART C	An offence **of cross-border implications** specified in: **(1)** Part A; **(3)** offences against property under **Chapter XVII IPC** (ss.378–462 — theft, extortion, robbery, criminal misappropriation/breach of trust, receiving stolen property, cheating, mischief, criminal trespass, forgery etc.; now **BNS Chapters XVII–XX**); and **(4)** the offence of **wilful attempt to evade tax/penalty/interest under s.51 of the Black Money (Undisclosed Foreign Income and Assets) and Imposition of Tax Act, 2015** (ins. w.e.f. 1–4–2016). [Entry (2) omitted w.e.f. 15–2–2013.] Read with s.2(1)(ra): the cross-border trigger (inbound/outbound/transfer).	

2024–2025 update — the Schedule after the BNS replaced the IPC (important exam point). The Schedule text still cites IPC sections. In *Nagani Akram Mohammad Shafi v. Union of India*, Bombay High Court (J. Amit Borkar), 8 July 2025 (₹100–cr Malegaon case; predicates BNS ss.318(4) [cheating, formerly 420 IPC], 338 [formerly 467], 340 [formerly 471]), the Court held that under **s.8(1) of the General Clauses Act, 1897** and purposive construction, the Schedule makes a **"living/dynamic" legislation-by-reference**: references to repealed IPC offences are read as references to the corresponding BNS provisions where the substance/ingredients are the same. To hold otherwise

would create an absurd legal vacuum from 1 July 2024 and defeat both statutes. The complete verified IPC→BNS table for every para-1 offence (plus CrPC→BNSS and Evidence→BSA) is in Part XIII of these notes.

Part V — Enforcement Track 1: Attachment of Property (s.5) and Retention (s.20) (Syllabus Head F, first limb)

Attachment is a provisional, civil, preventive order that freezes property so it cannot be dissipated before adjudication and confiscation. It is the most-used weapon of the Act and was challenged in every prescribed case from *Ramaraju* to *Vijay Madanlal*. Learn its five sub-sections, the three provisos and the strict 180-day/30-day clock — problem questions commonly test whether an attachment is legal at the threshold.

1. Section 5(1) — conditions for a provisional attachment order (PAO)

S.5(1) (SUBSTITUTED W.E.F. 15-2-2013)

Where the **Director**, or any other officer **not below the rank of Deputy Director** authorised by the Director, has **reason to believe (the reason for such belief to be recorded in writing), on the basis of material in his possession**, that —

(a) any person is in **possession of any proceeds of crime**; **and**
(b) such proceeds are **likely to be concealed, transferred or dealt with** in any manner which may result in **frustrating any proceedings relating to confiscation** under Chapter III —

he may, by order in writing, **provisionally attach** such property for a period **not exceeding 180 days** from the date of the order, in the prescribed manner.

Threshold checklist (each mandatory)

Element	Content / safeguard
Competent officer	Director or Deputy-Director-rank officer authorised for s.5 (G.S.R. 440(E) vests s.5 **exclusively** in the Director's hierarchy). Lower ranks cannot attach.
"Reason to believe"	A **subjective but bona fide satisfaction built on material in possession**; not mere suspicion, rumour or instruction. The reasons must be **recorded in writing** and forwarded to the Adjudicating Authority in a **sealed envelope** (s.5(2)) — judicial oversight check (*Vijay Madanlal*: safeguards held effective; compare s.19 arrest).
Material in possession	ECIR material, FIU intelligence, predicate-agency reports, bank records, statements, documents — Authorities cannot act on a "notional" basis (*Vijay Madanlal* paras 281–284).
Limb (a): possession of proceeds	Property of **any person** — including third parties, companies, family members/assignees — if it is proceeds or involved in laundering (*Ramaraju*: 132 defendants, 287 properties, SRSR shares).
Limb (b): frustration risk	Objective likelihood of concealment/transfer/dealing that would defeat confiscation — the preventive necessity (e.g. assets being sold, funds wired abroad, companies struck off).
Form and period	Written order in the prescribed form; provisional for max **180 days** under the s.5 substituted w.e.f. 15-2-2013 (the original 2005 text fixed 150 days, as reproduced in *Binod Kumar* and the *Ramaraju* pleadings).

The three provisos — the "FIR filter" and its exception

Proviso	Rule
First proviso	**No PAO unless**, in relation to the scheduled offence, a **report has been forwarded to a Magistrate under s.173 CrPC** (the chargesheet/police report; **→ s.193 BNSS** after 1-7-2024), or a **complaint has been filed** by a person authorised to investigate the scheduled offence before a Magistrate/court for cognizance, **or a similar report/complaint has been made/filed under the corresponding law of another country**. (When attachment post-dates the predicate FIR, this is the ordinary route; s.44(1)(b) Special Court cognizance of the s.3 offence still requires the Director's complaint.)
Second proviso 2013: ref. amended 2015	**Notwithstanding the first proviso**, the property of **any person** may be attached where the competent officer has reason to believe (recorded in writing, on material) that **if the property is not attached immediately**, non-attachment is **likely to frustrate any proceeding under the Act**. This empowers **pre-FIR/pre-chargesheet attachment**. The 2015 amendment corrected the internal reference from "clause (b)" to "first proviso". *Vijay Madanlal* upheld it as clarificatory, reading in the safeguard of **contemporaneous communication of the information to the predicate investigating agency under s.66(2)**.
Third proviso 2018	In computing the 180 days, **periods of High Court stay are excluded**, plus a further period up to **30 days** from vacation of the stay. (Mirrored by the Explanation to s.8(3)(a) for the 365-day confirmation period.)

2. Sub-sections (2) to (5) — procedural safeguards

- **s.5(2):** immediately after attachment, the officer forwards the order + the material in his possession to the **Adjudicating Authority in a sealed envelope** (prescribed manner; AA retains it for the prescribed period) — an independent check on arbitrary belief.
- **s.5(3):** the PAO **lapses on expiry of 180 days** OR on the date of the AA's order under s.8(3), whichever is earlier. If the AA does not confirm in time, attachment dies and the property is freed.
- **s.5(4):** the attachment does **not prevent the person interested from enjoying attached immovable property** — he may continue in possession/use (no dispossession at the attachment stage; "person interested" includes anyone claiming an interest). *Vijay Madanlal* extended this spirit to the post-confirmation s.8(4) stage (possession is the exception, not the rule, until actual confiscation).
- **s.5(5):** the attaching officer must, within **30 days of attachment, file a complaint stating the facts before the Adjudicating Authority** — this triggers s.8 adjudication; without it the PAO cannot be confirmed.

3. Section 17(1A) freezing — the attachment-adjacent power, and s.20 retention

- **s.17(1A) (2013):** where seizing records/property is **not practicable**, the authorised officer may order **freezing**; the property then cannot be transferred or dealt with except with his prior permission; a copy is served on the person; if it later becomes practicable to seize before confiscation under s.8(5)/(7), s.58B or s.60(2A), he may seize.

- **s.20 (substituted 2013):** property **seized under s.17/s.18 or frozen under s.17(1A)** may be retained/kept frozen on written reasons for **up to 180 days from seizure/freeze** where required for s.8 adjudication; order + material sent to AA in a sealed envelope; on expiry the property is returned **unless the AA permits further retention**, satisfying itself the property is **prima facie involved in money-laundering** and required for adjudication. After confiscation, the Special Court directs release of property not involved; release orders may be withheld for up to **90 days** where relevant to appeals (s.20(6)). Records retention is governed by s.21.

CONNECTED LAW — HOW ATTACHMENT DIFFERS FROM COGNATE MEASURES

Measure	Statute	Difference
Provisional attachment	**PMLA s.5**	Civil/preventive; 180 days; on reason to believe; AA confirmation; no mens rea needed; property of third parties covered.
Seizure/freeze	PMLA ss.17, 17(1A), 18, 20	Physical/documentary taking during search; 30-day retention application; 180-day outer limit.
Forfeiture of illegally acquired property	SAFEMA 1976; FEOA 2018	SAFEMA tied to smuggling/FOREX detention/conviction; FEOA attaches *all* property (including non-proceeds) of a fugitive economic offender; proceedings interlock with PMLA attachments.
Seizure of property in police investigation	CrPC s.102 (→ **BNSS s.106**, now expressly including digital assets/electronic devices; *Tapas D. Neogy*: bank accounts are property)	General police power; no AA/tribunal confiscation regime; cannot forfeit to government without a statute.
Benami attachment/ adjudication	Benami Transactions (Prohibition) Act, 2016 (ss.24-27)	Separate Initiating Officer/Adjudicating Authority; property "benami" test; proceedings can run in parallel with PMLA attachment of the same asset.

4. Judicial treatment of s.5

B. RAMARAJU (AP HC, 2011) — ISSUES B & C (VALIDITY OF S.2(U), S.5)

(i) "Proceeds of crime" and s.5 are **not vague or arbitrary**: the material-in-possession, recorded-reasons, sealed-envelope, 30-day complaint, 30-day show-cause, reasoned confirmation and two-tier appeal (s.26 Tribunal; s.42 High Court) supply the "several layers of scrutiny" (rejecting the *Chintamon Rao*-void-for-vagueness attack). (ii) **No mens rea is required for civil attachment/confiscation** — the question is whether property is derived from scheduled criminality, not the holder's state of mind; otherwise launderers would park property with innocent nominees. (iii) **Third-party property is attachable**; third-party/co-holder notice provisos and the s.8 proviso hearing protect genuine claimants. (iv) The **second proviso (pre-FIR attachment) was held clarificatory/retrospective** in its 2009 context because attachment is preventive, not punitive — Article 20 is not attracted.

VIJAY MADANLAL (SC, 2022) — S.5 RE-VALIDATED ON THE 2013-2018 TEXT

The Court held: (a) the power is conditioned on **material in possession and recorded reasons**; the sealed-envelope and AA adjudication are substantive safeguards; (b) the **second proviso permits attachment even before the s.173 report**, for the property track cannot be held hostage to the predicate investigation — but the ED must **simultaneously share information with the predicate agency (s.66(2))** so the scheduled-offence process is not bypassed; (c) attachment **in aid of "any proceeding under this Act"** includes inchoate/ investigative stages; (d) attachment does not create an irreversible consequence — release/restoration follows if laundering is not established (ss.8(6), 8(8)).

REAL EXAMPLE — SATYAM CHRONOLOGY AS A WORKED PROBLEM (RAMARAJU RECORD)

B. Ramalinga Raju's 7 January 2009 disclosure; AP-CID FIR 9 January 2009 (scheduled offence incl. IPC s.467 → BNS s.338); ED provisional attachment of SRSR Holdings shares and immovable properties on **18-8-2009**; AA Application No. 38 of 2009 filed **15-9-2009** against 132 defendants with notice the same day (≥30 days); orders on objections **20-11-2009**; confirmation **14-1-2010**; writs and FA Nos. 527-529 of 2010 (Bombay) relied on; the High Court declined to examine individual merits given the alternative appeal remedy and upheld the statutory framework. Use this timeline to demonstrate compliance with s.5(2)/(5) and s.8(1).

Part VI — Enforcement Track 2: Survey, Search, Seizure, Freeze and Arrest (ss.16-19); Summons and Statements (s.50); Penalties (ss.62-64)

Chapter V equips ED authorities with inquisitorial powers wider than the police's: survey without prior process (s.16), search/seizure/ freezing without a predicate FIR after 2019 (ss.17-18), and arrest on recorded "reason to believe" (s.19). Every power is hedged by (i) rank thresholds, (ii) **written reasons**, (iii) **sealed-envelope transmission to the Adjudicating Authority**, and (iv) witness/Magistrate/female safeguards. *Vijay Madanlal* (2022) upheld these powers; *Pankaj Bansal* (2024) read s.19 down with mandatory written-grounds and independent magisterial verification.

1. Section 16 — Power of survey

Feature	Content
Trigger	An authority, **on the basis of material in his possession, has reason to believe (recorded in writing)** that an s.3 offence has been committed.
Place	Any place (i) within his assigned area, or (ii) in another area for which he is authorised by the authority assigned there; the Explanation includes **any other place (whether or not activity is carried on there) in which the person says his records/property are kept**.
Powers	Require the proprietor/employee/attender to: (i) afford facility to **inspect records**; (ii) **check/verify proceeds of crime** or related transactions; (iii) **furnish information**. Under s.16(3): place identification marks on records, take extracts/copies, make an inventory, and **record the statement of any person present** useful/relevant to proceedings.
Accountability	s.16(2): **immediately after completion, forward the recorded reasons and material to the AA in a sealed envelope**, retained for the prescribed period.

Feature	Content
Character	A survey is an inquisitorial/inspection visit — less intrusive than search; statements recorded at survey feed the investigation; from survey, s.17(3) permits an immediate search without s.17(1) authorisation if evidence is likely to be concealed/tampered (written reasons).

2. Section 17 — Search and seizure (including freezing under s.17(1A))

S.17(1) — STRUCTURE

Where the **Director or an officer not below Deputy Director authorised by him**, **on the basis of information in his possession, has reason to believe (recorded in writing)** that any person — (i) has committed an act which constitutes money-laundering; **or** (ii) is in possession of proceeds of crime involved in ML; **or** (iii) records relating to ML; **or** (iv) **property related to crime** (added 2013) — he may **authorise a subordinate officer**, subject to rules, to:

(a) **enter and search** any building, place, vessel, vehicle or aircraft where records/proceeds are suspected kept; (b) **break open locks** of doors, boxes, lockers, safes, almirahs/receptacles if keys unavailable; (c) **seize** records/property; (d) place identification marks/extracts/copies; (e) make a note/inventory; (f) **examine on oath** any person found in possession/control of records or property on matters relevant to investigation.

Sub-section	Content / safeguard
s.17(1A) (2013) — freeze	Where seizure is **not practicable**, an order **freezing** the record/property: no transfer/dealing without prior permission; copy served on the person; may later be seized if practicable before confiscation under s.8(5)/(7), s.58B or s.60(2A).
s.17(2)	**Immediately after** search/seizure (or freeze), the recorded reasons + material go to the **AA in a sealed envelope**.
s.17(3)	Information obtained during a **s.16 survey** showing concealment/tampering risk permits immediate search/seizure on written reasons **without a s.17(1) authorisation**.
s.17(4)	Within **30 days** of seizure/freeze, an **application for retention/continuance of freeze must be filed before the AA** (then s.20 governs the 180-day outer limit).
The deleted proviso omitted w.e.f. 1-8-2019	Pre-2019, s.17(1) carried a proviso barring search unless "on the basis of… search warrant or authorisation… FIR/chargesheet" for the scheduled offence had been filed by the competent authority. Its deletion permits search at the ECIR stage. *Vijay Madanlal* upheld the deletion because inbuilt safeguards remain (rank, written reasons, sealed envelope, inventories, 30-day AA application, s.20 outer limit, independent witnesses), relying on *Baldev Singh*.

3. Section 18 — Search of persons

- **Trigger:** a Central-Government-authorised authority has **reason to believe in writing** that a person has secreted about his person or anything in his possession/ownership/control any record or proceeds useful/relevant to proceedings — he may search that person and seize the record/property.
- **Deleted proviso (2019):** as with s.17, the pre-condition of a predicate FIR/chargesheet was omitted.
- **s.18(2):** reasons + material to the AA in a sealed envelope immediately after.
- **s.18(3)–(5) — the Magistrate/Gazetted Officer safeguard:** if the person so requires, he must, within **24 hours** (excluding journey time), be taken before the **nearest Gazetted Officer superior in rank or a Magistrate**; detention beyond 24 hours is barred pending that production; the Gazetted Officer/Magistrate must **discharge him forthwith if no reasonable ground for search appears**, otherwise direct the search.
- **s.18(6)–(7):** before search, call **two or more independent witnesses**; search in their presence; prepare a list of seized items and obtain witnesses' signatures.
- **s.18(8): no female shall be searched by anyone except a female**.
- **s.18(9):** record the searched person's statement as to records/proceeds found.
- **s.18(10):** retention application before the AA within 30 days.

CONNECTED LAW — GENERAL SEARCH SAFEGUARDS THAT CONTINUE TO APPLY

CrPC safeguards inform the special law under s.65 (save for inconsistency): search-witness requirements and occupant rights (s.100 CrPC → **BNSS s.103**), police property seizure (s.102 CrPC → **BNSS s.106**, now expressly covering digital assets/devices), search of a woman only by a woman officer with decency protections, and arrest safeguards (ss.41, 41A, 46, 50, 55, 60A CrPC → BNSS ss.35, 43, 47; *Arnesh Kumar v. State of Bihar*, (2014) 8 SCC 273, requires no mechanical arrest and a recorded checklist). The BNSS (in force 1-7-2024) adds audio-video recording of searches (s.185 vs CrPC s.165) and, for offences punishable 7+ years, mandatory forensic investigation (s.176(3)) — relevant where PMLA predicate offences carry such sentences; PMLA's s.71 override yields only on inconsistency.

4. Section 19 — Power to arrest (the 2015/2019 Q.7 and 2019 Q.6 limb; now governed by Pankaj Bansal)

S.19(1)

If the **Director, Deputy Director, Assistant Director or any other officer authorised by the Central Government by general/special order** has, **on the basis of material in his possession, reason to believe (recorded in writing)** that any person **has been guilty of an offence punishable under this Act**, he may arrest such person and shall, **as soon as may be, inform him of the grounds for such arrest**.

s.19(2): immediately after arrest, the officer forwards a copy of the order + material to the **AA in a sealed envelope**.
s.19(3): every arrested person must, within **24 hours** (excluding journey time), be taken before a **Special Court or a Judicial/Metropolitan Magistrate** having jurisdiction.

Circumstances in which arrest is lawful — the distilled test

1. The officer is **competent and authorised** (s.19(1); G.S.R. 440(E) hierarchy; s.53 empowerments).
2. There is **material in his possession** (not conjecture) connecting the person to an offence *punishable under the Act* (s.3/s.4 — not merely to the scheduled offence).

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3. A **genuine, recorded "reason to believe"**, formed at or before arrest, showing guilt — "**guilty of an offence**" is a stronger standard than the s.5/s.17 "proceeds" threshold.
4. **Grounds are furnished "as soon as may be"** — per *Pankaj Bansal* (2024), **written** grounds (the Form III order) are supplied as a matter of course, without exception (sensitive material may be redacted); oral intimation is insufficient.
5. Production before the Special Court/Magistrate within **24 hours** (s.19(3)); remand follows s.167 CrPC → **s.187 BNSS** (police custody staggered; judicial custody; default-bail clock) read with s.46 PMLA, and the Court **independently verifies** s.19 compliance before authorising remand.
6. Arrest must not be a **colourable exercise**: summoning a person under s.50 on one pretext and arresting him under s.19 on another undisclosed ground is fraud on power (*Pankaj Bansal*).

What is NOT a ground for arrest (Pankaj Bansal v. UOI, (2024) 7 SCC 576): (i) **non-cooperation** with questioning; (ii) **evasive or unsatisfactory answers** — there is no legal obligation to make self-incriminating statements (Article 20(3); *Santosh Kumar Mehmooda v. State*, (2017) 9 SCC 714, applied), and an investigator may not arrest merely because the suspect protests innocence; (iii) absence from home during a search; (iv) the desire to "custodially interrogate" without recording why non-custodial means fail. Remand by itself cannot cure an unlawful arrest (*Madhu Limaye*); non-compliance "enures to the benefit" of the arrestee and may attract s.62 PMLA. Detailed ratio is in the Case File for Case 16.

CONNECTED INSTRUMENT — PREVENTION OF MONEY-LAUNDERING (ARREST FORMS) RULES, 2005 — FORM III

The Rules prescribe the form and manner of forwarding a copy of the order of arrest and material to the Adjudicating Authority and its retention. **Rule 6 read with Form III** requires the order of arrest to record, inter alia, the **grounds** for arrest. *Pankaj Bansal* held the Form III order, duly supplied to the arrestee, is the statutory implementation of "as soon as may be inform him of the grounds" and Article 22(1); overruling *Moin Akhtar Qureshi v. UOI* (Del) and *Chhagan Bhujbal v. UOI* (Bom), which had allowed later/parol communication.

5. Section 50 — summons, production of documents and evidence; the status of ED statements

Sub-section	Content
s.50(1)	For s.13 purposes, the **Director has civil-court powers** (CPC) for: (a) discovery/inspection; (b) enforcing attendance of any person **including an officer of a reporting entity** and examining on oath; (c) compelling production of records; (d) affidavits; (e) commissions for witnesses/documents; (f) prescribed matters.
s.50(2)	Director, Additional/Joint/Deputy/Assistant Director may **summon any person** whose attendance is considered necessary — to give evidence or produce records — during **any investigation or proceeding** under the Act.
s.50(3)	The summoned person must attend in person/through authorised agent as directed, is **bound to state the truth** and to produce required documents.
s.50(4)	Proceedings under (2)–(3) are **deemed judicial proceedings** for **ss.193 and 228 IPC** — false evidence and intentional insult/interruption: now **ss.229 and 267 BNS**. (s.11(3) gives the Adjudicating Authority an identical deeming — also BNS 229/267.)
s.50(5)	Officers may **impound** produced records subject to rules; an Assistant/Deputy Director must (a) record reasons for impounding and (b) obtain the **Joint Director's prior approval to retain beyond three months**.

ADMISSIBILITY OF S.50 STATEMENTS — ED OFFICERS ARE NOT "POLICE OFFICERS"

Vijay Madanlal reaffirmed the line of authority (Customs/FERA/FEMA/NDPS cases such as *Ramesh Chandra Mehta*, *Illias*, *Nandini Satpathy*-limits, and Tofan Singh-context analysis) that PMLA authorities are **not police officers**: the Act gives no police-report prosecution through the FIR route; cognizance is on the Director's complaint (s.44); statements under s.50 are therefore **not hit by s.25 of the Evidence Act, 1872 (now s.23 BSA)**, and a confessional/incriminating statement to a senior ED officer is admissible subject to the general law of voluntariness and Article 20(3). Safeguards acknowledged in the DU material: attendance under summons is compulsory, but **evasive answers cannot trigger arrest** (*Pankaj Bansal* & *Santosh Kumar Mehmooda*); a person cannot be compelled to answer self-incriminating questions beyond the statutory truth duty, and the court tests voluntariness.

6. Coercive and protective provisions around investigation

Section	Content
s.20 / s.21	Retention of seized/frozen property ≤ **180 days** unless AA extends (prima facie involvement shown); records retained as needed; 90-day withholding after release orders for appeals.
s.22	**Presumption** as to records/property found in survey/search (or produced/resumed/frozen): they belong to the person; contents true; signatures/handwriting/execution presumed; authenticated foreign records presumed genuine and admitted even unstamped (s.22(2)).
s.23	Where laundering involves two or more inter-connected transactions and one/more are proved involved, the rest are **presumed** part of the chain unless otherwise proved (rebuttable, *presumptio pro tantum* — *Ramaraju* paras 112–121).
s.24	**Reverse burden**: (a) against a person **charged** with s.3, the court/authority **shall presume** proceeds are involved in ML unless the contrary is proved; (b) against **any other person**, it **may presume**. Upheld in *Vijay Madanlal* after proof of three foundational facts (proceeds; charged/possessor link; scheduled criminality); comparable to s.106 Evidence Act (now **s.109 BSA**), NDPS s.35/54 — not a violation of Art 21, since the accused has special knowledge.
s.62	Vexatious search/arrest/attachment by an authority, mala fide/without reasonable ground: punishment up to **2 years RI and/or ₹50,000 fine** — expressly relied on in *Pankaj Bansal* as the statutory deterrent against abuse.
s.63	Penalty for non-compliance (failure to attend, produce, answer, sign, etc.): fine ₹500–₹10,000; the conduct is also deemed an offence under IPC ss.175/178/179/180/228 → **BNS ss.210/213/214/215/267** (and non-attendance IPC s.174 → BNS s.208).
s.64	**Sanction** of the Central Government required to prosecute an authority for acts done in official capacity; government must decide within **90 days** — accountability without frivolous harassment.
s.66	Disclosure of information to other agencies/officers; s.66(2) underpins the **contemporaneous information-sharing with the predicate investigating agency** required under the s.5 second proviso regime (*Vijay Madanlal*).

Section	Content
s.67	No suit/proceeding against authorities or reporting-entity personnel for acts done in good faith (s.14 separately protects reporting entities).

REAL EXAMPLE — THE M3M/IREO INVESTIGATION (PANKAJ BANSAL V. UOI, (2024) 7 SCC 576)

ED searches on 1/3 August 2023 in a corruption case against a Special Judicial Magistrate-cum-CBI judge (alleged bribe taken from the M3M/IREO promoters), with lists of properties, companies and bank accounts running into hundreds of entries. Roop Bansal was arrested 8 June 2023; Pankaj and Basant Bansal were summoned to the Rajokri ED office on 14 June and arrested that evening (6:00 p.m. and 10:30 p.m.) under a fresh ECIR (GNZO/17/2023) recorded four days after the Delhi High Court had begun anticipatory-bail proceedings in the earlier ECIR. The Supreme Court found the arrest reason "evasive answers/non-cooperation" insufficient and the timing a colourable exercise, set aside arrest and remand, and laid the mandatory written-grounds guidelines — Case File 16.

Part VII — Adjudication, Confiscation, Vesting and Appeals (ss.6–11, 25–26, 42) (Syllabus Head G, first limb)

Adjudication is the **civil heart of the statute**: a quasi-judicial, three-member Authority decides whether attached/seized property is "involved in money-laundering", confirms the attachment through investigation and trial, and a Special Court then orders **confiscation**, whereupon the property **vests absolutely in the Central Government free of encumbrances**. The 2015/2019 amendments reallocated the confiscation order from the Authority to the **Special Court** and lengthened confirmation to 365 days — answers must use the current structure (and the DU cases refer to the older two-stage model).

1. Section 6 — the Adjudicating Authority (AA)

Feature	Position
Appointment & composition	Central Government appoints **an Adjudicating Authority** (single national body; s.6(1), substituted 2009) consisting of a **Chairperson and two other Members**; one Member each drawn with experience in **law, administration, finance or accountancy** (s.6(2) proviso).
Qualifications	Law Member: qualified for appointment as **District Judge** or Grade I Indian Legal Service (s.6(3)(a)); finance/accountancy/ administration: prescribed qualifications.
Tenure	Five-year term; age ceiling **65 years** (raised from 62 in 2009); removal only after hearing (s.6(12)); vacancies filled by Government, proceedings continue from that stage (s.6(10)); senior-most Member acts as Chairperson in vacancies/absence.
Benches	Chairperson constitutes one-/two-Member Benches; ordinary seat New Delhi plus notified seats; territorial allocation notified; transfer of Members/Benches (s.6(5)–(7)).
Procedure	**Not bound by the CPC**, but guided by **principles of natural justice**; regulates own procedure (s.6(15)); has **civil-court powers** under s.11 (discovery, attendance on oath including bank/FI/company officers, production of records, affidavits, commissions); proceedings deemed judicial for IPC ss.193/228 → **BNS ss.229/267** (s.11(3)).
Staff	Provided by the Central Government under the Chairperson's superintendence (s.7).

2. Section 8 — the adjudication procedure (write every sub-section)

Key sub-section points

- **s.8(1) notice:** minimum **30 days**; it shifts the practical burden — the holder must **indicate the sources of income, earnings or assets** with which he acquired the property and the evidence on which he relies (this is where the s.24 presumption operates); if notice names a benamidar/holder on behalf of another, that other is also served; joint property → all joint holders served.
- **s.8(2) finding:** reasoned order after reply + hearing + materials; a **third-party claimant** (not the notice recipient) must be heard to prove non-involvement (proviso) — the natural-justice anchor for attachment of family/company property.
- **s.8(3)(a) durations:** 2013 text tied confirmation to 90 days/investigation and trial of the *scheduled* offence; from **20-3-2019** the period became **365 days during investigation** plus pendency of proceedings for the *offence under this Act* before a court (or corresponding foreign court); court-stay periods are excluded. Clause (b): finality after confiscation under s.8(5)/(7), s.58B or s.60(2A).
- **s.8(4) possession:** possession after confirmation; *Vijay Madanlal* held possession before actual confiscation is the **exception, not the rule**: authorities should, as far as possible, permit enjoyment analogously to s.5(4) (leasing/running businesses etc.) unless possession is necessary; impracticable freezing deems possession for confiscation.
- **s.8(5)–(7) (substituted 2013; Special Court substituted for AA in 2015):** confiscation is ordered **by the Special Court** — (5) on conviction for ML; (6) release if ML not made out/property not involved; (7) if trial cannot be conducted because of **death** or the accused being declared a **proclaimed offender**, or for any other reason, or trial commenced but could not conclude, the Special Court decides confiscation/release on the material (this closes the "absconder loophole").
- **s.8(8) (2015):** victim restoration — on conviction the Special Court may direct restoration of confiscated property (or part) to a **claimant with a legitimate interest who suffered quantifiable loss**, acted in **good faith**, took all reasonable precautions and is not involved in ML; proviso permits consideration during trial.

Amendment trap: pre-2013 s.8(5) provided attachment **ceased** if the accused was **acquitted under the scheduled offence**. The 2013/2015 re-enactment ties confiscation/release to the **ML trial before the Special Court**, not the predicate judgment. After *Parvathi Kollur* (2022), however, a final **acquittal/discharge/quashing that destroys the scheduled-offence foundation** still collapses the ML case and attached property follows — read the current s.8 with that limitation.

3. Section 9 — vesting in the Central Government; s.10 Administrator

S.9 — ABSOLUTE VESTING FREE OF ENCUMBRANCES

Where an order of confiscation has been made under s.8(5)/(7), s.58B or s.60(2A), **all rights and title in the property vest absolutely in the Central Government, free from all encumbrances**. **Proviso:** after hearing interested persons, the Special Court/AA may declare any **encumbrance or lease-hold interest created with a view to defeating Chapter III to be void** — then vesting is free of it (the

encumbrance-holder retains a damages remedy against the creator). This defeats post-attachment mortgages, gifts, leases and benami transfers layered to shield assets.

- **s.10:** the Central Government appoints **Administrators** (officers not below Joint Secretary rank, Gazette) to **receive and manage** confiscated property under prescribed conditions and to take measures for its **disposal** after vesting.
- Compare the SAFEMA/NDPS Chapter VA administrator model and the FEOA s.12 management regime — the PMLA Administrator is the same administrative lineage.

4. Appeals — Appellate Tribunal (ss.25–26) and High Court (s.42)

Stage	Rule
Forum	**s.25:** the Appellate Tribunal constituted under the **SAFEMA, 1976 (s.12(1))** is the PML Appellate Tribunal (since 2016, the inter-connected tribunal framework; older PML-specific ss.27–34 omitted by Finance Act 2016).
Who may appeal (s.26(1)–(2))	The **Director** or **any person aggrieved** by an AA order; reporting entities aggrieved by a Director's s.13(2) penalty order.
Limitation & form (s.26(3))	**45 days** from receipt of the order copy; prescribed form/fee; condonation for sufficient cause.
Powers & speed (s.26(4)–(6); s.35)	After hearing, confirm, modify or set aside; civil-court powers; **endeavour to dispose within six months**.
Second appeal (s.42)	Any person aggrieved by the Tribunal may appeal to the **High Court within 60 days** of communication (further 60 days for sufficient cause) on **any question of law or fact** arising out of the order; venue rules in the Explanation.

CONNECTED LAW — THE ALTERNATIVE-REMEDY DISCIPLINE SEEN IN RAMARAJU

In *Ramaraju* the High Court declined to entertain merits challenges to the PAO and the 14-1-2010 confirmation order because the statute provides **two tiers of judicial review** (Tribunal + High Court) and the petition primarily assailed vires; writ courts ordinarily relegate parties to the statutory appeal (the AA/Tribunal are independent of the ED — the Chairperson is District-Judge-qualified). This mirrors the discipline in tax/SAFEMA tribunals.

5. Burden and standard of proof in adjudication

- The AA proceeds on the **preponderance of probabilities** (civil standard); once the Director shows foundational facts (property held; scheduled-offence criminality; linkage), **s.24(b) permits** and **ss.22/23 support** the presumption that the property is involved; the holder must establish lawful source by credible materials.
- Before the Special Court at the s.8(5)/criminal stage, the prosecution proves the s.3 offence **beyond reasonable doubt**; once the accused is **charged**, **s.24(a) makes the presumption mandatory** ("shall… unless the contrary is proved"). *Ramaraju* upheld this as a valid reverse onus akin to NDPS/Customs, and *Vijay Madanlal* harmonised it with Article 21 via the foundational-facts requirement.
- *Ramaraju* (Issue D, s.8(4) of the old numbering): even the possessor/acquirer who is **not the scheduled-offence accused** is liable to confiscation once the property is proved proceeds; confiscation does not require mens rea and is not barred by Article 20(1) — it is not a prosecution/punishment.

REAL EXAMPLE — THE RAMARAJU ADJUDICATION RECORD

Complaint/Application No. 38 of 2009 filed 15-9-2009 against 132 defendants; notice the same day (≥30-day window); orders on objections 20-11-2009; reasoned confirmation 14-1-2010 attaching SRSR shares and the immovable properties. The High Court rejected the attack on s.8 as "vague": the sub-sections fix the trigger, notice content, hearing, finding, confirmation, possession, post-trial confiscation/release, and the Tribunal/High Court appeals — "**bitter medicine is not bad medicine**" merely because it is stringent (paraphrasing the Court's rejection of the void-for-vagueness argument).

Part VII (cont.) — Special Courts, Cognizance and the Law of Bail (ss.40–47); Companies (s.70)

1. Constitution and jurisdiction of Special Courts

S.43 — DESIGNATION

(1) The Central Government, **in consultation with the Chief Justice of the High Court**, notifies one or more **Courts of Session as Special Courts** for trial of offences punishable under s.4, for specified areas or cases/classes of cases. **(2)** While trying a PMLA offence, the Special Court **shall also try any other offence with which the accused may, under the CrPC, be charged at the same trial** — enabling the predicate scheduled offence to be tried together.

S.44 — OFFENCES TRIABLE BY SPECIAL COURTS; COGNIZANCE

- **(1)(a):** the s.4 offence **and any scheduled offence connected with it** are triable by the Special Court of the area where the offence was committed (scheduled-offence trials begun before the Act commenced continue in that Court).
- **(1)(b):** cognizance of the s.3 offence is taken **without the accused being committed for trial, upon a complaint made by an authority authorised under the Act** (the Director/authorised officer) — **not** on a police report (the words peritting cognizance on police report were deleted in 2005). If investigation concludes that no ML is made out, the authority files a **closure report** before the Special Court (2019 proviso).
- **(1)(c):** where another court has taken cognizance of the scheduled offence, it shall, on the authorised authority's application, **commit** that case to the Special Court, which proceeds from the committal stage.
- **(1)(d):** trial follows the CrPC as applicable to a **Court of Session trial**.
- **Explanation (2019):** (i) the Special Court's jurisdiction during investigation/enquiry/trial is **not dependent on orders in the scheduled-offence case**, and trying both sets of offences is **not a joint trial**; (ii) the complaint is deemed to include complaints on **further investigation** against any accused, named or not.

- **(2):** the High Court's special bail powers under s.439 CrPC (→ **s.483 BNSS**) are preserved; "Magistrate" is read as including the Special Court.

- **s.40:** Chairperson/Members and officers are **public servants** within s.21 IPC (→ BNS s.2(15)-type definition). **s.41: no civil court jurisdiction** over matters the Act commits to the AA/Authorities.
- **s.46:** save as otherwise provided, CrPC (including bail/bond provisions) applies; the Special Court is **deemed a Court of Session**; the prosecutor is deemed a Public Prosecutor; Central Government may appoint Special Public Prosecutors; PP qualification — seven years' practice as advocate.
- **s.47:** the High Court exercises all powers under **Chapters XXIX (appeals) and XXX (reference/revision) CrPC** (→ appeal s.374→s.415 BNSS; revision s.397→s.438 BNSS) as if the Special Court were a Sessions Court.

2. Section 45 — cognizable, non-bailable and the "twin conditions"

S.45(1) CURRENT TEXT (POST-2018; EXPLANATION ADDED 2019)

"**Notwithstanding anything contained in the Code of Criminal Procedure, 1973, no person accused of an offence under this Act shall be released on bail or on his own bond unless** — (i) the Public Prosecutor has been given an **opportunity to oppose** the application; and (ii) where the PP opposes, the court is **satisfied that there are reasonable grounds for believing that he is not guilty of such offence and that he is not likely to commit any offence while on bail**."

First proviso: release may be directed for a person **under 16 years, a woman, sick or infirm**, or accused (alone or with others) of laundering a sum **less than ₹1 crore**.
Second proviso: the Special Court cannot take cognizance of a s.4 offence except on a written complaint of (i) the Director or (ii) an authorised Central/State Government officer.
s.45(1A): no police officer shall investigate a PMLA offence unless specifically authorised by the Central Government by general/special order and subject to prescribed conditions.
s.45(2): these limitations are **in addition** to Code limitations.
Explanation (2019): all offences under the Act are **cognizable and non-bailable** notwithstanding the CrPC, and authorised officers may **arrest without warrant**, subject to s.19 and this section.

The bail sequence every answer must trace

Original s.45 (2005): twin conditions applied only where the scheduled offence was punishable with **more than three years under Part A**; non-cognizable flavour at investigation.

Nikesh Tarachand Shah v. Union of India, (2018) 11 SCC 1 (judgment 23-11-2017, Chandrachud J.): struck the twin-condition classification down as **violative Articles 14 and 21** on two grounds: (i) classification based on the **predicate sentence (>3 years Part A)** had no rational nexus to the object (same laundering of proceeds attracted the conditions or not depending on the predicate's sentence — including the anomaly that laundering terrorism/Naxal proceeds could escape while laundering a 4-year property offence attracted them); (ii) the conditions did not apply to equally serious Part C cross-border offences — an arbitrary distinction between same-class offenders. The Court reaffirmed the trinity *Sanjay Chandra*, *Siddharam Satlingappa Mhetre*: personal liberty is precious; bail not jail is the rule.

Money (Amendment) Act 13 of 2018 (w.e.f. 19-4-2018): Parliament re-enacted the twin conditions for **every "offence under this Act"** (removing both defects), added the **<₹1 crore / under-16 / woman / sick-infirm carve-outs**; 2019 added the cognizable/non-bailable Explanation.

Vijay Madanlal (27-7-2022): uphold the re-enacted s.45 against the Nikesh-based challenge: economic/"grave" offences form a class apart (*Kartar Singh v. State of Punjab* on TADA; *Usmanbhai Dawoodbhai* under NDPS; *State of M.P. v. Mohanlal Jitamalji Porwal*); stringent bail is a valid regulatory response to FATF obligations, sovereignty and Directive Principles (Articles 38-39); the conditions are **not a complete bar** — they guide discretion and apply equally to **anticipatory bail** applications; the court still records "reasonable grounds" satisfaction and the vulnerable-class provisos soften rigour.

Question	Current answer
Which bail forum?	The **Special Court** (deemed Sessions); High Court retains s.439 CrPC (→ s.483 BNSS) powers (s.44(2)); ordinary magistrates cannot grant bail in the s.3 case.
Standard at the hearing	PP must be heard; if opposed, the court must be satisfied on **both** limbs: prima facie **not guilty** on reasonable grounds **and not likely to offend while on bail** — stricter than ordinary "reasonable grounds" bail.
Carve-outs	Under-16, women, sick/infirm, or laundering < ₹1 crore — Special Court may release notwithstanding the conditions.
Anticipatory bail	Available (s.438 CrPC → **s.482 BNSS**) but the twin conditions equally apply (Vijay Madanlal; the PMLA has no s.438-like bar, unlike NDPS s.37).
Default bail	CrPC s.167(2) (→ **BNSS s.187(3)**) default-bail guarantee applies save inconsistency (s.46): where the complaint is not filed within the statutory custody period, the accused is released de jure; the BNSS retains the 60/90-day outer limits and adds staggered police-custody rules.
Constitutional baseline	*P. Chidambaram v. Directorate of Enforcement* (2019): in economic offences "**bail is the rule and jail the exception**" — but gravity, flight risk, tampering and the statutory conditions govern discretion; *Gautam Kundu v. Manoj Kumar* (2015): s.45 conditions bind even s.439 applications because of the non-obstante and s.71.
Interaction with Pankaj Bansal	If arrest itself fails s.19 (no recorded reason, no written grounds, colourable exercise), custody and remand fall regardless of s.45: unlawful arrest cannot be cured by later remand; the accused is released "unless required in another case".

3. Section 45(1A) — the police-investigation bar (exam favourite; Binod Kumar)

State police cannot register/investigate the s.3 offence without Central authorisation; the ED is the statutorily designated investigator (G.S.R. 440(E) exclusive powers). Conversely, the ED **cannot investigate the scheduled offence**: the CBI/police retain the predicate. *Binod Kumar*

(2011) settled the division: overlap in allegations permits parallel probes; sharing material is obligatory; s.43(2)/s.44(1)(a) permit connected trials; only the Central Government may authorise another agency for s.3 under s.45(1A).

4. Liability of companies and individuals — s.70

- s.70(1): where an offence is committed by a **company** (includes firm/association), every person in charge/responsible to the company for conduct of its business **and the company itself** are guilty and liable.
- Consent/connivance/neglect of directors/officers attracts personal liability.
- **Explanation 1 (2013):** a nominated/identified director is liable unless he proves the offence was committed without his knowledge or that he exercised due diligence.
- **Explanation 2 (2013):** where an offence is committed by a company and it is proved committed with the consent/connivance of, or attributable to neglect of, any director/manager/secretary/officer, **such person is deemed guilty and the company may be prosecuted even without prosecuting that individual** — removing the vicarious-punishment obstacle (important for shell-company prosecutions).

PRINCIPLE CONSOLIDATION — THE OFFENDER-TRACK TEST

Before conviction under s.4 the prosecution must establish: **(1)** a scheduled offence (living predicate — not quashed/acquitted on the merits for the accused); **(2)** proceeds derived/obtained directly/indirectly; **(3)** one of the six s.3 activities ("and" = "or"); **(4)** the accused's attempt/knowing assistance/party-hood/involvement; **(5)** material-based recorded satisfaction where powers are used; **(6)** trial on the Director's complaint before the Special Court. Upon conviction: 3–7 years (up to 10 for NDPS proceeds) + unlimited fine + confiscation under s.8(5).

Part VIII — Preventive Mechanism 1: Obligations of Banking Companies, Financial Institutions and Intermediaries (Chapter IV; ss.11A–15)

The PMLA's front line is not the ED but the **reporting entities** — banks, financial institutions, intermediaries and designated businesses/professions. Through KYC (customer due diligence), record-keeping and the reporting of transactions to **FIU-IND**, the Act implements FATF Recommendations 10 (CDD), 11 (record-keeping), 20 (STR) and 22 (DNFBP), and the Basel Statement principles. Failures attract monetary penalties (s.13); good-faith compliance is protected (s.14).

1. Who is a "reporting entity"?

Category	Statutory/rules hook
Banking company / financial institution / intermediary	s.2(1)(wa) (2013); the PML (Maintenance of Records) Rules, 2005 define "banking company", "financial institution" (incl. chit funds, NBFCs, payment system operators, money-changers, insurers, capital-market intermediaries) and "intermediary" (registered with SEBI/IRDAI etc.).
Persons carrying on designated business/ profession (s.2(1)(sa), 2009)	Casinos/games of chance for cash; **Inspector-General of Registration** as notified (real-estate documents, 2019); notified real-estate agents; dealers in **precious metals/stones/high-value goods** (gold, silver, platinum, palladium, rhodium; diamond, emerald, ruby, sapphire); safekeeping/cash administration persons; other notified activities.
Professional enablers (2023 notifications)	**S.O. 2037(E), 3-5-2023**: CAs, CSs, CWAs when conducting specified financial transactions for clients — buying/ selling companies; acting as formation agent/nominee; providing registered office/business address; managing banks, money/securities; opening bank/demat/accounts; organising contributions for company operation/ management.
Virtual Digital Asset service providers	**S.O. 2038(E), 3-5-2023**: exchange between VDAs and fiat, between VDAs, transfer/safekeeping/administration of VDAs, and participation/related financial services in an issuer's offer — brought under reporting-entity KYC/STR regime (FATF "travel rule"; INTERPOL warning on bitcoin).
NGOs/others	Rules extend coverage to persons carrying on specified activities for their clients; the Central Government may exempt classes under s.12(5).

2. The four obligations (ss.11A, 12, 12A, 12AA; Rules 2005)

Duty	Section/ Rules	Content
1. Identity verification (KYC/CDD)	**s.11A** (2019) + Rule 9	Verify **clients and beneficial owners** at relationship commencement (and ongoing): (a) banking companies may use Aadhaar authentication; (b) others use offline Aadhaar; (c) passport; (d) other officially valid documents/ notified modes. Choice of mode is voluntary; no denial of service for lacking Aadhaar; core biometrics/Aadhaar numbers cannot be stored; additional safeguards may be notified.
2. Record-keeping	**s.12(1)** + Rules 3, 5	(a) maintain records of **all transactions** so as to **reconstruct individual transactions**, including transactions prescribed by nature/value; (b) furnish prescribed transaction information to the Director within prescribed time (CTR/STR/NTR flow through FIU-IND); (e) maintain identity records, account files and business correspondence. Confidentiality (s.12(2)). **Retention: transaction records 5 years from the transaction; identity/account records 5 years after the relationship ends or account closes (whichever later)** (s.12(3)–(4)).
3. Access & enhanced diligence	**s.12A** (2013/2019)	The Director may call for any 11A/12/12AA record and additional information; the entity must furnish within the specified time/manner; confidentiality otherwise maintained.
4. Enhanced due diligence (EDD)	**s.12AA** (2019)	Before each **specified transaction** — large cash withdrawal/deposit; large forex transaction; high-value imports/ remittances; other high-risk/ML/terror-financing transactions — (a) verify identity by Aadhaar/prescribed modes; (b) take additional steps to examine **ownership, financial position and sources of funds**; (c) record the purpose and intended nature of the relationship. Failure → entity **shall not allow the transaction**; suspicious patterns trigger **enhanced future monitoring**; records kept 5 years.

CONNECTED INSTRUMENT — THE PML (MAINTENANCE OF RECORDS) RULES, 2005 (FREQUENTLY AMENDED)

- Rule 3: records of transactions; Rule 4: procedure/mechanism for furnishing information; **Rule 9: client due diligence, beneficial owner thresholds, OVDs, ongoing diligence**; Rules on the Principal Officer and designated directors.

- Reports to FIU-IND: **CTR** (cash transactions above ₹10 lakh; cash deposits/withdrawals series; forged/forged-note reports); **STR** (any suspicious/"attempted" transaction, report within days of internal-suspicion formation — **no threshold**; strict confidentiality — "tipping off" prohibited); **NTR** (cross-border movements/reports); beneficial-ownership and PEP records added by 2019/2023 amendments.
- FIU-IND (set up 2004, Dept. of Revenue): the national **Financial Intelligence Unit** — Egmont Group member; receives, analyses and disseminates intelligence to ED, tax, police and foreign FIUs; shares under s.66.

3. Enforcement of the duties: ss.13–15

- **s.13(1):** the Director may inquire (suo motu or on application) into compliance; **(1A)–(1B):** direct an independent audit of specified records by a Central-panel chartered accountant at Central expense; **(2):** on finding failure by the entity, its Board-designated director or employees — (a) written warning; (b) compliance instructions; (c) periodic progress reports; (d) **monetary penalty ₹10,000 to ₹1,00,000 for each failure**, without prejudice to other PML action; order copy to the parties. Appeal lies to the Appellate Tribunal (s.26(2)).
- **s.14:** save for s.13, **no civil or criminal proceeding** lies against the reporting entity, its directors/employees for **furnishing information in good faith** under s.12(1)(b) — protects the STR regime from defamation/breach-of-secrecy claims (aligns with banking-secrecy carve-outs).
- **s.15:** Central Government, in consultation with RBI, prescribes procedure/manner for 11A/12/12AA information.

REAL EXAMPLES

(a) Cooperative banks, payment aggregators and jewellery houses have faced s.13 penalties for failing to detect/flag structuring; FIU-IND's published orders sanction banks for delayed/lump-sum CTRs and failure to file STRs on "smurfed" deposits. **(b)** Crypto platforms were covered from March/April 2023 after FATF pressure — VDA service providers must now run KYC and report suspicious trades; ED has attached crypto-derived assets in online-betting/instant-loan-app fraud cases. **(c)** In the Satyam-type invoice frauds, shell companies' bank accounts are where placement occurs; failure of branch-level CDD is precisely what the s.12 regime exists to prevent (Ramaraju: banking channels were the layering medium).

Part IX — Preventive Mechanism 2: Reciprocal Arrangements with Foreign Countries (Chapter IX, ss.55–61)

Because placement/layering/integration are often transnational (the outbound, inbound, returning and flow-through routes), the Act creates a complete **mutual legal assistance architecture**: treaties/notifications define "contracting States"; letters of request gather evidence and execute summonses, warrants, attachment and confiscation orders across borders; foreign trials trigger Indian release/confiscation; and prisoners/accused can be transferred. This Chapter implements Articles of the Vienna, Palermo and UNCAC Conventions (asset recovery) and is the domestic counterpart of extradition treaties and the FEOA, 2018.

Section	Heading	Content
s.55	Definitions	**"Contracting State"** = any country/place outside India with which arrangements exist **through treaty or otherwise**; **"identifying"** = establishing proof that property was derived from/used in an s.3 offence; **"tracing"** = determining nature, source, disposition, movement, title or ownership of property.
s.56	Agreements with foreign countries	Central Government may agree for (a) enforcing the Act; (b) exchanging information for prevention/investigation; notify implementing provisions and apply the Chapter subject to conditions/exceptions/qualifications (reciprocity).
s.57	**Letter of request to a contracting State** (outgoing MLAT request)	Notwithstanding the CrPC, on application by the IO (or a superior officer) and satisfaction that evidence may be in a contracting State, the **Special Court issues a letter of request** to the competent foreign court/authority to (i) examine facts/circumstances, (ii) take specified steps, (iii) forward evidence collected; transmitted in the prescribed manner; **evidence received is deemed collected during the investigation** (s.57(3)) — admissible under s.22(2) when duly authenticated.
s.58	Assistance to a contracting State (incoming requests)	On receipt of a foreign letter of request for investigation/evidence, the Central Government forwards it to a Special Court or an authority for execution under the Act/law.
s.58A 2013	Release after foreign acquittal	Where on closure/conclusion of a trial abroad under the corresponding law the foreign court finds ML has not taken place or the Indian property is not involved, the **Special Court, after notice, may order release** to the person entitled.
s.58B 2013	Foreign confiscation requests in death/proclamation/aborted-trial cases	If a foreign corresponding-law trial cannot proceed (death, proclaimed offender, other reason, or commenced but inconclusive), the Centre forwards the request to the Director, who moves the **Special Court to order confiscation or release** of the property — the mirror image of s.8(7).
s.59	Reciprocal service/execution and transfer of accused	Special Court may send **summons to accused/witness, arrest warrants, document-production summonses, search warrants** for service/execution in a contracting State (duplicate, prescribed channel), and must execute incoming process as if issued domestically; an arrestee from an incoming warrant is dealt with under **s.19**; searched items under ss.17–18; prisoner-transfer conditions and custody arrangements apply (s.59(3)–(4)).
s.60	Cross-border attachment/seizure/confiscation	(1) Outgoing: where property under an s.5 attachment, s.17(1A) freeze, s.8 order or s.8(5)/(6) confiscation is suspected to be in a contracting State, the Special Court issues a letter of request for execution. (2) Incoming: foreign requests for **attachment, seizure, freezing or confiscation** of Indian property derived from a corresponding-law offence are forwarded to the Director for execution under the Act. **(2A):** on a foreign conviction for corresponding-law ML, the Special Court, on the Director's application after notice, orders **confiscation to the Central Government** of involved/instrumentality property. (3)–(6): tracing/identification steps (inquiry, investigation, survey of persons, places, assets, bank books), with Chapters III and V applying mutatis mutandis. **(7):** on confiscation executed for a requesting State, the Centre may **return the property or compensate that State** by disposal on agreed terms (asset-sharing).

Section	Heading	Content
s.61	Procedure for letters of request	All incoming/outgoing letters of request, summonses and warrants are transmitted/sent in the form and manner notified by the Central Government (Central Authority channel — usually the Ministry of Home Affairs/Central Bureau of Investigation nodal function, with ED for property).

CONNECTED LAWS & INSTRUMENTS BESIDE CHAPTER IX

- **Extradition treaties/arrangements and the Extradition Act, 1962:** Chapter IX handles process/property; fugitive bodies are extradited under the 1962 Act.
- **Fugitive Economic Offenders Act, 2018:** declaration as fugitive economic offender (>₹100 crore scheduled offences — the schedule mirrors PMLA predicates), attachment/confiscation of *all* property including benami and proceeds abroad via s.60-style requests; barred from civil claims.
- **Black Money (Undisclosed Foreign Income and Assets) and Imposition of Tax Act, 2015:** s.51 wilful evasion is a Part C scheduled offence (cross-border); one-time compliance window.
- **MLATs, TIEAs and DTAAs:** bilateral mutual legal assistance treaties; Tax Information Exchange Agreements; automatic exchange (CRS) feeding FIU/ED intelligence.
- **UN Security Council Resolution 1373 / terrorism conventions:** implemented also through UAPA Chapter VI–VII (terror financing, scheduled at para 4 Part A) and the Weapons of Mass Delivery Systems Act, 2005.
- Within the Act, **s.66** permits information-sharing with specified agencies (domestic counterpart) and **s.54** requires officers of customs, police, FIU, regulators etc. to assist ED authorities.

REAL EXAMPLES

Letters of request under s.57 have been issued to the UAE, Thailand, Singapore, Switzerland, Hong Kong, UK and tax havens in the **Madhu Koda** (properties in Dubai/Thailand alleged), **Vijay Mallya / Nirav Modi / Mehul Choksi** (extradition + asset traces; FEOA declarations), **AgustaWestland** and coal-block cases. Foreign confiscation/asset-sharing under s.60 follows the UNCAC Chapter V model (return of corruption assets). Incoming requests under ss.58–60 are executed under the Act even where the foreign predicate used civil/criminal process — the "corresponding law" device.

Satellite Case-Law Digest (faculty-listed and key post-2015 decisions)

The DU cases 12–16 must be read with these decisions. They are key supplementary authorities; *Vijay Madanlal* expressly builds on each.

Case	Court / date	Holding / use in answers
Nikesh Tarachand Shah v. Union of India, (2018) 11 SCC 1	SC (Chandrachud J.), 23–11–2017	Struck down the **original twin conditions** in s.45 (applicable to predicates >3 years under Part A) as violative Articles 14/21: (i) classification by the **predicate sentence** had no nexus to bail risk; (ii) Part C cross-border money-launderers were exempted while less grave Part A offenders were covered. Mandated the legislature to treat all ML offenders uniformly. **Parliament responded by the 2018 amendment (Act 13 of 2018)**, after which *Vijay Madanlal* upheld the re-enacted conditions. Always present the sequence: **old s.45 → Nikesh (struck) → 2018 re-enactment → Vijay (upheld); Pankaj Bansal (arrest-stage safeguards)**.
Gautam Kundu v. Manoj Kumar, Assistant Director	SC, 16–12–2015 (Rose Valley chit-fund scam)	(i) PMLA being a **special law**, s.45 conditions apply even to bail sought under s.439 CrPC (s.65/s.71 override); (ii) the Director's written complaint is the cognizance trigger; (iii) s.24 burden operable once foundational facts are laid; (iv) chit-deposit fraud is a scheduled offence route through cheating (IPC 420 → BNS 318(4)). Faculty lists it as judgment II.
P. Chidambaram v. Directorate of Enforcement, (2019) 15 SCC 507 (line)	SC, 4–12–2019 (INX Media/FIPB)	Restated "**bail is the rule and jail the exception**" but held economic offences involving large sums, public integrity and flight/tampering risk justify pre-trial custody; regular bail granted later on considerations including the stage of investigation. Useful for the s.45 discretion discussion; the Court "reminded ED that bail is still rule and jail is exception".
V. Senthil Balaji v. State, SLP(Crl.) Nos. 2284–2285 of 2023	SC, 7–8–2023	Authorised officer may arrest once he records reason to believe of guilt; the **Magistrate has a bounden, distinct role** at remand: peruse the s.19 order, verify compliance and need for custody; s.167 CrPC gives effect to s.19; non-compliance enures to the arrestee and may invite s.62 action. Grounds of arrest were in fact furnished in writing — contrast *Pankaj Bansal*.
Mohammad Arif v. Directorate of Enforcement	Orissa HC, 13–7–2020	PMLA modelled on the **UK Criminal Justice Act**; two types of offences (predicate generating tainted wealth; laundering); placement–layering–integration; ML is **independent as well as continuing**; subsequent participation suffices; cognizable and non-bailable under s.45; threat to economic stability and sovereignty. Use for the definition/stages essay.
Ram Jethmalani v. Union of India, (2011) 8 SCC 1 / 9 SCC 761	SC, 4–7–2011	Black-money SIT chaired by Justice B.P. Jeevan Reddy; ordered disclosure/document production with privacy protections; soft-state and sovereignty findings; no PMLA provision construed (detailed in Part I).
Rohit Tandon / Sonbhadra Minerals-line; Ambalal Sarabhai-line third-party attachment	HC/SC	Briefly cite with *Ramaraju*: attachable property follows the taint, not the accused's name; sham/benami transactions void under s.9 proviso.
Nagani Akram Mohammad Shafi v. Union of India	Bombay HC (Borkar J.), 8–7–2025	Post-BNS: PMLA Schedule references to IPC offences are **dynamic legislation by reference**; via s.8(1) General Clauses Act, BNS equivalents (e.g. cheating BNS 318(4), forgery 338, forged record 340) continue as scheduled offences — no legal vacuum after 1–7–2024.

Part X — IPC↔BNS, CrPC↔BNSS, Evidence↔BSA Maps for the PMLA

The Bharatiya Nyaya Sanhita, 2023 (BNS), Bharatiya Nagarik Suraksha Sanhita, 2023 (BNSS) and Bharatiya Sakshya Adhiniyam, 2023 (BSA) came into force on **1 July 2024**. The PMLA Schedule and body still cite the IPC, CrPC and Evidence Act. As held in *Nagani Akram Mohammad Shafi v. Union of India* (Bombay HC, 8-7-2025), under **s.8(1) of the General Clauses Act, 1897** those references are "living/dynamic" and are read as references to the corresponding new provisions where the offence's substance is the same (BNS s.531 preserves the IPC for pre-1-7-2024 offences). The tables below map every IPC entry in Schedule Part A para 1 and every procedural/evidentiary provision cited in these notes. Mappings are verified against the official IPC–BNS comparative table.

1. Schedule Part A, Paragraph 1 — IPC, 1860 → BNS, 2023

IPC	Offence (as in Schedule)	BNS
120B	Criminal conspiracy	**s.61(2)** (s.61(1) defines the offence)
121; 121A	Waging/abetting war against Government of India; conspiracy to wage war	**ss.147; 148**
255	Counterfeiting Government stamp	**s.178** (consolidated coin/currency/stamp counterfeiting group)
257	Making/selling instrument for counterfeiting Government stamp	**s.181**
258	Sale of counterfeit Government stamp	**s.179**
259	Possession of counterfeit Government stamp	**s.180**
260	Using as genuine a Government stamp known to be counterfeit	**s.179**
302; 304	Murder; culpable homicide not amounting to murder	**s.103; s.105**
307; 308	Attempt to murder; attempt to commit culpable homicide	**s.109; s.110**
327; 329	Hurt to extort property/constrain to illegal act; grievous hurt to extort	**s.119(1); s.119(2)**
364A	Kidnapping for ransom, etc.	**s.140(2)**
384–389	Extortion group (384 punishment → 308(2); 383 definition → 308(1); 385-389 → 308(3)-(7))	**s.308(1)–(7)**
392; 393; 394	Robbery (punishment); attempt to commit robbery; voluntarily causing hurt in robbery	**s.309(4); 309(5); 309(6)** (390-391 → 309(1)-(3))
395; 396; 399; 400; 402	Dacoity; dacoity with murder; prep to commit dacoity; assembly of dacoits; assembly for dacoity	**s.310(2); 310(3); 310(4); 310(6); 310(5)**
397; 398	Robbery/dacoity with attempt to cause death/grievous hurt; with deadly weapon	**s.311; s.312** (401 → s.313)
411; 412; 413; 414	Dishonestly receiving stolen property; property stolen in dacoity; habitual dealing; assisting concealment	**s.317(2); 317(3); 317(4); 317(5)** (410 → 317(1))
417; 418; 419; 420	Cheating; cheating to conceal wrongful loss in fiduciary relation; cheating by personation; cheating & inducing delivery (the Satyam/Forgery staple)	**s.318(2); 318(3); s.319; s.318(4)** (415 → 318(1))
421; 422; 423; 424	Fraudulent removal/concealment defeating creditors; preventing debt; false-consideration deed; dishonest removal/concealment	**s.320; 321; 322; 323**
467	Forgery of valuable security, will, authority document — the Satyam predicate	**s.338**
471	Using as genuine a forged document/electronic record	**s.340**
472; 473; 475; 476	Making/possessing counterfeit seal for forgery; counterfeiting device/mark	**s.341(1); 341(2); s.342**
481; 482; 483; 484; 485; 486; 487; 488	Using false property mark; its punishment; counterfeiting another's mark / public servant's mark; instruments; selling falsely marked goods; false marks on receptacles and their punishment	**s.345(2)–(3); s.347(1)–(2); s.348; s.349; s.350(1)–(2)** (479 → 345(1); 489 → 346)
489A; 489B	Counterfeiting currency/bank notes; using forged/counterfeit notes as genuine	**s.178; s.179** (489C→180; 489D→181; 489E→182)

New BNS offences relevant to laundering predicates: organised crime (s.111), petty organised crime (s.112), terrorist acts (s.113), snatching (s.304), fraud with electronic records cluster (ss.335-344). Part C's reference to **IPC Chapter XVII (offences against property, ss.378–462)** is now read across the corresponding BNS property chapters (theft/extortion/robbery/receiving/cheating/forgery cluster, ss.303-350).

2. IPC references inside the PMLA body → BNS

PMLA hook	IPC	BNS
ss.11(3), 50(4) — deemed judicial proceedings (false evidence)	s.193	**s.229**
ss.11(3), 50(4) — intentional insult/interruption to a public servant in judicial proceeding	s.228	**s.267**
s.63 — omission to produce document	s.175	**s.210**
s.63 — refusing oath/affirmation	s.178	**s.213**
s.63 — refusing to answer a public servant	s.179	**s.214**
s.63 — refusing to sign a statement; non-attendance (s.174)	ss.180; 174	**s.215; s.208**
Binod predicates — criminal breach by public servant/banker/agent (IPC 405-409)	ss.403, 405-409	**s.314; s.316(1)–(5)**
Forgery definition/punishment for forgery (IPC 464-465)	ss.464, 465	**s.335; s.336**

PMLA hook	IPC	BNS
Conspiracy in aid of scams	s.120B	**s.61(2)**

3. CrPC, 1973 → BNSS, 2023 (procedure used in PMLA cases)

Stage	CrPC	BNSS	Note for PMLA
Arrest powers/notice of appearance; how to arrest	ss.41, 41A; 46	**ss.35 (incl. 35(3)); 43**	*Arnesh Kumar* checklists and no-routine-arrest norms inform s.19 (*Pankaj Bansal*)
Grounds of arrest; 24-hour production	ss.50, 57	**ss.47, 58**	Mirrors s.19(1)/(3) (Special Court/JM/MM)
Summons to produce documents/witnesses; search procedure & witnesses	ss.91, 100	**ss.94, 103**	Supplements ss.17–18
Police seizure of alleged stolen/ suspected property (incl. bank accounts; digital assets)	s.102	**s.106**	General seizure power; *Tapas D. Neogy*; distinct from PMLA s.17/20
FIR	s.154	**s.173**	e-FIR/Zero FIR; executive preliminary enquiry (173(3))
Power to investigate; police report to Magistrate; forwarding; directions	ss.156, 157, 158, 159	**ss.175, 176, 177, 178**	The s.5 first proviso predicate report
Witness statements; confessions; police search without warrant	ss.161, 164, 165	**ss.180, 183, 185**	AV recording safeguards; s.50 statements remain PMLA-specific
Remand / police custody / default bail	**s.167**	**s.187**	Staggered police custody (within 40/60-day windows); default bail under 187(3); 60/90-day periods unchanged — *Senthil Balaji/Pankaj Bansal* magisterial verification
Chargesheet/police report	s.173	**s.193**	s.5 first proviso anchor (90-day victim update under 193(3))
Cognizance; complaint; accused examination	ss.190, 200, 313	**ss.210, 223, 351**	s.44(1)(b) Director's complaint remains the exclusive trigger for s.3
Double jeopardy	s.300	**s.337**	Civil confiscation not barred (*Ramaraju*)
Appeal; revision	ss.374, 397	**ss.415, 438**	s.47 PMLA routes these to HC
Bail: bailable; undertrial cap; non-bailable; anticipatory; HC/ Sessions	ss.436, 436A, 437, 438, 439	**ss.478, 479, 480, 482, 483**	**Trap:** BNSS s.482 = anticipatory bail (CrPC s.482 = inherent powers). Undertrial default release now after **one-third** of the maximum sentence (s.479), replacing the old one-half rule; s.45 PMLA twin conditions continue to override (s.71) save inconsistency.
Subsequent bail terms; bonds; security; sureties	ss.440, 441, 443, 446, 447	**ss.484, 485, 487, 491, 492**	s.46 applies Code save inconsistency
Inherent powers	s.482	**s.528**	Quashing pending PML complaints post-1-7-2024

4. Indian Evidence Act, 1872 → Bharatiya Sakshya Adhiniyam, 2023

Concept	IEA	BSA	PMLA use
Confession caused by inducement/ threat	ss.24, 28, 29	**s.22**	Voluntariness of s.50 statements
Confession to police officer; discovery of fact	ss.25, 27	**s.23(1); s.23(2)**	ED officers are not police — s.50 statements admissible (*Vijay Madanlal*); the discovery proviso maps to 23(2)
Confession while in police custody	s.26	**s.24**	Limits during custody
Dying declaration; expert opinion	ss.32; 45	**ss.26; 39**	Predicate-trial evidence
Burden to prove exception; burden within special means	ss.105; 106	**ss.108; 109**	The model for s.24 reverse burden (Ramaraju/FATF)
Accomplice testimony	s.133	**s.138**	Approver/co-accused in layered scams
Electronic records admissibility/ certificate	ss.65A, 65B	**ss.61, 63**	Bank ledgers, e-wallets, crypto trails, emails

How to state the transition in exams: "The Schedule and the Act continue to cite the IPC/CrPC/Evidence Act; however, for offences and proceedings on or after 1-7-2024, the references are read dynamically into the corresponding BNS/BNSS/BSA provisions (s.8(1) General Clauses Act; *Nagani Akram Mohammad Shafi*, Bom 2025). Predicate offences committed earlier continue under the IPC/CrPC (BNS s.531). The PC Act, NDPS, UAPA, Customs, SEBI and Companies Act predicates are unaffected by this renumbering."

Prescribed & Landmark Case Law Dossiers — Detailed IRAC Analysis

CASES #25 - #29

CASE #25 DU LL.B. PRESCRIBED AUTHORITY

Binod Kumar (Sinha) v. State of Jharkhand & Ors.

(2011) 11 SCC 463 · decided 29 March 2011 · Dalveer Bhandari and Deepak Verma, JJ. · SLP(Crl.) from Jharkhand HC · Madhu Koda coal/iron-ore scam — who investigates what: CBI vs Enforcement Directorate; s.45(1A)

Facts

- The allegation was **amassing of illicit wealth running into several hundred crores** by former Jharkhand Ministers, including former Chief Minister **Madhu Koda**, by abuse of official position in the grant of **iron-ore mining leases and coal blocks** and related allotments.
- **Vigilance P.S. Case No. 09/2009, Ranchi, dated 2-7-2009** was registered on the directions of the Special Judge, Vigilance, Ranchi exercising powers under **s.156(3) CrPC**, alleging IPC ss. **409, 420, 423, 424, 465, 120B** (now BNS ss. 316, 318, 322, 323, 336/339, 61(2)) and PC Act ss. **7, 10, 11, 13(2) r/w 13(1)(d)/(e)**; it named Koda and former Ministers Kamlesh Singh, Bhanu Pratap Shah and Bandhu Tirkey; the appellant **Binod Kumar Sinha**'s involvement surfaced during investigation.
- The amounts unearthed at that stage were ≈ ₹1.5 crore in one matter and ≈ ₹6.5 crore in another — "merely the tip of the iceberg". The affidavit identified **32 companies** to investigate and investments allegedly made in **Bangkok, Dubai, Jakarta, Sweden and Libya** — a multi-State, multi-national trail.
- There was "**no clear allegation so far about… laundering** in the [PMLA] sense", but an allegation of investment of illicit money in properties/shares in India and abroad.
- The Jharkhand High Court Division Bench, recording an "area of overlap" and the need for a "systematic, scientific and analysed investigation by an expert investigating agency", **referred the matter to the CBI** and observed the Centre should consider s.45(1A) to transfer the PML investigation to the CBI; failing such an order, the CBI would **share material** suggesting ML with the ED from time to time.
- Binod Kumar (an absconder who had evaded arrest) appealed under Article 136; during notice (1-9-2010) the Supreme Court had allowed the CBI investigation to continue. The CBI chargesheet was filed **12-11-2010** (ss.120B IPC; ss.9, 13(2) r/w 13(1)(d) PC Act).

Issues (three substantial questions of law formulated by Mr. K.K. Venugopal, senior counsel for the appellant)

1. Whether the PML Act is a **self-contained code** while the statute constituting the CBI (DSPE Act, 1946) is limited — ousting CBI investigation?
2. Whether, in light of **s.45(1A) read with ss.43 and 44**, the CBI has any authority to investigate offences which are the "sole domain" of the Enforcement Directorate?
3. Whether the High Court was right in brushing aside the allegations and directing a CBI investigation (and in commenting on s.45(1A))?

Arguments for the appellant (K.K. Venugopal, learned senior counsel)

- Only ED can investigate the s.4 offence and only the Special Court can try it; the PMLA is a self-contained code enacted after the 1998 UNGASS Political Declaration and under **Article 253**; it prevails over inconsistent State enactments (*Maganbhai Ishwarbhai Patel*; *S. Jagannath*).
- The DSPE Act limits the CBI (a police agency) territorially to Delhi and UTs and to consent/notification areas; the CBI has neither the multi-disciplinary composition (police, revenue, tax, specialists) nor the international tracing powers PMLA gives ED through **s.54 (assistance)**, s.55(c) and Chapter IX; reliance on *CBI v. State of Rajasthan*, (1996) 9 SCC 735 (FERA a complete code; police not clothed with authority), and *ED v. M. Samba Siva Rao*, (2000) 5 SCC 431.
- Convicting under s.4 requires ED to first establish the scheduled offence, then the property derived, then its projection as untainted — a special procedure CBI cannot operate; s.43/44 trial provisions and the second proviso to s.45(1) (written complaint) were said to reserve the whole field for ED.
- Prayer: quash the CBI investigation of Vigilance P.S. 09/2009 and release the appellant from "illegal detention".

Arguments for the respondents (H.P. Raval, ASG for CBI; written submissions of CBI and ED)

- Money-laundering is a **standalone offence**, and its investigation alone is ED's exclusive domain (subject to Central authorisation under s.45(1A)); **nothing in the Act empowers ED to investigate the scheduled offences** — IPC, PC Act or other predicate crimes.
- s.5(1) attachment rests on reason to believe a person is **in possession of proceeds** — not a concluded investigation; the second proviso to s.45(1) bars Special Court *cognizance* only of the s.4 offence absent a written complaint — it does not regulate investigation of predicates.
- **Trial ≠ investigation:** s.44 (Special Court trying the connected scheduled offence) and s.43(2) (joint charge) deal with *trial*, not investigation; no provision restricts the competent investigating agency of the predicate offence.
- The CBI was "investigating… these offences alone and is not investigating any offence under the PML Act"; the High Court had recorded cogent reasons (multi-State/multi-national scale, tip-of-iceberg); the appellant was an absconder disentitled to discretionary relief; a chargesheet had already been filed and further chargesheets may follow.

DECISION

The Court (Bhandari J., with Verma J.) held "**no interference is called for**": the appeal was **devoid of merit and dismissed**, with parties bearing their own costs. The CBI could continue investigating the IPC/PC Act scheduled offences; ED retained exclusive investigation of the s.3/s.4 money-laundering offence (subject to s.45(1A) Central authorisation); the overlap "cannot be allowed to form a tool in the hands of the accused to scuttle the investigation"; sharing of material between CBI and ED was endorsed. (The judgment also reproduces the then ss.2(p), 2(ra), 2(u), 2(x), 2(y), 3 and 4 — with a ₹5 lakh fine ceiling and ₹30-lakh Part B threshold — a useful snapshot of the **pre-2013/2015 law**.)

PRINCIPLES EVOLVED

1. **Two-track jurisdiction:** the ordinary agency (police/CBI/NIA/revenue agency) investigates/tries the **scheduled offence**; the **ED alone** investigates the **money-laundering offence** and the property tracks, unless the Central Government specifically authorises another agency under **s.45(1A)**.
2. **Overlap is not a bar:** where allegations overlap (illicit wealth simultaneously evidencing corruption and laundering), parallel proceedings must proceed — overlap cannot be exploited to stall investigation; agencies must **share material** (now reinforced by s.66(2)).

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3. The PMLA is a **special, self-contained code** enacted under Article 253; its machinery (s.54 assistance; Chapter IX cross-border powers) is specialist and national/multi-national in reach.
4. An **absconder** will ordinarily be denied discretionary relief (Article 136).
5. Jurisdiction of the High Court under Articles 226/227 and CrPC s.156(3) to refer a grave, complex economic scam to the CBI is not displaced merely because the facts may later support an ECIR.

CONNECTED LAW & DEVELOPMENTS

(i) DSPE Act, 1946 ss.3–6 (CBI constitution; consent jurisdictions); (ii) s.45(1A) PMLA and the G.S.R. 440(E) empowerment; (iii) s.43(2) joint trial; s.44(1)(c) committal of the predicate to the Special Court; (iv) the Central Bureau of Investigation Act debates and the *Vineet Narain* statutory-status directives; (v) Madhu Koda was later convicted (2017 coal-allotment case) and the ED attached assets across India and overseas through s.57 letters of request — demonstrating the division of labour in practice. Note the post-2015 figures: Part B threshold is now ₹1 crore, PAO 180 days, and ss.17/18 searches no longer await a predicate FIR/chargesheet.

CASE #26 DU LL.B. PRESCRIBED AUTHORITY

B. Rama Raju v. Union of India, Ministry of Finance, Department of Revenue & Ors.

W.P. Nos. 10765, 10769 & 23166 of 2010 · decided 4 March 2011 · (2011) 164 Comp Cas 149 (AP) · Goda Raghuram and R. Kantha Rao, JJ. (judgment by Raghuram J.) · constitutional validity of ss.2(u), 5, 8, 23, 24; third-party property; parallel civil/criminal proceedings; no mens rea for confiscation

Facts

- **The Satyam fraud:** B. Ramalinga Raju's disclosure of 7 January 2009 revealed inflated revenues, fictitious bank deposits/invoices and diversion of Satyam funds into family-controlled entities, including the private investment company **M/s SRSR Holdings Ltd.** (predicates: cheating/forgery — IPC s.467 etc. → BNS ss.338, 340, 318).
- **18–8–2009:** Deputy Director, ED, Hyderabad passed **Provisional Attachment Order No. 1/09 in ECIR No. 01.H20/2009 under s.5**, attaching the SRSR shares in Satyam and **287 immovable properties** of various companies/persons; Raju's properties at Serial Nos. 246–251.
- **15–9–2009:** Application/Complaint No. 38 of 2009 filed before the Adjudicating Authority against **132 defendants** (Raju = defendant 8); notices issued the same day (≥30-day show cause).
- Objectors challenged jurisdiction; the AA orally disposed of objections on **20–11–2009** (copy 24–1–2010); after interregnum writ litigation (orders 1–12–2009, 7–12–2009, 10–12–2009), Raju filed his response on 20–12–2009 and was heard 23–12–2009.
- **14–1–2010:** AA **confirmed the attachment**, directing continuation during pendency of the scheduled-offence trial until finality, and directed **handing over of possession** forthwith to the ED.
- Writs challenged the vires of **ss.5(1), 8(1)–(4), 23 and 24** (Articles 14, 20, 21, 300A) and the PAO/confirmation/possession orders. The counter-affidavit (ED counter, para 12) furnished the classic exposition of the three stages and five fund flows (Part II above) and the **two parallel actions** (prosecution under s.4 vs attachment under s.5).

Six issues framed

1. **Issue A:** Is property owned/possessed by a person *other than* a person charged with the scheduled offence liable to attachment/confiscation? Is s.2(1)(u) invalid for breadth?
2. **Issue B:** Does the **second proviso to s.5(1)** (inserted w.e.f. 6–3–2009) apply to property acquired/proceedings arising before it commenced — and is it invalid as retrospective penalisation?
3. **Issue C:** Is s.8 void for vagueness, incoherence of onus/standard of proof, ambiguous nexus criteria, and exclusion of mens rea?
4. **Issue D:** Is s.8(4) invalid for deprivation of possession of immovable property *before conviction*?
5. **Issue E:** Is the s.23 inter-connected-transactions presumption unreasonably disproportionate?
6. **Issue F:** Is the s.24 reverse burden arbitrary; does it apply only to the s.3 trial, not Chapter III proceedings, and never against a person not accused of s.3?

Arguments of the petitioners (summary)

- **s.2(u):** catches property in the hands of persons with no knowledge or nexus to the crime — grossly unreasonable, violates Articles 14/20(1)/21/300A; the Vienna Convention (Art. 3, conversion/concealment/use requires knowledge) limits confiscation to knowing handlers.
- **s.5:** vague and internally inconsistent ("such property" of a charged person in the body vs "property of any person" in the second proviso); "involved in money-laundering" defines neither nature nor degree of involvement; no guidelines. The second proviso, if applied to pre-2009 property/offences, retrospectively inflicts penal consequences (Articles 14, 20, 300A).
- **s.8:** no clear standard (civil or criminal?), no defined nexus test, no mens rea/knowledge requirement; s.8(4) permits dispossession of immovables before guilt is concluded — unconstitutional given confiscation's "penal" character.
- **ss.23/24:** the inter-connected-transactions presumption and the shifted burden punish the innocent; s.24 at most applies at a s.3 criminal trial and only to the accused.
- Authorities: US void-for-vagueness line (Thornhill; Harriss; Papachristou; Grayned); Canadian *Nova Scotia Pharmaceutical*; Indian *Romesh Thapar*, *A.K. Roy*, *Kartar Singh*, *Khemka & Co.*, *A.X. Roy*; Vienna Convention Art. 3; Palermo Convention (UNGA Res. 55/25).

Arguments of the respondents (ED/Union)

- The Act implements the 1988 Vienna Convention, FATF recommendations and the 1998 Political Declaration under Article 253; it is a **special, self-contained code with non-obstante override (s.71)**.
- ML is a "complex web" through placement/layering/integration and five directional flows; proceeds leave the original malfeasant's hands by design; attachment/confiscation **run with the property**, not the conviction.
- Attachment/confiscation are **civil, preventive proceedings**, not punishment: Article 20(1) is not attracted; knowledge/mens rea is irrelevant to in-rem confiscation (line of *Amratlal Prajivandas* on SAFEMA; *Heena Kausar* under NDPS); the safeguards (material, recorded reasons, sealed envelope, 30-day complaint, 30-day notice, hearing, reasoned order, s.5(4) possession, Tribunal and High Court appeals) meet Articles 14/21/300A.

- The second proviso is **clarificatory/remedial** (preventive, not punitive) and can apply to existing attachments; s.23 is a rebuttable rule of evidence (*Izhar Ahmad*; Best on Evidence) reflecting the reality of layered transactions; s.24 places the source-of-means burden on the accused who alone knows his income (s.106 Evidence Act-style).
- Economic legislation attracts **diffused/deferential scrutiny** (*R.K. Garg v. UOI*, (1981) 4 SCC 675); civil/administrative statutes may be drafted with less precision than criminal ones.

DECISION — ALL SIX ISSUES ANSWERED AGAINST THE PETITIONERS; WRITS DISMISSED (MERITS LEFT TO STATUTORY APPEALS)

(i) Issue A: property of **any person** — charged or not — is attachable/confiscatable if it is proceeds of crime/involved in laundering; s.2(u) is valid (third parties get notices/hearing under the s.8 provisos). **(ii) Issue B:** the second proviso **applies even to property acquired before 6-3-2009**; it is clarificatory, procedural and preventive — not penal — so no unconstitutional retrospectivity. **(iii) Issues C & D:** s.8 is not vague; it fixes the trigger, notice, source-of-income disclosure, hearing, reasoned confirmation and the nexus test; **mens rea/knowledge is not required for civil confiscation**; s.8(4) possession orders are constitutionally valid subject to the balance-safeguards. **(iv) Issue E:** s.23 is a valid **rebuttable presumption** (*presumptio pro tantum*) — a rule of evidence for inter-connected transactions (paras 111–124). **(v) Issue F:** s.24 applies to the accused both at the **s.3 trial and in Chapter III proceedings**; it **never** places the burden on a non-accused — against a non-accused connected through inter-connected transactions, the **s.23** presumption (not s.24) operates.

PRINCIPLES EVOLVED

1. **In-rem character:** attachment and confiscation attach to tainted property whoever holds it; criminal conviction is not the foundation of civil confiscation; third-party/benami holdings are reached, with natural-justice notices.
2. **No mens rea for the property track;** the s.8(1) notice obliges the holder to disclose the sources of income, earnings or assets — the practical reverse onus.
3. **Two independent parallel actions** (counter para 12(F)): s.4 prosecution after complaint/trial, and s.5–s.8 attachment/confiscation; neither is barred by the other — no double jeopardy against civil confiscation.
4. Procedural/amending provisos aiding prevention (pre-police-report attachment) are **clarificatory and retrospective** in operation because they do not punish.
5. The legislative definitions in ss.2(p)/2(u)/2(v) interlock to cover concealment, possession, layering and integration; **s.23 presumption — rebuttable; s.24 burden — on the accused only**.
6. Economic legislation enjoys constitutionality-deference; treaties (Vienna/Palermo) guide construction of ambiguous or void municipal law but do not override it.
7. "**Bitter medicine is not bad medicine**": stringent remedies are proportionate where the mischief (placement-layering-integration across jurisdictions) is sophisticated and sovereignty-threatening.

Superseded details (exam caveat): Ramaraju was decided when PAO was for 150 days, the s.5(1) body referred to a person "charged" of the scheduled offence, and the second proviso referenced "clause (b)". The 2013 substitution recast s.5 (180 days; "possession of proceeds") and s.8 (Special Court confiscation under 2015; 365-day confirmation from 2019); the second-proviso reference was corrected in 2015. *Vijay Madanlal* (2022) re-validated the framework on the amended text; *Pankaj Bansal* (2024) tightened the arrest, not the attachment, track. Always cite Ramaraju for *validity principles*, not current time-limits.

CASE #27 DU LL.B. PRESCRIBED AUTHORITY

Vijay Madanlal Choudhary & Ors. v. Union of India & Ors.

SLP(Crl.) No. 4634 of 2014 and batch · decided 27 July 2022 · (2022) SCC OnLine SC 950 · A.M. Khanwilkar, Dinesh Maheshwari and C.T. Ravi Kumar, JJ. · the "PMLA Magna Carta": "and"="or"; standalone/continuing offence; pre-FIR attachment and search; s.8(4) possession; ss.24/45 valid; ECIR internal; ED officers not police; review petitions part-heard

Facts and procedural setting

- A batch of writ petitions, SLPs and bail matters (originating from the 2014 Special Director/CBI-type disputes and later High Court bail decisions) challenged (i) the **PMLA amendments of 2013, 2015, 2018 and 2019** — several moved as Money Bills; (ii) the ED's **ECIR procedure**, summons under s.50, search/seizure under ss.16–18, arrest under s.19, attachment under s.5, adjudication under s.8, the reverse burden under s.24 and the twin bail conditions under amended s.45 — as violating Articles 14, 20 and 21 and the CrPC scheme.
- The Union's case (led by the Solicitor General) was built on the **FATF Mutual Evaluation** process: India's 2010 MER deficiencies, the commitments remedied by the 2012/2013 amendments (including the then Government's assurance that Indian courts would read "and" as "or" where necessary, citing *Sanjay Dutt*), the 8th follow-up, and the 2015/2018/2019 strengthening.

Issues (consolidated)

1. Must s.3 be read conjunctively — requiring both handling of proceeds AND projection/claiming as untainted — and is the 2019 Explanation an unconstitutional enlargement of the offence?
2. Is the s.3 offence standalone/independent; can it proceed without registration/chargesheet of the scheduled offence; is it a continuing offence with retrospective reach?
3. Is the second proviso to s.5 (pre-police-report attachment) valid; are s.5 and s.8(3)/(4) (180-day/365-day regimes; possession before confiscation) constitutional?
4. Was the 2019 deletion of the ss.17/18 provisos (search without predicate FIR/report) valid; are the inbuilt safeguards enough?
5. Is s.24 reverse burden constitutional, and on what foundational facts?
6. Is the re-enacted s.45 twin-conditions bail regime (2018) valid after *Nikesh Tarachand Shah*; does it cover anticipatory bail?
7. Must the ED register and supply an FIR-like ECIR; are s.50 statements (confessions to ED officers) barred by s.25 Evidence Act?
8. Money Bill challenge to the amendments.

Arguments of the private parties (Kapil Sibal, Abhishek Singhvi, and other senior counsel)

- The ECIR process is **opaque and arbitrary**: an accused can be summoned and his statements used without ever knowing the allegations; CrPC Chapter XII safeguards (registration, s.41A notice, witness/accused distinction under ss.41A/160) are ignored; there is no judicial check at initiation (Art. 14/21).
- s.3 requires a definitive determination and prima facie quantification that proceeds were actually generated and **projected/claimed as untainted**; "and" cannot be read as "or"; the 2019 Explanation cannot enlarge a penal section (void as larger punishment/retrospective); Vienna Convention Art. 3 targets conversion/transfer for concealment, not mere possession/use.

- The second proviso to s.5 de-links attachment from the scheduled offence and is invoked even before the predicate is registered — enabling attachment on suspicion; s.8(4) dispossesses immovable property before trial; the 365-day continuation is disproportionate.
- Deletion of the ss.17/18 provisos permits warrantless, FIR-less searches by revenue officers, unlike CrPC s.165 safeguards (which bind even police stations); s.50 coerces self-incriminating statements.
- s.24 forces the accused to prove innocence; s.45 twin conditions amount to **incarceration before conviction**, contrary to *Nikesh Tarachand Shah*, the bail trinity (*Sanjay Chandra*, *Mhetre*, *Siddharam*) and Article 21; anticipatory bail is rendered illusory.
- The ED registers ECIRs mechanically on receipt of FIRs, collapsing the distinct offences; Money Bill amendments violate Articles 110/107.

Arguments of the Union / respondents

- PMLA is a **hybrid special statute** — regulatory, preventive (civil confiscation) and penal — implementing FATF/Vienna/Palermo/UNCAC obligations under Article 253; economic offences are a **class apart** (*Mohanlal Jitamalji Porwal*; *Kartar Singh* on TADA; *Usmanbhai* under NDPS); economic legislation merits deferential scrutiny (*R.K. Garg*).
- "And" between the activities is disjunctive in effect — possession by one person and projection by another would otherwise both escape (the *Sanjay Dutt* logic); the Explanation is **clarificatory**; ML is independent of the predicate trial yet dependent on existence of scheduled criminality; it is a **continuing offence** as long as proceeds are enjoyed.
- Attachment is a **civil, preventive, provisional** measure, not punishment (Article 20 inapplicable): safeguards include rank (Director/Deputy Director), material in possession, **written reasons**, sealed-envelope to the three-member AA (chaired by a District-Judge-qualified member), 30-day complaint, 30-day notice, reasoned confirmation, Tribunal (45-day appeal, 6-month target) and High Court appeal; s.5(4) preserves enjoyment; the second proviso is paired with **s.66(2) contemporaneous intimation** to the predicate agency.
- Search powers exceed CrPC protection in stringency: only senior officers may authorise, written reasons, sealed-envelope transmission, 30-day retention application with notice (ss.17(4), 20), witnesses and the s.18 Magistrate/Gazetted Officer route; vexatious search is punishable (s.62).
- s.24 mirrors s.106 Evidence Act (facts within special knowledge), NDPS s.35/54 and Customs precedents; it triggers only after foundational facts (scheduled offence, proceeds, linkage) and is rebuttable; s.23 is rebuttable inter-connected-transactions presumption.
- s.45's twin conditions cured the two *Nikesh* defects by covering **all** offences under the Act; vulnerable classes and <₹1 crore cases are carved out; conditions are not a complete bar; statistics demonstrated calibrated use (≈2,086 ECIRs in five years vs 33 lakh FIRs; ₹19,111.20 cr attached of ₹22,585.83 cr fraud; terror/Naxal data).
- The ECIR is an internal document (like a police case-diary/ad hoc report); non-supply is cured by supply of grounds of arrest and the Special Court's remand scrutiny; ED officers are **not police** (no FIR powers; cognizance on complaint), so s.25 Evidence Act does not bar s.50 statements.

DECISION — THE 2013-2019 AMENDMENTS AND ED PROCEDURE UPHELD; WRITS/DISPOSED OF IN TERMS OF THE DECLARATION

(1) s.3 — "and" = "or": each activity (concealment, possession, acquisition, use, projection, claiming) is independently punishable; the possessor and the projector cannot both escape; the 2019 Explanation is **clarificatory, not retroactive punishment**. **(2) Standalone but dependent + continuing:** s.3 is an independent offence triable irrespective of the fate/pace of the predicate trial, and continues until enjoyment ceases; but authorities cannot act on a **notional basis** — scheduled criminality must be registered/enquired/tried, and final discharge/acquittal/quashing **destroys the ML case and linked property claims** (the ratio later applied in *Parvathi Kollur*). **(3) s.5:** the second proviso permits immediate attachment before the s.173 report with contemporaneous s.66(2) information to the predicate agency; the 2015 textual correction was valid; civil character upheld. **(4) s.8:** the AA regime valid; under s.8(4), **possession before confiscation is the exception, not the rule**, with the s.5(4) enjoyment principle extended until confiscation wherever practicable. **(5) ss.17/18:** deletion of the FIR/report provisos valid; inbuilt safeguards adequate (*Baldev Singh* on searches). **(6) s.24:** valid after the three foundational facts; "shall" for the charged accused, "may" for others; standards differ (preponderance before AA; BRD before Special Court). **(7) s.45:** the 2018 twin conditions are constitutional for all PMLA offences, including at the anticipatory-bail stage; not an absolute bar; Special Court remains satisfied on reasonable grounds. **(8) ECIR:** internal, non-statutory, need not be supplied; **grounds of arrest must be supplied** and the Special Court may peruse the material at remand. **(9) s.50 statements:** ED officers are not police officers; statements are not excluded by s.25 Evidence Act, subject to voluntariness safeguards. The **Money Bill** question was left to the pending larger-benatch reference (*Rojer Mathew* line).

PRINCIPLES EVOLVED (EXAM-STANDARD LIST)

1. **Hybrid statute doctrine:** preventive-civil confiscation and penal prosecution coexist; each track carries its own forum, standard and safeguards; CrPC applies only insofar as consistent (ss.46, 65, 71).
2. **Disjunctive activities:** one or more of the six s.3 activities completes the offence — projection as untainted is not essential; conspiracy/assistance/attempt "directly or indirectly" suffices.
3. **Backbone limitation:** no PML action on a notional scheduled offence; final failure of the predicate for the accused extinguishes ML against him and his property-linked claimants (para 187(d)).
4. **Pre-FIR powers:** attachment (s.5 second proviso) and search (ss.17/18 post-2019) may precede the predicate report, paired with sealed-envelope oversight and s.66(2) intimation.
5. **Reverse burden sequencing:** foundational facts first — then presumption; civil preponderance vs criminal BRD.
6. **Liberty baseline:** ECIR need not be supplied but grounds of arrest must be; 24-hour production; Special Court independently examines remand material; non-bailable status valid with carve-outs.
7. **Soft-state/sovereignty rationale:** ML funds terror, Naxalism, corruption and capital flight; stringent laws implement Directive Principles (Arts. 38, 39) and international obligations.
8. Bail conditions mirror/sit beside TADA, NDPS, Companies Act s.447-type special laws; "bail is rule, jail exception" operates *through* the statutory conditions, not outside them.

Status note for exams (as of 2026): review petitions against the judgment (8/9 petitions, incl. Karti P. Chidambaram) were ordered to be heard in open court and remained **part-heard** before a three-Judge Bench (Surya Kant, C.T. Ravikumar/Ujjal Bhuyan/N.K. Singh JJ.) through 2024-2025, with a proposed two-stage hearing (maintainability first); the Money Bill question additionally awaits the larger-

benatch verdict. Until reviewed, *Vijay Madanlal* is the binding law. Note also that *Pankaj Bansal* (2024) clarified — without overruling Vijay — that the ECIR non-supply ruling does **not** excuse failure to furnish the **written grounds of arrest**.

CASE #28 DU LL.B. PRESCRIBED AUTHORITY

Parvathi Kollur & Anr. v. State by Directorate of Enforcement

SLP(Crl.) No. 4258 of 2021 · decided 2022 · Dinesh Maheshwari and Krishna Murari, JJ. · acquittal in the predicate offence destroys the money-laundering case — the "backbone" rule; family members discharged

Facts

- Accused No.1, a **Deputy Revenue Officer**, was alleged to have amassed assets disproportionate to his known sources to the tune of **₹42,25,859**; Lokayukta Police registered a case under **ss.13(1)(e) r/w 13(2), PC Act, 1988**.
- During the trial, the ED registered a PMLA case against accused No.1 and his **wife (Parvathi Kollur) and son** (the appellants), and filed a complaint on **8-6-2016** before the Special Court under s.3.
- The Special Judge (Lokayukta) **acquitted accused No.1**, finding the prosecution evidence insufficient. Accused No.1 and the appellants then sought discharge in the PMLA case under **s.277 CrPC**; before the application was decided, accused No.1 **died on 8-5-2018**.
- By order **4-1-2019**, the trial court **discharged the appellants**, holding that occurrence of a scheduled offence is the basic condition for "proceeds of crime" and its commission is a pre-condition to PML proceedings.
- The Karnataka High Court (17-12-2020) allowed ED's revision and set aside discharge, finding the complaint material prima facie sufficient.

Issue

Whether a money-laundering prosecution against family members can survive the **acquittal of the sole predicate accused** (and his death), when the family members were not even accused of the scheduled offence.

Arguments

- **Appellants:** the position is settled by the three-Judge Bench in *Vijay Madanlal*, para 187(d): ML is dependent on illegal gain from criminal activity relating to a scheduled offence; authorities cannot prosecute on a notional basis; on **final discharge/acquittal/quashing**, there can be no ML against the person or anyone claiming property through him linked to that scheduled offence.
- **Respondent (ASG):** with "all fairness… does not dispute the above position of law".

DECISION

Appeal **allowed**; the High Court order set aside and the trial court's discharge order of 4-1-2019 restored; pending applications disposed of. The predicate accused had been acquitted and the appellants were never accused of any scheduled offence — the foundation for s.3 and for "proceeds of crime" did not exist.

PRINCIPLE EVOLVED

The scheduled offence is the backbone of the money-laundering offence and the property track. A final acquittal/discharge/quashing that negates the scheduled criminality for an accused collapses (i) the s.3 prosecution against him; (ii) prosecutions against persons claiming only *through him* (e.g. spouse/child recipients); and (iii) attachment/confiscation of property linked to that stated scheduled offence. Distinguish: this concerns *final* merits-based failure of the predicate; it does not bar PML proceedings where the predicate is pending, where the accused absconds/proceeds under s.8(7), or where the property derives from another independent scheduled offence. Read with *Vijay Madanlal* para 187(d) (no notional basis) and the current s.8(5)-(7) scheme.

CONNECTED-LAW NOTE

The discharge application was under **s.277 CrPC** (trial-stage discharge of an accused absent in pending/abated cases); under the BNSS, 2023 (in force 1-7-2024), the corresponding trial-chapter discharge provisions apply; the ED complaint route is s.44(1)(b) read with s.200 CrPC (→ s.223 BNSS), as used here. Accused No.1's death would independently attract s.8(7)-type orders for property and abatement of criminal proceedings under s.394 CrPC (→ BNSS equivalent).

CASE #29 DU LL.B. PRESCRIBED AUTHORITY

Pankaj Bansal & Anr. v. Union of India & Ors.

(2024) 7 SCC 576 · P.V. Sanjay Kumar and A.S. Bopanna, JJ. (judgment by Sanjay Kumar J.) · s.19 arrest: genuine recorded "reason to believe"; evasive answers are no ground; remand cannot cure illegal arrest; written grounds of arrest to be furnished as a matter of course (Form III); colourable exercise by ED condemned; Moin Akhtar Qureshi and Chhagan Bhujbal overruled

Facts and chronology

- **FIR No. 0006 dated 17-4-2023**, Anti-Corruption Bureau, Panchkula, under PC Act ss.7, 8, 11, 13 r/w s.120B IPC (→ BNS s.61(2)), named (i) **Sudhir Parmar**, then Special Judge (CBI/ED), Panchkula; (ii) his nephew Ajay Parmar (Dy. Manager-Legal, M3M); (iii) **Roop Bansal** (M3M promoter); and unknown persons — alleged judicial favouritism towards IREO's Lalit Goyal and the M3M owners.
- **First ECIR GNZO/10/2021 (15-6-2021):** IREO Group/Lalit Goyal, based on 13 (later 30) home-buyer FIRs; M3M and the Bansals were not named. Prosecution Complaint COMA/01/2022 filed 14-1-2022 against seven accused — again without them.
- ED summons to M3M India (12-5-2023); raids/seizures on 1-6-2023; **Roop Bansal arrested 8-6-2023** in the first ECIR.
- Pankaj and Basant Bansal obtained **interim anticipatory bail protection from the Delhi High Court on 9-6-2023** in respect of the first ECIR; the High Court recorded that they were neither named nor summoned nor implicated in any scheduled offence. (ED's SLPs against that order were pending.)
- **Second ECIR GNZO/17/2023 recorded on 13-6-2023** on the basis of the 17-4-2023 FIR — **four days after** the Delhi High Court protection. Yet at 6:15 p.m. on 13-6-2023, summons (ostensibly under the *first* ECIR) called both men to Rajokri ED office at 11:00 a.m. on 14-6-2023.
- On 14 June, while complying, Pankaj was served a **fresh summons at 4:52 p.m.** for 5:00 p.m. before another IO (second ECIR); **Basant Bansal was arrested at 6:00 p.m. and Pankaj Bansal at 10:30 p.m.** under s.19(1).

- Produced at Panchkula, the Vacation Judge **remanded them to 5 days' ED custody on 15-6-2023** without recording independent satisfaction with the s.19 grounds; extended 20-6-2023; judicial custody from 26-6-2023. The Punjab & Haryana High Court dismissed their writs (20/26-7-2023), holding s.19 validity was settled by *Vijay Madanlal* despite the pending review.
- ED's stated arrest reasons: the Bansals were **evasive/non-cooperative** in questioning under s.50 summons and did not divulge information; written grounds were only read out/allowed to be read (Basant allegedly refused signature).

Issues

1. What must s.19(1) record before arrest, and may non-cooperation/evasive answers justify arrest?
2. Must the Magistrate/Special Court independently verify s.19 compliance before remand; can remand validate an unlawful arrest?
3. Must the **written grounds of arrest** be physically furnished to the arrestee (as against merely read out), and what is the status of the contrary High Court rulings?
4. Were these arrests a colourable exercise/fraud on power?

Arguments (resumed)

- **Arrestees:** s.19 requires a genuine, pre-arrest, recorded reason to believe of guilt on material; they were summoned under one ECIR and arrested under another — a retaliatory response to anticipatory bail; the second ECIR (recorded months after the FIR) was created to bypass the Delhi High Court and was suppressed there; the remand court applied no mind; mere evasion/non-confession cannot ground arrest (Article 20(3)); oral reading of grounds violates Article 22(1) and the Arrest Rules.
- **ED/Union:** s.19 was upheld in *Vijay Madanlal*; the officers had formed satisfaction of non-cooperation and evasion; Form III was followed and grounds were explained; the remand orders were proper; *Moin Akhtar Qureshi* and *Chhagan Bhujbal* held that written service is not mandatory.

DECISION — APPEALS ALLOWED; ARREST/REMAND ORDERS SET ASIDE; RELEASE FORTHWITH UNLESS REQUIRED IN ANOTHER CASE

(a) Magistrate's duty (paras 15–18): following *V. Senthil Balaji v. State*, 7–8–2023, the court remanding an ED arrestee under s.167 CrPC must **independently peruse the s.19(1) recorded reasons and verify compliance**; s.167 gives effect to s.19; non-compliance **enures to the benefit of the arrestee** and may trigger s.62 PMLA action. Per *In re Madhu Limaye*, (1969) 1 SCC 292 (3-Judge Bench), a remand order **cannot cure an arrest violating Article 22(1)**. The Panchkula remand orders reflected "total failure" of this duty.

(b) Evasion is not a ground (paras 24–25): s.19 requires reason to believe the person is **guilty of an offence**, formed within the statutory time; mere **non-cooperation with a s.50 summons** is insufficient; there is no duty to confess — Article 20(3), *Santosh Kumar Mehmooda (Fafat) v. State of Maharashtra*, (2017) 9 SCC 714 (custodial interrogation is not for obtaining confession; non-confession is not non-cooperation); absence during searches, when presence was not insisted on, cannot be held against the person. Statutory authorities must act within the four corners of the statute (*Devinder Singh v. State of Punjab*, (2008) 1 SCC 728).

(c) Written grounds mandatory (paras 26–35): s.19 uses "inform"; the **Arrest Rules, 2005, Rule 6 and Form III** prescribe a signed arrest order addressed to the arrestee recording the grounds. Henceforth a **copy of the written grounds must be furnished as a matter of course and without exception**, under acknowledgment. Two reasons: (i) avoiding swearing contests between the arrestee and officer (the Basant Bansal signature dispute proved the point; non-compliance mandates release per *Senthil Balaji*); (ii) enabling legal advice and an effective s.45 bail application — a newly arrested person is not in a calm state and cannot remember voluminous grounds read aloud (the Senthil Balaji grounds ran six pages). Sensitive material may be **redacted**; grounds are personal to the arrestee and ordinarily risk no leakage. *Moin Akhtar Qureshi v. UOI* (Del) and *Chhagan Chandrakant Bhujbal v. UOI* (Bom) are **overruled** as not laying down the correct law.

(d) Colourable exercise (paras 20–24): though mala fides was not expressly pleaded, the chronology showed the ED **"summoning them on one pretext and arresting them on another"**; the second ECIR was recorded immediately after interim protection despite the FIR being two months old, without credible time for a genuine opinion, and its existence was suppressed from the Delhi High Court; the ED's Written Submissions claimed May 2023 inquiries absent from its replies — conduct that "reeks of arbitrary exercise of power". Applying *State of Punjab v. Gurdial Singh*, (1980) 2 SCC 471; *Collector, Allahabad v. Raja Ram Jaiswal*, (1985) 3 SCC 1; *Ravi Yashwant Bhoir v. Collector*, (2012) 4 SCC 407, the arrests were **fraud on power** — power used for an end foreign to the statute.

PRINCIPLES EVOLVED (POST-2024 ARREST CHECKLIST)

1. **Pre-arrest material & recorded satisfaction:** the authorised officer must have material and must genuinely record reason to believe of **guilt** (not mere suspicion/non-cooperation) before arrest; the timing and quality of that opinion are justiciable.
2. **No arrest for silence:** evasive/unsatisfactory answers, refusal to confess, or absence at a search cannot constitute s.19 grounds; Article 20(3) applies to s.50 questioning.
3. **Independent magisterial verification:** the remand court must peruse the s.19 order and grounds itself; mechanical remand is invalid; remand cannot resurrect an illegal arrest.
4. **Written grounds as of course:** Form III written grounds served under acknowledgment (redaction allowed); non-service mandates release.
5. **Anti-circumvention:** summons under one ECIR cannot be used to arrest under a freshly created ECIR designed to defeat anticipatory-bail protection; suppression from the issuing High Court is itself a fraud on power.
6. **Accountability:** non-compliance enures to the arrestee's benefit and may attract s.62 (vexatious search/arrest) and s.63/64 processes.

Relationship with Vijay Madanlal (do not confuse in exams): *Pankaj Bansal* did **not** strike down s.19 (upheld in Vijay) or hold the ECIR must be supplied (Vijay held it need not be). It read s.19 down: the *grounds of arrest* — distinct from the ECIR — must be furnished in writing, and the subjective satisfaction must be genuine and non-colourable. *Senthil Balaji* (where written grounds were supplied and custody was upheld on facts) is the contrasting application. Remand mechanics now operate under **s.187 BNSS** (formerly s.167 CrPC), including staggered police custody and default-bail guarantees.

FORM III — ARREST ORDER (PML ARREST RULES, 2005)

"ARREST ORDER — Whereas, I…… Director/Deputy Director/Assistant Director/Officer authorised… have reason to believe that …. [name], resident of …., has been guilty of an offence punishable under the provisions of the Prevention of Money-laundering Act, 2002 (15 of 2003); Now, Therefore, in exercise of the powers conferred on me under sub-section (1) of section 19… I hereby arrest the said

…… at …. hours on …… and **he has been informed of the grounds for such arrest**. Dated… Arresting Officer (Signature with Seal). To [name and complete address of the person arrested].” The address block itself demonstrates the duty of physical supply.

PYQ ARCHIVE // CH.06 Previous Year Questions (DU LL.B. Examinations)

Q.1 `DU LL.B. 2015 – Q.7` Describe “Money Laundering” with its various steps and methods. In what circumstances can a person be arrested under the PMLA, 2002?

▸ **Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891**

Q.2 `DU LL.B. 2015 – Q.8(c)` Explain in detail “Adjudication” under the PMLA, 2002 (and the procedure under s.8)

Q.3 `DU LL.B. 2017 – Q.7(b)` Discuss the law relating to search and seizure, including search of persons, under the PMLA, 2002

Q.4 `DU LL.B. Examination` Explain in detail the law relating to attachment of property involved in money-laundering

Q.5 `DU LL.B. Examination` What are the obligations of banking companies, financial institutions and intermediaries under the PMLA, 2002?

Q.6 `DU LL.B. Examination` Illicit wealth amassed by Chief Ministers, unprecedented in scale, invested in property etc. in India and abroad, with no clear allegation of “laundering”; referred to CBI — accused plead ED exclusivity. Decide.

Q.7 `DU LL.B. 2019 – Q.4(a)` Whether the CBI has any authority to investigate offences which are the sole domain of the Enforcement Directorate? Discuss with provisions and decided cases.

Q.8 `DU LL.B. 2019 – Q.6` Discuss the term “money-laundering” and its punishment, with relevant provisions. In what circumstances can a person be arrested under the Act?

Q.9 `DU LL.B. Examination` Special Courts and their powers under Chapter VII of the PMLA, 2002

by Ankur R. Upadhyay